

TVS Motor Company Ltd. (TVSMOTOR)

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JP Morgan AM: So quite a few of our questions will have to do with your long-term vision, how you manage the business and how you see the business within either the domestic Indian market or foreign market? How should we get started on these dynamics? Do you want to get started with questions?

K N Radhakrishnan: Because all of you know that TVS Motor Company. You have gone through all of those goals. So to be expressive -- the next we can focus on the clarification we have, the things we have, that will be better approach with my position.

JP Morgan AM: Sure, maybe I can start with the first question, and my colleagues can just come in any time with their additional questions. Could you tell us what you see as TVS's strength versus its peers in the Indian 2-Wheelers market?

K N Radhakrishnan: I am a guy who never talks about competition. If you ask me this question, I can tell you, about our strength. The customer and quality, durability, customer-delight are our principle focus. And if you look at that, that's kind of an idea, [indiscernible] for example, we look at the C&GR, that we focus on the emission policy. We focus on the TGW. TGW is focused on right. And so it's the satisfaction of the customer because it's the customer who comes for service, in two-wheeler is the first service comes after almost 30 days, 1,000 kilometers.

K N Radhakrishnan: We are here for the group. I'm coming back to your question. It's all about customer, customer, customer. And we have been number one, rated number one by JD Powers, of course key brands as well as for the dealership, service to the customer, this is number one. Number two, the last four or five years, we very clearly look at the customer pigment. We look at what future, what kind of technology they want, what kind of innovation they want. And we position our new products to that. And what we are seen is every product is the driver or the decision maker, I think it has been a great success. Because what is most important is to sharply focus and even believe in IT. The customer will allow it, that's the most important. That is number three. Number three, when the customers are delighted at the time, you can always look at the top line. So in reality, also, we only try to look at the top line. Let's start from the question of time selection. Why top line is important? I don't have to explain to you. It's good for the people, distributors, company. All of you know that there have been a lot of challenges in the top line for everybody, country by country. In India we've gone through the COVID situation and we

have also looked at the place situation and we come back to challenges. The most important, according to us, is growing ahead of the industry. The first and second will always translate into profitability. So this has been our strategy. We will continue in the future.

JP Morgan AM: Thank you. And don't really mind if I just jump in. So just to you again, thank you very much for your time. I'll apologize ahead for some of the basic nature of our questions. If on just the two areas you just talked about when you talk about growing ahead of the industry, and I would say we're much more familiar with Bajaj and Hero, they have different prices for different experiences, different sort of international experiences. But how do you see both and obviously,

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you've grown share, but firstly, what on the industry, how do you see the rates of growth of the industry going forward?

And secondly, when you think about the market share and where you've grown and come to, where do you expect? Or do you see limitations at some point, particularly with the nature or where your product pricing etc. Does that need to change at all to have a different set of market share? So, two different questions. One on industry growth an

d two in where you think market share for you can ultimately get to?

K N Radhakrishnan: Obviously, the way you have to respect India, the current growth rate is not really the personality of the two-wheeler industry. Why do I say that? India, I don't have to explain to you the population, the demographic, how we're going into it. And which is good in India, the infrastructure in which the Government, the kind of growth of the sector, the kind of higher we are, I think there is going to be clearly, the mobility is going to be much higher. And in India, when we have huge population, the public transport is the reason. So people are mobile, but they don't have any kind of structure for the transport system. So, the only and only way is to do that. This is something which is affordable. this is something which is cost-available, this is known, this is one reason.

Second, if you think of India, 50% of the population, it's built on blocks. They don't have Government jobs, they don't have any other jobs, they are a plumber or an electrician or a vehicle service, carrying, you know, something, you know they take the food from one place to another place, they distribute, they sell, they have a lot of transportation every day. So if I look at more and more of the bottom of the pyramid, it's much more proportionate. Maybe in the urban, we may have employed people in various types of industries, but when you go deeper and deeper, it's all about self-employed. So self-employed, the productivity goes up when they have mobility. Mobility comes from an affordable solution like a two wheeler.

Just before, about three years back, up to 2017-18, India's C&GR used to be about 10% above. My prediction is it will come back to the double digit going forward. What has happened in the last, in my opinion, about 12 to 15 quarters, three things have happened. I don't have to explain about this COVID situation, but much before that, if I look at it, we moved from BS3 to BS4, which like, you know, all of you are familiar with Euro3, Euro4, Euro5, and then we went into BS6. Today, our products are equivalent to a European product, okay, in terms of emissions, in terms of technology. All the products are electronically injection, like the technology that we see in the past. 50 standards are exactly like European standards. Products above 100,000, 80,000, and so on. And all this has put the cost to go up. The product prices have gone up by at least 40% in the last 15 quarters, but the income level of the people has not gone up.

And I already told you, 50% of the market is rural, where it's all self-employed. So now that there is no, COVID situation is becoming much more under control, people know that they don't have to get hospitalized, people know that there are no lockdowns, they have started earning more. The rural economy is the most tricky one. So as the income level goes up, I'm very sure that the first thing they will look at is the 2 wheeler.

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So it's a question of time, possibly in a year's time, we will see a more of a pickup in India, and I am certain that you can expect a P&G of minimum 10%. Okay. While I say that, in the international market, different markets are affected. Africa today is a taxi market. So predominantly, people are sold for taxi purposes. You know, one guy drives the bike, or there is a tea connoisseur who buys a drink for the driver, and they carry, they drive almost 300 kilometers every day. And roads are not there, they carry almost 5-6 people. So, according to me, next year, it will be after, possibly after 10 years, because they are also now investing in infrastructure, educational levels are going up, the life expectancy is becoming better. Many people for taxi, slowly you are able to do commuting happening, some of the cities. So, when you look at some of the markets like Middle East, better, infrastru

ure is better, people are

looking for both commuting and utility purposes.

If you look at the ASEAN market, again, the commuting is there. Of course, there is also some sub-bloc groups are there. If you look at LATAM, I am only talking about the developing markets. If you look at the developed markets, you know, higher product, huge opportunities. So, two-wheeler has got huge opportunities and the strength of TVS is, we have excellent design and development capabilities. We don't compare anybody. We are completely R&D focused, design focused, and we have almost thousand engineers who are practically looking at innovation, innovation, innovation, and we have excellent product range. When I look at the Indonesia product, again, it is completely different, it is unique; we get feedback, completely different. We don't sell anything here.

And second, many of the international markets, the product market, the product what we are selling, we don't sell in India. So, the uniqueness of TVS is to identify the product, the geography, the segment, and design and development. It is just investing. If it was paid, then it will do well in the future. This was your first question.

What was your second question? Sorry, it was a little long, so sorry to ask. What was your second question?

JP Morgan AM: The second question was your -- obviously, market share has changed quite dramatically in the last few years. So, just trying to understand a little bit more about whether you see limitations on, I mean, there is obviously an industry pattern that you talked and articulated very well, whether -- where you see limitations of potential opportunities on the share side?

K N Radhakrishnan: See, I can't, my simple principle is, I don't put a target on the market share. I always say that I have to grow ahead of the industry. Any month, I respect only one thing to my sales team.

Industry grows by 15%, I have to be higher than that. While I say that, I don't look at the exact market share. Billing to the dealer is not the market share. Sales to the customer is the market share. What you sell to the customer is the market share. Fortunately, all of you know, in India, there is a registration data. It was not there a couple of years back.

And the second thing is, I always believe that the customer should get fresh rating. So, I always tell the dealer, don't keep more than 25 days of stock. Why 25 days? If you know India, from the plant to the regulatory point, it takes almost seven days. Okay? We use trains, we use trucks.

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Okay, India infrastructure is good, but if you look at some of the African markets, it takes even point to point, also it can take even two to three weeks.

So, my simple principle is, you keep, there cannot be any retail loss. When the customer comes and asks for an acquaintance or a which color or an ABS fitted vehicle, you should not say, I don't have stock. So, we have some warehouses, supplementing to the dealer, plus we keep maximum, maximum 25 to 30 days of stock to the dealer. And also, we with the sub-dealer. Nobody does it in India. No other company does it in India. Okay? And all are cash and carry. We don't give credit to the dealer. Okay? It is a self-sustaining mechanism because the customer gets the fresh read. Okay? That is the simple principle. With that, you have to grow ahead of India.

JP Morgan AM: I think the one follow-up, just on completeness there, would be, I mean, if you speak to other two-wheelers, they say that our target is to grow faster than the industry, and if everyone is trying to grow faster than the industry, everybody closes the industry rates, right? So, I'm just trying to understand, you know, again, if you're the customer, what is the TVS's proposition that makes it more attractive than a dealer or auto drivers license? Is it price point? Is it engine size? Is it design? Why do they

buy a TVS 2-wheeler versus anybody else's 2-wheeler?

K N Radhakrishnan: Exactly what the JD power calls is all about attractiveness, you know? Okay? It talks about how better in terms of power, performance, in terms of convenience, in terms of riding, in terms of features, in terms of technology. Okay? I can keep going on and on and on talking about features of the JD for the rest of your time. Okay?

Some of the things, what we see in a car, we have given in the 2-wheeler as an affordable price. Okay? And my pricing is always equal or better than competition. I don't discount the brand. Okay? We don't discount the brand. But the investment is in the technology and the product and the durability of the customers. That we don't compromise. Hence, there's always pull in the product. Always pull in the product. Okay? Otherwise, you cannot, you can't say that I will only keep 35 days of stock and based on the pull, the dealers have to bring in money. They will bring money only when the products are demanded by the customer.

JP Morgan AM: I mean, I just wanted to follow the same line of questioning that Amit was referring to. I mean, clearly, I'm anticipating that it's the up-selling price and product differentiation in terms of features, that sort of drive is pulling the brand. And I think you also said when you were talking about that it requires continuous investment, which is sort of difficult. I guess if I look at the near experience, it's consistently invested in the product engineering. So, can you talk a little bit

about that culture and how does that impact? I mean, because you invested for so long, your team was sort of, the profitability was significantly below competition in that sense. So what do you have to do with the ML line when you continue to do that? How do you gather insights and product features that you need to use? But the competition is catching up. How do you stay ahead? There's sort of lots of questions in that space. I mean, you can talk to me about that.

K N Radhakrishnan: So that's where I'll give you one example, because I have plenty of examples in each of the products. I'll give you one example. When we developed the Jupiter, I was doing an analysis in India. Normally in the future, unlike in most places, the customer has to lift the seat to put the

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fuel. So that is the industry practice. Activa, which is the best brand in India, Honda has bought it. It's lifting the seat and you have to put the fuel. We found it's a big customer inconvenience. So we said, you don't have to get down from the seat. We'll do external fuel fill in the rear. So, Jupiter was the first to be put in India, which required completely external fuel fill in the rear. It required completely engineering change in terms of how the chassis is designed, how the petrol tank is placed, how the fuel flow is designed. It requires engineering. It is challenging the way we do it.

And I agree with Amit, the moment you do that, competition is not going to be there. In three, four years, competition comes with external fuel fill in the rear. But Jupiter 125, we already move the fuel fill to the front. Why did we move that? Because any customer who is stepping in the rear, he says, I have to turn and look at the rear when somebody is fueling. I have also looked at the rear because normally in India, customer doesn't believe any in-petrol manager. They always believe that they will always cheat them. So the customer voice was very simple. I'm happy I don't have to get down, but I have to keep fuel as well as gear. So, can you do something about it? That is the way we innovate the petrol tank in the front rear. Fuel is released in the front rear. It will take another four or five years for somebody to catch up. By that time, he will again decide what is the next level of operation. It's a constant innovation journey. Okay?

Now, we have

to first give the voice of this thing in a product called, Ntorq. We have to first give all right loads in our Apache series, which is given at 150 cc. Okay? If I have to really motivate my innovative R&D people, I have to give them talent, look at the pain points of the customer and keep innovating with something new. It's not going to be easy. I completely agree with you. And somebody will catch up. Today's attractive quality will become a cheap quality tomorrow. But this helps you to build a brand. We started with a new product called Raider, which is in 125 cc. We started with 10,000, 15,000, 20,000, 30,000. Now I've come to 30,000. Now we're looking at 35,000.

When the volume is going up, I'm also coming up with new EFT cluster. So, it's just a journey. It's a journey.

JP Morgan AM: I understood, and I'm thankful for that. I guess one follow-up on that would be, you know, I'm assuming what you're saying is a culture of constant innovation that is promoted and comes from the top. So, you're looking for consumer insights and innovating accordingly, not ahead of competition. Was that in the beginning of the firm? Because obviously your market shares were slightly standing for a while before they started imaging outside the market. So, is there a lag between doing that and actually having them around?

And then the second question is part of that question about, so there's a cost to this. So, is that now sort of, you know, will scale of that efficiency come down? And I'm assuming the cost will, if you have a company, you believe that you have the early functions of doing that.

K N Radhakrishnan: In my opinion, we lost market share, we were stagnant in market share because of our own mistakes. I don't attribute it to competition. We came up with a product called GT. And I'm going back to here, long back. If you know the history of the company, we had, we were supposed to be in Suzuki in 2002, and we moved out of Suzuki, and that is the time we started our own

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international business. I'm very proud that today 30% of our business comes in international, in a very short span of time, because we started much later to one of our key competitors. We had a product named Victor, which significantly helped us to gain market share. But there were some small errors, but we did a big recall campaign, I think, I remember it was in 2004, 2005, which was unheard of in the industry. So when you do that, some of it is supposed to take advantage of that and keep criticizing that. Unfortunately, I think we made a mistake of stopping the brand.

Now, if I request myself, we should have continued with that brand. And then we said, okay, we are going with that. Let's invest in quality, durability, and really, really go for the best in the

stock. So we did that, and we are able to get the benefit of that. And I'm very sure that this will help us in bringing sustainable, gaining market share. But market share comes with a lot of restrictions in terms of, I don't believe in overstocking because it affects the customer. The customer doesn't get the fresh mainframe. So, there are broad guidelines, and within the broad guidelines, every dealer has to perform. And it's also in the interest of the dealer's profitability if he keeps the deal stocked, if he keeps the right market capital. So it's not only our profitability. And to your second question, when there is top line growth, every line works. There is no top line, there is no line. I'm not so much attached the custom labels. Many people talk about custom labels. I always say that look at the top line, then every line will be easy. That's exactly what has happened for TVS. And even in the top line, we have started looking at the premium products, you know, whether it is a Classic, Ronin whether it is NTORQ.

Another typical example I'll give you, even in Jupiter, we have a base model which

is equal to

the competition. That means that even Jupiter variant which is really delighting the customer.

So we gave a limited edition called. We found that customers are willing to pay much more, the Jupiter variant which is really delighting them. Then next year, all of you know that India has got the Diwali season and marriage season. So we are going through the marriage season. Now Diwali will be September, October. This is more of the colleagues from other parts of India, from other parts you can tell that. Diwali season is something like 40% of the sales happen. And in the Diwali season, one day called Dhanteras, practically we sell 200,000 vehicle. People are crazy on that day. But they need something new. They need something fresh. So we create the limited edition. So, we create a second model. We create a classic model. We create a branded model. Each one has got certain features, certain technology, much priced higher. I can tell you today, within Jupiter, more than 50%, we sell the higher order radius.

I can correlate it to the democracy of India. Suppose Indians do not have money, but aspirationally we are all, we want only iPhones. Even the rural you go; he will have an iPhone. He will not have taken the breakfast also for days, but he will have an iPhone. Aspirationally we are very rich. But you need, you know, for my sales and marketing, if I don't give, Activa price of so and so my customer only buys that. So I create that model also. But when somebody looks at it, and thanks to the retail finance, India now, the organization penetration is about 40%. Of course, there are some dealers also doing a little bit of retail finance. I'm not taking that, 50%. So when somebody comes in, he looks at my base Jupiter, he goes, INR3,000 for INR4,000 for TVS Motors Limited

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INR100, but okay, I move it. So, one is premium registration, one is varianting and limited edition and winning the customer, and it helps the brand also move up.

J P Morgan AM : So if you focus on the customer, give them good products, the features that they want, you can do that in multiple segments. You just gave the example of Jupiter for our teammates. It's a very successful scooter. You've grown from a relatively small base over the years in scooters to become number two and the most consistent shared number. You've done very well in premium. You've done very, very well in. But throughout all this time, these have been multiple growth opportunities that TVS pursued at the same time all at once. And now you're actually, in my estimation, doing very well with EV. Are there examples to business, new segments, new products that you consider because you thought, you know, they might be attractive, but both of them didn't do, because you thought you should focus your resources on what you're already pursuing. Because the impression we get is, you do a great job in pursuing all of these things. But at the same time, you seem to have a lot of aspects of pursuing a lot of things altogether.

K N Radhakrishnan: It's not that -- success and failure come together. The answer I gave to Sandeep was, we lost market share because of our own wrongdoing or inaction. Because in a typical market share situation, when we lose a brand, Victor or whatever we lost, competition is not keeping quiet. So losing something, somebody's gain is getting doubled. So that's the reason you have to get it right. How do we get it right? That's why you need quality, you need attractive quality, you need to consistently invest in looking at the customer and design and technology and future. This is number one.

Number two, it's not that every area we have succeeded. Since there is one area, you know, in the entry-level commuter segment. But I'm not so much worried because in our top six or seven segments, we are doing either number one or number two or a strong number three in the 125-cc segment. I'm

very happy. Keep looking at the customer again and again. I think you'll get the other segment also right. So it is a balanced portfolio management. Okay? And you'll get the totality. When there is some brands that are not doing well to the desired level, for example, Radeon, it's one brand, I'm unhappy I'm not doing well. But that's okay. That's okay.

J P Morgan AM: How about questioning whether you need to be in commuter bikes? You're doing well with

Scooters, you're doing well with premium bikes, you have JVs coming up that might go after success with the low-length super premium most likely. Do you need to be in all the segments in particular essential goods?

K N Radhakrishnan: Do you know what, you see, we believe in the moment you decide that you are going to believe in customers, then you have to be completely customizing and integrating with them. I'll give you one example. When we went to Africa, we had at that time also some of the brands which were selling in India, commuter bikes. We thought we can sell that easily. But the moment we saw that we have such a taxi customer, they carry five people, the seat distance is flat, okay, the petrol tank, even the petrol tank also somebody sits. In the end, somebody sits, five people, and I don't get stressed, they are very strong, roads are bad, then we said none of these bikes are going to work there. That is where we came up with HLX.

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So the moment any company puts customer as a starting point, I promise you sometimes your existing will not work. Existing will not work. Okay? Some of my Indian colleagues are there. I'm in Bangalore, Desikan sitting in Chennai. There are people in Delhi. India is a great example. Our languages are different. Who has this kind of people? What we call them across. Basically, if we don't have our coffee or idli in the morning, idli vada in the morning or pongal in the morning, they will explain to you what it is. But I have a commercial client. I cannot give them idli vada in the morning. They will throw me out. The employees will throw me out. They make their chukra chapati or their, what do you call that, with potato, the thick chapatis in the morning with that onion curry. They won't taste it. India is one country. Apache, red color, only sells in West Bengal. In down South, there is one place, only black thing. So the moment you put customer at the center of the strategy, you have to be very careful. You should be willing to invest for the customer. But I can promise you, customer will pay back. Because you came up with 162v in Apache, when we found out that is not enough, you came up with 164v in technology, so we have 200, you have 300.

JP Morgan AM: So I understand the diversity in the product -- in the customer base and how complex the two-wheeler and three-wheeler market is in India. But going by the food example you're giving; you wouldn't be happy just letting somebody else eat chai vada. You have to provide the chapati, the chai, everything, just because the customer wants all of those things and different, they want all of those things. Whatever the customer wants, you'll want to be the provider.

And the other thing you suggested was, you want to be number one or number two, and you'll tolerate strong number three, as long as it has potential to be number one or number two. So is that...

K N Radhakrishnan: I look at total, better than the industry. Every month, if I'm doing better than the industry, with the condition that I don't push the numbers with the dealers, I'm happy. Overall. Then I look at, for example, thanks to all of us, when we started looking at the data, then we started, how is our premium doing within this overall number? Is the premium growing every month? Is the variant growing every month? So that it gives a better and better response to the company in terms of profitability. All our job is about doi

ng well. So this is after achieving number one position.

Once you achieve every month better than the industry, then you look at this condition. But growing better than the industry is absolute must.

JP Morgan AM: Okay. So going again by that metric, let's go back to bike riding. And personally, I'm a man of bike riding, and I think that's a fine bike. For teammates, that's a high-end commuter bike, let's say, in India. But you suggested you're not happy with this performance. Let's say, we go for this, we go on for a few more years, that it is not growing faster than the market. If anything, it's over time losing share. Where do you know when to say, this is enough? We need a new product, or we're getting out of this segment. Has that happened? Or how would you take that decision?

K N Radhakrishnan: We have done more in that. I can tell you; we stopped the Victor. It was a stupid decision because we did the recall campaign, and we unnecessarily allowed competition to say, oh, we will not recall. It's all faulty, faulty, faulty. But the customers who bought the Victor, they are extremely happy. We didn't understand that. I'm talking about 2004, 2005. Then we had a brand for a Centra. It was not moving, we stopped. Then there was a product called Phoenix, we stopped.

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So we are one company, if you make a mistake, and that is not going to change, we take a bold decision. But what happens when you make such decisions, is that you lose confidence, and somebody else gains confidence.

JP Morgan AM: And these are examples of you stopping products, not examples to you saying, we probably shouldn't be in this segment. Let's get out of it.

TVS Management: Yes, because it is, in my opinion, in every segment, product makes a huge difference, 80% is the product. And you have to be humble, and you have to say that, look, I made a mistake, let's move on.

JP Morgan AM: Can I just try and, sorry, go ahead, do you have the follow up about all? Yes. No, no, but please go ahead, go ahead, Amit. So can I try and connect a few of the areas you've talked about? You know, the top line focus, the product side pricing with the financials, and maybe this is one for the Pacific Arms, but if we look at what, and then there are some areas that I would be happy to clarify, but if you look at, clearly what you've done at the top line and the market shares, they've been exactly as you've talked about, and there's clearly been a huge gain there. If I look through how that's actually happened, particularly in terms of the balance sheet, and again, correct me while I'm wrong, it looks like a lot of that comes, and what's very commendable is that, actually from an equity perspective, you've not actually had to issue any new shares for what I could be since you lifted, but I think obviously a significant increase in leverage, and so you've taken more and more debt over the years to fund some of these activities, and that's obviously been driven by capex, and you haven't really, if I look at the last decade, there's not been really any big cash flow generation of the business. So just want to try and put the context of what's come and what's about to come in the future, about how I should think about, how you think about the balance sheet and leverage, cash generation, capex? And whether and again, when I look at, I mean, some of these, I can't, we could try, but you have things like receivables from financing activity and other financial assets and stuff of your balance sheet, maybe you can just try and connect those bits together, how should we look at it in terms of clean, for the capex and the balance sheet going forward?

K Gopala Desikan: Before takes over, I just want to give you context here. One, we switched over to the cash and carry model three years back. Earlier, we were offering credit to the dealers and thereby a huge receivables we were car

rying in the balance sheet. Today, I just want to make one statement. As a standalone entity, we are generating free cash flows after our investments, after our capex related spend, therefore the company is generating free cash flow today. Last two and a half years, or three years close, company standalone is generating free cash flow. Before the investments, in the overseas subsidiaries. That's the first point.

JP Morgan AM: I'm just trying to understand. Okay, so you're making cash flow from operations, but after investments, and then when you said here about money to international subsidiaries, is that what I'm seeing here in terms of...

K Gopala Desikan: I'm trying to say that the investments, the acquisitions, what has happened in the last two years, that is the main reason why we have gone for a loan funding. Otherwise, the operations wise, including my EV-related operations, today, it's all funded over the internal cash generations.

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Second is, as far as investments are concerned, they're all strategic, long-term, involving cash outflow, and also requiring support for a few more quarters. And therefore, that has to be funded over and above the internal cash generation through loan funding.

And today, my leverage, if you see the leverage on source, it's not very much. Against the network, I have a leverage of less than, around 0.5, something like that. Not even one time to my networth today. It's very less. My networth is close to INR5,000 and odd crores. My loan is around INR2,000 crores, which includes a sales tax, fee loan of around INR400 crores, INR500 crores. Therefore, I'm not over-leveraged, and the loans are taken only for strategic investments, which come back.

K N Radhakrishnan: I have two important points to highlight here. Five years back, in a similar context, I used to get a lot of questions on Indonesia. We invested in Indonesia, and a lot of questions used to be asked in there. When is it going to, you have invested quite heavily in Indonesia, you have designed, developed, and you have a plant there. What are the planning to do? At the same time, we also started the credit services. The retail financing, but in financing now, it's not only retail financing, it has got many other financing actions in that company. Both were not profitable. But today, in the last couple of years, both are extremely profitable. Indonesia last year was 5 million, and this year is going to be extremely good in terms of overall profitability. TVS Credit Services, I think that the size is more than INR20,000 crores, and last year, I had already INR500 crores of PBT.

So the point I wanted to highlight is, if I look at success rate where we have invested, and what kind of returns, we have been very successful. So currently we have invested in Norton or SEMG or the other e-cycle businesses, which are going to be the order of the day. And second, now we are into the EV business. Currently we are selling only in India. So, EV business gives us an opportunity -- and in the two-wheeler business, we are only present in developing markets; 70 countries we are exporting, and the majority is Africa, Latin America, ASEAN countries. We are not yet in Europe or US or Canada. Of course, with our association with BMW, the 310

series, more than 150,000 customers are there globally, in all the developing markets also. But with the EV, it is going to help us also to get into all the developing markets. So, what Desikan said is absolutely right, is a strategic investment where you have to invest and we are not overdoing it.

JP Morgan AM: Okay, thank you. On the topic of EV, it seems like it is enabling new entrants into the market. Some of them getting money from other businesses, like Ola, or some of them have startup money. And in the long run, most of these may not be successful, and they'll probably go away. But until their money runs

out, as long as they remain in business, they're very bad. They will seriously depress profitability. And do you see the danger of the fragmentation and multiple variable profitability in EV business?

K N Radhakrishnan: I have a comment there. We have to be precise and there are more than 450 startups in the EV business. Some of them may be successful, we can't roll them out. But I am very happy that somebody like among the competitor name we said, I take that as a benchmark, when somebody sales 100 thousands bikes and done. Then we have a huge advantage that, ok 100 thousand of TVS Motors Limited

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units but let's make. But we don't want to compromise in build practicality or the quality and on i Qube we have more than 35,000 bookings today. I am very happy, at present only about 250 towns on India. I am not even started export. Same principle works in Cell chemistry, cost will come down. A lot of new products have been planned. I think it's a question of time, and I see a great opportunity to enter into developed market. Developed market the pricing can be completely different than that of developing market. So I feel it's a great opportunity at some time this kind of startup challenge is good to have for a 100 year old company. It has got tremendous value. Because sometimes somebody has to shake you up. Its good to have competition.

JP Morgan AM: You mentioned that EV entry vehicle here, so maybe I can ask you, let's say that we hope you are successful about managing the business. But how about 3 or 5 years from today from TVS today. Would it be different?

K N Radhakrishnan: It would be, the one thing I can tell you is that 150 thousand bikes were in the common platform with BMW and us. I think customers are really loving, ok. And this partnership has over now many years and many products are coming from this and we are designing some from them also. So in the initial period, I am going to tell you, on the developed market people have very good reputation of EV. And the e-bike, we are really trying to understand the customer. We are trying to understand the customer, their buying behavior, how they are using it, ok. And we can implement to other markets as well. At 5 years' time TVS will be there in many markets and TVS brand will be really strong in those markets.

JP Morgan AM: Ok. So that's the only difference, you will have a presence there in the developed market, anything else?

K N Radhakrishnan: Its not the only difference. When the brand gets big, we see the kind of product, the kind of premiumisation, you have only seen the success super premium, ok. I may not be able to share the complete strategy of the company at this point of time, but I can assure you that you can put in a nice than you can imagine.

JP Morgan AM: And what will be different in the domestic market in India, in Africa, LATM, others?

K N Radhakrishnan: Customers just love us. From what I have seen is today, our dealers, wherever we go, our brand is getting built and built and built. Keep up the momentum of delighting the customer and I am sure, customer will help us in better pricing, better volume and topline and different experience to them, ok. And we have been full work behind product and innovation. And it challenges us, you know. It challenges us constantly for new innovation and exactly my point. When I meet the software engineers, my electronics engineers they are saying do something new. Exactly what is going to help the brand to get built and this is going very well.

JP Morgan AM: Ok, so let me now ask you if, I remember correctly for the next year you have 19m in capex, 7bn on top of that for additional investment, for long term growth opportunity that you have in mind. What are your priorities for cash, and what are your expectation for cash. What would be the bank balance?

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K Gopala Desikan: We are extremely prudent on our capital allocation policy. We are extremely prudent. Good opportunities come through, and if you are relevant to the business, where we are in we will invest.

JP Morgan AM: Any financial criteria for determining that or?

K Gopala Desikan: We have a lot of matrix for fit, and complete due diligence towards financial due diligence before we invest and we do have certain benchmark before we decide on these investments.

JP Morgan AM: Amit, any question?

K N Radhakrishnan: I have a suggestion to all of you. I have a request to the team. Next time fly to Bangalore, on Bangalore you it takes only 35km, you see the plant, see the people, couple of questions what you have, it will really get answered. I am really proud of my employees. It is my advice. See the brand, see the plant, see the facility, see how they interact with you. Many of the questions that you still have in your mind will get answered.

JP Morgan AM: Thank you very much for the personal invitation. I was in fact, I did visit the plant couple of months ago. And yeah, I always enjoy interacting with TVS. Next time will come along with Sandeep and...

K N Radhakrishnan: Come along so that I can meet you, yeah. I can host you people and when I am not there normally me and Desikan speak to the people, but if we are not there.

JP Morgan AM: Absolutely. When you tell about the strength, and when we look at the business, do you see any area of improvement?

K N Radhakrishnan: Of course, of course. we are looking at software, electronics we have added new people. How we bring them to TVS culture. On one side we have startup concept, on the other side we have fundamental basic value and how we build that. Second, I have always seen, money is not the problem for business. How do we build the leader, and the businesses? Opportunities are plenty, but we need strong leader. I always see that, the nos of leaders you can create and opportunity is there its always a gap. Because something you know, we have grown must faster, much faster. May be you know a CAGR or a growth rate, we say that you have to grow ahead of industry business, it's a good challenge to have that. Ok. Another important, is sometimes we kind of, and I am thanking the government for bringing Euro 5 or tomorrow OBD 2 or something other technologies are not available in India. But we are looking at Atmanirbhar. How we design and develop in India. How we get it, and the leap time of that, it's another challenge, ok. So there are many areas we are required one as a country. Today say for example, cell manufacturing. Then you depend upon imports, which are the countries you can look at it for. There are many many such challenges, many challenges. But we are a very good team. Very good team. And one thing I have seen is that, the infrastructure is improving, the capabilities are improving, the software capabilities are on the best I see. So something constantly, what improving we can do.

JP Morgan AM: Thank you very much. Any other question, Amit?

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JP Morgan AM: I have one more final. You talked about what you do and managing new innovation. May be on, what you will not do and that could be and channel financing, or anything that competition or anything that you will not do?

K N Radhakrishnan: We don't compromise on the quality of the customer, ok. Desikan can very clearly tell you, that our credit services team are best in class, right Desikan.

K Gopala Desikan : TVSCS we are the best today. Collections are far better even before the Covid days, though the cost of collection have little gone up. Second KNR can add more clearly. We don't get into the price war.

K N Radhakrishnan : We don't discount. But when I say that, all of you appreciate, the sales and marketing wants the best product you have. And my dealers also want that. So what I d

o is I match the price of the base model, but all the models much higher price, aspirational products and aspirational features.

The more and more I do that, they have realized that its not about the price and more about the quality of the product and aspiration of the customer of our products. Big change in the minds of the people, ok. Big change in the front dealers mind. And this a big journey and I can proudly say that, March 2020, from the covid period alone, we were not giving credit to the dealers. Since then we are giving credit, my dealers are unhappy, my sales team are unhappy, But we want people to look at their investment, their money and buy model what they can see. Ok.

Thank you.

JP Morgan AM: Thank you for all the information that you shared. Thank you so much.

[End]

Call: Jul 2023

Website : www.tvsmotor.com Email : contactus@tvsmotor.com CIN : L35921TN1992PLC022845

28th July 2023

BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001.
Scrip code: 532343 National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor,
Bandra-Kurla Complex,
Bandra (E), Mumbai 400 051.
Scrip code: TVSMOTOR

Dear Sir(s)/Madam,

Reg : Compliance under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

In continuation to our intimation dated 17th July 2023 and 24th July 2023 with respect to the schedule of a conference call with the analysts / fund houses post results for the quarter ended 30th June 2023 and intimation on the audio recording, respectively, we wish to inform that the transcript of the said audio recording has been hosted on the website of the Company and is available at:

<https://www.tvsmotor.com/en/Investors/Communication>

Kindly acknowledge receipt.

Thanking You,

Yours faithfully
For TVS MOTOR COMPANY LIMITED

K S Srinivasan
Company Secretary

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"TVS Motor Company Limited
Q1 FY '24 Post Results Conference Call"
July 24, 2023

MANAGEMENT : MR. K. N. RADHAKRISHNAN – DIRECTOR AND CHIEF
EXECUTIVE OFFICER
M R. K GOPALA DESIKAN – CHIEF FINANCIAL
OFFICER

MODERATOR : MR. ANNAMALAI JAYARAJ – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the TVS Motor Company Limited Q1 FY '24 Post Results Conference Call hosted by Batlivala & Karani Securities India Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities India Private Limited. Thank you, and over to you, sir.

Annamalai Jayaraj: Thank you, Darwin. On behalf of B&K Securities, welcome to TVS Motor Company, 1Q FY '24 Post Result Conference Call. From TVS Motor management, we have with us today, Mr. K. N. Radhakrishnan, Director, and Chief Executive Officer; Mr. K. Gopala Desikan, Chief Financial Officer. Mr. K. N. Radhakrishnan will make the opening remarks on the results and the business outlook to be followed by question-and-answer session. Over to you, sir.

K. N Radhakrishnan: Good evening, everyone, and thanks for joining us today. This quarter, company continued its profit growth trajectory and posted its highest EBITDA and profit. This was possible through the continued improvement in market share, sustained cost reduction initiatives despite a few challenges in the international market.

Let me give you more details about the first quarter of this financial year. During the quarter, company's operating revenue grew by 20% at INR7,218 crores. That's against the INR6,009 crores during last year first quarter. Two-wheeler domestic ICE sales grew by 23% compared to Q1 of last year against the industry growth of 10%. Two-wheeler international market industry declined by 31% compared to Q1 of last year. Month after month, we are witnessing improvement in the customer retail and we are expecting, this will be seen in the dispatches going forward.

The total two-wheeler ICE sales grew by 3% compared to Q1 of last year against the industry growth of 0.5%. We are ahead of the industry. EV two-wheeler sales during this quarter, it's 39,000 units as against 9,000 units of Q1 last year. The total sales of three-wheeler is at 0.35 lakhs. On profit during this quarter, the company registered highest ever operating EBITDA of INR 764 crores at a 27% growth as against last year's EBITDA of INR 599 crores of last year Q1. The company's operating EBITDA margin is at 10.6% as against 10% during Q1 of last year. The company posted its highest ever profit before tax of INR 610 crores, recording a growth of 41% during this quarter as against the INR432 crores in the first quarter of last year. The PBT for this quarter includes INR 55.6 crores towards profit on sale of investments. Profit after tax grew by 46%, INR 468 crores as against INR 321 crores during the first quarter of last year.

TVS Credit, the book size is continuing to grow, and this is presently around INR 22,000 crores. Its portfolio is well diversified, covering tractors, used vehicles, consumer durables, MSME besides the two-wheeler. The PBT for this quarter is INR 157 crores as against last year's INR 111 crores.

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TVS Credit has entered into an agreement with PI for capital infusion of INR 480 crores into the company. This is subject to regulatory approval. TVSM holding in TVS Credit post infusion of capital by PI will be around 81%.

On EV, TVS iQube continues to receive very positive customer feedback across all markets and continues to improve sales and market position consistently over the last four quarters. April '23, company implemented the AIS-156 Phase 2 norms.

Production of April 2023 was a little constrained due to this changeover. And we

also had some

supply chain challenges. Further, all of you know that FAME reduction from 1st of June affected the industry penetration. Post FAME reduction, customer prices have increased partially while the company is absorbing the balance. While there are many short-term challenges in EV penetration due to the reduction in FAME incentives in the medium to long term, industry will

continue to grow. We are ramping up iQube production, and we are confident of reaching the 25,000 in the month of August.

Booking continues to be healthy for TVS iQube. We are expanding availability of TVS iQube in India. We have added 74 more touch points last month, and we are now at almost 309 touch points, and this will grow to almost 600 touch points by end of this year.

During Q1, we have also started selling iQube in international markets. We dispatched iQube to Nepal first. It has started retailing. And as highlighted, we will further expand this with many more international markets this year.

As informed earlier, we will be launching a series of products in the range of 5 kilowatts to 25 kilowatts. You will see some of the launches in this quarter itself. EV three-wheeler is getting ready and will be launched in the upcoming quarters. And all of you know that BMW unveiled their latest EV product, CE 02. A new kind of mobility that provides great riding fun for youngsters in the urban and non-urban. The product platform was designed, developed, and manufactured by TVS for world-wide sales working jointly with BMW.

As highlighted earlier, in addition to the product, TVS is investing progressively in the ecosystem. As you know, during this quarter, in the space of last-mile delivery, we added strategic partnership with Zomato to deploy 10,000 TVS electric scooters over a course of next two years. All of you know that we are already having partnership with Swiggy, Amazon, Rapido and other few that we have already started.

These vehicles will contribute towards revolutionizing the last-mile delivery, enabling reduction of carbon footprint for our partners. We are continuing to invest in improving charging access for TVS EV. Our customers presently have access to 2,000-plus charging points with various charging partners through TVS iQube mobile app.

In the last couple of years, with the efforts from both, government and private players, infrastructure availability is continuing to improve for EV vehicles. I'm confident with growing EV ecosystem, safe, reliable, superior quality product, technology advancement, EV products will deliver growth. With the product line-up planned from TVS, we are confident that we will be a strong player in the EV segment going forward.

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When we look at Q2 '23- '24, the improving road infrastructure and economic development with our current mass transit systems would drive the demand for mobility for masses. The growing masses with the young demography will support sustained industry growth. All of you know that the mobility demand is best served by the two-wheeler category.

All of us know that there was a delayed start of monsoon, which was a big worry. But the current prognosis is likely to be normal. However, there is a challenge of uneven distribution is a concern. Government support on increased MSP will definitely help in higher realization to the farmers. We expect industry given the kind of monsoon improvement, I think, should be moderate in the rural growth. Urban looks promising.

In the international business, Q1, we witnessed growth in retail over last year Q4, and we expect recovery going forward from Q2. From H2 onwards, we expect many markets will come back to normalcy. And given our product range, we are pretty confident that we will continue to grow ahead of the industry in IB.

The customers of TVS Raider, TVS Jupiter 125, TVS Ronin are extremely delighted, and the volumes of these products will further

enhance our market share, both in domestic and

international market. We will continue to invest in new product development, and we are planning a series of product launches in the coming quarters, both in ICE and EV.

Our complete product portfolio and unwavering focus on the consumer quality and new products with attractive quality and technology with features. We are confident that TVS will grow faster than the industry, and we have outperformed both, in domestic and international markets.

During Q1, including EV business, company has improved EBITDA from 10% to 10.6%. We will continue to leverage scale benefits, focused premiumization, sustained effort on the material cost reduction, and we will enable us to further improve EBITDA going forward, and we are pretty confident on that. Thank you very much.

Moderator: Thank you. The first question is from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani: I have two questions. Firstly, sir, on the investments, if you can still give some clarification as to what is this INR400 crores invested in TVS Singapore? What business does this pertain to?

K. N. Radhakrishnan: We had invested in this quarter about INR200 crores in TVS Credit. Now coming to Singapore, it is SEMG. We have invested about INR186 crores. Then Norton and other TVS digital. And these are the areas we have invested.

K. Gopala Desikan: Only 1 second. On the SEMG, we bought the 25% stake from the other owners. Earlier, we had

invested 75%. Now it has become a 100% subsidiary, and this INR186 crores is only that representing acquisition of the balance 25%.

Gunjan Prithyani: Okay. Sir, I'm just trying to understand how should we think about these investments, because this is a pretty sizable magnitude for 1 quarter. So some of these businesses are actually loss making? I mean, SEMG, if I look at FY '23 actually, had about INR90 crores-odd loss. So if you
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can just give us some ballpark numbers as to how much will go incrementally into these businesses as investments? Because if I recall a couple of quarters back when we spoke about Norton, I remember you guys had mentioned that a lot of investment is already done. And we continue to still see investment in Norton and now these European e-bicycles businesses. I'm just trying to get some handle on how should we think about investments in these subsidiaries?

K. N. Radhakrishnan: These are investments which will definitely yield very good returns going forward. If you look at SEMG and the e-bikes business, we are pretty confident. Unfortunately, all of you know that Europe is going through some tough times, And in terms of numbers, we are able to see slight pickup now, and we are confident that going forward, the numbers will come up. And the e-bikes business, it's actually because of the economics beyond your control, And the overall losses, if you look at it, is coming down quarter after quarter, and we are expecting significant improvement going forward. This is on the e-bikes.

And Norton, as you know that we are investing in the product and all the development work is going on. And I always explained like the kind of investments we have done in TVS Credit services or PT TVS, many of the investments are definitely going to yield very good results. I think what is most important is -- these are all for the future, okay, medium term. And definitely, we will see a quick recovery in these investments.

Gunjan Prithyani: Sir. And I mean any number you will put that for the remainder of the year, are you expecting or any commitments that are pending for these subsidiaries?

K. N. Radhakrishnan: What is most important is you look at the way, overall, as a company, we are growing ahead of the market. These are the investments. For example, I can again repeat, whether it's TVS Credit or PT TVS or many other investments whatever we have done. A c

ouple of years, there will be

challenges because you have to structure everything, you have to invest in product, product development, And there are some challenges in the industry as well in terms of the kind of geopolitical challenges, whatever we have seen. That is beyond our control.

So relatively, if we can look at the volume to grow and it will happen, And we are confident that these investments will start yielding very good results going forward. But please understand Norton requires a series of products, Those products require investments in design, development, and we have to be a little patient there.

Gunjan Prithyani: Okay. Got it, sir. Just moving back to India on the EV electric, iQube business side. Now there's been a lot of changes in the regulatory landscape, and we took the price hikes, but still I don't think it fully covered up the subsidy reduction. And you also gave that price protection to the customers who had booked. So how are we now -- one, how has that price protection -- how will that be booked? Have you accounted for that already? And how big is that number? And secondly, how should we think about the profitability of the business, now that there's more cost absorption that you have to take because of subsidy reduction.

K. N. Radhakrishnan: See, it is positive. The margin in EV business continues to be positive despite the kind of two challenges what we have seen. One is the FAME change, plus the goodwill refund because we as a company, we had almost 30,000 bookings. So we have to do something because we are a
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highly customer-oriented company. So put together, if I look at it, this is onetime of almost 0.2% we have absorbed in this quarter, 0.2% to 0.3%.

There may be some slowness in the market in penetration, but we are confident that we will move to the 25,000 per month, whatever we have committed earlier. And again, when the volume starts growing up with the kind of improvements whatever we have done in the supply chain and the kind of cost reduction that we are looking at, We are confident of coming back in a big way in terms of our positive contribution.

Gunjan Prithyani: Okay. Got it. Just last one, export revenues, if you can share. And I'll join back the queue.

K. N. Radhakrishnan: Export revenue, you have to give me a minute. It is about INR1,665 crores.

Moderator: Thank you. The next question is from the line of Pramod Kumar from UBS. Please go ahead.

Pramod Kumar: My question is on other expenditure and also staff extensions. Both have outgrown the revenue

growth on a quarter-on-quarter basis. I think you kind of touched upon some absorption of 30 bps of revenues as a onetime cost for EVs for goodwill measure and all that. Can you just explain a bit on that? And also if Desikan-sir can also explain staff costs, is it the new recurring run rate, or is there a higher provisioning? If you can just help us understand these two-line items better.

K. N. Radhakrishnan: Yes, some of the other expenditure is variable in nature, This includes packing, freight, the overall turnover has gone up, There is an increase of almost INR 87 crores out of that. Predominantly, it is coming from packing and freight. And also please understand last year to this year is not a real comparison because last year, we had a lot of challenges in Raider and Apache.

This year, the marketing investments, given the opportunities has also gone up by almost INR15 crores. And we believe in good investments in R&D, product development, they are also another 15 crores. So overall, it is in variable nature of packing, freight, and marketing and towards R&D, And the other -- what was the second question, what you asked?

Pramod Kumar: You touched upon some 30-bps hit because of some EV related -- you absorbed some EV-related bps, right? As in, is it also sitting at the...

K. N. Radhakrishnan: We gave -- there were 30,000

customers who are booked. So when suddenly FAME got reduced, we said we will give something special as a respect to those customers. This changeover, all put together, there was almost 0.2% to 0.3% in the overall material cost or the contribution, that's what I said.

Pramod Kumar: That's in the raw material side, is it?

K. N. Radhakrishnan: No. It is in the contribution side. Revenue side.

Pramod Kumar: So you may probably reduce that revenue number by that amount, right, 0.2% to 0.3% towards the EV, is that right?

K. N. Radhakrishnan: Absolutely right.

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Pramod Kumar: And sir, staff expense, is it the new recurring run rate? Or why is it there such a sharp jump, because it's up like in a big way on a Y-o-Y on the quarter end.

K. N. Radhakrishnan: This is salary cost went up by almost INR40 crores, primarily because of the appraisals, First quarter, we have appraisals 1st of April, And you should know that for the EV and the other areas, we have also recruited new people in the software side, EV side, So put together, this is the increase in the cost. These are all investments for future.

Pramod Kumar: Okay. So this can be the sustainable recurring run rate in a way. There's no promising related one-offs or anything like that, right?

K. N. Radhakrishnan: Yes. But what is most important is we invest in people, We invest in technology. We invested in innovation. We come up with products which are really delighting the customer. All this requires competent people, Pramod.

Pramod Kumar: Yes, fair enough sir, fair. I was just trying to understand that. And on the previous -- on the export side, sir, sorry. Is there any number which you'd like to quote or just help us understand better on the retail on the ground situation in Africa, particularly and also Latin America, how is retail traction? Where are we on inventory? When do you expect near normalization of demand here? And also on the iQube export side, any initial feedback you have, and what are the future scope for iQube exports from India, sir?

K. N. Radhakrishnan: iQube, I'll start first. I think we have started in Nepal. The initial feedback is very positive, but we have to closely monitor, and we are looking at making iQube available in many markets this year. On inventory management, the same principle we use. We will have at the distributor level 30 days to 35 days plus whatever is the transit time, the freight time, that is the kind of -- because we don't want to lose any retail, that is the principle.

But in line with whenever the industry last if you look at nine months or almost 12 months, we have seen because of geopolitical and also the economic slowdown in many of these countries, the industry has come down. So in line with that, we have managed our dispatches, but I'm pretty confident month after month, now you will see, retails are also already growing, and our stocks are in right shape, so we can start seeing that in dispatches in the coming months.

Pramod Kumar: And okay. And sir, finally, on the EV monetization, there were some media articles saying that you guys are putting the plan on hold or scrapping it all together. So any comment you have to offer there as to what is the thinking? And because you've done the monetization of the financing arm, so any thoughts on the EV potential monetization, sir?

K. Gopala Desikan: No. In fact, we are extremely consistent on this. We were only exploring various options, and nothing was decided. It's all only media report. And that's all I can tell at this point of time. Still we only evaluate various options for funding.

Pramod Kumar: Okay. Desikan-sir, then finally, guidance on capex and investments for the year?

K. Gopala Desikan: Capex which we have already -- 1 second.

K. N. Radhakrishnan: Yes, it will be around INR1,000 crores, including EV.
K. Gopala Desikan

: INR900 crores to INR1,000 crores, yes.

Pramod Kumar: And investment, sir, which including what you've done already in the first quarter?

K. Gopala Desikan: One second. Overall, I think we have done around INR 600 crores till now. Overall, for the year, will be around INR850 crores to INR900 crores.

Pramod Kumar: INR850 crores to INR900 crores?

K. Gopala Desikan: Including this INR 600 crores already done.

Moderator: Thank you. We have the next question from the line of Ganesh Singh from Morgan Stanley.
Please go ahead.

Binay: This is Binay. Just continuing from some of the earlier questions, if you look at the EV business, related to how does the profitability of electric vehicles today versus FAME subsidy reduction?

So overall, I'm trying to assess if you pass on the entire subsidy to the consumer, or is there still some absorption left?

K. N. Radhakrishnan: See, EV is going to be the future business, As some of you have heard in the AGM, where our Chairman very clearly highlighted EV is going to be the right technology, and you will see the total cost of ownership is becoming better and better. And going forward, the penetrations will grow, Our first objective is to make sure that our customers get delighted with our products, which iQube has done. So we will continue to invest and make sure that we will have a series of products in the range of 5 kilowatts to 25 kilowatts, and we will be catering to various segments, and it will be not only for domestic but international market.

So what I highlighted is we are making a positive margin, It is an investment for future. And like I highlighted that other investments, whatever we are making, I'm pretty confident that these are contributions, which will go up quarter after quarter, And what is most predominant is customer and volume growth, and present in every category and also make -- you start in international business, both in developing and developed markets in a big way.

Binay: But have you passed on the entire FAME subsidy reduction to the consumer?

K. N. Radhakrishnan: Yes. FAME is cut down. FAME is completely cut down from my memory, 52,000 to 22,000. That is immediately passed on from first of June.

Binay: Okay. So there is no sort of...

K. N. Radhakrishnan: It is not fully passed on in terms of price increase. That's what I highlighted during my speech. I think we have to balance it out given our aspirations on growth in the top line in terms of numbers. So some we are absorbing, but this absorption is going to be an investment. And please also understand thanks to the government, we cannot expect this kind of subsidies to last long. I think government has done a bit whatever is required from their side.

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Now it is for the manufacturers to invest in technologies and really, really look at how to build the business in terms of products and technologies and connectivity and infrastructure, That is the part we are now doing. So there will be some challenges, but we are here to go through the challenges. And when the top line starts growing up, every other line will grow up. So I'm pretty confident because we are starting with a positive margin. Quarter after quarter, it will improve.

Binay: And sir, I heard you correctly, right? you're talking about 25,000 unit ramp-up by August, right?

K. N. Radhakrishnan: Yes.

Binay: And sir, when do the PLI gains kick in, like when do you -- any idea on the PLI quantum of incentives?

K. N. Radhakrishnan: PLI discussions are going on with the government, and I am expecting very good support from the government as well.

Moderator: Sir, the current participant seems to have dropped from the queue.

K. N. Radhakrishnan: Okay. I was a little worried that we got disconnected.

Moderator: We will proceed with the next participant. The next question comes from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh: So just taking

more details on the PLI scheme? You're expecting that benefit to start flowing from the current financial year?

K. N. Radhakrishnan: We'll come back to you. That's what I said, the discussions are going on very well with the government, and I'm expecting a positive result.

Kapil Singh: Okay. And just on the EV, sir, it's quite interesting that the FAME subsidy has come down, but you're still expecting the sales to hit 25,000 per month. So just if you could share some perspective here that how that is happening with a reduction in subsidy also, the sales targets are holding on, just some color there would be quite helpful.

K. N. Radhakrishnan: Most important thing is, if your product is really delighting the customer, customers will buy. That's exactly I always believe in, and that is what is happening. Second, we are also now making it available for more customers, more towns, And like I said, please understand now last year we have more than 1,00,000 customers. It is a positive word of mouth from them, and more and more customers are considering iQube.

And we will be also coming up with new products this year for various segments. So I think it is a combination of everything, and we told you, we have just started in Nepal, So I'm pretty confident that 25,000 will happen next month, and we have a healthy opening booking.

Kapil Singh: Okay. That's great to hear. Secondly, just on the overall pricing and cost outlook, if you could share that how much is the price increase, we have taken in second quarters so far and -- both, in international and domestic? And what is the cost outlook that you have going ahead?

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K. N. Radhakrishnan: You're asking Q1 or Q2?

Kapil Singh: Q2

K. N. Radhakrishnan: Q2, we have taken a moderate price increase of about 0.5% in Domestic. IB, so far nothing, but we are closely monitoring, and we will take a decision based on overall cost situation.

Kapil Singh: Okay, sir. And what is the cost outlook that you have?

K. N. Radhakrishnan: What is that?

Kapil Singh: Raw material cost outlook? Are they...

K. N. Radhakrishnan: Yes, raw material are unlikely to increase this quarter, possibly there could be some benefit.

Kapil Singh: Okay. Understood. And sir, if you could also share the spares revenue, please?

K. N. Radhakrishnan: Spares revenue is about INR717 crores for this quarter.

Kapil Singh: Okay. Sir, lastly, just on the premium segment, more than 200 cc, do you -- just what is the outlook there because you had launched one product, but you have not really seen significant volumes. So just some colour there to what -- do we need more products in that segment? Or how should I think about it?

K. N. Radhakrishnan: More than 200 cc, we are doing well, and we will continue to do well. What is most important is we have to show a little bit of patience, and which TVS will always stand by because if you stand there, I think month after month, you will see improvement in the number and in the volume and the market share. So we are pretty confident that we will do very well beyond 200 cc.

Kapil Singh: So my question was specific to Ronin actually, what is the volume we are doing currently?

K. N. Radhakrishnan: Ronin, we are doing close to 3,000 numbers per month.

Kapil Singh: Okay. And do you have an order book there? Or do you need more variants there to build up market share in that segment, just that is what I was trying to understand.

K. N. Radhakrishnan: These are areas where we'll continue to invest, because we always believe in delighting the customer with the new technologies, new variants, new products. I think that is strength of TVS.

Moderator: Thank you . We have the next question from the line of Raghunandhan N.L. from Nuvama Research. Please go ahead.

Raghunandhan N. L.: Congratulations on a great set of numbers. Sir, firstly, on the commodity cost. Recently, there has been reduction in base metals

, significant drop in precious metal and some drop in the crude derivatives. So given that all these commodities are moving favourably, Q2, Q3, do you think there can be a significant benefit for us? I mean taking the lag of 1 quarter and doing some
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calculations, roughly, it shows the benefit can be in excess of 100 basis points. Any thoughts you can share around that?

K. N. Radhakrishnan: See, like I said, we are seeing slight commodity softening, but I don't have a number or a guidance on exactly how much it will be. I think what you said is absolutely right, there is a lag factor. But commodities, looks like Q2, Q3 may not be worrisome. That is the generic guideline I can give at this point of time.

Raghunandhan N. L.: Got it, sir. On the EV side, I mean, given that FAME incentives have reduced, there is a need to improve the cost of ownership for customers. So would it be fair to expect that upcoming products, you'll try and make it more price competitive, hence triggering that cost of ownership

being favourable for customers?

K. N. Radhakrishnan: Please understand, price is only one element in the overall package to the customer. Customer looks at many factors. They look at the product. They look at the total cost of ownership. They look at the features. They look at the digital. They look at the usage. They look at how it is superior or the basic things, whatever they see in ICE, they want to see that. Plus, plus, plus, they want many things when you look at the EV. So it's a package. And the TVS has been so far successful in looking at the overall package and delivering the best value to the customer. That principle will continue, Raghunandhan.

Raghunandhan N. L.: Got it, sir. And sir, lastly, in terms of on what are your thoughts on how you can use the Norton brand in India? I mean, I think recently, as per the Trade Marks Journal, Norton compact name was registered in India. So any thoughts there?

K. N. Radhakrishnan: See, these are investments, whether it is Norton, SEMG or the e-cycles. I think globe is the market. Developed markets is a great opportunity. Developing markets is a great opportunity. And India TVS is very well known. So it's the timing. It is the strategic investment, which we will leverage, depending upon our next two years, three-year plan.

Moderator: Thank you. The next question is from the line of Jinesh Gandhi from Motilal Oswal Financial Services. Please go ahead.

Jinesh Gandhi: Firstly, can you talk about your USD-INR realization in the quarter? Would it be INR82 or higher than that?

K. N. Radhakrishnan: You're asking the...

Jinesh Gandhi: Dollar utilization.

K. N. Radhakrishnan: Rupee is about INR82-plus.

Jinesh Gandhi: Okay. Secondly, you talked about EV products being positive on margin. So this -- you're referring to EBITDA margins or contribution margin?

K. N. Radhakrishnan: I'm only talking about contribution because at this point of time, we should look at only customer delight and volume. And you have to be positive in margin, because fixed costs are not going to disproportionately go up. So as the volume goes up, the scale benefits are definitely going to

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come, plus the material costs can come down. But please understand cell, which is the majority, there will be cell chemistry improvement, there will be volume benefits. So I think everything will fall in line once you have the customer delight and the top line coming in.

Jinesh Gandhi: Sure. That is a fair point. And you also talked about your partnership with last-mile delivery players, including Zomato's and Amazons. So this will be not for iQube, right? This will be for other products which should be launching in due course?

K. N. Radhakrishnan: It will be for a combination of product. We will leverage the products what we have now and what will be the future product launch

hes. It is about the segment. It all depends upon the segment.

Jinesh Gandhi: Right. So at least the current partnerships will be for iQube and then depending on which products we launched, they could be furthermore partnerships. Got it. And last question to Mr.

Desikan. Sir, we have seen a sharp increase in interest cost on a stand-alone basis. Is there any one-off there or that is a normalized run rate for our interest cost?

K. Gopala Desikan: There are two reasons. One is the effective rate of interest have also gone up by 0.3%. That has also contributed to the increase in cost. And additionally, we have -- the borrowings have gone up by around INR 250 crores. That is the one contributory. The other contributory is the effective interest costs have gone up by 30 basis points.

Moderator: Thank you. We have the next question from the line of Aryn Pirani from JPMorgan. Please go ahead.

Aryn Pirani: Actually, my first question is on the deal which was announced in TVS Credit. So congratulations on the value creation opportunity. So as per the release, it mentioned that PI is going to invest some money into TVS Credit, and you mentioned that your stake will come down to around 81%. But then there was also a mention that they will be acquiring more stake from the existing shareholders of TVS Credit. So are we to assume that you will not be participating in that?

K. Gopala Desikan: So as far as the capital infusion into TVS Credit Services is around INR480 crores. And overall, they will be investing around INR750 crores to INR800 crores. And these secondary sale is not from TVS Motor Company, but certain other shareholders are participating. TVS Motor Company, stake which is around 86%, coming down to 81% is only because of the infusion of INR480 crores they are making into the company, and no secondary sale from TVS Motor Company.

Aryn Pirani: Understood. And once this money infusion comes into TVS Credit. I mean, can you give us a sense as to -- because you've been investing money into TVS Credit every year. So -- and you've also invested some money in 1Q. But after this infusion comes in, I mean, can we say that maybe

for this year and maybe potentially next year, you may not have to invest money at least in TVS Credit? Or how should we think about it?

K. Gopala Desikan: That's very difficult to answer. But one thing I can tell you, this INR480 crores will definitely going to improve the capital adequacy of the company. But this year, we have already invested our planned investments.

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K. N. Radhakrishnan: And what is most important is the book size has been growing healthy. And the bottom line is also very, very healthy. So we need to look at how the returns are coming and invest in the right area. So I think that will be the strategy of the company, right, Desikan?

K. Gopala Desikan: Yes. And again, straight to answer your question, this year, planned investment is already done.

Amyr Pirani: Understood. That's helpful. And just lastly, on Norton. Any update on when would you be launching the new products in the UK? Because I think you already have an order book, and I think you were spending some time and getting out the newer products. So any update on that? Any timelines would be very helpful.

K. N. Radhakrishnan: Closer to the launch time, I'll let you know in detail.

Amyr Pirani: Okay. I'll just try...

K. N. Radhakrishnan: Rest assured; we will make Norton very successful in the super premium category.

Moderator: Thank you. The next question is from the line of Nishit Jalan from Axis Capital. Please go ahead.

Nishit Jalan: Congratulations on good set of numbers. Sir, I have two questions. One, as of last year, you had about around INR450 crores of EV subsidy receivable from government. So just wanted to check, has that money started to come through or -- and what is the situation now? And number two, can you give us some

details on the equity or the book value of the financing subsidiary of TVS Credit Services?

K. N. Radhakrishnan: See the FAME subsidy has started coming to a company. I think there are -- the one good proportional will come and we are expecting government is moving very fast now, and we are expecting this to be completed soon.

K. Gopala Desikan: Yes. As far as Credit Service is concerned, the book size is close to INR22,000 crores. And company is doing extremely well, reported a profit of INR157 crores this quarter. And the -- all other norms with regard to capital adequacy or debt equity or gross NPA are well under control. The collections have been extremely good. We have collected close to INR5,000 crores as against last year's INR3,800 crores. The net worth is around INR3,000 crores now.

Nishit Jalan: Okay. And sir, of the loan book of INR22,000 crores, how much would be to finance by the TVS Vehicle? And how much would be non-TVS business?

K. Gopala Desikan: No. TVS Vehicle business is around 20% to 25%, the rest are other lines of activities.

K. N. Radhakrishnan: Other segments where we are investing is -- TVS is investing is growing substantially.

Moderator: Thank you. The next question is from the line of Pramod Amthe from InCred Capital. Please go ahead.

Pramod Amthe: Post this FAME subsidy reduction, which is now almost like two months, how -- what is the customer talking about in terms of moving down the configuration or whatever response you are

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getting, so that you can plan your products as to the customer response? Can you give some color on that?

K. N. Radhakrishnan: See, there are two important things. I'm only talking about TVS, 100,000 vehicles on the road, especially in the urban area. Customers are delighted -- definitely the word of mouth and the positivity, they're coming for more and more EV. This is one. Number two, the FAME reduction. I think last month, we saw some decline.

This month, there is a small pickup. And I'm talking about the industry, I'm talking about the industry. And I'm of the view that possibly by second half last quarter, I think it should come back to the normal situation. And when I look at the medium to long term, next to three years, four years, I think EV will be the area where the penetration will go up. Given many other parameters, price is only one element.

All the support is only one element. People look at a package, and people look at a relative package vis-a-vis other product, okay? Now given this is all about the industry. Now coming back to TVS, I said about iQube. I think we had some challenges because of the AIS transition and in this June, the FAME withdrawal.

Now slowly, the booking has again picked up, and our demand is, again, going back to the olden days. And we are also expanding the touch points in the market. So I am pretty confident that

the markets will come back for TVS because product is key. Customer delight is key, Price is only one element that we all need to understand that.

Pramod Amthe: And the second related question is with the now the subsidy proportionally is lower, and norms to get the subsidy were really tough, do you see a scenario where now the competitors are going to buy out internationally and so that the cost of procurement can be lower instead of the requirement to make it local and avails subsidy?

K. N. Radhakrishnan: I do not know about competition, but I can talk about TVS again. I think we are looking at different market segments, because it's not that every customer is looking at an economy product, There are different customer segments. What are we seeing in ICE, you will see in the EV also going forward. You need products like iQube. I relate to something like a Jupiter. Jupiter is not an entry-level product. It is a commuter product, which is liked by urban people, Then you will see products on the premium side. You will see

products on the lower side. I think

you need to have products for different segments of the customers. And if you have a product range, that is what is going to help you grow the business.

Pramod Amthe: Now just looking from the competitive landscape, do you envisage that and how to tackle it?

K. N. Radhakrishnan: And competition is only one reference. I always look at the customer. You have to be aware of competition but more look at customers. That has been TVS philosophy always.

Moderator: Thank you. The next question is from the line of Basudeb Banerjee from ICICI Securities. Please go ahead.

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Basudeb Banerjee: Sir, just wanted to and if I look last 8 quarters around 10% EBITDA margin with rising iQube volume. Now first leg of subsidy cut where hikes were not commensurate to the subsidy cut, and also the looming risk of subsidy going out fully in next couple of years. So how should one look at overall portfolio profitability with the EV portfolio as a good package -- as a good product, but as a overall EBITDA margin how to look at that from two years to three-year perspective, sir?

K. N. Radhakrishnan: We look at our 10.6% with the volume of EV, it's practically a significant reduction of FAME in June, we have delivered this 10.6%. I already told you. So from 10%, it has moved to 10.6%. I'm pretty confident with the overall -- both, EV and ICE products growing. We are pretty confident that the EBITDA will continue to grow, Now coming back to EV, again, I highlighted that EV margins are positive.

When the volumes start going up and you are present in various segments, that is the time you will get pricing power, you will have a higher volume means your scale benefits will open. And see, when volumes go up, including cell with the new chemistry on the other side, other parts like motors, controllers, you can look at -- instead of just single source, you can look at multiple sources.

So there are many other principles what we look at in overall volume growth. All this will help in bringing down the material cost. And all other fixed costs, please understand the volume is the only way by which you can get the scale benefit in all the other fixed costs. So I'm pretty confident that going forward, quarter after quarter, you will see better and better performance on EV contribution. And we have to be a little patient, because first is to deliver the products in the various segments, and that will help us to build the bottom line.

Basudeb Banerjee: Sure. Second thing, sir, like if I look at brand-wise volume, Apache per month is back to 40,000 plus, which it used to do at the best of days in between it went out to sub-30,000. So now how do you look at brand Apache moving up beyond 40,000, which getting resolved and premium by acceptance by the market being pretty robust?

K. N. Radhakrishnan: Apache is a great brand. Unfortunately, last year, if you look at it, practically production got affected because of semiconductor, and we took many actions. So now we have multiple suppliers on the semiconductor side, and that is helping us. And it is liked by the rising enthusiast growth in India and globally. Apache is a brand which everyone loves, and it is going to grow in market share and stature going forward.

Basudeb Banerjee: And last thing, sir, if you can highlight on the health of export survival where destocking of inventory across exports market, the commentary was there for last couple of quarters. So now how you look at the monthly volume spending out in exports in the next three months, four months, six months going ahead?

K. N. Radhakrishnan: I think we have corrected all the inventory, the industry has been declined because of many geopolitical, economic, availability of currency in some countries, demonetizing. So there were multiple factors which affected many of these countries. Now we have corrected our stocks in line

with our principal. Going forward, you will see the retails have been higher, and you will
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see quarter after quarter, our dispatch is going up with IB. And please understand, even during this time, we have done better than the industry growth in IB.

Basudeb Banerjee: So will it be right to assume monthly export volumes are already bottoming out and it should only improve down the line?

K. N. Radhakrishnan: Absolutely.

Moderator: Thank you . The next question is from the line of Kumar Rakesh from BNP Paribas. Please go ahead.

Kumar Rakesh: My question was more to understand the strategy we'll be having on the EV side now. So as you pointed out that part of the FAME incentive reduction is something which we have passed and part of it, we have absorbed. So in a scenario in the near term where the demand could be challenged, do we want to push a push strategy at this time? Or would we want to adjust our volume based on where the demand stabilizes and build, at the same time, start looking at more profitability of the business instead of just focusing on pushing the sales?

Or just to put it in a different way, are we looking at investing in the business to build a holistic ecosystem around EV business such as on the battery side, and we have already partnered on the charging side as well. So how are we going to transition in the intermediate part where the demand would be far more volatile?

K. N. Radhakrishnan: I think the answer is in your question itself. I think we are partnering with -- EV is going to be the technology for the future. And please try, not using the word push, we never push any products into the market. We create the pull system. That's why I said, even despite this FAME reduction, we have come back to a healthy booking pipeline in the market, okay? What is most important to us is the pull system.

The pull system means customers delight, then only they will come and buy the product. For that, one product is not good enough. iQube alone is not good enough. I think we have to create a series of products because customer segments are different. The analogy is ICE. You have to have Jupiter, you have to have Jupiter-125, you have to have NTORQ. In the motorcycle, I can give you Raider, you have to have Apache, even in Apache you have to have various variants. Analogy is same, because consumers are consumers. And what is most important is we have already set the tone for our EV transformation. And we have expanded the coverage of iQube. We are now putting the new product. We are looking at entering into both, developing and developed markets. So EV is going to be the strategy of the company, And we are also partnering with last-mile delivery partnerships, and we are investing in charging access for customers. So creating the eco system and creating the kind of new technology. And also, we have invested in people. Last time also I highlighted, we have got digital, analytics and software specialists, significant proportion we have added in that area. So these are all investments for future, which is definitely going to stay.

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And what is most important is all this will translate into new products. All this will translate in an increase in volume. And we will get huge scale benefits, and we will have the benefits of premiumization here also, cost optimization and both, in supply chain and material. And the most important is cell cost, which is the main cost rate of EV will also come down with increase in volume and new cell chemistry. So overall, I think we have started the right way, positive margin, but delighting the customer with many models, if we can continue -- we will continue the same strategy, and we will disproportionately grow our top line.

Kumar Rakesh: I just needed a clarification. On this call, multiple times you referred about battery chemistry and

technology. Could you just give us some highlight on what you're working on those areas? Are you working on new chemistry on the LFP side? And how are you going to compete with the work which the competition is doing, especially on the vertical integration on the technology side?

K. N. Radhakrishnan: We invest with the right partners, and the strength of our company is many of the things whatever you see in iQube is designed and developed by us. We partner with the right technology partners. And in the cell area, we moved from 18,650 to 21,700. And this journey will continue, Closer to the launch of the new product, I'll tell you what kind of technology, what kind of chemistry we are using in the product.

Kumar Rakesh: Great. I'll wait for that.

K. N. Radhakrishnan: Can we take the last question, please?

Moderator: The last question will be from the line of Ashish Jain from Macquarie. Please go ahead.

Ashish Jain: Hi, sir. Good evening. My first question is on input cost for EV, what kind of trend we are seeing on battery cost going down given some of the input costs for cells have gone down quite materially?

K. N. Radhakrishnan: Overall cost is coming down. But please understand it all related to volume, while you see overall cost coming down, but we have to look at how the volume commitments are there. So most important driver is the top line. If the top line is there, then you will have different, different contracts.

Ashish Jain: Right. But sir, as of now, we haven't seen any correction in battery cell sourcing cost, especially given the input cost, like I said, has come down quite materially in the last six months, nine months.

K. N. Radhakrishnan: It is a journey; it is a journey. We have just started the journey, When I look at 25,000 is the first milestone, then we have to take it to the next level. So it's the beginning of a great journey on EV.

Ashish Jain: Right. Okay. Sir, secondly, just one clarification. I did not get -- so earlier in the call, you spoke about 20 to 30 basis points impact because of onetime impact due to EV. Could you just elaborate on that? Is that booked in revenues or in some other cost items?

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K. N. Radhakrishnan: It's in revenue. When the overall FAME got reduced, we had a booking. At that time, for the customers who are booked, we have to do something as a company, because we believe in customers.

Ashish Jain: Right. So all that impact is already there in 1Q. There's nothing more expected to come into 2Q and all.

K. N. Radhakrishnan: Yes.

Moderator: Thank you.

K. N. Radhakrishnan: Thank you very much. Thank you very much to all the participants. And as I highlighted during Q1, including EV business, we have delivered EBITDA of 10.6. The kind of product portfolio what we have, we will grow better than the industry in all segments, including international. And we will leverage the scale benefit, premiumization benefits, sustained effort on material costs. And we will continue to grow on our EBITDA as well. Thank you. Thank you, everyone.

Moderator: Thank you. On behalf of Batlivala & Karani Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2023

Website: www.tvsmotor.com Email: contactus@tvsmotor.com CIN: L35921TN1992PLC022845

3rd November 2023

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Scrip code: TVSMOTOR

Dear Sir(s)/Madam,

Reg : Compliance under Regulation 30 of SEBI (Listing Obligations and Disclosure

Requirements) Regulations, 2015

In continuation to our intimation dated 13th October 2023 and 30th October 2023 with respect to the schedule of a conference call with the analysts / fund houses post results for the quarter ended 30th September 2023 and intimation on the audio recording, respectively, we wish to inform that the transcript of the said audio recording has been hosted on the website of the Company and is available at:

<https://www.tvsmotor.com/en/Investors/Communication>

Kindly acknowledge receipt.

Thanking You,

Yours faithfully

For TVS MOTOR COMPANY LIMITED

K S Srinivasan

Company Secretary

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"TVS Motor Company Limited Q2 FY24 Earnings
Conference Call"

October 30, 2023

MANAGEMENT : MR. K N RADHAKRISHNAN – DIRECTOR & CHIEF
EXECUTIVE OFFICER , TVS MOTOR COMPANY
LIMITED

MODERATOR : MR. ANNAMALAI JAYARAJ , BATLIVALA & KARANI
SECURITIES (INDIA) PRIVATE LIMITED

TVS Motor Company Limited

October 30, 2023

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Moderator: Ladies and gentlemen , good day and welcome to the TVS Motors Limited Q2 FY24 Earnings
Conference call hosted by Batli vala & Karani Securities (India) Private Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then " on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj from Batli vala & Karani Securities India Private Limited. Thank you and over to you, sir.

Annamalai Jayaraj: Welcome all the participants to TVS Motor s Company 2Q F Y24 Post -Results Conference Call. From TVS Motors Company management, we have with us today , Mr. K N Radha krishnan – Director and Chief Executive Officer .

I will now hand over the call to Mr. K .N. Radhakrishnan for the opening remarks to be followed by the question -answer session . Over to you sir.

K N Radhakrishnan: Good evening everyone , and festive season greetings to all of you and your family members. I'm extremely happy that the Company continued on growth trajectory both in revenue and profits. And we are extremely happy that we have posted the highest ever revenue, EBITDA and profit.

Revenue for this quarter is Rs.8,145 crores grew by 13% , EBITDA is at Rs.900 crores, grew by 22% and PBT is at Rs.724 crores grew by 32%. During the first half of the year, Company 's profit after tax cross ed 10 billion , that is Rs.1,004 crores , registering a growth of 38% as against Rs.728 crores during the first half of last year.

And we are extremely happy that two significant global product launches happened in the last quarter ; TVS X and TVS Apache RTR 310. I'm very sure that these two launches will delight the customers going forward both in India as well as many markets global ly.

Now, coming specifically to the Q uarter 2:

During this quarter, Company 's operating revenue grew by 13 % , Rs.8,145 crores against Rs.7,219 crores during Q2 of last year . In the domestic ICE market, Company 's sales grew by 4%, 7.35 lakhs as against 7.1 lakh during last year same quarter Q2 . As you know we have grown ahead of the industry .

International Market :

In the international market, t he Company sold 2.39 lakh units , up against 2.52 lakh units in this quarter. Again, we have done better than the industry. We are able to see improvement in terms TVS Motor Company Limited

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of the customer retail in the international market and that will help us also to improve our sales to the market in the international side.

During this quarter, the Company sold 58,000 units of electric vehicles as against 16,000 units during Q2 of last year. Thanks to all our customers of TV S iQube. And the total two wheelers grew by 6 % , 10.31 lakhs as against 9.77 lakhs during the Q2 of last year .

Three wheelers, we did 43,000 units as against 50,000 units last year in Q2. Now , overall sales have been much better for this quarter .

Profit during this quarter :

The Company's EBITDA grew by 22% ; it is at 900 crores as against EBITDA of 737 crores. We registered an operating EBITDA of 11% as against 10.2% during last year Q2. This significant milestone was possible with robust growth in revenue and sustained cost reduction initiatives taken by the Company . The P BT for this quarter grew by 32 % , 724 crores as against 549 crores during Q2 last year . Profit for the current quarter includes a one -time other income of 37.5 crores towards higher valuation of invest ments . Profit after t ax during this quarter is Rs.537 crores against last year 's Rs.407 crores , growth of 32%.

Now , coming to First Half Performance :

The operating revenue ha

s grown by 16%. We are at 15 ,363 crores as against last year's 13,228 crores. P BT for the first half of the year grew by 36 % , 1,334 crores as against 981 crores . PBT for the first half of the current year includes other income of 93 crores towards profit on sale of investments and higher valuation of investment. Profit after tax for the quarter grew by 38% and first time, we have crossed 1 ,004 crores as against last year 728 crores during the first half of the last year.

Now coming to New Products:

I think Raider , the Super Squad Edition inspired by the iconic Marvel Super Heroes, Black Panther and Iron Man, I think all of you know that TVS Raider is doing extremely well in the market. TV S Raider is a distinct sport y motorcycle with powerful traits of Black Panther and Iron Man , will add to its unique positioning and appeal in the market. TV S Jupiter 125 now enabled with Smart Xconnect technology, which comes from T VS. It comes with advanced connected features, which is set to create a new benchmark in this segment with first -in-class features for its connected customers. The scooter comes in two new colors elegant red and matte copper bronze with the Smart Xconnect variant.

We also launched the T VS Apache RTR 310 globally and it has got an impressive blend of

power, agility and style. It comes with many segments as features like cruise control , five ride modes including supermoto mode , climate control seats, five-inch TFT control with first -of-its kind c onnectivity features and ra ise tune dynamic stability control .

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And we are extremely happy that since the inception of the strategic partnership with BMW Motorrad, both companies have achieved remarkable milestones, setting a new industry standard and delivering exceptional motorcycle s to the customers worldwide . This quarter , in this partnership, we have more than 1,50,000 satisfied , delighted global customers.

Coming to EV :

TVS iQube continues to receive very positive customer feedback across all markets and continues to improve sales and market position consistently over the last five quarters. We are extremely happy that we are surp assed 2 lakh unit sales mark, and we would like to thank this 2 lakh customers of TV S iQube and it is continuously growing in market share as well. During the quarter we enhanced our production to 25,000 per month and then we will take it to the next level. We have very good booking . Healthy booking continues. We are expanding the availability of TVS iQube in India . At the end of September , we have 337 touch points, and we are now continuously expanding the same. We are also planning to launch a series of products in the range of 5 to 25 kilowatts in the next one year.

All of you have witnessed the TVS X during this quarter and we will start delivering to the customers in Q3. TVS X is just to definitely redefine the way we look at EV globally. This is designed, developed and made in India. TVS X will lead the way to become a global benchmark for a machine that is born electric ...it is THRILLECTRIC .

This quarter, we announced the start of production of BMW C E-02 jointly designed and developed by TVS along with BMW Motorrad and that is also going to be a huge success globally .

With the product line up plan ned from TVS and continuous improvement in infrastructure , we are confident that we will continue to be a strong player in the EV segment.

Now , coming to TVS Credit :

All of you have seen , it's an outstanding performance , the book size has already crossed 23,500 crore s. Its portfolio is well diversified, covering tractors, used vehicles, consumer durables, MSME besides two-wheeler . PBT for the quarter grew by 39 % , 180 crores against last year 's 129 crores in the same quarter of Q2.

When we look at. Q3 '23-24 ongoing festival season has started well for us, and it is on

a positive

note. So far during the D ussehra season we have grown ahead of the industry. The dis persion of monsoon is definitely a little bit affecting the sentiment, especially in the rural, but we are hoping that things should improve in this month and next month.

In the i nternational market, we are witnessing improvement in the retail, and we expect slowly and steadily the momentum will continue and grow, and that will definitely help TVS in a big way. Customers of TV S Raider , TVS Jupiter 125 are extremely delighted, and the volumes of TVS Motor Company Limited

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these products will further enhance our market share and growth both in domestic market and the international market.

As all of you know, we have an excellent product portfolio starting from Apache , Jupiter 110, Jupiter 1 25, Raider, Ntorq , Star Range , HLX in the international market, Rad eon, TVS King in three -wheeler and TVS Ronin. We expect TVS products to definitely grow ahead of the industry, both in domestic and international markets and I 'm very confident that TV S X and the recently launched Apache RTR will do very well for the Company .

Overall , we have grown very well in the top line and continu ous focus on the premiuni zation , leveraging the scale benefit , focused work on the sustained material cost reduction. Our EBITDA has reached 11% and we want to continue to have this momentum of growing the top line ahead of the industry and continuously improving our EBITDA. Thank you.

Moderator: Ladies and gentlemen, we will now begin with the question -and-answer session. We take the first question from the line of Mr. Kapil Singh from Nomura. Please go ahead , sir.

Kapil Singh: I'll just start with the performance for festive season. Y ou mentioned that in the Dussehra season you have grown ahead of the industry. Can you just tell us what would be the industry growth in your estimate and how much has TVS grow n during the Dussehra season?

K N Radhakrishnan: Today, all of you know the VAHAN numbers there is a lag. vis-à-vis VAHAN we have grown, that is exactly what I said, and we want to continue the momentum and we are definitely looking at the same growth rate to continue for the Diwali season . Possibly , you will see little better

growth coming from the rural areas, urban is doing very well. So, we want to really use this opportunity because Dussehra is around the corner in another 10 days and this year we are expecting Diwali also to do well both for the industry and we want to do better than the industry.

Kapil Singh: Just on the cost side, we have seen a good improvement in raw material to sales, but at the same time we have seen strong growth in other expenses as well. So, if you could just call out what's going on there, and what is the cost outlook as we look forward or any pricing changes?

K N Radhakrishnan: See, we have done extremely well. The combination of some moderate price increases plus when we look at the material cost reduction and the product mix, that has helped us to be better in terms of the margin vis-à-vis last year same quarter. So, I think overall it is moving in the right direction. With respect to the cost, as you know, we had two product launches in the last quarter, which is very, very important because we always invest behind building brands. And areas like salaries ... we invest really in EV and also, we are really putting a lot of effort in digital and analytics area, strengthening the Company's software area. So, these are all investments for future because this is something TVS has always done, and we will continue to do that. So, this is something for future and we want to invest behind the brand, we want to invest behind design and development, we want to invest in people especially in these areas of new technology, digital, AI. So, these are the areas.

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Kapil Singh: Sure sir and if you could just talk about the cost outlook as we move ahead and any pricing changes that we have done during the current quarter, which is October to December period?

K N Radhakrishnan: Yes, no price increases so far, but pricing opportunities is something we constantly look at it and I can tell you, thanks to the customers, we are able to appropriately review and take the prices.

On cost, I'm of the opinion that this year, next two quarters, I don't think the costs are going to go up. Maybe you make it on some opportunity or slightly soften kind of situation in terms of the material cost.

Moderator: The next question is from the line of Mr. Pramod Kumar from UBS. Please go ahead, sir.

Pramod Kumar: Continuing with Kapil's question on other expenditure and your explanation of the launches, we wouldn't be having this kind of large-scale launch on a regular basis, right, because here you had two launches, both in the international market, which you've never done before. I'm just trying to understand, is there something which we can expect the other expenses really normalize a bit especially on launch related events and all that going forward?

K N Radhakrishnan: Marketing, we treat it as an investment, Pramod, because it is not only product, you have to build TVS brand globally. Like when we presented TVS X and RTR, we said that we want to be not only in the developing economies, we want to be in the developed economies also. So, it requires investment, and we will definitely invest, and we will continue to invest the way the products because the strength of TVS is customer satisfaction, customer delight in the existing products and really focusing on technology and investing in products which are really, really superior in features, technology and delivering that. That requires a lot of investment to communicate across to the customer. So, we will continue to invest. But we will be prudent. If you look at this quarter, we are not participating in the discounts, we are participating in investment to build the brand. So, that will continue.

Pramod Kumar: Fair enough sir. The second question is on the international side, sir related to even EVs. If you can just help us understand what is the path for you in terms of taking electric vehicles to the international market, where are we in that journey and what are the kind of milestones, you're looking especially with X coming onboard now, and even the supplies to BMW starting?

Generally, if you can just comment on the directional trends on the profitability in the EV business, because scale is something we've been working towards. So, generally are the EV economics of the business getting better with every passing month as you can ramp up volumes, if you can just make some qualitative color on the EV cost structure as well, sir?

K N Radhakrishnan: This quarter it's the highest number on EV; I think we have done almost 60,000 EV with this EBITDA of 11% delivered. That is one important point all of you need to know. Second is the international market we have started giving it to some of the markets iQube. Now, in the next two to three quarters iQube should be available in many markets. We want to take it to many markets and at some point, of time iQube will also get into Europe. So, there is a very clear strategy, plan and very clear network plan we have put, and we will take our EV in every market.

And of course, the products like TVS X in domestic and international market both developing

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and developed markets will be the key. And we are also looking at a pipeline of products in the EV side coming in the next four quarters. So, we will have a range where it will be delighting

the customers in Indian market as well, as in the international market.

Pramod Kumar

: Talking about pipeline, by when do you expect to take the electric three wheeler in the domestic market in new cities and also by when can we expect the cargo version because we never in cargo before with ICE and how is the business opportunity looking here because we don't have much of exposure to the domestic three wheeler market historically, so how should one look at the EV launch, and is it a meaningful volume you're aspiring to get in the domestic market?

K N Radhakrishnan: Product is getting ready. I think we are pretty confident that our EV three-wheeler will do well, and closer to launch, I can give you more color on which markets we are planning to launch and how we are going to go about, but we are pretty confident on the three-wheeler EV and when it will be available closer to launch, I'll give you more details on that. We are looking at focusing on three-wheeler definitely because this is one area we need to improve. And three-wheeler in international market, we are doing extremely well and there also we will use this EV three-wheeler going forward.

Pramod Kumar: Final one on the investments in subsidiaries, Singapore. Where is this money largely going in, the 237 crores?

K N Radhakrishnan: The investments are future. Some investments have gone for TVS Credit Services, almost 100 crores, then SEMG and Norton. And some of the other new investments we have also done in TVS Digital and other investments. So, these are all strategic investments for future. And if you look at during last year Q4, we made investment of almost Rs.300 crores in Singapore and the same was shown at that time as share application money pending allotment. So, please understand, these are investments for future, and we are pretty confident that this will start yielding results going forward.

Moderator: The next question is from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani: Just an extension of this investment in subsidiaries. I see two items there. One is invested 236 crores, and one is disinvestment of about Rs.100 crores. Now, disinvestment I'm assuming is for the private equity sale we did during the quarter. Investment break up can you reconfirm again that how much of it is going to TVS Credit and other subsidiaries like, a little bit more color on these two-line items please?

K N Radhakrishnan: I gave you TVS Credit Services was almost 100 crores during this period and remaining in Norton and SEMG. So, these are as per plan and other things are for TVS Digital which are futuristic in nature.

Gunjan Prithyani: Just trying to get in terms of incremental investments like with Norton or now a lot of spends have been done. So, if I think about outside of TVS Credit the other subsidiaries, how do you see the magnitude of these investments, do you see these incrementally coming down from TVS Motor Company Limited

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where they are right now? Also, if you can share some color on the losses for this quarter, because I see there is a bigger loss from the subsidiaries in this quarter versus what we've seen in the past few quarters, if I look at the just the pure consol minus standalone, 120 crores loss, and within this TVS Credit has been profitable, right, do you see this sort of line item continuing?

K N Radhakrishnan: As you know, in Norton, we have a very clear product plan. And any such super premium brand requires not one product, you may have to have a series of products where you need to invest in design, development and product-readiness. That is what is going on and that will continue for the next eight quarters. With respect to this particular quarter, please understand that if you look at the eBike business, I think unfortunately the entire European market is going through less growth, high inflation and that is also affecting the demand

. So, whatever the top line we were

looking at, there are some stress, but we are pretty confident because these are the things which is beyond your control. When the industry goes through some tough times, you have to be calm and patient and then control all the parameters of the past. But I am very confident that these are the investments which are in the right direction, eBike companies and these are the products which are definitely going to help us in terms of going forward quarter-after-quarter, you will see things changing in the eBike business.

Gunjan Prithyani: Bulk of that is coming from the eBike business because of the macro issues out there?

K N Radhakrishnan: Absolutely. I think overall there is a stress in the European market. Whatever we have seen in the international market for TVS, first time we are seeing interest rates are 5% and 6% in this market which never we have seen. So, I think this we have to attribute, and we have to be a little bit patient and calm, and we have done the investment in the right strategic areas, and we are pretty confident that we will get once the industry is back and which will happen going forward.

Gunjan Prithyani: Just hopping on this, but just the pace of investments in Norton, do you see that substantial has done and incrementally it comes off, like any color on the pace of investments in Norton in over the next 12, 18 months?

K N Radhakrishnan: I can give you only confidence by saying that people have asked same questions on PT TVS, when we are consistently now delivering profit -after-profit, thanks for staying back there and thanks for putting the effort on the new products there. You give me a few more quarters, Norton will start delivering very good results for the Company.

Gunjan Prithyani: Second question I have on the export outlook. Can you give us a little bit more color as to what you're seeing on the ground, have you seen retail market recovery, little bit color on various markets, what's happening in Nigeria? How big is this EV opportunity, is it more about Southeast Asian markets or is it beyond Southeast Asian markets?

K N Radhakrishnan: International markets, according to me, including Africa we saw many times in terms of currency revaluation and also currency availability. Slowly, it is settling down, settling down. So, I am of the view that now the retails are picking up. We should understand that the entire African market is all about taxi. Commuting will happen. There are investments behind road infrastructure and TVS Motor Company Limited
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many things are happening. At this point of time, please understand there is a stress in the market, but according to me the worst is over, but for the recovery you have to be patient. But what is good about TVS is, we don't keep more stocks in the market, we align with the retails in the market and I'm pretty confident that the retails are growing for us, and we will also grow in line with that, our numbers will also grow. Little bit more patience is required because many of these markets have gone through high inflation. All the challenges of some of the side effects of the war, whatever we have seen, I'm pretty confident that slowly and steadily you will see month - after-month, quarter -after-quarter, this developing market is coming back. On EV, in my opinion, ASEAN markets and African markets will move towards EV. There are early signs. But what is most important is we need to invest behind products and invest behind customers because market-by-market, we have to look at what is the product which is liked by the customer. Like we did iQube, like we are now doing TVS X, like we are now coming up with the four quarter, six quarter product plan. I think this is very, very important, and that is strength of TVS. We invest behind R&D, we invest behind marketing, we invest behind

product and most

importantly, we work for the customer, because customer makes us succeed, nothing else. You focus on the customer, I'm pretty confident that, be patient one or two quarters we will succeed. Moderator: The next question is from the line of Mr. Chandramouli Muthiah from Goldman Sachs. Please go ahead, sir.

C Muthiah: My first question is on the product mix. I think this quarter, the Raider and Jupiter have done extremely well, maybe slightly at the cost of the Apache. So, just trying to understand, are we seeing customers incrementally switch to the Raider from the Apache platform? I just want to understand your thoughts on how the mix is being managed?

K N Radhakrishnan: First of all, it is not at the cost of Apache, let me clarify because Apache has a completely different set of customers, different set of brand. Raider, we focus on different set of customers and definitely there is no interaction between Jupiter to Apache. So TVS is focusing on the customer separately, and we focus on very, very clear segmentation of the customers. Apache is for certain set of customers, Raider is for certain set of customers, and Jupiter is for certain set of customers. What is most important is, we have to focus and deliver the number, which is what is happening, and we are extremely happy, the way in which Apache is also moving in the market, Raider is moving, Apache is moving, Jupiter is moving. We are definitely looking at improving the product mix going forward. Quarter -after-quarter you will see. I always tell you that we don't keep more than 25 to 30 days of stock. Because we want the fresh vehicle to go to the customer. So, we moderate based on our customer retail, our dispatch plan and we want to adhere to that very, very strictly. And as you know, we are completely cash -and-carry even in the domestic market. We don't give any credit. So, this requires some ups and downs, because we align with our principle of giving fresh vehicle to the customer. That doesn't mean that some dispatch goes up, it affects something else. That doesn't happen in TVS. I hope I have clarified.

C Muthiah: My second question is on the product pipeline that you spoke about earlier in the call on electric two wheelers. So just trying to understand, I mean, we've had a successful launch of the iQube, we've launched more premium TVS X. So, in terms of covering maybe some of the lower price TVS Motor Company Limited
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point electric two-wheeler categories, maybe slightly lower KWH or battery formats, over the next four quarters, could you just outline some of your plans, is it sort of one product per quarter sort of run rate that you are referring to before or any color around that pipeline would be extremely helpful?

K N Radhakrishnan: You have seen our ICE product range starting from Jupiter, you have seen Ntorq, you have seen

now Jupiter 125. So, our principle will be to look at the customer segments and focusing on that. To me, price and kilowatts are just inputs which customer doesn't see, customer see product, they see the total cost of operation, they look at, the overall package ... price is only one element and kilowatt is only another element. You have to look at holistic ally. Like I always say, iQube is Jupiter for that customer. He gets all the benefits of 110 or 125 cc Jupiter with completely connected, all the benefits of EV. So, customers look at from that point of view and then exactly the way we look at also from the Company side. I promise you closer to launch I'll give you next four quarter plan for which product, which quarter we will be coming up with.

C Muthiah: Just lastly, I had a housekeeping clarification. If you could just share the export and the spares revenues, please?

K N Radhakrishnan: I think this quarter our export revenue is about 2,008 crores and the spare parts is about 765

crores. Whatever number I am giving is for Q2.

Moderator: The next question is from the line of Amin Pirani from JP Morgan. Please go ahead, sir.

Amin Pirani: My first question is actually on the TVS X. You have launched it at a very, very high price point. So, given the customer feedback that you have received till now, what do you think the potential of such a product in India? And should we view it more as a product for the export markets like Europe and ASEAN?

K N Radhakrishnan: See India, according to me is the biggest market. Premium and super premium is going to be order of the day in India. India is the first market for any product for TVS. So, TVS X will do extremely well because this is a premium electric crossover and it is definitely, definitely going to have many things which are first-of-its-kind. And please remember, price is only one day result. Customer looks at a package. And when he looks at the package, there are so many things which are new in TVS X. I'm very sure it is going to delight the customer. It is going to redefine completely the premium products in India. It is completely something we all of us can be proud... designed and developed and made in India. There are so many global benchmarks in that. So, it is going to redefine the super-premium and premium category not only in India, definitely this is the product which will be also launched in every market including developed markets. So, we have a very clear strategy saying that TVS X is going to redefine India. It is also going to be redefining TVS in the global markets, I would like to put it that way.

Amin Pirani: If I can add, any initial feedback because I think you showed a version of this at the Indonesia Motorcycle Show recently in partnership with some Singaporean Company, ION Mobility, any initial feedback and any timeline for launch in that market?

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K N Radhakrishnan: Very positive. First, we have to deliver the numbers in India which we are planning just after Diwali as we promised, and then possibly next year we want to start in many markets including Indonesia, I would put it like that.

Amin Pirani: Just lastly, one question on Norton. I think you have finally launched the newly engineered vehicles like the Commando in the UK market. So, again, any initial response from customers as well as any timeline for a global launch including India?

K N Radhakrishnan: See, all of you know that Norton had so many customers demanding many products. So, we are trying to meet some of the pending requirements from some of these customers. That is why we have delivered this product. Now, we are completely redefining using Norton's team and TVS team to come up with a very prudent product plan for the super-premium category. Work has already started. Very clear line up has been put in terms of the products and when it will be delivered. I'm very happy the way we are investing and putting the products, and I'm pretty confident that going forward, you will see this product coming into the market. Closer to readiness of the products, I can share more information, but rest assured Norton is going to delight the customers globally.

Moderator: The next question is from the line of Mr. Jinesh Gandhi from Motilal Oswal Financial Services. Please go ahead, sir.

Jinesh Gandhi: Hi sir, a couple of clarifications. One is, you indicated that we have invested Rs.100 crores in TVS Credit Services over and above divestment of Rs.100 crores, which happened, we've invested Rs.100 crores separately.

K N Radhakrishnan: Repeat your question?

Jinesh Gandhi: Our notes-to-account says that we have divested Rs.100 crores in compulsorily convertible preference shares of TVS Credit. So, beyond this we have invested Rs.100 crores as well, is it?

K N Radhakrishnan: No, no, no. See

in Q1 we invested 200 crores and in Q2 we have disinvested 100 crores. So, the net is 100.

Jinesh Gandhi: Given that we have already invested about 850 crores in first half, how do we look at total investment budget for FY24, we're earlier looking at 800-1,000 crores, but we are already at

about 850 crore s in first half , so how do you look at the investments for the full year ?

K N Radhakrishnan: First half is Rs. 623 crores, correct . And whatever we gave a guideline that this year we will be looking at close to 800 crores to 900 crores , that will be the type of investment we will look at.

Jinesh Gandhi: CAPEX will still remain at about Rs.1,000 crore s, right?

K N Radhakrishnan: CAPEX majority is going to be on the EV side.

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Jinesh Gandhi: For Apache , we have seen some bit of weakness in wholesale volumes in the recent months. Is there any supply side issue there or -?

K N Radhakrishnan: Again, I'm repeating , Apache is for a different set of customers, and we are seeing excellent pull in the market. But please understand , we have to look at the market in terms of different , different customer segments . In different , different customer segments we are seeing Apache moving in the right direction , there would be no issue. And Raider is for a different set of customers. There also is moving in the right direction. But please remember , we normally look at keeping 25 to 30 days of stock and we want to continue to give the fresh vehicle to the customer . That we keep moderating depending upon how the customer retails are happening in the market .

Jinesh Gandhi: But is there any production -related issue there given that -?

K N Radhakrishnan: Absolutely no issue,

Jinesh Gandhi: Lastly , if you can share the US D/INR rate for the quarter.

K N Radhakrishnan: It is about 82.5.

Moderator: The next question is from the line of Mr. Mumuksh Mandlesha from Anand Rathi . Please go ahead, sir.

Mumuksh Mandlesha: Can you talk about the new markets' expansion potential like Venezuela, and can you talk about the other major markets, which Company plans to enter going ahead, which are the major markets which are not yet not addressed by the Company ?

K N Radhakrishnan: See, let's say only look at Venezuela, I think there is a great opportunity for the kind of products what we have in the LATAM market . The size of the LATAM market is so big and TVS has got the best range. So , we have started the journey focusing on leveraging Apache, leveraging Raider, leveraging our Ntorq, we are also trying to leverage some of the products from Indonesia . So, the next strategic focus will be LATAM countries . So, you will see disproportionate focus in the LATAM market because it is a market which will do extremely well for us in the future. I think we started focusing earlier in Africa. Africa is doing very well for us, and we have started focusing on LATAM . So, this is a great opportunity for TVS to establish in a big way in LATAM .

Mumuksh Mandlesha: Also, can you talk about the volume potential for the BMW CE-02 for the India and the global markets, sir?

K N Radhakrishnan: BMW CE-02, they have their very clear plans, and they will be launching sometime next year just after the winter, I think March, April. I think the production has started. I think the initial feedbacks are very positive. On numbers, I may not be able to give you guideline because CE-02 is their plan. So, they will definitely be looking at the product and the feedback whatever BMW has shared with us . I think it is going to be an outstanding success in the market.

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Moderator: The next question is from the line of Mr. Pramod Amte from In Cred. Please go ahead , sir.

Pramod Amte: So, first question is with regard to the increase in inventory in

the P&L. So , this is the second successive quarter year increase. This quarter seems to be much more lumpy compared to last quarter . is it all related to finished goods or raw material?

K N Radhakrishnan: What is the question ? I didn't hear properly.

Pramod Amte: What I was referring to is the increase in inventory of almost 260 crores, which you show in P&L. This is on top of 300 crores of last quarter, so almost around 350 crores of increase -

K N Radhakrishnan: That is only because of the season . Because normally all of you know that this season , Dussehra and Diwali we have to make sure that there are no line stoppers in production. So , it is a very prudent call from the Company to keep the material stock especially the input material.

Pramod Amte: So, what's the number of days you have, sir, in terms of stock on finished goods and the raw material ?

K N Radhakrishnan: Finished goods, I told you . We are always looking at, for example, end of the season we will have less than four weeks of stock.

Pramod Amte: The second question is with regard to the iQube. Looking at the results and considering that you have significantly changed market share and volume in the quarter , and this is in spite of the same incentive substantially cutting down , so is it fair to assume you will be making similar margins as a corporate margin on iQube in spite of the payments going off, is that a fair

assumption or is it a drag on the profitability ?

K N Radhakrishnan: Please understand , iQube is a completely new EV product, Last time also , I highlighted that we are making a positive contribution. It is an investment behind new technology, new area and we have to be patient because that will start yielding better and better results going forward. Beyond that, I think we have to look at as an overall Company how we are moving in terms of investments. To me, EV and the product range, I think we have to be a little patient, but it will result going forward because there are many things which are going to help us ; the sales costs are going to come down , scale benefits only can help you optimize the material cost and supply chain , more and more products you launch in India and many markets you will have opportunity to increase . So, the strategy what we believe is delighting the customer, growing the top line by launching a range of products in every segment. These two are priority one and two, and then you will start getting the huge benefits of cost and sustainable growth and EBITDA margin . So that strategy will continue as far as EV as I speak . So, I don't want to give you any guidance separately on EV.

Pramod Amte: Only question was this positive contribution commentary was pre -FAME cut or even the post - FAME cut, you will see the positive contribution continue on the iQube?

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K N Radhakrishnan: Positive contribution. FAME has already been cut . All of you know that. So, I think it's a factor of overall volume, it's a factor of overall cost, the cell technology changing, and the overall volume going up, and future the new product, what we are planning to launch and overall volume again going up. So, it's a combination of many strategies and that focus will continue.

Moderator: The next question is from the line of Mr. Raghu Nandhan from Nuva ma Institutional Equities .

Please go ahead, sir.

Raghu Nandhan : On the festive season, Maharashtra growth is in double digits as per VAHAN . Considering the strong festive season , can you talk a little bit about urban and rural demand? You indicated that urban demand is very strong. How is rural doing ?

K N Radhakrishnan: See, rural demand is expected. Please understand , rural area how do we look at . Thanks to the kind of changes in the legislation and also the kind of transition to B S VI, also the. Third-party insurance cost and safe

ty requirements which are all fair. The cost if you look at it, the entry level products which are high demand in the rural market and prices have gone up by 40 %, 45%. Their income levels have not gone up. Now , they are getting the confidence that there won't be lockdown , the worries about the pandemic, the worries about hospitalization has come down. I think we have to be a little patient . India strength is rural. And unfortunately, what has happened is this year all of you know that certain markets we had the monsoon much higher , certain markets it is the deficient , more than 35% there is an imbalance which none of us thought through. Now, the rural confidence is improving , their income levels are going up , they're not so much worried about any more hospitalization , and infrastructure investment from the government is going on in a very nice way. I'm pretty confident that rural will come back. We have to show a little bit of patience. And definitely the retail finance companies are also definitely supporting. So , I think it's the question of time . All these products will do very well. So, when you look at the entry level products starting from moped and entry level motorcycle , they're having huge stress. And in some of the markets , all of you must be knowing the tractors are also having huge stresses. So, this will improve because from worrisome, they have not started earning income. I am able to get a n early indicator that this year Diwali is definitely the consumption of many aspects in the rural are going to be better and better. So , I'm pretty confident that the two wheelers will come back . When the prices have gone up by 40%, 45%, their income has not gone up 40 %, 45%, please understand that. So , we have to be a little bit more patient when it comes to rural. That is the point I am highlighting .

Raghu Nandhan: Sir, your associate Company , Ultraviolet te is in electric motorcycles and TVS launching more price competitive electric motorcycles. What would be your thought process? What kind of timeline you would envisage considering players like Ola are getting into this segment?

K N Radhakrishnan: I don't know about Ola. I respect all my competitors. We have a very clear segment wise plan . Closer to the launch plan , I'll let you know what kind of products, and which segments we are looking at and I'll definitely highlight much before the launch.

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Raghu Nandhan: On the electric scooters, they are profitable at contribution level and on PLI scheme, some of the four-wheeler OEMs have received approval . Are you expecting that P LI approval and incentives in second half of this year ?

K N Radhakrishnan: We are very closely working with M HI and PL I scheme and we are confident that TVS will

qualify, and I think is work -in progress.

Moderator: The next question is from the line of Mr. Arvind Sharma from Citi. Please go-ahead sir.

Arvind Sharma : Two questions from my side. First , on the Jupiter versus iQube. Since you said that iQube virtually fills all the expectations that Jupiter has. So , in your interaction with the customers , has there been any impact on Jupiter demand versus the iQube? Overall looks strong, but in your international customer , is there any shift from Jupiter to iQube?

K N Radhakrishnan: See, currently, the overall Jupiter category share , out of 10 0 two wheelers, currently the scooter is about 30 % , 32%. With the EV in scooter , I am expecting this 32% significantly t his category share of scooter will go up. And there will be an opportunity to ICE to grow and EV to grow.

Because the TV S has got a strong brand preference in scooters , so having an iQube is going to help us to grow Jupiter faster and better.

Arvind Sharma: One very specific question to the notes -on-account . The other income of 37.55 crores, you said is an evaluation of an in

vestment . Which investment is this, sir?

K N Radhakrishnan: It is TVS Supply Chain Solutions .

Moderator: The next question is from the line of Mr. Sridhar Kal lani from A xis Securities Limited. Please go ahead .

Sridhar Kallani : Just have a query with regards to the EV business . Genera lly, in the international market , we have been seeing that either O EMs or production of their own batteries or the y are entering into joint ventures with b attery manufacturers. So , going ahead, what is our strategy with this regard?

K N Radhakrishnan: I am not able to understand . Can you repeat the question please?

Sridhar Kallani: Sir, my query is with regards to the battery manufacturing side . In EV, Battery forms are a major component of your cost. So, some of the OEMs are going for their own production line and some OEMs have entered into a long -term strategic partnership with the battery manufacturers. So , going ahead for TVS what will be the strategy regarding the same?

K N Radhakrishnan: No, we will study very closely . Currently , the battery management system in India is completely designed and developed in -house, the only source . The strength of TV S is our design and development capability and investment behind that. Now , when we go to various countries, that is the strategy which we will evolve, and we will let you know what will be our strategy going forward when we decide which countries and how we are planning to go.

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Moderator: Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for closing remarks.

K N Radhakrishnan: First of all, thanks to all our customers. You know, as I highlighted the quarterly operating revenue crossed 8 ,000 crores for the first time and we grew ahead of the industry , thanks to customers and the kind of product portfolio what TV S has got. O perating EBITDA margin , we improved to 11% , this is the highest . H1 Profit after tax cross ed for the first time 1,000 crores. And TV S iQube, thanks to all the 2 lakh customers for the full faith in TVS and TVS quality. And this gives us enough energy to put our product plan into the market and take EV to the next level in the domestic market as well as international market. With our unwavering focus on consumer , quality , we are confident of growing ahead of the industry. And we will continue to leverage our scale benefits , focused premium ization, sustained material cost reduction and doing the right investment s between product s and marketing , we will build TVS brand globally and we will continue to improve our EBITDA going forward. Happy Diwali to all of you and your family. God bless and thank you.

Moderator: On behalf of Batli vala & Karani Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2024

Website: www.tvsmotor.com Email: contactus@tvsmotor.com CIN: L35921TN1992PLC022845

31st January 2024

BSE Limited,
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Dalal Street,
Mumbai 400 001.
Scrip code: 532343 National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor,
Bandra-Kurla Complex,
Bandra (E), Mumbai 400 051.
Scrip code: TVSMOTOR

Dear Sir(s)/Madam,

Reg : Compliance under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

In continuation to our intimation dated 17th January 2024 and 24th January 2024 with respect to the schedule of a conference call with the analysts / fund houses post results for the quarter ended 31st December 2023 and intimation on the audio recording, respectively, we wish to inform that the transcript of the said audio recording has been hosted on the website of the Company and is available at:

<https://www.tvsmotor.com/en/Investors/Communication>

We also enclose the said transcript for your reference.
Kindly acknowledge receipt.

Thanking You,

Yours faithfully
For TVS MOTOR COMPANY LIMITED

K S Srinivasan
Company Secretary
TVS MOTOR COMPANY TVS~
TVS Motor Company Limited, Registered Office: 'Chaijanya' No.12, Khader Nawaz Khan Road,
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"TVS Motor Company Limited
Q3 FY '24 Post Results Conference Call"
January 24, 2024

MANAGEMENT : MR. K N RADHAKRISHNAN – DIRECTOR & CHIEF
EXECUTIVE OFFICER – TVS MOTOR COMPANY LIMITED
MR. K. GOPALA DESIKAN – CHIEF FINANCIAL OFFICER –
TVS MOTOR COMPANY LIMITED

MODERATOR : MR. ANNAMALAI JAYARAJ – BATLIVALA & KARANI
SECURITIES (INDIA) PRIVATE LIMITED

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TVS Motor Company Limited
January 24, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to the TVS Motor Company Limited Q3 FY24 Post Results Conference Call hosted by Batlivala & Karani Securities India Private Limited . As a reminder, all participant lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities India Private Limited . Thank you, and over to you, sir.

Annamalai Jayaraj : Thank you, Lisa. Welcome to all the participants for the TVS Motor Company 3Q FY24 post results conference call . From TVS Motor Company management, we have with us today, Mr. K. N. Radhakrishnan, Director and Chief Executive Officer; and Mr. K. Gopala Desikan, Chief Financial Officer.

Now I will hand over the call to Mr. K. N. Radhakrishnan for the opening remarks to be followed by question -and-answer session. Over to you, sir.

K. N. Radhakrishnan : Good evening, everyone, and thanks for joining us today. Happy New Year to everyone. Let 2024 bring in a lot of happiness, success and prosperity to all of you. We are very delighted to share the company's PBT and the performance during last quarter. Company PBT surpassed the milestone of INR2,100 crores for the first time. All of you will remember that last year, the year as a whole, we had INR2,003 crores as a year as a whole profit. PBT for the first nine-month period is INR2,109 crores. And we are extremely happy about it.

During Q3, the company continued its sustained growth in revenue, EBITDA and profit, company continuously surpassing its own milestones due to excellent product pipeline , thanks to the customers and their confidence on TVS Motor. Now let me get into a little more detail about this quarter.

During this quarter,

company's operating revenue grew by 26%, INR8,245 crores as against last year's INR6,545 crores during Q3 last year.

Domestic sales for two -wheeler market, company sales grew 33%, almost eight lakh units as against last year's six lakhs. All of you know, the industry growth, we have done much better than the industry growth. In international market, the company sales grew by 4% at 2.16 lakhs against last year's 2.07 lakhs. Here also, we have grown better than the industry.

During the quarter, the company sold 48,000 units of electric vehicles as against last year's 29,000. Here also, we have done better than the industry. Total two -wheeler sales grew by 27% at 10.63 lakh units against last year's 8.36 lakh units in Q3 last year. Total sales of three -wheelers is at 38,000 as against last year's 43,000 in Q3 last year.

During this quarter, company's EBITDA grew by 40%, INR 924 crores as against EBITDA of INR659 crores during Q3 of last year. And EBITDA margin for this quarter is 11.2%, improved from 10.1% last year in Q3. PBT for the quarter grew by 63% at INR775 crores as against TVS~

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INR475 crores during Q3 of last year. Profit for the current quarter includes other income of INR73 crores relating to gains realized from investments. Profit after tax for the quarter grew by 68%, INR593 crores as against INR353 crores of Q3 last year.

Now coming to cumulative nine months, company's operating revenue grew by 19%, and we are at INR23,608 crores as against last year's INR19,773 crores. As I told earlier, PBT for the first nine months period grew by 45% at INR2,109 crores as against last year's INR 1,457 crores. And during the first nine months period of this year, we have already crossed last year's overall profit of INR2,003 crores.

Profit after tax for the nine-month s period grew by 48%, INR1,598 crores as against last year's

INR1,081 crores.

On EV, Q3, we witnessed industry coming back. And all of us know that there were some tactical actions during this quarter. TVS iQube is growing ahead of the industry continuously over the last 6 quarters. We are continuously expanding the availability of TVS iQube in India.

As we speak, TVS iQube is available in more than 400 touch points. Progressively, we will increase this quarter to a much more number of touch points in India. We have also started exporting TVS iQube. As we have communicated earlier, we will have a series of products this year, this financial year, for different customer segments. And we'll have a complete portfolio of offering in EV. We will be launching these products in coming quarters.

With a well-planned product lineup planned from TVS and the continuous improvement in infrastructure, we are confident that we will continue to be a strong player in the EV segment.

On TVS Credit, first time we have crossed the book size of INR 25,000 crores. To be precise, we are at INR 25,300 crores. And TVS Credit Service PBT for the quarter grew by 75%. And we are at INR230 crores as against INR 131 crores during Q3 of last year.

On outlook, the GDP definitely is growing better than all of us expected. However, there are some challenges in sowing. But we could see some momentum coming back in the rural sector during Diwali season. And we expect in Q4, this momentum should continue.

International market, slowly and steadily, we are seeing change in positive growth. But it is taking a little longer than what is expected in many markets.

Our share of company's premium product sales are growing. And we will continue to invest in that and we will grow. All of you know that during Q3, we announced our entry in the Europe market by signing a strategic partnership with Emil Frey, it is a 100-year-old enterprise and we are very confident that this will be a great achievement for TVS Motors in the coming years.

Company

will launch both ICE and EV products in select markets in EU. We are prioritizing the countries with strong two-wheeler demand, coupled with existing Emil Frey infrastructure and resources to build this distribution network. TVS~

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With a strong portfolio of brands, starting from Apache, Jupiter, Jupiter 125, Raider, Ntorq, our Star range, HLX, Radeon, TVS King and TVS Ronin, we express thanks to the customers' confidence on us. We will continue to grow ahead of the industry, both in domestic and international markets.

Overall, all of you have seen Q3 has been a great quarter for us. And we will continue the same momentum in terms of both revenue growth and EBITDA growth going forward. We will continue to invest in product, technology going forward. And definitely, you will see many more products from the company.

We've already seen the EBITDA growing in the last three years. And this quarter, it's the highest, 11.2%. We are confident that we will continue to leverage our revenue growth, premiumization, sustained cost reduction initiatives to improve profitability in Q4, that is this quarter, the coming forward quarter, and going forward.

Thanks for your time and your continued trust on the company. Thank you. Once again, I would like to wish all of you and before close, PBT for the first nine months, we have already crossed INR2,100 crores first time during the first nine-month period of the history of this company. Thank you.

Moderator: The first question is from the line of Chandramouli Muthiah from Goldman Sachs.

Chandramouli Muthiah: I'm just trying to understand the product mix. That's my first question. So if I compare versus last year's fiscal, if you just look at scooters, ICE scooters and mopeds, I think we are about 60% of the volumes were from that category and iQube was about 4%. Versus YTD this year first nine months, it appears that iQube has improved to 6% of the mix, but the ICE scooters and mopeds portfolio has come down by about 500 basis points. So just trying to understand, were there any sort of product discontinuations in the ICE scooter and moped portfolio, Scooty Pep and the domestic market will go in the export market? Just trying to understand that a little better.

K. N. Radhakrishnan: Scooty Pep is one product we have discontinued. Because when we look at the overall portfolio of the company, we looked at and we have enough good quality products in terms of Ntorq, Jupiter 110, Jupiter 125. And there is a huge opportunity to grow these products into the market. So it was a very measured call. And overall, I think we have to look at overall growth. I think we have done very well in scooters. We have done very well in EV as well. In terms of, like I said, what is most important is, overall, we have to grow ahead of the market, and that has happened.

Mopeds, there is a slight uptick. That's why I said there is some change we are able to see in the rural market. But it's early signs. I think we have to wait because still the buying power of these entry-level customers, especially in the rural, it's only improving, it has not come to the normal

level. So we have to be a little bit patient here. Scooters and EV, we are very confident that going forward will do extremely well. TVS~
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Chandramouli Muthiah : Got it. That's helpful. Second question is specific to the Raider. I think the product continues to do very well. It seems to be a lot of full demand in the market. It appears that you have been able to take some price hikes on the Raider.

So just trying to understand, I think that sports 125 category seems to have more product launches from peers. There seems to be some price cuts also from some of your peers. So what's giving you the confidence to take these price actions

on the Raider? And also just related to that, have you been able to take price hikes in January across the portfolio?

K. N. Radhakrishnan : The Raider is a great product. I think the customer confidence is what it's seeing. Like I said last time, Raider is one offering from the company which is very well accepted in the market. And quarter -after-quarter, we are able to see the customer retail is going up and market -after-market, we are seeing huge success. I think this is purely the connectivity with the customers. And we constantly look at the opportunity. And depending upon the opportunity, we look at the pricing. And as of now, we have not increased any prices in January or even in December.

Chandramouli Muthiah : Got it. That's helpful. And lastly, just a housekeeping question, if you could just share the export revenues and the spares revenues for the quarter, please?

K. N. Radhakrishnan : Parts revenue is around INR 792 crores for this quarter and exports is about INR 1,882 crores.

Moderator: The next question is from the line of Pramod Kumar from UBS.

Pramod Kumar : Just to follow up on what you talked about spares, we have seen that your spare parts contribution to revenue remains sub -10%, which has been the trend for the last 5 years while some of your peers have seen their spare parts penetration improve from 9.5% of revenue to almost 14%, 15% of their revenues. Just trying to understand, is there opportunity there? Or what explains such sharp spare parts fall?

I'm just trying to understand, is there availability challenges for your spare parts in the aftermarket, which you can address with faster growth in the spare parts? Because the reason I'm asking this is on the last 5 -10-year horizon, your volume growth has been the fastest in the industry. It's been the highest in industry by a long -- by a wide margin. And so to that extent, I think your spare parts should also be -- ideally should be better than the competitor.

So I'm just trying to understand, what is missing here? And are there any sort of plans to improve the spare parts preparation? Because not only helps the customers with better access to quality parts, and also it is much more profitable than the product revenue, core product margins, right? So if you can just help us understand this, sir.

K. N. Radhakrishnan : See, spare parts is also growing. If you look at our revenue growth, overall revenue growth and spare parts growth, we are doing extremely well. But we constantly look at where are the opportunities in terms of more penetration in spare parts. But fundamental thing is we want to push the spare parts as the same principle of the stock and the authorized parts stocks as well as the retailers, we reach the right kind of levels for stocks because we don't want to push the numbers just extra. TVS~

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I think what is most important is based on consumption, based on the service, this productivity in the dealership, that is the way we look at it. But every time when I look at it, there is opportunity, definitely there is opportunity to it.

Pramod Kumar : And on the demand side, sir, you said rural has started to have seen some traction. But how do you look at rural versus urban? Because you are one of the few guys who has a portfolio which is relevant in both urban and rural market. So how do you see the rural versus urban bit? Because there is a bit of a thought also that 100cc demand is coming back, rural demand is recovering. And it could kind of have, what do you say, a drag on the scooterization and the premiumization trend. So from your vantage point, how are you seeing these trends playing out, sir?

K. N. Radhakrishnan : Rural, too early. Because if I look at it, there is only a small improvement in terms of the entry level and mopeds. It's not a significant change. But I'm very sure that these

are markets where

they had maximum problems post COVID and income level. And because of the transition to the electronic fuel injection because of OBD, the BS VI and the further OBD II phase A, I think

the prices have gone up.

So I think the transition is happening. And as you know, the retail financing is also supporting this set of customers. I'm very sure that quarter-after-quarter, you will see small improvement in this growth. However, significant growth will be seen in semi-urban and urban. So this is something we have to be conscious. However, I think slowly, you will see the change. And I'm very sure that the sentiments are becoming positive. So we have to wait and watch, one level of change we have seen this year in the Diwali season.

Pramod Kumar : Okay. Sir, on the P&L side, your other expenditure and employee cost continues to kind of grow reasonably out of the revenue in a way more or less on a quarter-on-quarter basis. So I'm just trying to understand, what would be the sustainable trend you are looking at, especially for other expenditure?

Because last quarter, we had a couple of launches which was there only in the 2Q base. Even on that base, we have seen a further improvement or a higher spending there. And here, on the employee side, if you can just help us understand, by when do you start seeing it as a percentage kind of normalizing on a sequential basis, sir?

K. N. Radhakrishnan : See, other expenses, let me answer first. I think there is an increase in the stacking and freight expenses because of the expenses really going up. See, the price is going up. And as you know, this year, Q3, we had the season, full season in terms of both the Dussehra and the Diwali. And you remember, we definitely invest in - we keep it as an investment. We don't look at it as a cost on the marketing side.

I think one of the reasons why Raider and the Jupiter 125 and some of the portfolios are doing extremely well is the kind of investments that we have made. And that will help us to take it to the next level and what is most important is when the revenue starts growing up, this percentage also will help us. TVS~

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And on employee cost, this is the area where we are investing in, especially in the new technology areas like software engineers and also in analytics and digital. And also electronics, I think we are building up a very, very strong team, okay? And this is required. Because when we are now trying to look at entering into many of the global markets, especially developed markets, this requires investments in people.

Because this will come first. And then you will start realizing the turnover and the top line. So I'm pretty confident that this is definitely going to be the strength of TVS Motor. So the salary cost, we are not investing in ICE. We are investing behind areas where we need to really look at the future and areas where we need to improve our domain expertise.

Pramod Kumar : And sir, lastly, Mr. Desikan, sir, if you can just help us understand the consolidated operation outside of financing norms. There have been losses which has tied up last year and during first half. How are we trending there in terms of the control on the losses there on the expenditure side?

K. Gopala Desikan : Sure. Let me start with finance because they have done very well this quarter. For the quarter, the PBT reported yesterday was INR229 crores as against the sequential quarter of Q2 of INR179 crores, more by INR50 crores. And again, like TVS Motor, the nine months ended profit of INR566 crores is more than the full year's profit of INR 511 crores of last year.

As far as book size is concerned, they have crossed the INR 25,000 crores. And the GNPA is at 3.1%. And even after the RBI circular with regards to the additional risk-related capital allocation, the capital adequacy r

atio is at a healthy 18.6%. The collections have been, as usual, very good. The business disbursement for the quarter is around INR 7,000 crores when compared to the last year's INR 6,000-plus crores. And this is what as far as TVS Credit is concerned. The other subsidiaries, as explained in the previous quarter also, the Norton-related expenses are more out of accounting compulsions being written off. Otherwise, they are all development-related costs. And it has come down when compared to the previous quarter.

K. N. Radhakrishnan : Here, I want to highlight only, last time also, I highlighted that please understand we need to have a healthy product pipeline. And we are now designing and developing and putting that products in totality. And definitely, it will take about 6 to 8 quarters to start completely realizing the benefits of that.

And as you know, this is going to be a complete portfolio, which is going to help to supplement the complete product range what TVS Motor has got today. So I'm pretty confident that going forward, you will see a very strong product pipeline from Norton, and that product will delight the customers globally. And this will start doing extremely well.

Moderator: The next question is from the line of Kapil Singh from Nomura.

Kapil Singh: Just one perspective from you on E V industry demand and also competitive intensity. Are you seeing an increase in competitive intensity versus last time we met? And how is the profitability

K. N. Radhakrishnan : See, our profitability is continuing to be strong, But all of us, we need to understand that there are some tactical actions, I think we can expect this from competition. But according to us, pricing is only one element in the process of buying. There are many aspects for the customer. He will look at the product. He will look at the experience, usage, connectivity, infotainment, range, build quality, many, many parameters, he will look at it. So price is only one parameter . And what we should look at as an industry is how we are going to focus on the customer, how we are going to deliver products which are going to be on a sustainable basis. And here, I wanted to only look at one thing, We have seen similar short -term action in ICE also in the past, okay? There were several tactical actions short term and many players have done it. And none of them have sustained. We have seen it in retail financing, we have seen such things when some models are discounting heavily.

But please understand, consumer understands all this. And they're not going to, beyond the point, help building a brand. And we are talking about an industry which is going to be long term, we're going to be very strong, sustainable. And we will very clearly focus on delighting the customer with every touch point. And already, iQube existing customers are extremely delighted and happy. They're our brand ambassadors. Currently, we have over 400 dealers. We will double it by end of the quarter.

So there is a huge opportunity. And we already started exporting. There is a huge market for exports. And we are also coming up with a lot of products in the pipeline. The new product launches are going to come. So these are things which we have seen even in the past. So we are not so worried. And what is most important is we are continuously doing better than the industry. That is what is most important.

Kapil Singh: Sure, sir. No, that I agree. And in terms of the reach for iQube, in terms of number of cities, how is it right now? And how does it compare to.

K. N. Radhakrishnan : I said 400, okay? We are looking at doubling it in the next 3 months.

Kapil Singh: I'm sorry, doubling it in the next 3 months?

K. N. Radhakrishnan : Yes. So we use our own existing dealers.

Kapil Singh: Okay, okay. Understood. Just one clarification

ification I had on the other income. There is a mention in the notes to account that there was some INR 82 crores income that has been recognized as part of other income due to a transaction with Sundaram Auto Components. And there is another INR37 crores fair value recognized. But when I see the other income, it is showing up INR 73 crores. So can you please help me reconcile this?

K. Gopala Desikan : So the other income, let's go to the notes for a minute. So let me just read the notes. The INR 80-plus crores, what we indicated, is a realized gain of a capital reduction, what we have done through an NCLT order with the wholly owned subsidiary, Sundaram Auto Components. And the balance is a notional loss that has been due to fair valuation of the investments due to the accounting standards. TVS~

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The net figure is what is that INR 73.4 crores. The other income for the quarter ended 30 September, the year ended 31 March includes that's a separate one, INR37.55 crores and INR61.69 crores respectively . So Note no.3 relates only to the INR 82.27 crores of realized gain and adjusted against the notional loss of around INR 9 crores.

Kapil Singh: I'm sorry, where is the notional loss mentioned?

K. Gopala Desikan : So this only talks about towards the reduction . That includes a profit of INR 82.27 crores recognized as part of other income. So the net figure of INR73.4 crores is INR82.27 crores minus that INR 9 crores of notional loss.

Kapil Singh: Okay. And then there is this INR 37 crores recognized?

K. Gopala Desikan : No, point number four is the 30 September 2023 for the quarter and for the previous year.

Moderator: The next question is from the line of Ayn Pirani from JPMorgan.

Ayn Pirani : So my question is on the export side. You mentioned that recovery is happening, but it's happening at a slightly slower pace. So two questions there, a). is the recovery happening due to demand being weak? Or is it more to do with currency availability and other issues?

And a follow -up on that is, are we seeing further supply -related problems because of the recent crisis on the Red Sea? And is it causing us in terms of higher freight rates or unavailability of containers? And what's the outlook for that?

K. N. Radhakrishnan : I think on the first item, whatever you highlighted, definitely some of the markets, we are seeing both the depreciation of the currency and also sometimes the delay. I won't say currency availability is not there, but there is a delay. In terms of when I said recovery, now when we went through last 6 months back, dispatched kind of a control because the retails were slowing down. So all that is corrected.

Now we don't have any problem in terms of more and more retail customer, retail is happening. We are able to dispatch more and more. Now coming back to the current crisis, whatever you said, it has just started. There are some initial feedbacks on container availability, some pricing going up. I think we have to very closely watch it, So it's too early, I would say, but it is seen this month, for example.

Amyr Pirani : Okay, okay. Understood, understood. That's helpful. And secondly, on the rural recovery that you talked about the EV -related launches that you are expecting. Is there a plan to launch motorcycles or scooters at the lower end if you are seeing a rural recovery? Or you think the portfolio on the ICE side is more or less complete as far as TVS is concerned?

K. N. Radhakrishnan : See, we have to constantly look at the strength of TVS. We're constantly looking at the customer segments and looking at where are the products we can come up with. So that will continue. I think we should not be so much worried about the rural challenges, what we have gone through in the last couple of years. TVS~

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See, given the population, given the kind of infrastructure investments on roads and kind of connectivity, whatever we have seen and the mobility needs, I think two-wheelers, I always believe that it will grow more than 10% CAGR, definitely. And rural will also start growing. I think what we have seen is the ability of the rural not able to manage the cost increases and price increases and their income not growing in line with that.

On the EV side, again the product pipeline is based on the customer segment. There may be some short-term challenges in certain areas in rural. I think we have to look at a long-term point of view and then invest in these products and develop. And we look at the customer segments, and more and more closer to the launch, I'll tell you what kind of products and when we will be launching.

Amyr Pirani : Sure, sir. Just lastly, can you help us with the financing penetration that you have seen in the quarter?

K. N. Radhakrishnan : This is retail finance?

Amyr Pirani : Retail finance, yes.

K. N. Radhakrishnan : Yes, just a minute, I'll tell you. Retail financing is now healthy this quarter, thanks to the Diwali season. And the festive season, we have seen almost 65%, which according to me is one of the best numbers I have seen in retail finance.

Moderator: The next question is from the line of Raghunandhan NI . from Nuvama Research.

Raghunandhan NI : Congratulations, sir, for a strong set of numbers. Sir, firstly, a follow-up question on the EV side. In earlier quarters, you had indicated that we have achieved the gross margin breakeven for electric two-wheelers. Has margins further improved considering the fall in battery prices and continuous efforts on localization and better scale? And going forward, you should also get more benefits in terms of PLI incentives. So how are you looking at it? Would you be retaining the benefits or partially passing on the benefits to support EV penetration?

K. N. Radhakrishnan : See, like I said, the margins are positive and it is definitely improving. What is most important is this is an investment phase in terms of products and technology. And we have to come up with a range of products and then grow good volumes in the markets. So that is the focus we are in. But we are happy on the journey of margins and how it is overall panning out.

And we are also now just started products into the global markets. There's a huge opportunity there. So if you ask me, the priority is to look at delivering the products which are in the pipeline, continue to grow the customer satisfaction and the volumes, concurrently look at how do we cut down the cost and continuously improve the margin.

Raghunandhan NI : Got it, sir. And on the overall raw material cost, there is some decline on a QOQ basis. So just trying to understand, what were the factors which led to this decline? Because even on a QOQ basis, if I look at the share of exports, that has slightly come down. So despite the exports coming down, there is margin improvement. If you can talk a little about what helped the margin. TVS~

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K. N. Radhakrishnan : See, quarter-on-quarter, if I look at last quarter to this quarter, material cost has reduced mainly

due to sustained material cost reduction. And as you know, the commodities are almost flat. And we have not done any major price increases, practically no price increases in the last quarter, okay? So -- and if you compare the same with the last quarter, last year similar quarter, definitely there is a softening of material.

We have done some price increases this Q3 of last year, And please remember, all this are with the EV also. So overall, I think the contribution management, the material cost reduction, overall product mix and focus on opportunistic price increases have helped the company to improve the

e

raw material cost as a percentage. And we are sustaining that and we are moving forward.

Raghunandhan NI : Got it, sir. And just lastly, Ronin as a product has received a positive response. So how would your target improving presence in cruisers in terms of products, network or rising ecosystem?

What are your thoughts? And would you bring in more models either in the under the Ronin brand or Norton brand in the future to improve your position here?

K. N. Radhakrishnan : Ronin, the initial response has been pretty good, and we are happy. I think we have to sustain.

We have a very clear plan to sustain this momentum and build it as a big brand. Norton, I already told you, we are coming up with a very clear product plan. Closer to launch, I'll give you what kind of products. And definitely, we will focus India also in the journey. Because Norton's complete portfolio is going to supplement the overall excellent product range what we have, what TVS Motor has.

Moderator: The next question is from the line of Jinesh Gandhi from Ambit Capital.

Jinesh Gandhi : Just to quickly clarify, on the EV product launches you mentioned, will you be launching more products in fourth quarter itself or in FY25, are we referring to?

K. N. Radhakrishnan : These four quarters, including this quarter, you will see launches. Closer to the time of launch, I'll let you know. But we have a very good product pipeline in the EV side.

Jinesh Gandhi : Okay. And in that context, where are we in terms of capacity for EVs? Or how much we can do for iQube and overall electric two-wheelers?

K. N. Radhakrishnan : Capacity is not a problem. I think we have taken enough countermeasures and investments in terms of the right capacity. Plants are ready. We have got a very good supply chain in India we have developed with them. So at best, we require about 3 to 4 months to increase the capacity.

So we always plan ahead along with the product launches. So I'm pretty confident on that.

Jinesh Gandhi : Got it. And lastly, can you update us on the PLI incentives for iQube and other models which we will be launching? Where are we in that journey?

K. N. Radhakrishnan : We are in the advanced stages. The PLI approval process for TVS is in advanced stage. And we will let you know as soon as we get the certification is getting completed. TVS~

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Jinesh Gandhi : Okay. And lastly, Desikan, sir, can you talk about the USD/INR realization for this quarter, dollar realizations?

K. Gopala Desikan: Yes, one second. It's around INR83.

Moderator: The next question is from the line of Hitesh Goel from CLSA.

Hitesh Goel : Sir, can you shed some light on what is happening in the export market? Because like you pointed out, this Red Sea crisis is just starting. We are seeing inflation being very high in the end markets in Africa, Latin America. So can you give us some country-wise inputs and what is happening in these markets? And what are you doing about it?

K. N. Radhakrishnan : Actually, African market, there are some challenges in terms of the currency depreciation. Like I said, currency availability is still good, but there are some delays. Inflation is settling down. I

won't say it was as harsh as what we have seen in the past, And in terms of certain Middle East and other markets, it's good actually. The market is growing and there is a good opportunity.

LATAM is another set of markets, there is a good growth opportunity, both for the industry and for TVS, ASEAN is another market which has actually done well last year. And we have a very good opportunity there. So overall, I would say that in India all of you know how the market situation is. Overall, I think the worst portion of this is over. And we'll have to see how each and every market is going to pan out.

And we have excellent product range. So I'm pretty confident that while the

here could be some

delays, for example, this Red Sea, we'll have to see how it is going to pan out. Maybe there will be some little bit of delays in container availability for some time and then it will settle down.

So overall, I'm very happy that our products are very well accepted in many of these markets.

And we are able to grow ahead of the industry. And we are also seeing certain markets growing much faster.

So we will leverage that, depending upon the situation. And this quarter, we are also seeing Sri Lanka slowly opening up. I'm feeling that the international market, we have also seen this kind

of challenges in the past. So we have to be very cautious about the market, and we have the right kind of inventories in this market. So I'm looking forward to this year, this quarter as well as the next 4 quarters. I think we should do well in the overall IB market.

Hitesh Goel : Sir, just a clarification, can you give us the volume mix of your country -wise or Africa, LATAM, Southeast Asia in nine-month FY24 versus last year, so just to get a sense how these markets are growing?

K. N. Radhakrishnan : Yes, Africa has been the biggest market for us. And now LATAM is growing. I do not have the exact data with me. But Africa is the biggest market. And it is - there is a great opportunity for us to do well there. LATAM, we have just started about a couple of years back and the industry is huge in LATAM. Middle East, also a very good market, and we have just started in the last few years. TVS~

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You know about - Sri Lanka used to be a great market. Now it was closed, now slowly opening. I would say that the industry is very small as of now. From the other markets, like Philippines, Myanmar, they're all opening up. So there are growth opportunities there. Each country is in a different kind of a situation. But the good thing about our product range here and also, Indonesia is definitely helping us to grow in this market disproportionately, I would put it that way.

Hitesh Goel : Okay. Sir, my second question is on electric two-wheeler. Basically, you're going to get this PLI incentives, right? Would it get passed on to the customer to improve adoption? Or would the industry or you guys would keep some part in the margin? Just to get a sense because.

K. N. Radhakrishnan : We always look at the customer and the customer segments, thanks to the government, whether FAME or PLI, these are all incentives to promote this industry, I think, if we look at the total investments and the people and the total kind of product range, what we are developing, this should be taken as real support from the government.

I think we should not plan for any kind of other way. For example, FAME, all of you know how it went down. I think we should be very confident about products and the customer segments and engage with the customers and expand the market. That should be our approach, And pricing, again and again, I'm repeating, pricing is only one factor. There are many other factors when the customers look at the product.

And what is most important is, I've always seen, you have to build the brand. You have to build the resale price. Here also, exactly like ICE, when the customer point of view, he will look at the brand, whether it is getting built over a period of time. And we want to be playing the sustainable game. And we are pretty confident that, thanks to the government with PLI, we are all very good for designing and developing and building Atmanirbhar Bharat in a big way.

Moderator: The next question is from the line of Gunjan Prithyani from Bank of America.

Gunjan Prithyani : I just had a few clarifications. I just wanted to know this INR 300 crores investment, where is that being deployed in this quarter and if you can give us a number on the capex and full year subsidiary investment also again,

please?

K. Gopala Desikan : So we have invested in Norton, around INR 80 crores, and the other subsidiaries, around INR100 - INR120 crores. We have also invested in some technology company, like Killwatt. And this is what I think, overall. We have invested in Norton, in SEMG and Killwatt.

K. N. Radhakrishnan : And a little bit in TVS Digital.

K. Gopala Desikan : Yes, and a little bit in TVS Digital.

Gunjan Prithyani : And what is the guidance for full year now on the sub investments? I think we're already running at roughly around INR 900 crores for nine months.

K. Gopala Desikan : Maybe another INR200 crores.

Gunjan Prithyani : Okay. Anything on capex, sir, full year capex? TVS~

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K. N. Radhakrishnan : Capex, I think last time we highlighted around including EV, predominantly on EV, INR1,000 crores, including all the products in EV and the product pipeline, what we are looking at.

Gunjan Prithyani : So overall, INR2,000 crores, INR1,000 crores on the vehicle side and the subsidiaries would be about another INR1,100 crores. That's clear, sir.

The other question I had, maybe just a clarification on reputation. You mentioned right in the beginning that there have been some tactical moves in the EV market. Can you just talk about what sort of changes that you've seen in the competitive space? Because here, in terms of ramping up the business on 20,000 units a month and we've seen that number come down, is there any change that you've seen in the market environment that has slowed down our ramp -

up?

K. N. Radhakrishnan : See, like I said, tactical, all of you understand what is tactical. And you know competition, how they are looking at it. We are very clear that we want to build brand iQube. And it is doing extremely well. It has grown ahead of the industry. What is most important is you have to go ahead of the industry and ahead of the industry very respectfully in terms of overall, on one side, customer engagement and customer NPS is growing. On the other side, the gross margin of the business growing.

So this is exactly what we have done. And we are only present in 400 touch points today in EV.

So we have got a huge room to improve that. And just now, we have started the international business. So overall, we are pretty confident about iQube, okay, how it will move in terms of both numbers and market share and how the other products, which are going to be launched in the market, is going to help to further grow the overall EV proportion for TVS.

Gunjan Prithyani : Okay. And sir, what I understand is basically, we will not engage in this sort of pricing sort of discounting scenario. What we want to do is get a more product play. We are fine to have a little bit of aberrations here and there. That I mean, our strategy is going to be straightforward. We don't want to be price .

K. N. Radhakrishnan : I did not say any of that. I said we are focused on the customers. We are focused on engaging with the customers. Pricing is only one strategy. Customer looks at in wholesome. He looks at every aspect of the product. He looks at the total cost of ownership. He looks at every element of the experience he gets . That is the way sustained brands are built.

And that will be the focus of TVS. That will be the play. We will always and we have done it in ICE and we have seen that. That is the reason we have grown ahead of the industry with less than 30 days of stocks with every dealer, completely cash and carry even in the domestic market and consistently improving our quarter -on-quarter EBITDA.

Gunjan Prithyani : Okay, got it. Just last clarification, sir, on the EV business, is there given that you mentioned earlier a lot of investments being made on software, engineering, digital tools and a lot of this is around the even the employee cost around EVs, can you quantify the drag that we're s

eeing

because of the EV business on the P&L, like in terms of either absolute number or. TVS~

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K. N. Radhakrishnan : No, I don't look at it as a drag, I look at it as an investment. If India has to be Atmanirbhar as well and TVS has to become a global brand, we have to invest in the product. We have to invest in technology. I never looked at it as drag. I look at it as investment. I look at today, if you invest, you will get the benefit. Last time also, I highlighted TVS CS, we are seeing the good results today because we invested very, very clearly a few years back.

Today, we PT TVS is getting profit because we invested in the product. Today, you are seeing TVS growing ahead of the industry. Customers are delighted, and we are seeing sustained growth in our EBITDA only because of investments in people, investments in products, investment in technology, investment in marketing. So that's all we will do.

Gunjan Prithyani : No, no I was just trying to get it, i.e. profitability, but it's fine.

Moderator: The next question is from the line of Vipul Agrawal from HSBC.

Vipul Agrawal : My question pertains to Apache portfolio and more towards 150cc to 200cc industry. How it has changed in last two to three years, especially after the launch of Raider and other premium motorcycles in 125cc? And how do you see the growth outlook for this segment over the next 1 to 3 years?

K. N. Radhakrishnan : I think both, as far as we are concerned, Apache is doing extremely well, Raider is also doing extremely well, okay? And this segment, according to me, will grow because there is very good infrastructure development. And the demography is also pretty good. India is young and many people want this kind of premium products in a big way because they are very aspirational. This is the segment which according to me is going to grow.

And 125 segment is a very good segment where people will look at many, many technology, what is available in the high end is also available here. And Raider has done extremely well. If you look at Raider everywhere, I think it has got state -of-the-art, many new technologies. And it gives the best brand for this set of customers. So my view, these segments will do extremely well, both the 150 and above and 125 and above.

Vipul Agrawal : Just a follow -up on this, so like if you see like 4 years back, when somebody has to buy a premium bike or a sports bike, they had to go beyond 150cc and above only. Now they have a good bike option like Raider available at a cost of around INR1 lakh ex showroom. So what kind of things you are changes you are seeing in the customer perspective?

Like do they still want to go 150 or 200cc? Do they want to spend INR50,000 more on the same bike? I'm just trying to get a perspective from like next two to three years, do they still -- like I understand metro and Tier 1 cities, customers will go. But what about Tier -2, Tier -3 city

customers?

K. N. Radhakrishnan : I think what is most important is, again I want to repeat the same thing, price is only one factor. I think people look at the features, technology. What you get in an Apache is completely different and the set of aspirations of those customers are completely different. And if you look at the 125 Raider, it is completely different. And we are very clearly positioned, depending upon the TVS~
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customer segment, what technology, what kind of features, what kind of design it is going to attract them and how we are going to deliver it to them .
That is the ability of any company to look at the customer segment and design and develop the products. So both are very, very important, looking at the customer segments and delivering it. Price is only one aspect. Please understand, when people look at wholesome, people

look at what
is the kind of overall customer value through technology, infotainment, the kind of connectivity they are looking at in a product, we have seen it not only in two-wheelers.
If you look at any kind of products, what the consumers look at, and thanks to the retail finance, when they come, they don't have to invest everything at upfront. They're able to look at, okay, initially some money and then they can always upgrade on a 36 months or a 24 months. So to me, the aspiration, Indian customers are very aspirational, not only Indian customers. If you look at any developing economy, they are very, very aspirational.
They look at the product pipeline and say, "Okay, this is really good. I want to be going for this kind of a product." What is most important is you have to keep Apache's brand differently, Raider's brand differently. So we have seen actually, both can supplement each other and we can grow more customers to look at us and we can grow faster. That is exactly what is happening with Raider presently there.

Vipul Agrawal : Understood. Lastly, once again follow-up on Apache again, so Apache has, I guess, one of the best-in-class aerodynamics in terms of sports biking and speeding and everything. So do you plan any kind of special marketing happening like other OEMs are doing for their premium portfolio to give a boost to Apache portfolio?

K. N. Radhakrishnan : I respect all competition, I look at the customer, and we are doing appropriately what the customer wants. And we are extremely happy for the response, what we are getting in Apache, the response, what we are getting in Raider.

Moderator: The next question is from the line of Pramod Amthe from InCred Capital.

Pramod Amthe : Sir, considering the amount of investment Norton is doing, would you help us understand the market opportunity there and which segments you are trying to target over the next two, three years' period? As you clearly said, it will take two, three years to realize the current benefits. That's one. Secondly, I just wanted to know, considering your success in EV in India, how are you looking at the opportunity for e-three-wheelers in the next few years' perspective?

K. N. Radhakrishnan : In terms of Norton, like I told you, it takes 6 to 8 quarters for the product pipeline. We need a good set of products when you come up with -- when we start operations of Norton. And as you know, the premium and the super premium -- actually, Norton is super premium category, specialized category. This category is growing disproportionately in many markets, okay? And there is a huge opportunity for TVS, given the kind of capability, design and development capability and quality organization, what we have. TVS~
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So Norton, at this point of time, we have a very clear road map, which markets, what kind of volumes and how we want to penetrate. Closer to launch, I can give you more details, But we are pretty confident. Like I said, Norton is going to add portfolio for TVS and it is going to deliver very good results for the company.

Coming back to e-three-wheelers, we are in the advanced stage. This is one area which is also going to do extremely well in the market, closer to launch, again I can give you more information about e-three-wheelers. But it will do extremely well. Because not only in India, we can look at the markets where we are exporting. This change is going to help us to have a better portfolio in terms of three-wheelers.

Thank you, everyone. And once again, happy and prosperous 2024. And we've seen a quarter with the best results on operating revenue of INR8,245 crores, operating EBITDA margin of 11.2% and PBT for the year, INR2,100 crores, in nine months, crossing last year's number of INR2,003 crores.

I am very confident that our focus on customers, we will continue with the

kind of portfolio,

what we have. And we will definitely leverage the scale benefits and premiumization and material cost reduction. And quarter -after-quarter, we will continue to improve our EBITDA as well. Thank you. And once again, Happy New Year, prosperous New Year to all of you. Thank you.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Batlivala & Karani Securities (India) Private Limited ., that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you. TVS~

Call: May 2024

13th May 2024

BSE Limited,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai 400 001.

Scrip code: 532343 National Stock Exchange of India Ltd

Exchange Plaza, 5th Floor,

Bandra -Kurla Complex,

Bandra (E), Mumbai 400 051.

Scrip code: TVSMOTOR

Dear Sir (s)/ Madam ,

Reg : Compliance under Regulation 30 of SEBI (Listing Obligations and

Disclosure Requirements) Regulations, 2015

In continuation to our intimations dated 30th April 2024 and 8th May 2024 with respect to the schedule of a conference call with M/s. B & K Securities post results for the quarter ended 31st March 2024 and intimation on the audio recording, respectively, we wish to inform that the transcript of the said recording has been hosted on the website of the Company and is available at:

<https://www.tvsmotor.com/en/Investors/Communication>

We also enclose the said transcript for your reference.

Kindly acknowledge the receipt.

Thanking you,

Yours faithfully

For TVS MOTOR COMPANY LIMITED

K S Srinivasan

Company Secretary

Website: www.tvsmotor.com Email: contactus@tvsmotor.com CIN : L35921TN1992PLC022845

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"TVS Motor Company Limited

Q4 FY '24 Earnings Conference Call"

May 08, 2024

MANAGEMENT : MR. K N RADHAKRISHNAN – DIRECTOR AND CHIEF
EXECUTIVE OFFICER – TVS MOTOR COMPANY
LIMITED

MR. K. GOPALA DESIKAN – CHIEF FINANCIAL
OFFICER – TVS MOTOR COMPANY LIMITED

MODERATOR : MR. ANNAMALAI JAYARAJ – BATLIVALA AND KARANI
SECURITIES INDIA PRIVATE LIMITED

TVS Motor Company Limited

May 08, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to the TVS Motor Company Limited Q4 FY '24 Earnings Conference Call hosted by Batlivala & Karani Securities India Private Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj for his opening remarks from Batlivala

& Karani Securities India Private Limited. Thank you, and over to you, sir.

Annamalai Jayaraj: Thank you, Sejal. Good evening, everyone. On behalf of B&K Securities, welcome to 4Q FY '24 Post Results Conference Call of TVS Motor Company Limited. I also take this opportunity to welcome the senior management team of TVS Motor Company Limited. We have with us today, Mr. K. N. Radhakrishnan, Director and Chief Executive Officer; and Mr. K. Gopala Desikan, Chief Financial Officer.

I will now invite Mr. K. N. Radhakrishnan for his opening remarks to be followed by question - and-answer session. Over to you, sir.

K. N. Radhakrishnan: Good evening. Thanks for joining -- thanks to all of you for joining today. First of all, we are extremely happy to inform you that the company has won top honours in almost all categories in J.D. Power 2024, India 2-wheeler Initial Quality Studies and APEAL. We are extremely thankful to all our customers for their trust, encouragement and securing the top positions across multiple product segments consistently for several years demonstrate the customer confidence on our products.

This is also the year, '2023 -24 was the year where we achieved significant milestones in terms of sales, revenue and profit. First time, we have surpassed sales of over 4 million units of 2 - wheelers, posted all -time highest revenue of INR31,776 crores, profit of INR2,781 crores despite many challenges, in the international market. But let me give you first about the full year results, and then I'll talk about Q4.

As I highlighted, the revenue from the operations grew by 20% from INR26,378 crores to INR31,776 crores. Domestic ICE 2 -wheeler sales numbers grew by 19% as against the industry growth of 13%. EV volume has doubled from 97,000 during last year to 194,000 this year. IB 2-wheeler sales declined by 3% over the last year as against the industry dec line of almost 5%. In terms of profit, our operating EBITDA improved by 100 basis points from 10.1% during last year to 11.1% during this year under review. During the year, the company posted the highest ever PBT, a growth of 39% at INR2,781 crores as against INR2,003 crores during last year.

Profit after tax for the year grew by 40%, INR1,491 crores to INR2,083 crores. During the year, company generated an operating free cash flow of INR2,259 crores as against INR795 crores during the previous financial year. Net debt on 31st March has come down by INR1,028 crores.

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On Q4, during the quarter, company's operating revenue grew by 24%. We are at INR8,169 crores as against INR6,605 crores during last year Q4. In the domestic ICE 2 -wheeler market company sales grew by 18% at INR7.5 lakhs units as against 6.36 lakh units during Q4 of last year.

In the international 2 -wheeler market, the company sales grew by 47% at 2.36 lakhs as against 1.61 lakhs during Q4 of last year. We sold 49,000 units of electric 3 -wheelers against last year's 43,000 units of EV. The total 2 -wheeler sales grew by 23%, 10.32 lakhs as against 8.39 lakhs. And the 3 -wheeler sales grew by 4%, 30,000 units as against 29,000 units last year.

Profit for the quarter, the EBITDA

grew by 36% at INR926 crores as against EBITDA of INR680 crores during Q4 of last year. And the EBITDA margin for the quarter is 11.3% as against 10.3% during Q4 of last year. PBT for the quarter grew by 23% at INR672 crores as against INR547 crores during Q4 of last year. PBT for the current quarter includes a fair valuation loss of INR47 crores as against a gain of INR62 crores during the fourth quarter of last year.

Profit after tax for the quarter grew by 18%, INR485 crores as against INR410 crores during Q4 of last year.

On industry and the performance of EV, you know that the EV industry grew by 32% over last year. The full year penetration was at 5.4% as against 4.7%.

Government incentives have been scaled down significantly but originally INR51,000 per vehicle in the previous financial year, it's about INR22,000 in June 2023. Further it has come down from April 2024. The FAME scheme has moved into the new EMPS scheme, and this is valid till 31st July 2024.

TVS was able to absorb a major portion of this reduction through the cost reduction initiatives, scale benefits and commodity cost reductions. We believe the industry will continue to grow and with the support from the government and improvement in the infrastructure.

During last year, the EV volume grew by 100%, TVS iQube established as a very strong brand in the EV segment with its technology, features and best -in-class quality. TVS iQube, I'm extremely happy that we have crossed now cumulatively 3 lakh customers in India. We also expanded network. We have moved now to almost 712 touch points in India.

We are happy to inform you that during the month of April, the company was awarded PLI scheme for its current 2 -wheelers in EV portfolio.

Some of the EV products planned pipeline are in the final stages. You will be seeing new launches in the upcoming quarters, which is appealing to various customer segments. We are also extremely happy that we will be announcing multiple options in TVS iQube to provide appropriate range and price combinations with different battery capacity to our customers because this is very, very critical. This also an insight from our customer understanding.

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All of you know that TVS X, the premium electric crossover, which we have developed many advanced technologies, including cutting edge connectivity, which was showcased in various international markets. We are reaching out to those who booked, and they are very excited with the ride experience they have got, and we are starting deliveries in the next few weeks.

As you are aware, during this year, we have started exporting TVS iQube to few ASEAN markets and the Asia market. We strongly believe that India will emerge as a major exporter of 2-wheeler and TVS M will expand its EV product sales to both the developing and developed countries.

With the well-planned product lineup on EV from TVS, the continuous improvement in the EV supply chain and infrastructure, we are confident that we will continue to be a strong player in the EV segment.

On TVS Credit. During the last financial year, TVS Credit achieved a significant milestone with over 1.3 crores customer base, book size crossed INR25,000 crores, grew by 26%, now it is at INR25,900 crores. TVS Credit PBT for the year grew by 49% from INR512 crores during the financial year 2022-23 to INR763 crores. All of you know that company raised external funding during the year, demonstrates strong financial position of our company.

Various digital transformation projects help the company to provide superior customer experience. Now TVS CS offers products and expanded portfolio financing for used car consumer durables, new and used tractors, used commercial vehicles and now we have started gold loan apart from 2-wheeler and 3-wheeler financing.

When we look at '2024-25, India GDP growth is anticipated

to surpass initial estimates with

expectations of around 6.5%. India will be one of the major economies in terms of the growth.

The growth is underpinned by the key socioeconomic fundamentals and proactive and consistent policy by the Government of India and RBI. And we are expecting that the monsoon this year is likely to be normal.

The ongoing geopolitical issues may affect the supply chain. Presently, we are not envisaging any major disruptions due to this. In the last 3 years, we have seen some of this disruption in supply chain, and we were able to alleviate most of these constraints. The company manages a diverse multi-source global supply chain to counteract these risks. We are expecting this year, the 2-wheeler industry will have a healthy growth. We expect the growth to come from urban and rural, starts improving this year.

During the last financial year, the product whatever we have launched has helped us to significantly grow better than the industry, primarily led by TVS Raider amongst many, many products like Jupiter 125. We are very confident that the growth momentum will continue this year.

In IB 2-wheeler market, we anticipate to see a certain level of recovery in this year. Some of the major African markets are showing some recovery, some continue with challenges. We continue

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to upgrade our product portfolio with a lot of customer attractive features, best-in-class quality, and this will further strengthen our position in the international markets.

This year, you will see new products from the company, both in ICE and in EV. Coming to IB 3-wheeler, we are expecting Africa to have muted growth in the first half and expect recovery during the second half of the year. We could see positive momentum coming from LATAM and Southeast Asian market.

On EBITDA, I am very sure all of you would have seen during the last 5 years, company was able to consistently improve. 2019-20, EBITDA was at 8.2%, and now this quarter, we are at 11.3%. Continued focus on cost reduction, continued growth with new products, premiumization, strong brand and IB has helped the company to achieve this.

Company has invested in various digital technologies, software, electronics, and innovation across areas to improve customer experience, retail and service management, manufacturing supply chain best-in-class features to all our new customers and new products.

On commodities. Last year, we could see softening of commodities. There are some increases during this quarter, but we are pretty confident that with the kind of product range what we have, and sustained focus on better product mix and cost reduction initiatives. We are confident that our EBITDA journey will continue to improve quarter after quarter.

Ownership experience, product quality, cutting edge technology and the customer delight factors coming from J.D. Power. We are very, very confident that with Apache, Jupiter, Jupiter 125, iQube, Raider, Ntorq and the Star range in HLX and TVS King and Roni n, we will continue to grow faster than the industry, both in domestic and international. Thank you.

Moderator: Thank you . We will now begin with the question -and-answer session. The first question is from the line of Chandramouli Muthiah from Goldman Sachs.

Chandramouli Muthiah: My first question is on the PLI scheme comments that you had made in the prepared remarks. So it appears that across the industry, there's been between 3% to 4% price hikes after the FAME II subsidies have been reduced. And now that you are eligible for PL I scheme subsidies potentially 13% to 15% subsidies going forward. And there's more iQube products on the way in terms of leveraging the EV platforms? Just trying to understand what sort of time frames you have in mind for a potential positive EBITDA or EBITDA breakeven in the electric 2 -wheeler business,

just keeping these factors in mind?

K. N. Radhakrishnan: There are two important points in the EV space. Thanks to the PLI scheme, I think that will help the company. We are also now based on our learning in the market, the iQube will have more affordable, multiple options to the customers with the different battery capacity to provide appropriate range and price combination to our customer because that is very, very critical. This is one.

Second, as I told you, we are positive in contribution. At this point of time, since we are investing in many new products, I think we need to continue to invest in R&D, technology and digital TVS Motor Company Limited

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analytics in this area. But I'm pretty confident that the new product with domestic and then going into the international market, both developing and developed, systematically, we can increase the EBITDA and we can first move into positive territory. But what is heartening is the positive contribution.

Chandramouli Muthiah: Got it. That's helpful. My second question is just on the comments you made on more options to be available to customers on the iQube. So just I think in the past 2 to 2.5 years, we have spoken about rough run rate of potential one new launch or one new product refresh on the 2 -wheeler side per quarter. Is that the sort of run rate we have in mind for FY '24? And if you could just give us some colour on what to expect for customers from TVS in FY '25 on both the ICE premium as well as the electric 2 -wheelers pipeline?

K. N. Radhakrishnan: See, the more options on the current iQube will be available very shortly. The new product, whatever I highlighted, the new products you will see in this financial year, both in ICE and EV, okay, they are in advanced stage.

Chandramouli Muthiah: Got it. That's helpful. And just lastly, a couple of housekeeping questions. If you could just explain the negative other income this quarter, where that's coming from? And then also just the spares and the exports revenue for the quarter, please?

K. Gopala Desikan: Sorry, I was trying to understand the question. See, the negative INR46 crores is mainly because of a notional loss on fair valuation of investments held by the company. In the past, the fair valuation gain was accounted in the last year. And if you see the last quarter, the other income was positive at INR70 crores where we had a realized gain on sale and notional loss on fair valuation of investments . And this quarter, there is a loss which is notional with regard to INR46 crores of fair valuation of an investment held by the company.

Chandramouli Muthiah: Got it. And just the spares revenue and the exports revenue for the quarter, please?

K. Gopala Desikan: Just a minute. Spare parts and then exports, correct? I think the international business is about INR2,038 crores. Spare parts for the quarter is about INR815 crores.

Moderator: The next question is from the line of Aryn Pirani from JPMorgan.

Aryn Pirani: So my question, again, is on the EV side, but on a potential launch timeline for the 3 -wheeler EV because I think that is also something that we have been working on. So can you give any timeline as to by when we are thinking of this launch and whether this will be mostly a domestic focused product? Or are there plans to export that also whenever we do launch it?

K. N. Radhakrishnan: It is also in the advanced stage and these products on EV will be not only for India, but also for many of the markets in the international market.

Aryn Pirani: Okay. So this financial year, should we expect the 3 -wheeler EVs?

K. N. Radhakrishnan: Yes.

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Amyr Pirani: Okay. Secondly, on the ICE side, a 2 -part question . The Scooters including ICE scooters as a whole have still continued to grow despite EVs, how is the difference betwe

en the 110cc and

125cc? Are we starting to see some pressure on the 110cc scooter, and what's your expectation going forward? And secondly, over the last few years, you have launched quite a few ICE products and addressed a lot of the white spaces. So when we are thinking of more ICE launches, is there any specific segment that y ou are looking at for the next, say, 12 to 18 months on the ICE launches?

K. N. Radhakrishnan: I'll go step by step. I think overall, scooter, according to me in the industry, the segment share of scooters will go up because scooter have got exponent advantage and we should know that current 30%, 32% will go up. So expansion in the scooter category will definitely happen. Okay? And that will have both ICE and EV. This is number one.

Number two, the customer when people have 110c c and 125cc, according to me both will grow. The reason is 2 -wheelers have got the unique advantage. And especially scooters have got the unique advantage of both men and women and both urban and semi -urban. And it's also now getting into rural because the road infrastructure, defini tely in India is improving now. So that is one of the critical reasons why scooter category is growing ahead of any other categories.

Number t hree thanks to the population and the demography, I think those people who are in 110cc, they want to upgrade, and they will move to 125, okay? And this is not natural, okay? But more people will get into 110cc, because there are enough young people who wants to start the 2 -wheeler experience.

And 2 -wheelers, because the public transport challenges and India growing in the population.

And you know the flexibility what a scooter provides even in urban cities. So I'm of the view that you will see growth in both 125cc and 110cc, okay? Because of the customer segment, demography and the opportunity to grow and flexibility what it offers. I hope I h ave answered you.

Amyr Pirani: Yes, sir, that's very helpful. And sir, if you could shed some light on potential launches on the ICE side. Is there a particular category that we should be looking at?

K. N. Radhakrishnan: The opportunities are there. Significant opportunities are there, I can tell you. And we constantly look at the white spaces and this will be 2024 -25 will be a very, very exciting year. That's why I said you will see both in ICE and in EV, you will see launches from the company, which are fairly in the advanced stages.

Moderator: The next question is from the line of Pramod Kumar from UBS.

Pramod Kumar: And my first question is more of a follow -up on spare parts because we've seen that despite having probably the fastest revenue growth or volume growth in the industry for the last 5, 10 years, your spare parts growth is not above the trend line because we 've seen some of your peers grow their spare parts exposure from like 8%, 9% to somewhere like 14%, 15% of revenue. But for you, spare parts is still well below the 10% and which is average. So is there something

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which you're leaving on the table here in terms of potentially doing more spare parts, which can help the business?

I'm just trying to understand or reconcile the divergent trends on spare parts in the last 3, 4 years between you and the peers. So, if you can just help us understand this aspect better.

K. N. Radhakrishnan: Always I respect my competitors because I learned from them quite a lot. On ours, I always look at we have hub and spoke model , and we look at the primary sales, secondary sales and the stocks. So based on that, when we look at it I'm not saying that we are meeting full demand, but our service levels I don't think our customers have to wait for spare parts. So we look at -- but it's appropriate in the market and we are able to grow.

Maybe there are opportunities to grow, but we will always keep the retailers and the operate part

stockists and our dealers with the right kind of stock because it's very, very critical that we should not overstock the people, and it should work as the full system . That is what we focus on. Okay. Definitely, the opportunities are there to grow. But we are not missing from the customer satisfaction point of view in terms of the spare parts.

Pramod Kumar: And second question on the electrification strategy. Because what we see is like your comp etition have done multiple launches, multiple rounds of price cu ts, discounts and all of that. And you've been far more disciplined in that sense and the market share has also had a much better than what one would have feared given the competitive landscape. So how what explains

this? And how should one look at the kind of addressable market expansion, which you can aim for with new launches what you're talking about?

And related to that is on the 3-wheeler opportunity because more than 90% of your 3-wheelers are exported. And domestically 3-wheeler ICE franchise has not been that great. And how could that change with the electrification shifts? And also if you can confirm whether it's you're going to be foraying into the cargo 3-wheelers as well with the electrification E3-wheeler platform launch?

K. N. Radhakrishnan: See, E3-wheeler will definitely give us an opportunity in the domestic market. And there is a great opportunity for us in the domestic 3-wheeler space. On the overall EV strategy, we always look at the customer and we can give them that's why I said you can look at what kind of options multiple options with a different battery capacity on TVS iQube and appropriate range with price combination to our customer because it is very, very important that the customers respect the brand, they look at overall engagement with the company and overall going forward.

So while there may be challenges, we believe that it is more important to build the brand in a big way, and we are on the right track. However, from the learning in the market and the customer requirements, I think we will have more variants and multiple options for our customers. That is the way we look at it.

Pramod Kumar: So on the 3-wheeler side, sir, domestic, how big that opportunity could be? Because you've done very well on the export side, taken market share meaningfully. So how big could be the 3-wheeler domestic opportunity here sir?

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K. N. Radhakrishnan: It's a very important area. We will definitely focus this year to improve our presence in the domestic market with the new product launches in EV. So we will definitely focus on that.

Pramod Kumar: Last question to Desikan sir. Sir, on the recent nonconvertible debenture. If you could just help us understand the thought process behind that because you do have a INR1,400 crores of debt on the balance sheet when you're committing to a large payout. So how should we as analysts look at this commitment? And what does it imply for your capex requirement investment going forward? And also on the cash flow implications. So if you can just help us understand the thought process there.

K. Gopala Desikan: Sure. Before getting into this specific question, let me just try to give you an overall picture. Last year, we have generated an operating free cash flow of around INR2,300 crores. And after meeting the capex and the investments, whatever we have done overseas, I have reduced my debt by INR1,000 crores. So that's the first important point that after considering the capex after considering my investments, I have repaid, reduced my debt by INR1,000 crores. This is the first thing.

Now coming to what we are talking about, this NCRPS nonconvertible redeemable sorry, non-convertible preference shares as a bonus shares. What we are contemplating is an issuance of around INR1,900 crores, which carries a coupon of

6% and this is subject to NCLT process

where approvals will be obtained. And it is a bonus. We do have sufficient reserves, and this is payable after receipt of NCLT order 12 months after that.

Therefore, this outflow is expected to happen 18 to 24 months from now, and we are very confident of generating cash flows, which will be met out of the free cash flow generated by the company. And this is a bonus to all the shareholders without exception.

Pramod Kumar: And sir, what is the implication on your capex and investments for FY '25? And also, if you can talk a bit more about your subsidiary performance ex of financing, basically Norton and the European operation as to how are they shaping up because we are losing money there. So what is the outlook going forward there for FY '25 sir?

K. N. Radhakrishnan: Most important is to look at the Norton, which I highlighted. We are designing, developing and please understand in this financial year last financial year, we have invested almost INR88 crores on design and development, which is completely considered as an expense during Q4. So these investments, I'm very, very sure that we will have a series of products, which definitely is going to help Norton. It's a brilliant brand. And once we have the clear product pipeline, and I'm very sure that you will see this product hitting the market towards 2025-26 financial year. And kindly give us a few more quarters because very, very critical in the premium and super premium to have a good set of products. This is number one.

And the other subsidiaries like European by companies, all of you know that Europe's economy continues to have many challenges, which is affecting all industries, including our SEMG and other companies. Okay. And the selling season has started, okay? And we are very sure that this

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year, the losses will come down comparing the previous year. But these are investments for future. So we have to look at it in a comprehensive way.

Pramod Kumar: And sir, to sum it all, do you still expect to continue to improve your profitability with all these headwinds and tailwinds what you talked about going to FY 2025 -26?

K. N. Radhakrishnan: You have seen our EBITDA journey from 8.2% to 11.3%. And you have seen our top line growing. You have seen our market share market the overall volumes growing ahead of the industry. So definitely, this journey will continue. And the way we have continued to invest in our people, in software, in electronic, digital, analytics, I think these are all investments for the future. So we will continue to invest in the right areas, including the brand, yet grow our EBITDA.

Moderator: The next question is from the line of Gunjan Prithyani from BOA.

Gunjan Prithyani: Just following up on earlier question itself. Can you share guide what will be the capex and investment needs for fiscal '25, including Norton and the European bicycle business as well?

K. N. Radhakrishnan: Capex will be around INR1,000 crores because it is including all our ICE and EV and all the new products. And our investment outflow will be slightly lesser than the last year, maybe around INR1,100 crores to INR1,200 crores, which includes TVS CS also, we will be investing slightly higher than what we said, we maybe investing about INR300 crores to INR400 crores because there are some latest changes in the capital adequacy ratio and norms prescribed by RBI, so for unsecured lending, right, Desikan?

K. Gopala Desikan: Absolutely right. Because the recent circular where we need to have more capital requirement with regards to unsecured lending. So this has necessitated an additional investment of INR200 crores to INR300 crores overall, not additional, overall investment this year, INR300 crores.

Gunjan Prithyani: Okay. Got it. And sir, is it possible to sort of we know the performance of TVS C

redit. And of

course, it's doing very well, you pointed INR500 crores odd PBT. But is it possible to sort of also give us a breakup of how much is the loss in Norton, which I which you said that there will be a product cycle, which hits in fiscal '26. So, I think that we are very comfortable with that, there will be a product coming through. So, in TVS Singapore, the loss does seem very big. But if you can split it with between Norton and the rest of the subs, it will help us gauge what is the impact of Norton, and which will reverse going ahead?

K. Gopala Desikan: Norton is around INR80 crores for this quarter. And as explained earlier, all these have gone only for development -related expenditure, though for accounting compulsion, it is accounted as a loss. But otherwise, all the efforts, resources and money are spent only for the development -related expenses, which is what KNR explained, in the 4 to 6 quarters, things will settle down with the product launches there. So that's how it is.

Gunjan Prithyani: Got it. And second question, sir, is on Apache. You did speak about 125cc Raider, and all have done really very well. But Apache seems to be losing a little bit in the premium segment. What

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is the thought process there? Are we looking to sort of launch more variants in that segment as well or do some intervention? Any thoughts around that?

K. N. Radhakrishnan: One correction. Apache has done extremely well. Unfortunately, VAHAN doesn't give category - wise split. But if you look at overall Apache has done extremely well. You would have seen our even in April last year also, we have done extremely well. Apache is very well-respected brand today. So we are happy, and you will definitely see these are brands where definitely, you will see new variants, new products because one of the strengths of TVS is to constantly give us you would have seen RTR, 310, so definitely, you will see the new products and new variants, okay? Closer to the launch only I can give you exactly split. But that's why I said 2024 -25 will be an exciting year in terms of total EV and ICE launches.

Gunjan Prithyani: Okay. And lastly, sir, any comments on the rural on your moped portfolio because you did sound a bit more optimistic on the industry in your initial remarks. So are you picking up anything on the rural side or lower end bottom of the pyramid recovery?

K. N. Radhakrishnan: Rural slowly and steadily changing. I'm able to see some recovery happening. I'm hoping that this year, even though we are all going through very, very high temperature, severe heat wave, I am expecting this year monsoon to be normal. I think that will definitely help the rural to move much faster. So 2024 -25 we are hoping that you will see better recovery from rural unlike what we have seen in the last year.

Moderator: The next question is from the line of Kapil Singh from Nomura.

Kapil Singh: I just wanted your thoughts on EVs in terms of the operating environment and also profitability.

On one side, we are seeing a drop in costs. At the other side, we are also seeing market pressures.

So how is your profitability evolved through the year? Is it on an improving trend? Is it steady?

If you could give some colour ?

K. N. Radhakrishnan: See, what is most important is what I highlighted. TVS iQube is one of the preferred choices by the customer, and it is definitely the customers are extremely happy, especially the owners are extremely happy. This is number one. Now we are also planning to come with variants depending upon the customer usage of multiple choices to the customer because there also customers have got different range requirements, battery capacity requirements. So this is also second.

Third, we will also come back with the new products this year. And as I highlighted, we have started now exporting last year. I'm overall

I'm very confident that the top lines will systematically go up. Of course, there are headwinds in terms of unprecedented discounting, but we want to be very steady, and we will look at the customer. And we are looking at a very smooth transition of putting more products, looking at the customer segment and growing the market, okay? And I'm very sure that 2024-25, you will see more of that, and we will systematically build it up.

Kapil Singh: Is it profitable, sir? Or at this point, it is diluting the margins?

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K. N. Radhakrishnan: I told you; it is an investment. I don't look at it as a dilution at this point of time. Any investment, initially there will be challenges. But the good news is in contribution wise it is positive. When you invest behind you start looking at the new products and you start growing the top line. And also, we are investing in many of the technologies, which will be also the useful price.

For example, whatever I spoke about the digital connectivity, many of these things are required from the customer, whether EV technology or ICE technology. So these are all investments, not only for EV in my opinion, this will also help our ICE portfolio. So overall, whatever we are investing in software or in electronics or digital or connectivity or any kind of such new technologies will be definitely useful to delight the customers in the overall portfolio of TVS.

Kapil Singh: Understood. Sir, you are also observing the customer behaviour very closely. Just wanted your view like over the next, let's say, 5 years, do you see a point where ICE scooters as the market starts to decline, and it starts shifting to EVs? Or do you think even in 5 years, both EVs and ICE scooters will continue to grow.

K. N. Radhakrishnan: My first opinion is this 30% or 32% of the scooter category will further expand, okay? It will definitely go to 35% and maybe 40% in the period, what we are talking. So according to me, there's a great opportunity to both grow ICE as well as EV because customers will choose the technologies and depending upon their convenience and comfort, they will choose whichever technology. According to me, customers are not -- they are agnostic to the technology. They have usages. Depending upon the usages, some people will prefer the EV, some people will prefer the ICE. So we should be investing in both and making sure that we capture this opportunity on both EV and ICE.

Kapil Singh: Sure, sir. If you could give just finally some data points on price increases taken in Q4 and Q1 and also the direction on commodity price movement.

K. N. Radhakrishnan: Q4, I don't think we have taken any price increases, just give me a minute. Yes, I don't think we have taken up any prices in Q4. We have taken some marginal price increases, I think, in the month of April. I think about 0.3%, something like that, we have taken up, because there are some increases in some of the commodities, not so high, but very, very mild. So we have taken about 0.3%.

Moderator: The next question is from the line of Raghunandhan N. L. from Nuvama Research.

Raghunandhan N. L.: Sir, the FY '25 expected to be a healthy growth year in domestic market. I wanted to get a little more sense on the rural side. How do you see the rural recovery to pan out? And how would that help the entry-level segment where you have products like the Star City is? Would you expect that segment on a low base to see a similar growth compared to industry? Or would you still feel that scooters and premium executive motorcycles will do better than the overall industry growth?

K. N. Radhakrishnan: First, I will answer about rural. Like I said, rural we are able to see some positive momentum. My assumption is this year, the monsoon is likely to be normal. That will help in more positive confidence in the rural market. Already, there are no

closures. Now it is the activity level are

far, far higher. And rural is more self-employed if you look at it. And there, self-employment is

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moving up now. And if you look at post-COVID, the customers were postponing the buy, I think

they will come back. That is one key hypothesis this year.

But please understand rural doesn't mean that only entry level. okay? Today, rural India, if you look at smartphones, you compare, so you can't say rural means entry level. There also, they are very aspirational, and they will look at products like Apache or Raider or Ntorq, I think they are very aspirational.

There are set of customers who are budget customers. They are very clear. They look at the price tag and they will look at only that. And if it is more of entry level and people look at for self - employed, then they use it for utility purpose. But please understand their young generation in the rural, they want only aspirational products. So it's not, according to me, appropriate to say that rural means entry level. okay? So this is my understanding of the customer segment in the rural.

Raghunandhan N. L.: And roughly how big would be the rural portion?

K. N. Radhakrishnan: Retail financing also making huge impact in the ability of these customers to look at a little bit higher price, better in terms of aspirational product even in the rural.

Raghunandhan N. L.: Got it, sir. And so that premiumization helped by retail financing, how would be the share of rural in your overall domestic sales? Broadly, would it be 45%, 50%? And also if you can share the financing ratio.

K. N. Radhakrishnan: Financing ratio currently is around, just a minute, it's around 56%. RF penetration for TVS Motor is about 56%. This is organized. I think there will be some local financing also happening on top of it, which is depending upon the dealer and the local financing company. But 56% is a healthy number. And I think rural also similar in terms of financing.

Raghunandhan N. L.: Got it. And the share of TVS Credit?

K. N. Radhakrishnan: TVS Credit is about 40% in this.

Raghunandhan N. L.: Got it, sir. And rural share in your domestic sale, would that be in the range of 45%, 50%?

K. N. Radhakrishnan: Yes, around that. Because like I said, the rural the composition of our premium product scooters, we are also seeing they are also moving well. And the infrastructure investment in the rural is also helping this. Today, the number of good roads what you see in the rural and the speed at which it is getting implemented is also improving. So that is also helping 2-wheelers.

Raghunandhan N. L.: Got it. And sir, like on the executive premium side, you have done very well. And one of the lucrative segments for the industry is cruises, Ronin is selling about 2,000, 2,500 units every month. So how do you see or how do you target improving position in cruises in terms of products, network, riding ecosystem? Would you bring more new products under the Ronin platform or Norton brand in FY 2024 -25?

Moderator: Sorry to interrupt you, sir. May I request you to join the queue for your further questions.

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Raghunandhan N. L.: Yes, that was my last question.

K. N. Radhakrishnan: Ronin has started doing well, and we are very confident that it will grow further. These are opportunities for TVS because this is a space where we have just started, okay? And there is great opportunity in this category.

Moderator: The next question is from the line of Sonal Gupta from HSBC Asset Management, India.

Sonal Gupta: Congrats on your consistent performance and improvement over the years. Sir, just on trying to understand on the EV side, right, like you mentioned that there is clearly a very aggressive price competition happening in this space and that has sort of dent

ed your market share as well?

Although, I think it's still a respectable performance, but just trying to understand if the environment was to persist like this, then how do you plan to address this? So will you be addressing this through a variance which narrow the price gap? Or what is going to be the strategy for TVS in terms of the EV 2-wheeler space?

K. N. Radhakrishnan: Two things I wanted to highlight. If you look at our March and April, the FAME II went into the EMPS, and we were very clear. So we moderated our supplies into the market because we don't want any of our dealers to be under pressure. And post that, April, you have seen our dispatches and now the transition is almost done, and our market share almost every day, you will be seeing our market share going up, okay? This is number one.

Number two, based on the customer understanding, we want to also offer at whatever I highlighted, multiple options with the different battery capacity, and that will also help the customers with appropriate range and price combination. That is the second strategy.

Third strategy is the new product. Fourth strategy, we are also going to step by step increase availability in India, overall India. And fourth and fifth strategy is going to be getting into many developed markets and developing markets. So it's a very systematic approach, how we are going to build it up. And we are investing behind technology, people, software, and many of the things are completely designed and developed by us. So we are pretty confident that this is the right way to build it up.

Sonal Gupta: Got it, sir. Sir, just on the capex and investment side because this has consistently been at fairly high level of around like INR1,000 crores for the last few years and again, investments in excess of INR1,000 crores. So could you give us some more sense, right, like how much of this capex is product development versus, like capacity enhancement versus some localization, just trying to get more sense on where the money is going, right?

K. N. Radhakrishnan: See, most of them are in the new product development. Because manufacturing, we did about 4.2 million, and we have capacity up to 5 million. But in the case of example, some of the EV, we have our battery management system, and we have the battery cell and battery management inside the company. So we have established lines there. So I would say that capacity enhancements related to the new product, maybe internally about 20%, remaining about 60%, 70% maybe in the new product development. And, we are investing behind digital and technology.

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This is one area we are also focusing. So overall, if you ask me, more than 80% will be new products, digital, new technologies. Maybe about 15% will be on the manufacturing line because capacity is not the problem. But EV, there are investments on battery management systems, TVS motor, for example, we have battery line inside. So I'm giving you a broad estimate.

Sonal Gupta: Right. And similarly, on the investment side, like you mentioned on the TVS Credit is going to be about INR300 crores and maybe INR300 crores, INR400 crores and is going into Norton as well given the current run rate of loss that we are seeing.

K. N. Radhakrishnan: Absolutely right. About INR400 crores in TVS CS, maybe INR400 crores of Norton and the other new projects, whatever we have started, they need some supplementing. So all put together about another INR400 crores. So you can say INR400 crores, something like that.

Sonal Gupta: Got it. And just lastly, like you've said that international expansion like you're looking like you launched TVS X in Europe. So like, is that going to be a calibrated thing? Or are we investing significantly for that as well in terms of the international and developed market expansion?

K. N. Radhakrishnan: At this point of

time, we are starting with some of the new products, whatever we have, but more we get into those markets, we have to look at and understand that we are trying to get good distributors there and then try to leverage the existing products. But going forward, maybe we may have to look at some new products, but we can always leverage our products from India. We can look at the EV, we can also look at Norton. So the range and the kind of product what we can get from India, Indonesia and EV plus Norton. That is going to give us one of the best ranges and which we can look at going forward in the developed market.

Can we take the last question, please?

Moderator: The next question is from the line of Pramod Kumar from UBS.

Pramod Kumar: And sir, just some clarification on the new electric 2-wheeler launch. I just want to clarify that iQube is the existing product where you are launching new variants and there will be another EV platform for 2-wheelers. Is that understanding right, which will get launched this year?

K. N. Radhakrishnan: See, iQube I said, you will see more variants depending upon the customer need or range, okay, that you will see immediately. But the new products, what I highlighted is on both, that will be in EV and ICE. That will be during the financial year.

Pramod Kumar: Okay. So we're talking about 2 different products, yes, that's good. And sir, on CNG, any thoughts, sir, on the 2-wheeler side because there is increasing CNG distribution, which has been focused by the government. And do you see opportunity for CNG as a fuel on 2-wheelers?

K. N. Radhakrishnan: I think we have to closely look at these are all opportunities, multi-fuel, EV is one such option. CNG is another option. Already we have presented CNG 3-wheeler, okay? And flex fuel is another option. So we have to look at multiple options, okay? Once we are very firmed up, then I can share with you more details about which are the products and how we are looking at.

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Pramod Kumar: So okay. Just to understand, just to confirm it, you have the capability on the R&D side, but you will act on it based on how you see the customer response. Is that understanding right?

K. N. Radhakrishnan: The strength of TVS is strong R&D. You have seen the strength of R&D and you have seen the kind of product design and development capabilities. And the way we have launched the products and how they are successful, that is the capability of TVS.

Pramod Kumar: Yes. One question on the Raider side, sir, because you've talked about increasing aspiration of rural customers. Is there a data available with you for the 40-odd-thousand Raider what you sell?

How many of them are first-time buyers of motorcycles or first-time buyers of a 2-wheeler as a

customer?

K. N. Radhakrishnan: My experience shows that their biggest challenge is the budget customers, they look at only the price tag. But there are enough proportion of customers I'm seeing more and more they look at the premium products. And the retail financing is one of the enablers which is helping them to look at definitely, for example, Jupiter 125, Ntorq and maybe entry level Apache 160 2V, that kind of product, okay? They may not look at initially, but they are able to look at products like Raider definitely. So that transition is happening in India.

Pramod Kumar: The transition is happening. So the comeback in the first-time buyer may not necessarily be only in 100cc commuter motorcycle. As and when the rural markets revive and demand comes back, you could see that coming even on the 125cc product category also, right? Like what we've seen in...

K. N. Radhakrishnan: The best analogy I have seen is smartphone. So India, it is aspirational, even rural is also aspirational.

Pramod Kumar: And sir, last one request, like some of your peers also call out

the losses in the EV side separately

because it's an industry which is not going to be turning profitable any time soon. So sparing that out gives us a better visibility in your underlying ICE margins where you've already expected reasonably. But and given the fact that this quarter, you had elevated EV sales and higher discounts also towards March. If you can just help us understand, has ICE margins moved to the 12% to 13% corridor as we speak because you do have reasonably high EV exposure.

K. N. Radhakrishnan: We look at EV as an investment. And totally, we have improved quarter after quarter our EBITDA last year. Our objective is to delight the customer. That is why you have seen the J.D. Power results. And quarter after quarter, you have seen with right investment behind product, brand, people, capability, technology, we are able to deliver consistently our EBITDA. So that is the way we look at it. Okay?

I would like to thank all of you. I think I wanted to highlight that 2023-24, thanks to all the customers. We have got the highest revenue of INR31,776 crores and highest profit of INR2,781 crores. Our quarterly operating revenue grew by 24% and with our unwavering focus on consumers, quality, we are confident of continuing this growing ahead of the industry.

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We will continue to leverage scale benefits and focus premiumization and sustained material cost reduction, which will enable us to improve our EBITDA. Yet, we will invest in the right technology and people and products. We are very happy that we are continuously improving our EBITDA over the last 3 years. And thank you, everyone, for your confidence as we continue to deliver consistent performance, top line and in EBITDA. Thank you.

Moderator: Thank you. On behalf of Batlivala & Karani Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

Website: www.tvsmotor.com Email: contactus@tvsmotor.com CIN: L35921TN1992PLC022845

12th August 2024

BSE Limited,
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Scrip code: 532343 National Stock Exchange of India Ltd
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Bandra -Kurla Complex,
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Scrip code: TVSMOTOR

Dear Sir(s)/ Madam,

Reg : Compliance under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

In continuation to our intimations dated 23rd July 2024 and 6th August 2024 with respect to the schedule of a conference call with M/s. B & K Securities post results for the quarter ended 30th June 2024 and intimation on the audio recording, respectively, we wish to inform that the transcript of the said recording is enclosed and the same has been hosted on the website of the Company and is available at:
<https://www.tvsmotor.com/en/Investors/Communication>

We also enclose the said transcript for your reference.
Kindly acknowledge the receipt.
Thanking you,

Yours faithfully
For TVS MOTOR COMPANY LIMITED

K S Srinivasan
Company Secretary

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"TVS Motor Company Limited Q1 FY25 Post Results
Earnings Conference Call "

August 06, 2024

MANAGEMENT : MR. K. N. RADHAKRISHNAN – DIRECTOR & CHIEF

EXECUTIVE OFFICER , TVS MOTOR COMPANY
LIMITED
MR. K. GOPALA DESIKAN – CHIEF FINANCIAL
OFFICER , TVS MOTOR COMPANY LIMITED
MODERATOR : MR. ANNAMALAI JAYARAJ – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

TVS Motor Company Limited
August 06, 2024

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Moderator: Ladies and gentlemen, good day and welcome to TVS Motor Company Limited Q1 FY 25 Post Results Earnings Conference Call Hosted by Batlivala & Karani Securities India Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities India Private Limited. Thank you and over to you, sir.

Annamalai Jayaraj : Thank you. Welcome to TVS Motor Company Q1 FY25 Post Results Conference Call.

From TVS Motor Company Management, we have with us today Mr. K. N. Radhakrishnan – Director and Chief Executive Officer and Mr. K. Gopal Desikan – Chief Financial Officer.

I will now hand over the call to Mr. KNR for the Opening Remarks to be followed by question-and-answer session. Over to you, sir.

K. N. Radhakrishnan: Good evening, everyone, and thanks for joining us today Q1 of FY25, the Company continued its growth trajectory, posted its highest revenue, EBITDA and profits. This was possible through continued improvement in sales, better product mix, and sustained cost reduction initiatives.

When we look at the Q1, the Company's operating revenue grew by 16%, Rs. 8,376 crores as against last year's corresponding quarter Rs. 7,218 crores. Two-wheeler domestic ICE sales grew by 14% compared to Q1 of last year. We grew ahead of the industry in retail. Two-wheeler in international market, Company sales grew by 16% over the last year.

Total two-wheeler ICE sales grew by 14% compared to last year Q1. EV two-wheeler sales is at 52,000 units as against last year Q1 of 39,000. Total sales, three-wheeler is at 31,000, slightly lower than first quarter of last year.

On profits, during this quarter, the Company registered highest ever operating EBITDA Rs. 960 crores with a growth of 26% as against EBITDA of Rs. 764 crores during Q1 of last year. And you note that we have not recognized PLI incentive in this quarter. The Company's operating EBITDA margin improved by 90 bps at 11.5% as against 10.6% during last year first quarter and as you know, Q4 last year financial year 24 was 11.3%.

Company posted its highest ever profit before tax of Rs. 783 crores recording a growth of 28% during this quarter as against Rs. 610 crores in the first quarter of last year. PBT for this quarter includes Rs. 28 crores towards higher valuation of the investments held by the Company. Profit after tax grew by 23%, Rs. 577 crores as against Rs. 468 crores during the first quarter of last year. Q4, the PAT was Rs. 486 crores.

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On TVS Credit :

TVS Credit continued to do very well. Now we have more than 1.5 crores customer base. Book size crossed already 26,000 crores; the book size is Rs. 26,351 crores. Book grew by 20% over last year Q1. TVS Credit PBT for the quarter grew by 19%, Rs. 187 crores as against Rs. 157 crores during Q1 of last year. TVS Credit services by leveraging cutting-edge technology and analytics offers products in expanded portfolio, financing for used cars, consumer durables, new and used cars, used commercial vehicles, mid-corporate loan, gold loan, apart from two-wheeler and three-wheeler financing.

Regarding Norton :

We are planning to launch already 6 new products for the next 3 years. The first of these models will be available end of next year and it will also go on sale India soon after the international launch. The new range of motor vehicles will be affordable than the current line up while we still retaining the

premium positioning that TVS is keen for Norton to command. As you know, Norton is super premium and this brand has got great value.

On EV :

TVS iQube established as a very strong brand in the EV segment in its technology that features

best in class quality. During this quarter, Company introduced new variants to the iQube portfolio for making electric mobility accessible to everyone. TV S iQube is now available in three battery options to choose from 2.2kW, 3.4kW and 5.1kW. TVS iQube now offers an array of 5 variants available in vibrant 11 colors making this one of the largest and most attractive EV portfolios in the market. The feedback from the market and the customers are very positive. As you know, we have a well-planned product lineup for electric mobility and you will be witnessing some of the launches soon. Last year, we started TVS iQube to ASEAN and Asian markets. We will expand EV product sales to both developing and developed markets. We strongly believe that India will emerge as a major export hub for two-wheelers EV. The continuous improvement in the EV supply chain and infrastructure, we are confident that we will continue to be a strong player in the EV segment.

On outlook for Q2 :

The recent budget laid by the Government of India focused on employment generation, continued higher commitment to infrastructure and rural economy. This will add to the present momentum. We are expecting rural to recover. With expected normal monsoon, we could witness robust growth in Q2. For the first time we are seeing rural doing slightly better than the urban. The improving road infrastructure and economic environment will drive the demand for two-wheeler mobility. And two-wheeler has got a huge opportunity in the medium and the long term given the challenges in mobility as well as also investments from the government on the infrastructure and road development.

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During this first quarter, the ICE Vahan industry grew by 13% over the first quarter of last year. I think this is an excellent comeback on the Vahan growth. On international business, there were some challenges in Red Sea that is affecting the transit times and increased also timely availability of vessels containers is a concern. We had some challenges in our dispatches in Q1. We have taken enough countermeasures to mitigate these challenges and situation is likely to improve in Q2.

During this quarter, we added HLX 125 5 gear to our portfolio. The new motorcycle offers features that are powerful and efficient. It has best in class durability, requires minimal maintenance as a superior engine, provides excellent mileage and performs across terrain. This will definitely further strengthen our international product portfolio. Certain select African markets are facing challenges due to currency devaluation and persistent inflation. However, considering the base effect in our assessment, the possibility of further decline in Africa is low. We feel that we will be doing better in Africa this year. LATAM gives us a huge opportunity. We have started exporting to LATAM. Asia, we are seeing some challenges in Bangladesh, but we are hopeful that things will settle down soon. Middle East also a huge opportunity for TVS and we are strengthening this area.

Our upcoming launches :

I want to highlight that there will be launching one product in ICE and one product in EV which will be coming soon in this quarter and that will further strengthen our excellent range of product portfolio. Our strong product portfolio; our unwavering focus on the consumer's quality, new products and attractive quality and technology with features, we are confident that we will outperform the industry both in domestic and international market. We are extremely happy that EBITDA has already crossed 11.5. We will continue to leverage scale benefits, better product

mix and sustained effort on cost reduction. This will enable us to further improve our EBITDA going forward. We are very confident that with all the product brands, portfolio of brands starting from Apache, Jupiter, Jupiter 125, iQube, Raider, Ntorq, the Star Range, HLX, Radeon, TVS King, TV S Ronin, we are very confident that we will do better than the industry in both domestic and international across ICE and EV segments.

Thank you.

Moderator : Thank you. We will now begin the question and answer session. Please go ahead. The first question is from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.

Chandramouli Muthiah: My first question is just on the other expenses line. This quarter seems to be about 11.4% of the total top line. The last time we had another expense this high in ratio versus top line was around the June 2020 quarter during COVID. So, I just want to understand is there any one-off in the other expenses line item this quarter, because we've seen 3% QoQ revenue growth, but other expenses have grown much, much higher?

K. N. Radhakrishnan: Other expenses, you are comparing Q1 of last year to this year, Q1?

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Chandramouli Muthiah: I am just saying the 11.4% other expenses ratio versus topline

K. N. Radhakrishnan: There are three important things. One is variable nature, packing freight everything has gone up. It's about Rs. 60 crores. This is primarily because of the increase in turnover. And also the investment in brand building activities, which has resulted in increase in marketing expense of almost Rs. 87 crores. And as I have highlighted earlier, we are investing in digital technologies and innovation. That is another Rs. 35 crores. So, effectively it is between variable expenses of almost Rs. 60 crores and brand building in marketing about Rs. 87 crores and digital and another innovation activity is about Rs. 35 crores.

Chandramouli Muthiah: Got it. That's helpful. Second question is related to the PL I incentives. So, just want to understand, I think most of your peers in the two-wheel industry are already booking the PL I incentives and you are also eligible. So, I just want to understand what the thinking is behind holding back from booking the PL I incentives in our accounts and how to think about as and when we book, will it sort of be lumpy for the whole year, particular quarter next year?

K. Gopala Desikan: One is as informed by KNR, we have not recognized the PL I in the reported numbers. Our products are eligible and are certified and we meet all the requirements of DVA. Only recently the government has issued an SOP in this regard. We are in the process of finalizing a revenue recognition for this purpose. Conservatively, we have not recognized PL I incentive. And second question, you have asked that as and when you recognize, it has been a bumpy number. The answer to that is we will clearly give a note that what is relatable to this quarter and what is relatable to the previous quarters as and when we recognize.

Chandramouli Muthiah: Got it. That's very helpful. And my last question is just around if you could give us the export revenue for the quarter, the spares revenue for the quarter and also if you could roughly indicate what is your current annual exposure in volume terms to Bangladesh?

K. N. Radhakrishnan: Bangladesh is very, very small. I will answer from that as far as we are concerned, because there were some modifications and structuring, we were changing in Bangladesh. So, numbers are very, very small. In terms of IB total revenue, Rs. 1963 crores for Q1. Parts is about Rs. 846 crores.

Moderator: Thank you. The next question is from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh: Can you talk about we had a good improvement in the gross margins for the quarter, raw material to

sales ratio seen significant drop. So, was there softening of commodities, price increases, if you could give how much and how much each of these are contributing?

K. N. Radhakrishnan: I think between this year Q1 to Q4, primarily it is sustained material cost reduction initiatives and the product and geographic mix. That is the reason of about 1.4% benefit. Of course, there was a small selling price increase and there was a commodity price increase. I think the selling price increase was about 0.2% and commodity price increase /cost increase was also similar. So, primarily it has come from the material cost reduction and the geography and better product mix.

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Vis-à-vis last quarter, I think there was a price increase of about 0.5%, but there was a strong material cost reduction. And also commodity softening when you compare last year Q1 to this year Q1, so overall these are the key reasons.

Kapil Singh: And your staff cost is also seeing strong growth, so is this sustainable level of staff cost or there are any lumpy items there?

K. N. Radhakrishnan: Staff cost like I always highlighted, there are three or four components in that. One is performance appraisal, approximately about 10% is performance appraisal cost and there were the other additional increases because of the digital and EV and software related, electronics related, we have definitely increased the strength there. So, significant increase has gone to only additions we made. ICE, we have not added people. And for small increase in the production, there are some small numbers, but that will not cost more than Rs. 5 crores.

Kapil Singh: Sure. And sir, lastly, just want to check on the CAPEX plan and investment plan for FY 25 and also we saw some increases in the loss cost with Swiss E-Mobility and also Norton. So, just some color if you could share like what is the operating environment in both of these companies and how should we think about evolution of these losses will be because you're going to launch a few more motorcycles in Norton, for example, will the losses increase a little bit before they start coming down? And similarly, on Swiss E-Mobility also if you can share how the business is doing and what is the growth plan?

K. N. Radhakrishnan: The majority of the investments in Q1 where credit service is about Rs. 300 crores. Norton was about Rs. 100 crores and the electric EV cycle business was about Rs. 30 crores and some small amount in TVS Digital. So, significant proportion has gone to TVS credit services and about Rs. 100 crores for Norton.

Kapil Singh: I will just repeat the question. Basically I am looking for the outlook on CAPEX and investment?

K. N. Radhakrishnan: Outlook on the CAPEX, I think CAPEX plan for this year will be about Rs. 1000 – Rs. 1100 crores. I think that number remains around that.

Kapil Singh: And investment ?

K. N. Radhakrishnan : Investments also will be of the same order, slightly, maybe higher , the total investment.

Kapil Singh: Also I was referring to the full year performance of Norton and Swiss E -Mobility . If you could share some outlook in terms of because we saw loss of Rs. 240 crores for Swiss E -Mobility and close to Rs. 400 crores..

K. N. Radhakrishnan : Norton, we are now designing and developing. Like I said, significant proportion is going on in investment, design and development of the product. So, the kind of investments whatever we are making all are towards the engineering development product , all technology investments.

So, everything related to product is the investment there. On e -mobility, as you know, Europe has been very slow this year. Economy has been very slow. And what we have seen is the stock TVS Motor Company Limited

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levels in the industry have also gone up substantially. So, the discounts

in the market are very

high. So, that is the biggest reason. But we are pretty confident that things will be better or possibly in a year's time. So, we may have to have patience this year because EV cycles are definitely going to be very good for the future. The market size is big, but unfortunately you know this year, given the challenges of Europe, what is going through I think that is the biggest problem.

Moderator: Thank you. The next question is from the line of Gunjan from Bank of America. Please go ahead.

Gunjan: Just continuing with the same, Norton in the earlier question , I see that you've mentioned that there will be still eight quarters of investment here. So, how should I think about revenue contribution from Norton starting to kick in ? Should we expect F26 is when the product monetization happens or if it's F27? And when you look at this 8 quarters, is it possible to quantify how much more investments in Norton?

K. N. Radhakrishnan : See next year last quarter you will start seeing the changes because we are looking at end of 2025 , then after that possibly every quarter or every two quarters you will see the launches in a series. And the investments , similar amount will go up because till we come up with the first model , revenue will start kicking in and then possibly you will see how to cut down the investments. But six models we are looking at and they are going to be completely new.

Gunjan: And sir how much has been invested so far in Norton? Can you share that number? So, on Norton only, sir, you also mentioned that it will eventually be brought to India. So, if you can share your thoughts, how should we be thinking about the brand in terms of introducing it in India and are these six products relevant for India as well?

K. N. Radhakrishnan : See, India is a huge market and as you know, India has got super premium customers. So, we are very confident that which product which are applicable to which market closer to launch I will share with you, but I am very sure that we will be launching some of these products in India because they are applicable to Indian market and we are also looking at this as a huge opportunity in India.

Gunjan: And the second question is on the electric pipeline. You did mention you know in the near term you will have two launches, one is electric, one is ICE. The electric launch is on the two -wheeler side or the three -wheeler side because three -wheeler was also something that you've spoken about is due for this fiscal. Any color on that?

K. N. Radhakrishnan : There two-wheeler, there is a three -wheeler, there is another ICE two -wheeler. All you will see between Q2 and Q3.

K. Gopala Desikan: The Norton investment is around Rs. 1200 crores.

Gunjan: And lastly on this whole CNG as a launch option or as a power train, is that something we see viable? Is there a use d case and any thoughts that we could see you guys also looking at a CNG product development?

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K. N. Radhakrishnan : We always worked on multiple technologies. We have flex fuel, we have EV, we have CNG three -wheeler now. See what is most important is we look at there is a product plan and a delivery plan. Since we have the capability, we will study that and we will look at it as and when it is required, so at appropriate time, we will look at it what is required, but there is a very clear product cadence and the launch plans we have already planned.

Gunjan: So, it's fair to assume that it will be EV as a priority for now in terms of product pipeline and CNG is something that we have the capability, but we'll revisit at a later time ?

K. N. Radhakrishnan : I didn't say anything like that, I said there are multiple technologies. We have a very strong R&D and there is a very clear product plan we have and we would like to at the end of the product plan and deliver the

products to the market because these are all based on the customer understanding and white space is in the market. Like I already said, there is CNG three -wheeler, so we look at fossil fuel , we look at flex fuel, we look at EV, we look at CNG . So, as and when it is appropriate, we will look at the market.

Moderator: Thank you. The next question is from the line of Pramod Kumar from UBS. Please go ahead.

Pramod Kumar: Before I start the question, just clarification Norton I missed that part when you talked about the timeline of the first launch, was it end of which year s ir, Fiscal Year '25 or 26 Sir?

K. N. Radhakrishnan : '25.

Pramod Kumar: Fiscal Year '25, is it? That's good to hear.

K. Gopala D esikan: Calendar Year of 2025.

K. N. Radhakrishnan : Yes, calendar year of 2025. For them, it is last quarter of next year, let's put it that way , last quarter of next financial year.

Pramod Kumar: So, that would be FY26, right?

K. N. Radhakrishnan : Yes, '25-26.

Pramod Kumar: Thanks for that, s ir. And the first question is you made a comment on the marketing expenditure being higher by significant amount. Just want to understand, does it include international markets in terms of your marketing plans there and launches and for ay into new markets or is it predominantly for domestic?

K. N. Radhakrishnan : These are all investments done for future brand building and some of our product s related brand building. So, I always say that anything on marketing is an investment. I don't consider it as a cost because we have to build brands. On one side, we invest, we had R&D and technology , we invest behind marketing expenses .

Pramod Kumar: But this includes international market as well ?

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K. N. Radhakrishnan : It is total.

Pramod Kumar: And you talked a lot of digital efforts and R&D efforts. So, if you can just help us kind of get a size, kind of investments you made in terms of headcount, what you've added or how big your digital endeavors are in terms of manpower or how big is your software team right now because we don't hear other OEMs talking about software investments. So, if you can just help us so that we get to know that what are the kind of areas where the kind of capabilities what we build in terms of these trends . So, if you can just help us ?

K. N. Radhakrishnan : Digital analytics team, we have more than 200 people . Software , we have more than 150 people . Electronics , we have similar number. So, all put together , I would say that 450 to 500 people in the new areas of technology we have added.

Pramod Kumar: And a lot of these hiring and even software EV development parts are largely expense jobs given because your average capitalization rate is only 30 % to 33% of R&D. But will that be the case even that EV investments because suppose other companies have different capitalization, just want to understand how does your IP and software installed capitalization rates compar ed to your normal R&D expenses?

K. N. Radhakrishnan : No, we strictly follow the accounting standards for whether it is revenue recognition or accounting of expenses. We don't necessarily capitalize or we don't unnecessarily charge. We strictly comply with the accounting standards.

Pramod Kumar: Fair enough, Sir. And you talk ed about multiple launches, but on Raider , the general feedback from dealers is that there are more variants required because our product is already at a pretty good premium to the frontline competition in terms of price point and even the variant start at a much elevated level in terms of features . So, is there any plans of doing more variant mixes there to make the plant more accessible? And also do you see a necessity for AB S choice in the 125 could be more... we currently we don't have it.

K. N. Radhakrishnan : Always we look at variant , we look at dependi

ng upon the customer segments. So, I think this

is part of our design and development thinking process. So, we will cater Raider as a great brand, and we will continue to look at variants and appropriately applicable to the market and customer segment .

Pramod Kumar: And sir final question on EV, if you can help us understand where is our reach now because some of your competitors have gone kind in the distribution strategy and Pan India with lot of the dealers already selling. But where are we in terms of EV's and iQube? A nd how should one look at the distribution and consequently the market share aspirations as go Pan India . If you can just help us understand the timeline and the expected delta to markets and how the demand for the overall EV baskets because generally we see price drops and discounts and freebies and schemes driving sales for the industry . In that context, how does our pricing and demand equation work out?

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K. N. Radhakrishnan : See, all of you know that currently we have about 750 dealers. And who are giving iQube. This is covering about 450 plus cities. And what is most important is we have also come up with variants and I already highlighted that we have now three variants which have added in iQube. And each one brings certain specific customer value, and that is very critical and the price points are based on the critical value what we had for example starting from 2.2 kilowatt, 3.0 kilowatts and 5.1 kilowatts. So, iQube is a very strong brand. And these brands depending upon the type of the customers, type of the usage, these are price position there and I am very confident that this will do very well to the customers in the market and we want to continue to be a strong player in the EV market.

Pramod Kumar: And by when will you be Pan India and in terms of the delta in terms of addressable market, what you will achieve by doing so?

K. N. Radhakrishnan : Month after month, we are reviewing and then we are supporting this with the current network. We have strong network of main dealers and sub dealers in India. So, we will keep expanding that.

Pramod Kumar: And the current demand versus supply, sir, are we in balance now or are we currently because of new variants we see higher demand than supply at this point in time?

K. N. Radhakrishnan : Capacity is not a problem. Only thing is, now when you have 3 variants, you have to look at. There are lot of common parts so but we have to look at wherever the delta is going up, but it's not a challenge.

Pramod Kumar: And sir, other expenditure as a percentage, how should you see that or model it and because there will be investments which is all required in the future but as a percentage, do you expect that to be kind of getting better or getting predictable from here on?

K. N. Radhakrishnan : See, we treat all these as investments, whether it is marketing investments other than the variable nature, whatever I highlighted on packing and freight because that is proportional to the turnover, whether it is marketing expenses or digital investments, I am very sure you must be happy with 11.5% EBITDA. We don't look at each and every item and try to optimize each and every item, because many of the investments which are going into marketing or digitalization, the benefits of that will come in the future.

Moderator: Thank you. The next question is from the line of Arvind Sharma from Citibank. Please go ahead Arvind Sharma: Is it possible to share the impact of EV on the margins in the quarter?

K. N. Radhakrishnan : No, we looked at only consolidated between the ICE and EV. Overall, our profitability has moved to 11.5 which is one of the best. Most importantly, please understand EV has brought positive contribution which I have highlighted. But there are investments on product, technology, software, CAPEX and many of

these are very, very clear investments for the future.

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Arvind Sharma: Thank you, sir. And just one more question, more of clarification on two cost items. First is on depreciation. The expenses seem to have gone down quarter-on-quarter, any specific reason for that?

K. Gopala Desikan : No, probably some of the 100% depreciation item because we go to keep by the capitalization and the depreciation percentage is what we consider based on the economic life of the asset. In Q4 of last year, we had a write-off of some of the slow moving model tools to the extent of around Rs. 15 crores. Therefore that is a one-off item, even otherwise some of the 100% depreciation, some slight increase decrease is bound to happen.

Arvind Sharma : Alright, and this is the run rate that one should expect over the coming quarters as well?

K. Gopala Desikan: It depends upon the capitalization what we do going forward. It cannot be a static number.

Arvind Sharma : Sir, one more question is the fair valuation gains which exact entity are these gains on?

K. N. Radhakrishnan : We invested in our TVS supply chain. I think the fair market price has gone up between last quarter and this quarter.

Moderator: Thank you. The next question is from the line of Amyn Pirani from JP Morgan. Please go ahead.

Amyn Pirani: Most of my questions have been answered. My question was actually on the EV exports bid that you mentioned. Now the ASEAN market is a region where most Indian two-wheeler exporters have not had a lot of success because the Japanese OEMs dominate that market. But you have a local presence in Indonesia. I think you've also started some new entity in Vietnam. So, can you give a broad sense as to you know maybe three years down the line, what is the level of exports of EVs that we can expect and in these markets, would you need to have local production of the EVs to sell them in a meaningful number or can you export from India?

K. N. Radhakrishnan : See, as far as we are concerned, we will definitely start exporting our EV products to ASEAN markets and already advanced testing and everything is done there. So, it will start. #2, fortunately for us, there is our own plants and we have some local sourcing. So, we don't foresee a problem because the moment you have in Indonesia, then there is an ASEAN FDA, so that advantage will help us. So, I cannot be able to give you a three-year road map, but we will

definitely leverage our EV products from Indonesia to other markets .

Amyr Pirani: And sir a follow up to that if I can ask, would you have to make significant upgradation to your Indonesia facility to achieve that or is your Indonesia facility also at a level where it can manufacture EVs as well?

K. N. Radhakrishnan : So, we have a good plant and facilities are there. There may be some specific investments related to EV. But the other basic charge fee or other things, there may not be a big challenge. So, EV if there are something required, we will definitely look at it.

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Moderator: Thank you. The next question is from the line of Moksh from Anand Rath Institute of Financial Equities. Please go ahead.

Moksh : Sir, firstly on E V two -wheeler market , growth has slowed down in recent times despite the new affordable models in the market. Just want to understand how the customer looking at the EV products despite the better price points . What are the challenges you're seeing for the EV penetration?

K. N. Radhakrishnan : See, EV, we have to always look at the medium to long term . Any new technology , initially there will be a quick uptake. And thanks to the government, there are a lot of benefits also given, but in my opinion EV will continue to slowly and steadily grow because EV has got some unique advantages. But equally other technolog

ies are also having advantages. So, in my opinion , EV will grow, and government is continuing to invest and supporting many of the initiatives in the EV. So, I am pretty confident that I know there are some challenges in the last one year in terms of suddenly the FAME benefits significantly come down, so there is little bit of slowness, but any new technology beyond that point, I always highlight that we cannot be dependent on huge investments from the government, but they have done the right thing in terms of supporting the initial period and there is also PLI. So, what is most important is we have to show a little bit of patience because EV technology, EV products customers will start liking it , the TCO will support and overall it will grow. But please remember. I always believe that all these technologies are going to be available in India. It's not that you will see from , I always look at from the customer point of view, customers are technologically agnostic . They will look at the product, they will look at the benefits what they are getting and the usage . Depending upon that , they will use whether it is ICE or CNG or ethanol or EV , it's a combination of things they will look at it. So, that is the way I look at it.

Moksh : Got it. So, secondly, as you mentioned the rural doing better than urban markets, also if you can share some thoughts on how the first time and the replacement buyers , additional buyers are doing and also if you can share the full year domestic volume guidance?

K. N. Radhakrishnan : See, so far first quarter I have seen the Vahan, thanks to Vahan. Now , we know exactly what is happening in terms of the sales and the registration. First time we have seen a double digit. I am a strong promoter that given the kind of demography , given the kind of infrastructure, what government is trying to build in terms of roads and other connectivity and also the public transport, the population itself given that I think the single most vehicles or mobility is two-wheeler. So, two-wheeler will grow . Till 2019 we have seen as CAGR of close to 10%. I am of the view that medium to long term, that kind of growth you can see . Currently , first quarter was 13%, this year could be more than 10%. And first important positive thing I am seeing is slowly first quarter for example, while I said 13% , rural growth has been 17%, this is the way the Vahan classifies as rural, but some of the classification maybe semi urban . But I am saying from the RTO when I look at the rural, urban , it is 17%. So, even now, even if you take urban as urban and 20% and let's say you moderate the rural to some semi urban and some rural , I am of the view the first time you're seeing the rural becoming better. Two reasons according to me the confidence on the rural side , overall you can look at rural urban in India 50 :50. Rural side, the

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sentiments are positive. We had a very, very bad summer, but the rain, the monsoon seems to be normal. Of course another three more months are there for monsoon up to September -October you will see monsoon in India and some part of South India it will go up to even November. So, I am of the view that the self-employed category in the rural are slowly now looking at new products. When I say new products , they were extending the existing product by service , service , service. Now they are looking at some replacements, some new products but I may not be able to give you exact proportion but I am of the view that is a good sign because India strength is rural. I am not saying that urban is not our strength, but definitely rural India has to fire for overall economy to do well. Early signals are seen now.

Moksh : So, is it fair to say with the higher rural demand , the first-time buyers are also seeing better

traction from those customers ?

K. N. Radhakrishnan : We

have to closely watch it, but according to me you will see the better and better rural demand going up. I think it will happen.

Moksh : And just lastly, s ir, is there any plan for doing some production for the E -bikes and the Norton in India s ir, because we have very good supply chain in India. Is there any plan to do that?

K. N. Radhakrishnan : We will always evaluate depending upon the volume , demand, strong supply chain. Of course, India has got very, very strong supply chain. Thanks to the relationship with BMW, most of the suppliers are from India. So, I think we can leverage that, so we will evaluate based on which is the best, which is the best quality and we look at which is appropriate depending upon the market. So, this is something we constantly evaluate.

Moderator : Thank you. The next question is from the line of J inesh Gandhi from Ambit Capital. Please go ahead.

Jinesh Gandhi: Firstly on the commodity cost , are you seeing any signs of inflation going forward? It had been pretty benign for last few quarters, but are you seeing inflation in any of the key commodities and resulting in impact on our gross margin going forward?

K. N. Radhakrishnan : See, we saw some impact in the Q1. I am of the view that you will see some commodities. There could be some slight increases. See , we saw aluminum going up in Q1 , but we saw some softening in other material and the precious metal. So, I think it will be a mixed view in my opinion, it may not substantially worse, but there could be some marginal cost increases going forward.

Jinesh Gandhi: And in that context, have you taken any price hike in first quarter and second quarter so far?

K. N. Radhakrishnan : Yes, we took about 0.2% in quarter one. And some small increases we have taken in quarter two, which is also similar to quarter one about 0.2.

Moderator: The next question is from the line of Raghunandan from Nuvama Research. Please go ahead.

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Raghunandan: Congratulations on strong numbers. Firstly, Q1 EV volume was strong at 52,000, revenue could be around Rs. 600 - Rs. 700 crore, assuming 13% PLI rate, would 80 to 90 crores be a fair estimate for PLI incentive? I mean, you have not booked in first quarter but would that be a fair calculation?

K. N. Radhakrishnan : We will come back to you whatever is the Q1 PLI benefit and what will be the next quarter benefits?

K. Gopala Desikan: But only one thing we want to tell you that only two of our products are now approved.

K. N. Radhakrishnan : Significant volume products are approved. We will come back to you when we plan to put our PLI.

Raghunandan: Secondly on the exports , exports have done well with double digit growth YTD , with the growth expected in Latin America, Asia and flat growth in Africa. Can we expect double digit growth for full year FY25?

K. N. Radhakrishnan : See this year , like I said, the worst is over is my estimate because we went through some tough times in Africa, which is a strong area, so that I am of the view that you will see some improvement going forward and maybe a little bit challenges may be there in Bangladesh which is very, very small in terms of overall volume. We are happy that our Middle East is doing better is a big market. LATAM, we have started doing better than the industry , so I think going forward we will further strengthen Africa. We will start investments in LATAM and we'll start build it. Middle East is in between. So, we can take it to the next level. Maybe Bangladesh in couple of months we will , Asia, Sri Lanka just started little bit of exports. So, Nepal is also already doing well. So, Bangladesh may take a little time. But I am very confident that these are very strong markets for TV S. ASEAN might take little time but please always remember that I am of the view that sometimes you have to be patient. You have to stay

and if you stay in the market, keep

giving the products to the customers, very confident that you will also at some point of time you will start succeeding in ASEAN .

Raghunandan: And also you are working on improving position in Europe , if you can share your thoughts and strategy there ?

K. N. Radhakrishnan : See Europe , we have started now. Italy, we are also now discussing some of the markets in Europe. Please remember these are developed markets and we have to be showing some patience because customer need to understand us. So, far in all these developed markets, we are present through BMW, the relationship, the platform whatever the 300 PC, the 310 Series, whatever we are selling in every developed markets. First time we are also putting our product into this market in TV S branding. So, I am very sure again these are investments which will take place between next quarter, definitely these for 3 quarters you will see some changes in terms of investments and products going there and starts identifying dealers and sales. So, it should be treated as a big

investment and going forward this is and of course we will be leveraging our EV products as well.

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Raghunandan: Just on the housekeeping side, basically sir if you can share the other operating income for Q1 and also TVS C redit net worth for March 24 ?

K. Gopala Desikan: Let me give the net worth of TVS C redit services as of March 24, it was Rs. 3865 and we are at Rs. 4333 crores now as far as net worth is concern ed. What was your next question?

Raghunandan: Other operating income for Q1, if you have it handy ?

K. Gopala Desikan: Other operating income is around Rs. 84 crores.

Moderator: Thank you. The nex t question is from the line of J inesh Gandhi from Am bit Capital. Please go ahead.

Jinesh Gandhi: Second question was on Star City. So, we have seem ed to have stopped production of Star City. So, is it for an upgrade or we think that space will not be growing at a reasonable pace?

K. N. Radhakrishnan : So, we did not stop Start City. I think we were changing over to certain specific reasons. So, Star City is a very strong brand for TVS and we are present in the market. There is nothing new, but the new Star City , I won't say it's a new Star City, it is the same Star C ity because overall customers in the market is huge for Star City . So, we plan to a little bit of do certain improvements and changes that have been incorporated that is back . Customer side, there is no gap. Practically , it is there every month i n most of the markets .

Jinesh Gandhi: Got it. And on the EV side, currently we have a reasonable spread of product portfolio covering from mid-speed to high speed. What are the gaps which you would like to cover with the upcoming priority on?

K. N. Radhakrishnan : I think you wait for the launch and I can tell you what type of product it is going to be because we believe in looking at the customer segments and delivering products for each of the unique customer segments because that is what is very critical. So, possibly in between Q 2 and Q3 , you will see some of these best launches from TVS .

Jinesh Gandhi: And lastly, can you share the US D and realization for the quarter?

K. N. Radhakrishnan : It is 83.2.

Moderator: Thank you. The next question is from the line of Mukesh Saraf from Avendus Spark . Please go ahead.

Mukesh Saraf: While most of my questions have been answered, so this question is on your upcoming EV launch es. Could you kind of share some aspects about the new generation platforms? So, basically trying to look at how are you looking at insourcing versus outsourcing of some of EV components? And would the new design or the new platform be a lot m ore cost effective in terms of your contribution margins, assuming everything else kind of stays the same.

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K. N. Radhakrishnan : First, we look at the customer segment and then we look at what kind of platform and the products are required . Then, thanks to India, there is a very strong supply chain. So, we decide what could be done inside. Sometimes we do inside as well as you know both make and buy, so these are all strategies depending upon the volume scale and how it is going to be played with. And definitely I will tell you closer to the launch. What kind of products you are looking at in the EV space in the two -wheeler side, I am very sure it is going to be an exciting product to the market.

Mukesh Saraf: Sure, Sir. I understand that. So, what I was looking for is versus your current iQube platform, how would the new generation platform be different in terms of say would it have a n integrated motor controller, or would there be some other such aspects which would probably be reducing our cost in this ?

K. N. Radhakrishnan : It will be exciting, I can promise you and it will connect with the customer segment. Closer to the launch I will give you all the details.

Moderator: Thank you. The next question is from the line of Viraj from SIMPL . Please go ahead.

Viraj: Yes, just two, three questions. First is, we talked about products and customer mix as o ne of the key driver of gross margin expansion, can you elaborate a little bit more on this, what elements of product mix and geographic mix has aided this and how should one understand the sustainability of this margin?

K. N. Radhakrishnan : Margin will be sustainable because there is a very strong focus on the product mix. We also look at the sustainable cost reduction in a big initiative. So, these are the two levers which are giving us significant benefit and based on the commodity cost increase plus minus, we also constantly look at given the strong brand presence. W e also look at our selling price increase. So, it's a combination of the product mix, which is fairly good and geography mix . And material cost

reduction, I think it is sustainable because that is again volume dependent. Also, I have given you that when the volume goes up, you can always look at 2 suppliers. So, the same drive on looking at multiple suppliers, looking at the share of business, looking at the product mix, looking at the volume, scale benefits of all this combination come in the material cost reduction and product.

Viraj : Yes, I understand that. Part of the measures taken to reduce your raw material consumption, what I am just trying to understand is a little more granularity on the product mix and the geographic mix. So, would it be right to think the large part of the improvement would be because of product mix and geographic mix vis-à-vis the RM cost reduction measures or?

K. N. Radhakrishnan : Equal, between product mix, geographic mix and the material cost reduction is almost equal.

Viraj : And what do you mean by product mix and geography mix? Can you elaborate more?

K. N. Radhakrishnan : Product mix, we have starting from Moped to Apache. So, each product we look at the total portfolio. And even in the pricing, we have also variants. For example Jupiter, we have an entry TVS Motor Company Limited

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product, but we have variants like the Jupiter Grande starting from the entry level, ZX, and Grande. So, there are three variants on the higher price. So, depending upon that and there are certain customers who look at the entry level variant, but there are many customers who look at the proportion of ZX and connected variants and Grande, so like that. So, we always constantly look at, for example, how do we sell more on the variants which are connected, which are ZX, which are Grande because that gives us better margin, but equally for the budget customers you look at the entry level model and I am giving you one example.

Viraj : So, second ques

tion is on the investment. I think in last quarter you talked about us making a one-time investment of regularly capital requirement in TVS Credit Services. So, since that is now done in Q1, do you see any further capital requirement intuition from our side to TVS Credit services?

K. N. Radhakrishnan : No. TVS Credit services, as of now this year we may not invest further because of the capital adequacy norms. We are at 18.9%. There are as of now, no plans for further infusion, but the Company is doing extremely well. They are doing, they are growing and profitable.

Viraj : And parent also is in NBFC in consumer durable space, just trying to understand know from your perspective what's the thought process behind having 2 NBFCs competing and how should one look at in terms of structure between the two?

K. N. Radhakrishnan : Now as of now, we are waiting for the regulatory approvals for that new acquisition. It's a small NBFC with Rs. 5500 crores of book size. They are not competing with each other. It's a different segment in which they operate. It's a small ticket size where they have a strong market in the areas where TVS credit services has not all that presence and a little presence there and therefore they will not compete with each other, but.

K. Gopala Desikan: And actually the book size is going to significantly grow with that addition.

Mukesh Saraf: No, I was just trying to understand, why you have two NBFCs from a parent point of view? I think the similar acquisition could have probably done through the TVS Credit Services as well given the kind of balance sheet they have we could have easily funded it so just a thought process.

K. N. Radhakrishnan : It's a decision of the holding Company board to buy that Company being a CIC Company to house the group related investments there, the new acquisition, they're waiting for the regulatory approvals, and we will wait for the approvals for the next stage of action on.

Mukesh Saraf: Just last question, you mentioned that you also made an investment of Rs. 30 crores – Rs. 35 crores in E-bike subsidiary. Given the losses they've been incurring now, I understand the demand is weak and there are challenges in terms of pricing and discounts and all. But on the cost side, how are we looking at it? Bulk of the production still based in those European territories. Is there an avenue where we can kind of shift the production to most centralized setups in India or any thoughts if you can give? How are you looking at in the cost part?

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K. N. Radhakrishnan : See, these are investments. Unfortunately, I told you Europe is going through some difficult times or challenging times because of the economy and the other pressures, but I am very sure that in this businesses, 1 year -1.5 years, this could go through this way. But we have always seen on a medium term point of view, things will come back.

Moderator: Thank you. Ladies and gentlemen, due to time constraint we have reached the end of our question and answer session. I would now like to hand the conference over to the management for closing comments.

K. N. Radhakrishnan : All of your team, thanks for joining us in this call. All of you have seen a very strong Q1.

Company continued its growth trajectory, recorded highest ever revenue , EBITDA, PBT . The quarterly operating revenue grew by 16% over last year and we are at 8 ,376 crores . And with our unwavering focus on consumers , quality, we are confident of continuing to grow ahead of the industry both in domestic IB across ICE and EV. We will continue to leverage scale benefits , focused premium migration and sustained cost reduction, material cost reduction and this will help us in focusing on EBITDA , but equally we will invest in technology , we will invest in marketing, we will invest in building the brand globally. In the last five year

s, if you look at our

EBITDA margin , significantly it has gone up. And it has given all the benefits. And I am very sure some of you would have heard the 32nd AGM of the Company . As the Chairman highlighted in his speech, we are gearing up for exciting times ahead as we are transitioning to high tech, global and smart mobility Company . We do have the ability to delight the new age customers. We have faster, passionate, motivated and aligned team dedicated employees, partners, stakeholders working towards one goal. Once again thank you. Thank you everyone for joining this call. Thank you.

Moderator: Thank you. On behalf of B&K Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Oct 2024

Website: www.tvsmotor.com Email: contactus@tvsmotor.com CIN: L35921TN1992PLC022845

25th October 2024

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Dear Sir(s)/ Madam,

Reg : Compliance under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

In continuation to our intimations dated 16th October 2024 and 23rd October 2024 with respect to the schedule of a conference call with M/s. B & K Securities post results for the quarter ended 30th September 2024 and intimation on the audio recording, respectively, we wish to inform that the transcript of the said recording is enclosed and the same has been hosted on the website of the Company and is available at:
<https://www.tvsmotor.com/en/Investors/Communication>

We also enclose the said transcript for your reference.
Kindly acknowledge the receipt.
Thanking you,

Yours faithfully
For TVS MOTOR COMPANY LIMITED

K S Srinivasan
Company Secretary
Encl.:a/a

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"TVS Motor Company Limited
Q2 FY '25 Post Results Conference Call"
October 23, 2024

MANAGEMENT : M R. K N RADHAKRISHNAN – DIRECTOR AND CHIEF
EXECUTIVE OFFICER –
M R. K. GOPALA DESIKAN – CHIEF FINANCIAL

OFFICER

MODERATOR : M R. ANNAMALAI JAYARAJ – BATLIVALA AND KARANI
SECURITIES INDIA PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the TVS Motor Company Limited Conference Call hosted by Batlivala & Karani Securities India Private Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities India Private Limited. Thank you, and over to you, sir.

Annamalai Jayaraj: Thank you, Steve. Welcome to TVS Motor Company 2Q FY '25 Post Results Conference Call. From TVS Motor Company Limited management, we have with us today, Mr. K. N. Radhakrishnan, Director and Chief Executive Officer; and Mr. K. Gopala Desikan, Chief Financial Officer. I will now hand over the call to Mr. K. N. Radhakrishnan for the opening remarks to be followed by question-and-answer session. Over to you, sir.

K. N. Radhakrishnan: Good evening. Good evening, everyone, and thanks for joining us today. First of all, I would like to give all of you and your family good festive season's greetings, good Diwali, and great success during this year. Now during Q2 quarter, company continued its growth trajectory and posted the highest quarterly sales, both in ICE and the EV, both revenue, EBITDA, and profit. Recorded highest ever revenue of INR9,228 crores, with a growth of 13% over last year Q2. Recorded highest ever operating EBITDA of INR1,080 crores, with a growth of 20% and margin improved by 70 bps from 11% during Q2 of last year to 11.7% during this quarter. We have achieved the highest PBT of INR897 crores, registering adjusted growth of 24% over the last year.

Please note that we have not considered PLI even in Q2. And all these achievements were possible because of the continued improvement in the sales, sustained cost reduction initiatives. Now let me get into more details about second quarter.

The two-wheeler sales, ICE grew by 14% compared to Q2 of last year as against the industry growth of 10%. The two-wheeler international market, company sales grew by 16% over last year. Two-wheeler ICE sales grew by 15% compared to Q2 last year as against the industry growth of 11%. EV two-wheeler, have increased to 31%, 75,000 comparing 58,000 during last year quarter 2, this is the highest we have done on EV.

Total sales of three-wheelers was at 38,000 during this quarter of Q2. During the quarter, the company's operating revenue grew by 13% and we are at INR9,228 crores as against the last year's INR8,145 crores.

On profit. During the quarter, company registered highest ever operating EBITDA of INR1,080 crores, with a growth of 20% as against EBITDA of INR900 crores during last year's Q2.

Company's operating EBITDA margin improved by 70 bps, 11.7% as against last year's 11%. And all of you know that sequentially, we are improving our EBITDA and EBITDA performance.

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Company posted the highest ever PBT of INR897 crores, recording a growth of 24% this quarter as against INR724 crores in the second quarter of last year. PBT for this quarter included fair valuation gain of INR23 crores as against last year also in Q2, we had a fair valuation gain of almost INR38 crores. Please note again, we have not considered PLI during this quarter.

Profit after tax grew by 23%, INR663 crores as against INR537 crores during second quarter of last year. H1, the company's operating revenue has grown by 15%. We are at INR17,604 crores as against last year's INR15,363 crores in the first half. PBT for the first half, it grew by 26%, INR1,680 crores as against INR1,334 crores. Profit after

tax grew by 23%, INR1,240 crores as against INR1,004 crores during the first half of last year.

I'm very happy to say about TVS Credit. We have added over 2 million new customers in H1.

Cumulatively, TVS Credit has served over 16.5 million customers till date. The book size is 26,652, grown by 13% over last year's quarter 2. The company continues to maintain a strong

growth momentum in disbursement, primarily driven by the increase in distribution reach supported by growth in consumption and increased penetration.

As part of its ongoing risk management and portfolio optimization, the company has taken proactive steps for further strengthened credit norms, ensuring sustained portfolio held amid evolving market conditions. For this quarter, the PBT grew by 20% at INR216 crores as against last year's INR180 crores during Q2 of last year. And if you recollect, Q1 this year was INR187 crores. Apart from serving two-wheeler customers, TVS Credit is one of the leading consumer and they are also servicing consumer durables, mobile phone financing. It has a fast-growing footprint in used car loans, tractor loans, used commercial vehicle loans, then unsecured loan powered by robust new-age technologies and data analytics. So overall, it's a very good book portfolio mix we have.

On new product launches, I'm extremely happy all of you know that the all-new TVS Jupiter 110 with an unparalleled design, performance, comfort and convenience, we have launched just before the season, doing extremely well and all-new TVS Jupiter 110 exemplifies the essence of zyada, more style, more mileage, more performance, more comfort, more convenience, more safety and technology.

It has come with a reimagine design exemplified by this infinity lighting bar, premium piano black contract panels and modern profile. And it comes with an iGO Assist offering torque on demand and improved dual efficiency, comes with many first and best-in-segment features that elevate the experience. Dual helmets under the seat storage, front fuel filling, spacious floorboard and better space, superior braking with roto petal disc brake, turn signal lamp rest, emergency brake warning, hazard lamps, and I can keep on highlighting many, many features.

It is receiving very good response from the market across India and from day one.

All new TVS Apache RTR 310, the flagship offering in the super premium, sport motorcycle category, two variants. One is build-to-order customized option, okay? We have very good TVS Motor Company Limited

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response. And this has got impressive combination of the aerodynamic design, performance, and agility.

We also added a new variant in TVS Ntorq 125 li neup, widened its base with a trip of vibrant striking color option. I think I'm very sure you would have seen the new blue, the new gray, okay? And I'm sure that is also attracting many new customers during this season. The Ntorq

Race XP has launched a matte black special edition that combines multiple textures on black, ranging from matte and glossy piano black.

As I told you, I think we always believe in giving best to the industry, best to the customers.

Now when we look at Q3, I think during season, so far, we have seen an overall growth of 4% in the industry. During Navratri, it was around industry grew by 11% and TVS has grown significantly better during this season.

Now we are all looking forward to the next one week, including Dhanteras, okay? And we are very positive about the festival for TVS. The ongoing festival season, we have started with a positive note, and we are pretty confident that we will grow much ahead of industry.

And I always believe that this year, we started off well. Q2, there was a little bit of slowdown expected. Q3, I'm expecting the industry should be doing well. There are some, what we call, challenges we see. But I'm pretty confident that

the good monsoon, good reservoir, I think that

is likely to support the industry, okay? And we can expect good momentum to continue for TVS.

On EV, I would like to sincerely thank the government for the PM E-DRIVE scheme. They have given a very clear 8-quarter plan that is going to help the industry. And it provides seamless transition from earlier EMPS scheme. And they have very clearly, government has demonstrated that it intend to provide a long-term support for EV program, and this visibility of 2 years is going to help everyone.

And EV will slowly and steadily grow. If you look at the penetration, it's slowly going up. It is already around 7% in Q2, so overall the penetration of EV. iQube has established very strong brand in the EV segment with its technology and the features and best-in-class quality.

During the first half, the company introduced new variants to the iQube portfolio from making the electric mobility accessible to everyone. We have now three battery options, depending upon the customer usage and the range, one with 2.2 kilowatts, then 3.4 kilowatts and 5.1 kilowatts, okay? The entire portfolio is getting a good response.

Our sales during the second quarter grew by 31%. We did 75,000, which was the highest number.

And we are very confident that we will grow better than the industry going forward. As you are aware, we are well planned for the product line-up for electric mobility. You will be witnessing some more launches during this financial year.

We are exporting TVS iQube to few ASEAN and Asia countries. As you know, it will take time to establish because we have to start, and the market has to be ready. We strongly believe that TVS Motor Company Limited

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India will emerge as a major export hub for EV two-wheelers, and TVS will play a very, very important role.

On the continuous improvement in the EV supply chain and infrastructure, we are confident that we will continue to be a strong player in the EV segment. Like I promised, you will see our EV three wheelers soon in the markets. On international markets, we are witnessing improvement in retail, higher than the industry for TVS.

Challenges in Red Sea have continued in the current quarter. The transit times have increased. But the timely availability, which has got affected, we have taken countermeasures, which is also helping us. The African markets are still facing some challenges. However, given the base effect, what we are seeing quarter-on-quarter, we are seeing growth. We are performing better than the industry. And we are pretty confident that we will be able to do much better going forward.

Our HLX 125 5-gear is doing very well in the market. This product offers much better features, and they are powerful yet efficient, received very positive response across the market wherever they have launched.

LATAM, we have started doing well. And there is also a market which is growing, okay? We have taken many actions on network expansion, brand building activities, and we are able to gain volumes much faster than the industry, okay? We are very small in LATAM, but we are very confident that we will have great opportunity in LATAM going forward.

In Asia, the markets are doing well. Nepal and Sri Lanka started well. Of course, all of us know that there are some challenges in Bangladesh, but we are confident that over a period of time, that market also will start coming back.

Middle East is another area. We are confident that also will do well. There are some challenges on local currency depreciation, increase in interest rates, which is also affecting some challenges on the industry. We have taken enough actions to improve our retails, and we are pretty confident that this is also one market where we can have great opportunity.

Now we have continuously improved on EBITDA quarter-after-quarter sequentially. Very, very happy that the portfolio, the customer delight

and the timely new product launches are helping

us in a big way. We are growing ahead of the industry. We are confident that the company will continue to leverage its growth, better product mix and sustained efforts on quality, the cost reduction initiatives. Definitely, we are confident that we will improve profitability going forward.

Please remember, we are investing for future. We are investing behind electric. We are investing behind software, investing behind digital. That is also one of the reasons why our employee cost is higher. But these are all for future. We are investing in new products. That is also a reason our depreciation is much higher than the industry, while we are managing the quarter, most important is investing for future in product development, in technology and having capable people for future.

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On Q2, we are extremely happy, okay? We were able to deliver the best in turnover, best-in-class EBITDA and PBT. We have best-in-class products. We have unwavering focus on our consumer along with our strong portfolio of brands like Apache, Jupiter, Jupiter 125, iQube, Raider, Ntorq, StaR range, HLX, Radeon, TVS King and TVS Ronin.

We will grow ahead of the industry. And we are happy that in the last 5 years, company has moved significantly on EBITDA. We are at 11.7, and I'm pretty confident that we will continue to improve our EBITDA journey. Thank you. Thank you very much, and once again, seasons' greetings.

Moderator: The first question is from the line of Chandramouli Muthiah from Goldman Sachs.

Chandramouli Muthiah: Congratulations on the favourable response to the Jupiter 110cc. First question is just product related. I think while Jupiter and Ntorq have had a good start to the festive season and good volumes for previous quarter. It appears that Raider 125 in the sports category seems to be moderating a little bit. So I just want to understand, is there any production-related issue there? Or are we considering sort of repositioning the product in light of recent competitor events?

K. N. Radhakrishnan: Raider is a great brand. I don't see any challenges in Raider. We are pretty confident of the portfolio on Raider, and this is a brand which will do extremely well going forward. We are pretty confident on that.

Chandramouli Muthiah: Got it. That's helpful. Second question is on just festive season comments you made earlier in the prepared remarks. I think you mentioned that so far industry festive volume growth on your estimates is 11%. But you also mentioned sort of 3Q volume growth, I think it was 4%. I just want to understand where there is a contrast between those two numbers?

K. N. Radhakrishnan: No, during the first nine days, we have seen a good growth. But after nine days, there are a few

days now, there is a bit of slowdown, around 4% is the industry growth. So, I'm pretty confident that next one-week things will be improving. We have Dhanteras, we are all looking forward to that, okay. I am pretty confident that what is most important that TVS is doing extremely well, much, much better than the industry. Thanks to our portfolio and thanks to all the customers who are supporting.

Chandramouli Muthiah: Got it. That's helpful. Just lastly a clarification on the export and the spares revenue for the quarter, please?

K. N. Radhakrishnan: Spares is about INR930 crores and exports revenue is INR2,229 for Q2.

Chandramouli Muthiah: Got it. Thank you very much and all the best.

Moderator: The next question is from the line of Pramod Kumar from UBS. Please go ahead.

Pramod Kumar: Thanks a lot for the opportunity. Sir wanted some more detail on the investments you're doing on the employee side because the reason why I ask that is, your employee cost is a good 25%, 26% higher than Bajaj, and just around 10%, 15% lower than Hero. And that given the size of TVS Motor Company Limited

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the company in terms of market share and revenue, it's a significant investment what you're doing in the future.

And you alluded to that in terms of software, EVs, other technologies. So, if you can just help us understand how much of the current employee bill, is roughly targeting towards these advanced investments, and what's the kind of IP what we've built within the organization?

Because the choice is either to do it yourself or outsource it. So clearly your intention seems to be doing everything in-house in terms of lot of technology.

So if you can just help us understand, because all this will kind of pay out in the future in terms of benefits, right? So if you can just help us understand how much is the steady-state ongoing legacy business expenses and what kind of investments which is going on the employee side?

K. N. Radhakrishnan: So, first of all, Bajaj, and Hero, they are all role model companies, and I respect them as great competition, And I don't want to compare with competition. As TVS Motor, we have a strategy that we want to design, develop, and invest many of the technologies in-house. And last quarter also I highlighted that we have almost 250 software people and have about 250 digital.

These are all assets where we have added to really, really look for the future, because you know the future is going to be electric, future is going to be many new technologies which are likely to come. So, we have to invest. We have to build that capability, and we have invested in that.

And we will continue to invest in areas where future customers are going to look at us because we are completely focused on how the transition is going to happen in the industry.

Pramod Kumar: Sir, any quantification as to how much of the wage bill is towards the advanced investments or towards software, digital?

K. N. Radhakrishnan: We don't look at it that because these are all investments. When you look at the investment, I am very confident that this will pay back, will definitely pay back. Getting good quality resource is most important for us at this point of time. And 500 people we have added, I have given you the quantification.

Pramod Kumar: And sir, with the kind of investments which you are making which are way out of the industry, you are still confident on maintaining the margin momentum going forward?

K. N. Radhakrishnan: You have seen last several quarters we have been meeting the margin expectation, Our strategy continues. We want to give best to the customer. We want to focus on customer delight. You see the current Jupiter 110; you see the feature. We will continue to delight the customer. That is strategy one. We want to grow the top-line ahead of the industry. And we will sincerely work on how do we improve the margin. Customers, volume, product mix, growth, cost reduction, I think these are all consistently we will look at and we will work on.

Pramod Kumar: Great to hear that. Sir. On Jupiter, I believe it's a very big hit. Currently probably the only two-wheeler model which waitlisted in the market. So what is the plan there to up the capacity?

Because I know we kind of take our own time to increase ramp-up of capacities, look at demand how they settle, but this clearly seems to be a standout product in terms of what's doing in the TVS Motor Company Limited

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market and what are you hearing from TVS and even the competition dealers. So what is the plan there on capacity? Where are we today on 110 capacity and where you expect it to be ramped up in the near-to-medium term?

K. N. Radhakrishnan: Capacity is not a problem. I think what is most important is customers are delighted, that we are not able to fulfil the total demand in the market, but we are very happy that customers like it,

customers wanting it. And Jupiter is a great brand. You have 110, you have 125, it's a great brand

and

and we are very happy. We are able to delight the customer and build this brand, we are extremely happy.

Pramod Kumar: Fair enough. Sir, the final question is on the subsidiary performance to Desikan and to you as well. If you can just share on the TVS Credit, is there anything which you received from RBI in terms of inquiry on the IRRs what you're charging because there have been such moves with other NBFCs and there's a concern on whether interest rates will get capped. Anything if you can share there?

And also in terms of the breakup of the book as to how much of the book is currently towards the auto loan, TVS products, and what is the broader classification or breakup of the loan books are? And any numbers on ROE, ROA, if you can share there? And finally, update on the European subsidiaries. How is the cost control there going, what's the kind of a reduction in losses what we're seeing there and any investments which are expected which are not already kind of budgeted for? If you can share that color, sir. Thank you.

K. N. Radhakrishnan: So once let Desikan give you a color on TVS Credits. It has done extremely well. And the way the portfolio has been growing and how each segment has been growing, amazing journey.

K. Gopala Desikan: Yes. As far as TVS Credit is concerned, as explained earlier, there is a 13% year-on-year growth, and we are at INR26,600 crores is the book size now. The net worth of the company as of 30th September is INR4,487 crores. And the capital adequacy ratio is around 19.1%, much higher than the statutory required percentage.

And the cost of funds is also at a very, very competitive level at 8.03%. The PBT for the quarter is INR215 crores as against the comparable INR180 crores. As far as two-wheeler related concentration is around 27% of the overall 27% to 28%...

K. N. Radhakrishnan: But here also it is steadily coming down, which means the used car, tractors, CD, consumer durable, MSME, many other areas where we are investing, that is growing much faster.

K. Gopala Desikan: Yes. We have a very diversified portfolio now. And second is even the credit price interventions are there. So, we are extremely careful. Otherwise, we would have grown much ahead also, INR26,000 crores, we would have crossed INR27,000 crores also. The credit interventions and credit appraisals we have tightened. So, the disbursements also less to that extent. This is about doing very well, and this is about TVS Credit service.

Pramod Kumar: And on Norton...

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K. N. Radhakrishnan: Yes. You had a question on Norton. Please understand. Again, last time I told you that we are investing behind a portfolio of product complete design development, and that is happening. That's why I said, it will take another 6 quarters for the product to be available in the market, okay? And these are going to be brilliant products, and you will see products from '2026, okay, which in our financial year, 2025-26. For Norton, it is 2026.

And what is most important is this is a great brand, and it's a super-premium. And this is going to definitely, definitely help us a new segment, new developed countries as our market. And definitely, we'll be also looking at India. I did give you the kind of briefing last time. And we will continue to invest for the product development at this point of time.

Pramod Kumar: Fair enough, sir. Finally, EV revenues, have you shared it in the opening remarks if I missed it?

K. N. Radhakrishnan: Which one?

Pramod Kumar: EV revenues, revenues from EV during the quarter?

K. N. Radhakrishnan: I said EV overall number is about 75,000.

Pramod Kumar: The revenue number, sir if it is handy?

K. Gopala Desikan: We need to check and come back.

Moderator: The next question is from the line of Jinesh Gandhi from Ambit Capital.

Jinesh Gandhi: A couple of questions from my side. One is you refer to you are seeing some

challenges in the

domestic market. Can you elaborate on that? What are the challenges that are visible on the ground currently in two-wheeler business?

K. N. Radhakrishnan: Challenges, I can't say challenges. I think there are great opportunities in the two-wheeler market. Like I told you last time this is the first time we are seeing a good response from the rural market, Maybe quarter 2, we saw a little bit slow overall industry. But during Navratri, we have seen pick up, I am expecting a good Dhanteras period, okay? And the rain is going to be good this year, monsoon is going to be good this year. So, the reservoirs are going to be having.

So, I'm of the view that after a long time, we are going to see rural growing. Urban is also growing, okay? And a good growth rate we can always expect, about 6%, 7% -- 7% to 8% kind of a growth rate you can expect in the industry. And you know, TVS has got very, very strong brands, and we will outperform the industry.

Jinesh Gandhi: Okay. 7%, 8% is for FY '25 or for the festive season?

K. N. Radhakrishnan: No, no, I don't want to give festive season. We are working for quarter-wise.

Jinesh Gandhi: 7%, 8% in third quarter?

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K. N. Radhakrishnan: That is the way we have to look at it. I think in dustry will definitely do well, 7% to 8% is a good growth rate.

Jinesh Gandhi: Yes, it's very good growth rate. It's for the third quarter?

K. N. Radhakrishnan Yes.

Jinesh Gandhi: Got it. Secondly, we have seen drop in our realization on a sequential basis. Is there any one-off to call out for that drop?

K. N. Radhakrishnan: I told you we introduced the single pack on EV, The iQube 09, what was launched in the market with a lesser price. It is only single pack. So correspondingly, we also kept a lower price, Because there was a lot of competitive intensity in the market. Because of that, there is a slight reduction in the realization.

But I'm not so much worried about the realization. Because we will do well. Overall, we have to look at are we growing ahead of the industry, and we are doing ahead of the industry, and we have a very good product range. And please look at our contribution also. We have been growing steadily.

Jinesh Gandhi: Yes. Undoubtedly. And staff cost increase on Q-o-Q, you mentioned about software charges as investment for the future technology. But is there any ESOP related provisioning in this quarter or that will come in future quarters?

K. N. Radhakrishnan: There is a provision of about INR11 crores to INR12 crores towards that ESOP.

Jinesh Gandhi: Okay. Got it. And lastly, with respect to the e-bike business in Europe. So, some of your peers have indicated severe stress in the e-bike businesses and they have undertaken impairment. How is our e-bike business doing? And do we need to take any impairment there?

K. N. Radhakrishnan: I'm not able to hear, a little bit louder your voice. Can you repeat the question?

Jinesh Gandhi: The electric cycle business in Europe, some of your peers have indicated severe stress in the European business for e-cycles and they've taken impairment for e-cycle business in 2Q. So, are we seeing similar stress on the ground? How is our e-cycle business doing? Do we need to take any impairment there?

K. N. Radhakrishnan: You are asking about e-cycle business?

Jinesh Gandhi: Yes, yes.

K. N. Radhakrishnan: E-cycle business. First, I want to say that all of us know that Europe is going through some stressful conditions in the economy, So, when the economy goes through some difficult conditions, we have to be a little bit patient. And I'm very confident that this is a big opportunity in e-bike, and we are looking at how do we cut down the cost, how do we make sure that the customer gets the best product.

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K. Gopala Desikan: There is no need for any impairment-related provisions. We are very confident about that

business and the future. And also in this period, we have used the opportunity to reduce our inventories. We have generated cash out of the working capital during this period. And therefore, we don't foresee or need for any impairment-related provisions.

Jinesh Gandhi: Fair point, fair point. And lastly, working capital in the first half was about INR838 crores. For the full year, we still maintain INR1,000 crores to INR1,100 crores of capex?

K. N. Radhakrishnan: For capex, we gave you the last time, the numbers are...

Jinesh Gandhi: INR1,000 crores to INR1,100 crores is what you had indicated, but first half is already...

K. N. Radhakrishnan: INR1,200 crores to INR1,400 crores, that is the range we gave last time. That still holds on.

Moderator: The next question is from the line of Sakshat

Sakshat: Congratulations on the success of Jupiter. Sir, I have two questions. First on exports, sir. Like, what we are seeing is probably Jupiter volumes in the last quarter, sir exports have dropped significantly. Is it because we are seeing very good demand on the domestic market, and we are facing capacity constraints. That's why we have reduced the demand -- reduced the supply on the exports market? Or is it some country-specific challenge where we are facing some constraints?

K. N. Radhakrishnan: See, there are no issues on the retail to the customer. These are things we keep looking at. We are one company who looks at only the end customer retail. To me, billing is only a checking point. So if the customer retail happens, automatically will happen. And depending upon sometimes season, you have to give

a little bit more. There are some auspicious days. So I think the operational team along with the sales team, they take the decision.

Sakshat: And sir, like this LATAM market where we are targeting higher exports, which can be a higher growth segment for us. Sir, there basically, what are products will we be exporting? Will it be ASP accretive in terms of our overall exports mix?

K. N. Radhakrishnan: Overall exports mix, all the products, all the products from India, and we are also leveraging some of the products from Indonesia.

Sakshat: And sir, one question on margins, like one of our competitors has called commodity inflation of 50 basis points on a quarterly basis in a con-call. Did we see any commodity headwind and like our gross margins have still only declined by 10 basis points, even though iQube share has mixed and there has been commodity headwinds. So have we taken any price hikes? Or is it more of value engineering and mix?

K. N. Radhakrishnan: No, no. I think point 1, point two are, in my opinion, nothing to be worried about here. It could happen both ways. There are no significant challenges we have seen. And quarter-to-quarter, we have only done well. And last year to this year, you look at our material costs, we have significantly improved on turnover, almost 2.6%. Last year was 74%. This year is 71.4%. And

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if you look at Q1 to Q2, again, there are no major surprises. Point 1 here and there will be there. But that is not a big issue.

Sakshat: And sir, just one last question on TVS X. When can we expect volumes from TVS X?

K. N. Radhakrishnan: TVS X, we have started. But as you know, it is a very super premium product. You will see over the next quarters, you will see much higher volumes you will see PAN India.

Moderator: The next question is from the line of Aryn Pirani from JPMorgan.

Aryn Pirani: Sir, my first question is on the recent refreshes that you have done on the Jupiter and the Radeon and the Raider. And like you mentioned, you are giving more value to the customer. With extra features, it looks like that in some variants, the prices are similar or maybe even slightly lower.

So my question was that are you seeing some restraint from t

he customer in terms of the price points. And related question is that are you seeing any price competition in the market from other players in terms of headline discounts during this festive period?

K. N. Radhakrishnan: Are you happy on the gross margin improvement of the company?

Aryn Pirani: Sir, I'm very happy, but I'm just asking as to whether the...

K. N. Radhakrishnan: We have to look at it that way only because what we have to look at is on a portfolio basis, we should not look at it like that, you should look at totality. All businesses together, are you growing your contribution quarter-after-quarter. It's a combination of country, product, brand, pricing. We want to give good value to the customers, good features to the customer at an appropriate price. We don't discount. Definitely, we don't discount.

And we want to grow, like I said, first is customer, customer, customer. Second is growth ahead of the industry. Equally, now we have started quarter-after-quarter looking at and improving the contribution and profitability without compromising on investment for future, whether it is people, whether it is product, whether it is technology, we don't compromise at all. Because future is very, very important. While you are looking at this quarter, I think we work for the future.

Aryn Pirani: And sir, speaking of margins, I just wanted to get a sense as to like, is there a time line by when you think that you want to start recognizing the PLI. I mean, is there a certain milestone that you're looking for? And the reason -- any reason why you're not taking started to take it yet?

K. Gopala Desikan: See, we are working on a very clear revenue recognition policy for PLI. Based on that policy, the revenue will be recognized going forward in the most prudent and in the most compliant manner. You will expect a clear recognition of this going forward.

K. N. Radhakrishnan: For benefit of clarification, all our products are certified, and they are meeting the eligibility criteria.

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Aryn Pirani: And sir, lastly, on the EV side, just in terms of directionally, could you give some color on how are the gross margins or EBITDA margins or any period by which you expect EBITDA breakeven? Or how are the trends moving in terms of profitability? If you can give some color?

K. N. Radhakrishnan: We are positive on contribution. We are extremely happy the customers are supporting us. We have a range of products in iQube. We are also coming up with new models for looking at various customer segments. Again, customers grow the top line. We are pretty confident that the bottom line will come. Whatever investments we are making, like I said last time, whether it's in software, whether it's in technology, whether it's EV technology.

All these are going to help not only EV portfolio, the entire portfolio of the company. So this is

an investment for the future, and EV will grow. And I won't be able to put a number. But my hypothesis or our hypothesis is very simple. You invest today so that you can get the benefits. It's exactly what we have done in TVS Credit, exactly what we have done in Indonesia.

Today, it is doing extremely well. Same way EV will do extremely well. We don't look at when it is going to happen, but we are happy it is moving in the right direction.

Amyr Pirani: That's good to know sir. Thanks a lot and all the best.

Moderator: The next question is from the line of Gunjan Prithyali from Bank of America. Please go ahead.

Gunjan Prithyali: Hi, thanks team for taking my question. Just quickly, before I get to questions, I just wanted to recheck the numbers. The 4% growth that you mentioned earlier is for the entire year since the beginning of the festive period, right? Is that understanding correct?

K. N. Radhakrishnan: Yes, festive period last year to this year, but during the Navaratri 9 days, industry grew by almost

10% to 11%.

Gunjan Prithyali: Okay. Got it. And 7% to 8% guide that you're giving is for the third quarter?

K. N. Radhakrishnan: Yes, that is industry our expectation and we will do much, much better than the industry.

Gunjan Prithyali: Okay. Got it. Okay. Just now moving to the questions. On the EV business, could you just talk or give us a little bit more insights into how should we think about capacity ramp up? Because clearly, there's a lot of effort you are putting to put iQube to more dealerships. If you can give us a little bit update on capacity and how much touch points or dealerships, we have covered in markets we have covered.

And in continuation also, sir, if I remember, you've taken that call, you don't want to aggressively discount or participate in price discounting, but we have tactically started to do that in recent weeks. So I'm just trying to understand is there any change in the strategy around the EV business? Are we okay to now compete from a pricing perspective also? So just more on how we are thinking about the business.

K. N. Radhakrishnan: See, TVS iQube is a great product and the customers are happy. We are very systematically building the capacity on manufacturing. We have enough capacity. And even whenever we want

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to increase the capacity, it's a question of about 3 months, okay 3 months, 90 days is not a big period. On dealer network, we have now all about 750. We are also now increasing that very systematically month after month on a number of dealerships in India.

We have started small exports because you have to see it in many markets. It may take a little time, but we are happy we have started exporting that to ASEAN market, some of the Asia markets and I'm pretty confident that the initial feedback are positive, while the numbers are very small.

And like I said, we understood customer segments are there. That is why we gave a single battery pack with 2.2 so that at a special pricing point. We always believe in not playing the discount game but giving the value game to the customer. And that strategy will always remain for TVS.

Gunjan Prithyali: Okay. Got it. And maybe just very quickly on this. You said the dealership of 750. This is are we doing entirely exclusive, or we are now...

K. N. Radhakrishnan: No, from day 1 we are giving it to our ICE dealerships only.

Gunjan Prithyali: Okay. Got it. And the other question around EVs was on the affordable EV launch that we've been talking about. Are we looking to do that in fiscal '25? Any timelines around that?

K. N. Radhakrishnan: I never said affordable EV launch. I said there is a new product which is going to come to a customer segment, just to clarify that will come in this financial year.

Gunjan Prithyali: Okay. Got it. And just second question on the export market. Now clearly, there's been good pickup you've started to see in export front. If you can just give us a little bit color on how our geographic mix is, how much comes from Africa LATAM just the geo mix, some color?

K. N. Radhakrishnan: I think Africa is the biggest market for us. Next is, now we have started, of course, Middle East is there, Asia is there. Some markets in ASEAN is there, but Africa is the biggest market for us.

And Africa, according to me the bottom we have seen, now it is all about how it is likely to grow only because it has gone through a lot of challenges in terms of currency depreciation, availability, inflation.

So we are of the view that you will see improvements because these are all big taxi markets and people lives depend upon these taxes. So there is -- there will be an upward trend. Of course, the prices because of the currency depreciation and customer prices have gone up for the industry.

That is also one of the reasons the industry is a bit low, but the worst is over. And our brands, HLX series, 100, 125, 150 has got very

good pull in the market.

LATAM, we are seeing a good opportunity. Our portfolio is very small in LATAM, but we can build it very well. Huge market, good opportunity for TVS and we are leveraging products from India as well as from Indonesia.

Gunjan Prithyali: Okay. Sir, is it fair to assume Africa is 60%, 70% or even more of your entire mix -- volume mix?

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K. N. Radhakrishnan: Tell me.

Gunjan Prithyali: Will Africa be more than 60%, 70% of the volumes that...

K. N. Radhakrishnan: Africa is about, I think first half, it's about 55% to 57%.

Gunjan Prithyali: Okay. Got it. And lastly, sir, any comments on CNG portfolio? Is that something that we are now thinking to introduce to the market. And if we were -- what kind of timelines we are looking at?

K. N. Radhakrishnan: We have a very strong R&D. Last time also I told you. We are looking at the customer, how customers are looking at it. Already in 3-wheeler, we have CNG. It's accepted very well. So we are very closely looking at how the customers are looking at the CNG. We can always come back with the product into the market. That is the point I would like to highlight on CNG.

Gunjan Prithyali: Okay sir. Got it. Thank you so much.

Moderator: The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.

Mumuksh Mandlesha: Thank you sir for the opportunity and happy festive season. Sir, you mentioned about the rural doing well, sir. Can you indicate how has been the rural market growth? And how is the urban market growth this last few months, sir?

K. N. Radhakrishnan: See, H1, just a minute. H1, if you look at the overall I'm saying, looking at the rural, urban, I think overall growth in H1 was, just a minute. Rural H1 growth was about 8% and rural was slightly higher 9%, urban was about 7%. So this definitely tells us after a long time 1% here and there cannot be so big, but first time we are seeing rural also catching up.

That's why it is very critical that monsoon, reservoir, agriculture, and we have to see rural slowly picking up. It will be a good news for 2-wheeler industry. And, of course, Q2 we saw a little bit slowing down which was expected. But Navaratri again, we are seeing 10%. We have to look at next week, which is very, very important how it is going to pan out. I'm of the view that

reasonably good growth we can expect in Q3, And I'm hoping that rural will try to be in line with urban this year.

Mumuksh Mandlesha: Sir, coming to exports three-wheeler sir, that has not yet seen a recovery like two-wheeler, we have seen a recovery. Any reason for the slowness in the export three-wheeler market?

K. N. Radhakrishnan: I think our -- we are extremely good in Africa. Africa is going through some tough times. And as you know, we are not losing on the retails, but we have controlled our dispatches because the last thing we will do is the same principle of 1 month stock, When we look at international, we

look at 1 month plus the transit time, And in domestic, we always look at one month stock.

Maybe recent times, 3, 4 days extra here and there depending upon, because last thing we want is to lose retail, like Dhyanteras or Navaratri. So that we calibrate, and we look at it that way.

Mumuksh Mandlesha: But you've seen a recovery happen sequentially?

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K. N. Radhakrishnan: It will happen. Going forward, it will happen. Q3, Q4 you will see that changes.

Mumuksh Mandlesha: Just lastly on this PLI Incentive, just want to understand like when will we be starting to book this incentives?

K. N. Radhakrishnan: Already Desikan answered you -- answered earlier, someone asked the same question, okay? We are developing the policy, and we will come back to you soon.

Mumuksh Mandlesha: Sure, sir. Thank you for this opportunity, sir.

ir.

K. N. Radhakrishnan: There was a question from someone about the EV turnover, for the first half it is about INR1,600 crores. Hello?

Moderator: Yes, sir.

K. N. Radhakrishnan: INR1,600 crores, it was an earlier question, at that time I gave the number, the INR1,600 crores for the first half.

Moderator: Okay, sir.

K. N. Radhakrishnan: Okay.

Moderator: We'll move on to the next question. It's from the line of Viraj from SIMPL. Please go ahead.

Viraj: Yes. If you look at TVS Credit Services, if you look at the segmental financials, we have seen a -- reported a PBT de-growth, while in a commentary we talked about a PBT growth of I think close to 15% 18%. So just trying to understand where is the disconnect?

K Gopala Desikan: Where is the PBT de-growth there? Last year we did INR180 crores, and we are at INR216 crores. We have grown.

Viraj: So if you look at our consolidated segmental numbers, we reported around INR209 crores of segmental EBIT as against INR218 crores.

K Gopala Desikan: For TVS Credit Services of standalone also we reported, and it is INR216 crores as against last year's INR180 crores.

Viraj: Okay, I will take this offline if that's okay with you.

K Gopala Desikan: Yes, sure. No problem.

Viraj: And in terms of the EV product portfolio and the PLI, so PLI, the cumulative amount, if you can just give some color, what kind of cumulative amount we'll be looking at once we have a policy in place? And the second question is on the EVs, we were looking at a very aggressive launch pipeline. So I think couple of quarters back we were looking in next 4 to 6 quarters at that point in time to have a very aggressive launch pipeline. But somehow, we're not seeing much launches from our side. So just trying to understand what is the thought process behind the launches?

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K. N. Radhakrishnan: We time the launches also, We want to make sure that we overall grow ahead of the industry, This is a very measured call. On one side, we keep developing the product and we decide when to launch the product.

Viraj: Okay. And last question is on the investment and capex, if you can just give for the full-year and FY '26?

K. N. Radhakrishnan: Capex, the same INR1,200 crores to INR1,400 crores for the year. Investment, just a minute, I think investments again around INR1,500 crores is what we said last time.

Viraj: Okay. Thank you very much.

K. N. Radhakrishnan: Can we have the last question, please?

Moderator: Yes, sir. It's from the line of Neel from Valuequest. Please go ahead.

Neel: Yes, my questions have been answered. Thank you.

K. N. Radhakrishnan: Okay. Thank you, everyone, and it has been a great quarter two, and I'm pretty confident about the season, which is going to be in the next 10 days. And we are also confident about Q3, overall with best customer satisfaction and quality and the new products whatever we have launched, Jupiter 110 and many more products to come in this financial year, I'm pretty confident that with the brands like Apache, Jupiter, Jupiter 125, iQube, Raider, Ntorq, HLX versions, TVS King, and TVS Ronin and Radeon, we are pretty confident that the range is helping us and the customers are helping us to grow faster than the industry.

Industry will be good in Q3, okay? Rural, first time we are seeing during the first half coming better growth than what we have seen in the past. And what is delighting us is while we are investing for future and employees and in investments in products and technology, we are able to consistently improve our EBITDA. Over the last 5 years we have seen significant improvement and quarter-on-quarter in the last six quarters we have now come to 11.7%, and we are confident that we will continue to leverage its growth, better product mix, sustained cost reduction initiatives to improve profitability going forward.

Happy Diwali to all of you, all your family member

s, and let us bring a lot of prosperity to society in India. May God bless Thank you.

Moderator: On behalf of B&K Securities, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jan 2025

Website: www.tvsmotor.com Email: contactus@tvsmotor.com CIN: L35921TN1992PLC022845

31st January 2025

BSE Limited,
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Scrip code: TVSMOTOR

Dear Sir(s)/ Madam,

Reg : Compliance under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

In continuation to our intimations dated 8th January 2025 and 28th January 2025 with respect to the schedule of a conference call with M/s. B & K Securities post results for the quarter ended 31st December 2024 and intimation on the audio recording, respectively, we wish to inform that the transcript of the said recording is enclosed and the same has been hosted on the website of the Company and is available at:
<https://www.tvsmotor.com/en/Investors/Communication>

We also enclose the said transcript for your reference.
Kindly acknowledge the receipt.
Thanking you,

Yours faithfully
For TVS MOTOR COMPANY LIMITED

K S Srinivasan
Company Secretary
Encl.:a/a

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"TVS Motor Company Limited
Q3 FY '25 Post Results Conference Call"
January 28, 2025

MANAGEMENT : MR. K N RADHAKRISHNAN – DIRECTOR AND CHIEF
EXECUTIVE OFFICER – TVS MOTOR COMPANY
LIMITED
MR. K. GOPALA DESIKAN – CHIEF FINANCIAL
OFFICER – TVS MOTOR COMPANY LIMITED

MODERATOR : MR. ANNAMALAI JAYARAJ – BATLIVALA AND KARANI

SECURITIES INDIA PRIVATE LIMITED

TVS Motor Company Limited

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Moderator: Ladies and gentlemen, good day, and welcome to TVS Motor Company Limited Q3 and FY '25 Post Results Earnings Conference Call, hosted by Batlivala & Karani Securities Private Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance in the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand our conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities Private Limited. Thank you, and over to you, Mr. Jayaraj.

Annamalai Jayaraj: Welcome to TVS Motor Company 3Q and 9 months FY '25 Post Results Conference Call.

From TVS Motor Company management, we have with us today, Mr. K. N. Radhakrishnan , Director and Chief Executive Officer; Mr. K. Gopala Desikan , Chief Financial Officer.

We will -- I'll now hand over the call to K. N. Radhakrishnan for the opening remarks to be followed the question -and-answer session. Over to you, sir.

K. N. Radhakrishnan: Good evening. everyone, and thanks for joining us today. Wish you, once again, Happy New Year and season's greetings to all of you. We're extremely happy to inform that the company's overall performance has been in line with whatever we have planned. The new product, especially the all new Jupiter 110, is doing very well in the market and very well accepted in the market. Combined EV and ICE, we have achieved the highest ever operating EBITDA margin of 11.9%. Kindly note, that this is without recognizing PLI benefits.

Now let me now take you through the company's Q3 performance. The two -wheeler domestic ICE sales grew by 5% compared to Q3 of last year as against industry growth of 1%. The two-wheeler international market company sales grew by 26% over last year. ICE -- total two-wheeler ICE sales grew by 9% compared to Q3 of last year, and this is also better than the industry. The EV two -wheeler sales increased by 57% this quarter.

In Q3, we have done 76,000 units as against 48,000 units during the corresponding quarter of last year. Total sales of three -wheelers are at 29,000. During the quarter, company's operating revenue grew by 10% at INR9,097 crores as against INR8,245 crores during last year third quarter.

On profit, during the quarter, company recorded an operating EBITDA of INR1,081 crores, grew by 17%, as against EBITDA of INR924 crores during Q3 of last year. The company's operating EBITDA margin improved by 70 basis points at 11.9% as against 11.2% during Q3 last year. And sequentially also, we have grown by 20 basis points.

Company posted operating PBT of INR859 crores, recording a growth of 22% during this quarter as against INR702 crores in the third quarter of last year. Profit after tax grew by 4%, INR618 crores as against INR593 crores during third quarter of last year.

During the 9 -month period, company's operating revenue has grown by 13%. This year, it is INR26,701 crore as against INR23,608 last year up to first 9 months. PBT for the first 9

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months grew by 19%, INR2,517 crores as against INR2,109 crores during the first 9 -month period of the last year. Profit after tax for the first 9 months grew by 16%, INR1,858 crores as against INR1,598 crores during the first 9 months period of last year.

On TVS Credit, we are extremely happy during this financial year TVS Credit has added more than 3 million new customers. Cumulatively, TVS Credit has served over 17.7 million plus customers till date. Now the book size is INR27,190 crores, grew by 7% overall over Q3 of last year. Profit before tax grew by 40%. Now it is at INR321 crores as against INR230 crores during Q3 of la

st year. Sequentially, PBT grew by 48%. Last quarter was INR216 crores PBT for TV S Credit.

Apart from serving two -wheeler customers, TVS Credit is one of the leading consumer durable mobile phone financiers. It has a fast growing footprint in the used car loans, tractor loans, used commercial vehicle loans and unsecured loans, powered by robust new edge technologies and data analytics. So overall, TVS Credit performance is really doing well.

On Q4 '24, '25, as you know, the first 9 months of this year, VAHAN industry grew by 9%.

What is delighting is urban -- the rural growth is slightly ahead of this 9%. To be precise, it is almost 10%. And Q3 also, we have seen rural doing slightly better than urban. So good rural coming back this year is going to help the industry.

Higher investments in infrastructure is going to definitely help. And the reservoir water levels

are very good this year. We are expecting an improved crop this year, and that is also likely to help, and we are expecting Q4 to do well. The new Jupiter for TVS, we will confidently say that we will grow ahead of the industry, thanks to the new products. And the existing products are also doing extremely well in the ICE.

On EV, the first 9 months of the period EV two-wheeler industry has grown 36%. Penetration during this period is 5.8%, slightly better than last year. iQube, as you know, is a very strong brand, is a prominent brand in the EV segment, which is technology-led features and best-in-class quality.

The company has introduced a new variant in iQube portfolio, making electric mobility accessible to everyone. We have now 3 battery options, 2.2 kilowatts, 3.4 kilowatts and 5.1 kilowatts. All the iQube, the full range, the portfolio is getting a very good response from the customers. We will also come up with products this year.

And about a week back, we have launched our three-wheeler TVS King EV MAX. The TVS King EV Max combines advanced electric propulsion with superior comfort and connectivity. It has got a blend of long-range impressive acceleration, quick charging time. And I'm very sure that it is going to give better return on investment for the users, and it is going to help better earning potential for the customers.

It comes with 179 kilometers of range, quick charging. We can do it in 2 hours and 15 minutes. It comes with smart features like TVS SmartXconnect. And this also uses real-time navigation, TVS Motor Company Limited

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alerts, vehicle diagnostics through their smartphones. And it comes with definitely a very good LED headlamps and tail lamps.

So it is going to be one of the best offering in the market, and we are pretty confident that with this product, we will become a prominent player in the EV three-wheeler. And as you know, the EV three-wheeler category is growing much faster. The penetration is already -- while overall for the year, it's year-to-date, it is 21%; last quarter, it's 26%. And we are expecting this to significantly grow in the coming months.

During the Bharat Mobility Global Expo, we will be partnering with Hyundai. We have unveiled concept models, and this is going to be in the space of micro mobility. And this partnership is going to be very, very critical, and there will be quite a lot of learning.

On international markets, we are witnessing improvement in retail better than the industry. During Q3, we witnessed improvement. In Africa, we are expecting improvement from the current levels during -- and this will also do -- will be better in Q4. We have entered into Morocco. This will add to our further growth momentum in North Africa.

The HLX 125 5-gear, which is added in our portfolio last quarter, is doing well. We have launched this product in many key African markets. The response is very positive. Last year, I told you about LatAm, I think it is growing. And these are the markets which

is doing

extremely well for the industry.

And we are growing month after month in this market, and it's very, very important for our growth strategy in international business going forward. We're extremely happy that Sri Lanka is opening. And Sri Lanka is very, very important in the Asia market. In Nepal, we are doing well. All of you know that Bangladesh is going through some tough time, but it will come back. And Middle East also, we are doing well.

Overall, we are extremely happy that the EBITDA margin has been growing for TVS Motor Company. And now we are at the highest 11.9%. We are confident that the company will continue to leverage its growth, better product mix, sustained cost reduction initiatives to improve profitability going forward.

We have a very strong range of brands, and we will continue to grow ahead of the industry both in ICE and EV. In terms of, most importantly, this momentum in the market and the industry, we are positive about Q4. And we are expecting overall 2025 is going to be a good year both in domestic and international market for TVS. Thank you.

Moderator: Shall we open the line for questions?

K. N. Radhakrishnan: Yes, please.

Moderator: The first question comes from the line of Chandramouli Muthiah with Goldman Sachs.

Chandramouli Muthiah: My first question is on the OBD2B norms, which I expect to be introduced on 1st April 2025.

So I just want to understand what additional components you might need to add? Are there any

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price hikes we need to take? And is there any prebuy factor that we need to factor in heading into that period?

K. N. Radhakrishnan: See OBD2B, like you mentioned, it is next -phase change. Definitely, we are getting ready with all our products, and it will be available from 1st of April. Some of the products we will be launching soon. So -- and appropriate time, I'll tell you the cost increase and the price increases.

Chandramouli Muthiah: Just a follow -up on that, I think we had OBD2A exactly 2 years back, and I think the industry took between 1.5% to 2% sort of price increase at that point in time. So do we sort of compare similar to that sort of magnitude of price hike? Or is it going to be slightly different?

K. N. Radhakrishnan: See, this is like Phase A, this is going to be Phase B . And we are looking at what are the changes in the components and what needs to be done. But we are very confident that whatever price increase, it will be appropriate and it will be competitive in the market. And we want to grow in the industry. And what is likely to happen, according to me, this price increase s are not going to be as high as what you have seen in BS IV to BS VI . It will be, in my opinion, I can't put a number to it, but I'm very sure it will be affordable from the customer's point of view.

Chandramouli Muthiah: Got it. That's helpful. My second question is just on the gross margin. So we did see an increase in electric two -wheeler mix this quarter, but gross margin has been quite stable. So I just want to understand what were the drivers that helped maintain very stable gross margin this quarter in spite of increasing electric two -wheeler mix?

K. N. Radhakrishnan: I think the most important thing is, if you look at our gross margin, we have been fairly steady. There may be some 20, 30 basis points change. Say, between Q2 and Q3, there is not much of a difference in our material cost or whatever. I think the continuous focus on the product mix and the material cost reduction. And price increase during this quarter was practically insignificant. I think very, very small proportion.

So overall, I think what is most beneficial to the company is the health of the product mix and also the material cost -- sustained material cost reduction. And commodities also, I would say, it is flat. I think there was no significant change

. There may be some material which would have gone up, but equally something has come down. So it is practically flat. So this is between Q2 and Q3. And if you compare between last year to this year, of course...

Chandramouli Muthiah: Got it...

K. N. Radhakrishnan: There was a little bit of price increase. But the price increase was only marginal, if you ask me.

Chandramouli Muthiah: Got it. That's helpful. And just lastly, a housekeeping question on export revenues and spare revenues for the quarter, if you can share?

K. N. Radhakrishnan: Give a minute, please. Export revenues are around INR2,018 crores and spare parts, just a minute, about INR950 crores.

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Moderator: Next question comes from the line of Pramod Kumar with UBS.

Pramod Kumar: Congratulations on a decent set of numbers. Sir, my first question is on the operating leverage or the lack of it, because if you look at the first -- this quarter numbers, like your employee costs and other expenditures grew by like 25% plus versus revenue growth of 13%. And even if I look at the first 9 months, we have seen 180 bps increase in employee and other cost expenditure as a percentage of revenue, and they've grown significantly ahead of the revenue growth.

So I understand a lot of this is going towards capability building on new technologies, manpower hiring and all that. So if you can just help us understand by when do you expect the inflation or the growth in these line items to kind of moderate, so that we start seeing the benefit of operating leverage?

The reason I'm asking this is like last 4 years almost, the employee cost has compounded by 20%. And we can see the benefits of that in your products and the market share gains. But just trying to understand, are we expecting a moderation in the growth of these expense line items so that we can see some operating leverage benefit?

K. N. Radhakrishnan: See, the answers are there in your question itself. I think what is most important is TVS has got a strong new product development capability, R&D capability and we come up with new products practically every year. And as I said earlier, we have added significant capability building in software, digital. Almost -- I said last time, almost 500 people we have added in this category.

And this is definitely while it is going to help the EV and the EV product development. You can see our TVS Max, The King Max, you will see it is practically, so many things are digitally connected. It is very advanced in terms of best -in-class features, because I think we want to give the best to the customers in terms of technology capability, in terms of connectivity. All these are investments.

But we look at -- like I said, these are investments, not costs. I'm very sure these capabilities, what we are building, will also help in ICE, because ICE customers are also now looking at

these kind of technologies. And in exports also, many of these products are likely to do extremely well. So according to me, investments behind employees, employee capability building, employee costs will continue because the products are required and we have an ambition to get into Europe.

Now after that, we have -- we want to look at global markets with our EV products and some of the ICE products. So the top line can come only with the right kind of people and investment behind people, both on new technology area, capability building. And software as a capability we are now investing.

Pramod Kumar: No, sir, I understand all of that. Just trying to understand whether we're going to see some moderation in the rate of growth of these expense lines, have nothing else. And this could be more for FY '26, '27. I'm not looking at the immediate quarter. But just if you can help

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understand whether we will

expect any moderation in the group rates? Or they'll continue to grow significantly out of the revenue growth?

K. N. Radhakrishnan: I hope all of you are happy with 11.9% without the PLI. What we need to look at is, as a summary, is the company improving quarter -after-quarter EBITDA, including EV plus ICE.

Each line we can optimize, but then we'll not do the best for the investments on new product, technology, capability building. While you manage the quarter, I don't know whether that it's most important. Most important is managing the customer future technology looking at -- because any investment, it will start yielding results in 2 to 3 years.

Pramod Kumar: Okay. Fair enough, sir. And the second, linked to the comment you made on PLI, by when do we expect you to start receiving the PLI amount, sir, so that we can start recognizing that in the revenue numbers and the margin numbers?

K. N. Radhakrishnan: See, all the iQube portfolio are approved for PLIs. And like we said last time, the audit process, everything is in the advanced stage. And you will see the PLI benefits relating to the whole year will be accounted in Q4.

Pramod Kumar: Q4, sir?

K. N. Radhakrishnan: Yes, that is our plan. And going forward, that it will be every quarterly basis. So we are expecting definitely some decisions to be taken in the last quarter.

Pramod Kumar: Okay. And sir, on the export market outlook, if you can -- hello?

K. N. Radhakrishnan: Yes, please.

Pramod Kumar: Sir, on the export market, sir, if you can just help us understand while we are doing well, we are gaining market share. In terms of the medium -term plan for the next couple of years, where do you see TVS' export volumes in terms of overall portfolio for two -wheelers, sir? Because as you said in the opening remarks, you are kind of still ramping up on Latin America. I think Brazil is yet to be entered.

So if you can just help us understand that. And also final statistics on iQube. How much of the network is already selling iQube, sir, because I understand you're not selling at all your outlets at this point in time, including some dealers? These 2 questions, sir.

K. N. Radhakrishnan: I'll start with iQube. I think we are at about 900 dealerships in India. And there is still opportunity to sell many main dealerships, and then we love to look at other markets in India, that is suburban and other areas. On export, one correction, we are already selling in Brazil. Our market share may be small because Brazil is a huge country. As a LatAm, our presence, we have started in the last couple of years focusing.

And any market when you try to enter, first you need to understand the consumers, you need to understand, build the brand. This is exactly what we did in Africa. Today, in Africa, we are a very prominent player. So like that now we have started focusing on LatAm, looking at market by market, having good distributors, looking at service, spare parts, availability, product,

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technology, brand building. So I'm pretty confident that TVS as a brand will have huge opportunity going forward in LatAm.

Moderator: Next question comes from the line of Kumar Rakesh with BNP Paribas.

Kumar Rakesh: My first question was around the investments that you have made in the international businesses. Have you taken the fair value assessment of all the international subsidiaries recently, which all are pending to be done? I see that you have taken some write -off in this quarter. So for which entity is that and which all entities are yet to be evaluated for that?

K. Gopala Desikan: We do fair valuation for all our investments. And what is being recognized as fair valuation loss around INR 41 crores, which is there, it relates to TVS supply chain investments what we have made, where the market has corrected. And in the previous quarters, we have

also

recognized the fair valuation gain on that. All other investments, we test for fair valuation and they are -- they don't require any intervention in the valuation.

Kumar Rakesh: Okay. Related to that, during the quarter you invested in DriveX, which raised your stake and that was through secondary sale of shares. So can you just help understand that what is the rationale behind making that to be a subsidiary, especially when it is a resale business, which largely many of the other OEMs have built by themselves. So what is the unique use case that we are looking at this business, we have raised their stake and want this to be our subsidiary?

K. N. Radhakrishnan: I think these are part of the auto business. So we felt that it is better to be part of TVS Motor. That is only a simple rationale.

Kumar Rakesh: I think but my question was more from external business going and investing in that instead of building by ourselves. So what is it the unique case that this startup brings and that we thought that we'll not be able to build ourselves?

K. N. Radhakrishnan: But we have a significant proportion of stake in DriveX. So the entire capability or trying to support in building the DriveX is from TVS Motor, and it has got a very high level of synergies with the existing business of TVS Motor. So I think -- and you know the importance of used vehicle business in India.

Kumar Rakesh: Got it. My second question was around the TVS Credit. So you spoke about that it's our diversified business now outside of two-wheeler business as well. I noticed that the AUM growth of that business has been slowing down quite sharply from more than 20% growth a few quarters back, now about 7% growth. So what is driving that slowdown in the AUM growth of that business?

K. Gopala Desikan: So there's no slowdown. Basically, the credit to, particularly the risky customers and the unsecured lending, we are quite cautious. The book size is a healthy book size at INR27,190 crores. And if you see even the debt to equity, we are just at 5.2x now. And it is -- and again, the capital adequacy ratio is extremely healthy at 19.4%. And therefore, there is no slowness in the growth. And we have tightened certain credit norms, and we are -- that's the reason.

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Otherwise, it's a very healthy portfolio. And the book, what we are carrying, is a very good and a healthy portfolio what we have today.

K. N. Radhakrishnan: We look at the competitive landscape, and we look at without compromising on the quality of customers. So that is a fundamental when we look at the growth.

Kumar Rakesh: Got it. And I noticed that the credit cost has increased or has elevated at about 4.9%. So how are the delinquencies trend that you are seeing and that's...

K. Gopala Desikan: Sorry, I can't understand. What's the question?

Kumar Rakesh: So the credit cost of TVS Credit is about 4.9% for December quarter. So I was asking around the delinquency of the business, how is that trending?

K. Gopala Desikan: The delinquency is -- I mean, I can say -- talk about the gross NPA is at 3% and the collections are quite healthy, and we carry decent provisions more than what is required under the RBI regulations. The collections are also quite healthy. We have collected close to INR7,000 crores during Q3 when compared to INR5,000 crores comparable quarter last year. And the disbursements have also been quite healthy at INR7,400 crores this quarter as against INR6,900 crores in the comparable last year quarter.

K. N. Radhakrishnan: And if you overall look at the performance of TVS Credit, it's one of the outstanding performance. PBT has grown more than 40% and INR321 crores.

K. Gopala Desikan: And the rating agencies have also upgraded the rating from the AA+ stable now.

Moderator: Next question comes from the line of Gunjan, Bank of America.

Gunjan: Apolo

gies if this is repetitive. Just trying -- just first question on the investment in subsidiaries, the INR740 crores, could you give us some sense where has this gone? And also, I do see the losses have certainly come down on subs in this quarter. So if you could give a little bit of color on what's really happened on the subs performance besides TVS Credit?

K. N. Radhakrishnan: See, one is the investments in TVS Singapore. After that, predominantly, it is Norton. And like you said, the good news about Norton is whatever we have committed, the products are getting ready. The first product should be ready by end of this year. And a few products will be ready in the beginning of next financial year. So I think '25, '26 is going to be -- the financial year is going to be very, very important in terms of product readiness and then Norton getting into the market.

So all the investments are practically supporting this development, getting ready for the product readiness in the market. And there are investments related to other subsidiaries, like e-bikes, and investments related to the new technology areas in Singapore, TVS Singapore. And we are also investing in setting up a new hub in Dubai for international business because we see a huge opportunity in Africa, Middle East and Europe.

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Gunjan: Okay. And anything like on the losses, like they've come off, is it that Norton or the eBicycle business where we are seeing some worst is behind and losses are shrinking. Any comments around that?

K. N. Radhakrishnan: See, the e -bike business, you know that, overall, the industry has significantly come down because of the Europe going through a lot of challenges. And all the players in this market. I think we are focusing much more on designing, which are the outlets, which are cost competitive and which are future required.

So a lot of focus in terms of cost reduction, working capital management because we feel that in a couple of years' time, the e -bike industry will come back in Europe . And there is a lot of learning. And we are also investing in some products. So this is definitely going to help in coming back with the e -bikes in the future.

Gunjan: Okay. Got it. And my second question was a little bit more on the product strategy. At the Bharat Mobility Expo, you had two interesting products. One was the CNG display and the other one was the 300cc bike. Anything that you can sort of talk about how soon should we expect these coming to market? Any broader strategy around both these product segments, CNG scooter and 300cc?

K. N. Radhakrishnan: See, we have a very strong R&D and design capability, and these are concepts what we have demonstrated there. And at appropriate time, we will decide which type of products to be brought into the market. You would have seen about a week back our new three -wheeler EV, King EV Max. So these are opportunities to showcase our capabilities. These are all our concept bikes, what we presented there. But I can assure you that based on the customer feedback, the industry opportunity, we will invest in some of these products going forward.

Moderator: Next question comes from the line of Aryn Pirani with JP Morgan.

Aryn Pirani: Sir, two questions from my side. First question is, you have recently launched the electric three -wheeler, and the features and the pricing seems quite attractive. I don't know if you mentioned about this in the past, but how do you see the e -rickshaw as a category? And is that something also which can be a business opportunity for you in the future?

K. N. Radhakrishnan: We always -- first of all, the TVS King EV Max, it comes with best -in-class feature, first -in-class features in terms of many things which we offer. Like I said, this is the product with 179 on single charge you can get the range. And it has got a blend of both impress

ive acceleration,

excellent range and quick charging. So we -- from the point of view of the customer, this product, I'm very sure, it will help the Indian three -wheeler industry. Not only Indian three -wheeler EV industry, but we can definitely look at exporting this.

Now coming to the e -rickshaw category, I think we are closely understanding. See, the good thing about TVS is we have a strong R&D and design capability. So we can always come back, we can reflect . At this point of time, the full focus is on TVS EV MAX and how do we go to a prominent player in this category because this category itself, the penetration is growing disproportionately.

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If my memory is right, in the last few quarters, it is growing at a CAGR of 84%. And already, we are seeing close to 30% penetration, which is very, very healthy number. So we want to gain a good position in this category with the launch of TVS King EV Max.

Aryn Pirani: Okay. Sir, secondly, again, apologies if this has been addressed earlier. I joined a bit late. What is like the rationale of merging Sundaram Auto Components? And is there a plan to grow that business? And correct me if I'm wrong, currently, this is 100% supplying to you? Or is there any external revenues that this entity generates?

K. Gopala Desikan: Okay. This is a plastic business, 100% owned by TVS Motor Company. We are in the process of selling that business, and the company with the cash, it is going to generate out of the sale and the 24 -odd acres of land, which is very nearby to our factory, this gets merged with TVS Motor Company. There is no business that will get transferred or an additional revenue that is going to come to TVS Motor. The company, which is completely owned by it after generating cash on sales of the business and the remaining assets, will get merged with TVS Motor Company.

K. N. Radhakrishnan: And currently, 80% of the sales is with TVS, remaining...

K. Gopala Desikan: 80%, 85%, yes.

K. N. Radhakrishnan: 20% -- maybe 15% to 20% with other customers.

Aryn Pirani: Okay. But going forward, this entity will not have any business, it will just be entity with land and cash, basically?

K. Gopala Desikan: Yes.

Moderator: Next question comes from the line of Kapil Singh with Nomura.

Kapil Singh: Just on the electric scooter business, I wanted to ask because we are touching almost 900 dealerships. What percentage of the scooter market does it cover? And then secondly, in terms of the customers we are getting now, are these -- do you think are these scooter -- existing scooter customers who are shifting? Or are there additional motorcycle customers also shifting towards electric scooters?

K. N. Radhakrishnan: See TVS iQube is an excellent brand, and thanks to all the customers who are buying this product. If you recollect, I was highlighting that if you include EV also into the two -wheeler industry, I was highlighting that last year, the EV -- the scooter category share was about 31%, 32%. So include both ICE and EV scooter, it is already now moving close to 40%. So the most important is market of scooter categories expanding in India .

This is exactly what I was highlighting about 2 years back, Indian customers like -especially urban and semi -urban, they like scooter as a category because it gives a lot of convenience to the day -to-day usage . So that is one of the predominant reason.

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So when the market is expanding and the overall scooter category is growing, we are present -- with iQube in the EV category, we are also present with Jupiter, Ntorq. And even in Jupiter, we have a 110 series, there's a 125 series, Ntorq is there. And for the entry -level customers, we have Zest. So we have a strong scooter portfolio, okay, and we will definitely grow ahead of the industr

y with the kind of investments whatever we have done on the product side.

Kapil Singh: Sure, sir. These 900 dealerships, they would cover what percentage of the scooter market?

K. N. Radhakrishnan: See, we can -- we have another -- including the branches or the main dealers, we have almost 1,400 main dealers. So we are very systematically growing that. Then we can always look at the next level dealerships. So this is a very systematic investment in the network and expansion of the network.

Kapil Singh: And sir, on the motorcycle portfolio, can you give some color? Just firstly, on the industry also, the growth has been quite tepid, especially in the second half. And for TVS as well, the growth rate has been slow by the standards that we set. So just if you could give your views on both.

K. N. Radhakrishnan: Overall, we have done much, much better than the industry. I hope you can see the numbers. I don't want to say anything beyond that . And I look at the total portfolio, I don't look at product -wise. First step is to grow ahead of the industry in a very, very structured way. Number two, there are, of course, categories. For example, the economy category, the moped category, there are some challenges.

But the good news is the rural is responding this year after a long time . But still, there are pressures on the economy category and the moped category because the buying power, while it is going up, but there are some challenges they are facing . So it may take a little longer time. But overall, this year, so far, the industry has grown 9%. 9% is a CAGR, is a very, very healthy growth rate.

Kapil Singh: Sure, sir. My question was more of the recent data, we see that has seen quite a bit of weakness. So was that more temporary factor or...

K. N. Radhakrishnan: For example, the month of January, the first 2 weeks, VAHAN growth only 4%, I understand. But it will grow. We have just started January. Now February is there, March is there . Last quarter also, if you look at it, September, October, November -- October, November, December, we saw a very healthier growth rate.

Any growth rate around 9%, 10% is a good growth rate. As of now, it has started well. That is the way I look at it. And so far, market is holding on . Only area where, if you ask me, it can do better is the entry -level motorcycle, moped, these are the areas.

Moderator: Next question from the line of Parag Thakkar with Fort Capital.

Parag Thakkar: Congratulations for excellent numbers. I just wanted to know when that PLI benefit margin of 1.5% will reflect in our quarterly results?

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K. Gopala Desikan: What is that, 1.5%?

Parag Thakkar: PLI benefit, which I think our peers have already recognized, right?

K. N. Radhakrishnan: We don't know about this 1.5%...

K. Gopala Desikan: It's a new number you are saying. We don't know this. It only talks about the minimum of -- the government says 12% -- yes, 12% on the EV -related business and 13% on revenue subject to satisfaction of all other criteria, which we have already satisfied. And we will be recognizing based on the EV -related sales going forward. This 1.5%, we don't know what that

number is, please.

Parag Thakkar: So this EV benefit will come in from retrospective effect or from Q4 only?

K. Gopala Desikan: No, it is from April. It depends on when we have launched and when we got the certificate. But what we will be recognizing in Q4 is our eligible percentage for the whole year.

Parag Thakkar: Okay. Great, sir. And if I've heard correctly that in January, basically in two -wheeler, we are doing extremely well and Mr. Sudarshan Venu was very bullish about the January uptick in two-wheeler sales, both in ICE and electric, I think.

So whether you would be able to throw some light on that. That March quarter and upcoming year looks very good from both ICE and

EV sales from TVS' perspective. No, I'm not asking from the industry perspective. Of course, he has said that two -wheeler industry is going to grow in double digits in this year and you will outpace the industry. But...

K. N. Radhakrishnan: I think you have said the industry is expected to do well in 2025, ICE plus EV, and the TVS with the kind of products what we have, we will be growing faster than the industry.

Absolutely right.

Moderator: Next question comes from the line of Jay Kale with Elara Capital.

Jay Kale: Congrats on a good set of numbers. Sir, my first question is regarding EV two -wheeler. We've seen that the penetration for the industry is hovering around the 6 -odd-percent, while we have done well. But what, according to you, is needed for this penetration to move up further?

Because a couple of years back, the broad expectation was that if EV two -wheeler prices, scooter prices come down to closer to ICE vehicles, there will be an inflection point.

Now as we see it, broadly, the industry has reached similar to ICE prices of scooters. What is it needed for it to further give a flip in terms of EV adoption? Is it that motorcycles will only drive the further EV adoption over years? Or where are we seeing the gaps in EV scooters as an industry?

K. N. Radhakrishnan: According to me, 6% in such a short time is one of the best numbers I have seen on EV adoption . What is most important is customers and customers liking the products and the technology, which according to me is happening pretty well . Now definitely, going forward, more new products will come, new players will come. The market will be competitive. I think

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when you have new products or new segments, I think that is the time you will see definitely good growth.

According to me, EV is growing pretty well in India because these are all personal users, personal owners . Please understand customers are agnostic to any technology. So customers have to like it, and customers liking has started. So we have to be patient. It will grow. And with the new segments and the new products, it will further grow. That is our understanding and estimate. And as the volume goes up, everything will fall in line, the cost will fall in line, many things will fall in line.

Jay Kale: Understood. And if you can just share EV contribution of -- for this quarter in terms of revenues that you had done last quarter. And just a few clarities on the Norton launches as well as the Hyundai three -wheeler that you mentioned, the timelines and the kind of product positioning that would have? And would we just be contract manufacturing? Or what would be our role in this? And how would it place?

K. N. Radhakrishnan: See, this is -- the Hyundai and TVS partnership is a great partnership. At this point of time, it is going to be focusing on micro mobility and there is a huge opportunity there. The project timelines, and investments, etc , we will update once we are closer to our complete plans .

And coming back to Norton, I already highlighted to you that the '25, '26 financial year, that is where you will see the products coming from Norton. And I'm very confident that with our R&D and our capability, you will see many of these products definitely, definitely delighting the customer in many parts of the world. Norton is a great brand. It's in the super premium great brand. So we are pretty positive about that. What was your third question?

Jay Kale: On the EV contribution this quarter in terms of revenues, like you had mentioned last quarter.

K. N. Radhakrishnan: I think EV -- I think the revenue is around INR800 crores.

Moderator: Next question comes from the line of Raghunandhan N. L. with Nuvama Research.

Raghunandhan N. L.: Congratulations on the 11.9% margin. Sir, firstly, on the margin side, you have been doing very well over

last few years. And going forward, material cost reduction, premiumization, even the geography mix improvement, all these are triggers. If you can talk about efforts in this regard and how see the benefits to flow through in future?

K. N. Radhakrishnan: See, the most important to me and for our company is delighting the customer. For delighting the customer, one, the existing brands have to do well and you have to come up with new

products, new technologies, new innovation, best -in-class features because you have to keep giving something new to the customer, so that he loves your product.

And post that, you have to give very good service, everything. Every element of customer looks at the value. The moment you see you offer value to the customer, customer will

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definitely start investing behind the brand, they will buy, they will recommend. So that is number one.

Number two, what is most important is top line. With the customer delight, the top line will grow. And like I always say that we don't -- we ask all our dealers to buy on cash and carry. We don't allow them to keep them 30 days of stock. We want the fresh vehicle to go to the customer.

And we have very strong brands. If you look at Jupiter, Jupiter 110 is there, Jupiter 125 is there. Then you have Ntorq. We have Zest on one side. You know Apache brand. We have excellent products from 160 2V, 160 4V, then 180 and 200 and the 310 series. Then on the other side, you have Raider, which is at 125cc, the entry -level products.

So we have the best range starting from moped to scooters to motorcycles. That is very, very critical because when a customer comes in and of course. So first to have -- after the customer satisfaction, have a range of products so that the customer gets delighted. And whatever I said on premiumization with the kind of infrastructure, premiumization is continuing.

And people are investing behind great brands, and they are looking at products with excellent features. So this will continue. The variant strategy will continue. Product mix strategy will continue. Geography focus will continue. And exports, you have seen in our numbers. There is a huge opportunity in exports for our TVS Motor Company because we have HLX. HLX is a great brand. We came up with 110, 100 and 125, now we have 150. So investment behind products, then coming up with premiumization.

And of course, if the top line goes up, then that is the time to focus on material costs, and it is a sustained material cost reduction. So all put together is what is delivering and helping. And without sacrificing the investment of people, technology, quarter -after-quarter, we are able to improve our EBITDA. And this journey will continue.

Raghunandhan N. L.: Got it, sir. Sir, in terms of demand outlook, how do you see domestic market in FY '26, given that we have not yet reached the previous peak? So -- and rural is also doing well, how would you see the industry growth panning out?

K. N. Radhakrishnan: See, we are working out for the next financial year, the numbers. But my feel of the last 9 months gives me a lot of confidence because this is the first year I have seen rural matching or slightly ahead of urban, which is a very positive news. The area, possibly things can improve is the entry -level motorcycles and moped. But I am also confident with the monsoon reservoirs being very good this year. I'm expecting the same growth momentum of last year will continue in 2025.

That detailed working out is going on as a part of the budget for next year. And as far as TVS is concerned, we are looking at continuing our growth momentum ahead of the industry with the kind of products and the brands and the kind of investments we are making in delighting the customer. So overall, I think, '25, '26, I'm pretty positive. I'm confident the industry should do well.

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Raghunandhan N. L.: And on the investment side, we've already done INR1,400 crores in the first 9 months. How would you look at the full year number? Or Q4, what would be the number? And do you think this INR1,000 crore plus run rate will continue for FY '26?

K. N. Radhakrishnan: See, these investments are predominantly for product development activities on Norton and some product development activities for e -cycles. And please understand, products are critical in auto industry, okay, very, very critical. And the benefit of that, we will start getting 1 year later, 2 years later. On the investment side, possibly, we will be around INR1,700 crores, yearend outlook. So -- but these investments are going to be the foundation for the future. Can we take the last question, please?

Moderator: Yes. Yes. Due to time constraint, we will be taking the last question. That is Jinesh Gandhi with Ambit Capital.

Jinesh Gandhi: My question is on Norton investments. So now given we are nearing the completion of product development, do we need to invest further in Norton beyond what we've already invested?

K. N. Radhakrishnan: See, first of all, the products, whatever we have invested, we have to put into the market, okay, number one. Number two, we need a range of products, please understand, because our

aspirations are very high on Norton and please understand the customer, when he looks at it, he will expect a range of products. So whatever we are investing, that will be available . And we have already said that we will be looking at, first year, that is '25, '26, and there will be launches year after and possibly in the third year also. So we need to look at sustained investments behind product development, yielding to a good range of Norton bikes, Norton motorcycles, and it should be available globally in every part of the world. So at this point of time, whatever I've highlighted is for '25, '26.

Jinesh Gandhi: Got it. And secondly, in the domestic market, some of the financiers, including banks and NBFCs, are highlighting increase in delinquencies on the consumer loan side, two -wheelers and that way. Are we seeing any signs of stress on finance availability for two -wheeler customers? Or that is yet to be -- it's not yet visible on the ground?

K. N. Radhakrishnan: See, these are part and parcel of growing. When you substantially grow, already my colleagues, Desikan also highlighted that we -- in TVS Credit, we are very, very conscious. We give only quality customers the kind of lending . That is the reason our delinquencies are under control . Equally, we also look at diversifying the portfolio so that every segment we are present. So I can't say that this is something we have to constantly look at it and correct it. Quarter after quarter, we have to look at it, how the market is moving. This is a continuous part of the journey.

Jinesh Gandhi: Okay. And just bookkeeping questions to Mr. Desikan. Sir, what was USD -INR realization in this quarter? And how much would be capex for the full year FY '25?

K. Gopala Desikan: 1 second. USD realization for the quarter is INR84.

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K. N. Radhakrishnan: And capex , you asked capex, right?

Jinesh Gandhi: Yes, for FY '25.

K. N. Radhakrishnan: Capex for the year, you're asking, or for this quarter?

Jinesh Gandhi: Yes, for the quarter and the year.

K. Gopala Desikan: INR340 crores.

K. N. Radhakrishnan: Yes. The capex will be around INR1,300 crores.

Jinesh Gandhi: Great sir. Thank you and all the best.

K. N. Radhakrishnan: Thank you. Thank you, everyone. Thank you, everyone. And like I said, the growth trajectory and we have posted -- we continue our growth trajectory, and we posted the highest operating EBITDA of 11.9% . This is consistently we are improving quarter aft

er quarter .

With the best -in-class quality and our unwavering focus on consumers along with our strong portfolio of brands, starting from Apache, Jupiter, iQube, Raider, Ntorq, Star range, HLX, Radeon, TVS King and TVS Ronin and the recently launched TVS EV Max -- King EV Max, we will do pretty well ahead of the industry, both in domestic and international.

We will continuously improve our EBITDA by focusing on product mix. We'll focus on our leveraging the volumes and sustained cost reduction. We will continue to improve our EBITDA margin going forward.

Thank you. Thank you for your time and continued trust in TVS Motor Company. Thank you.

Moderator: Thank you. On behalf of TVS Motor Company Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines

Call: May 2025

Website: www.tvsmotor.com Email: contactus@tvsmotor.com CIN: L35921TN1992PLC022845

5th May 2025

BSE Limited,
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Mumbai 400 001.
Scrip code: 532343 National Stock Exchange of India Ltd
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Bandra (E), Mumbai 400 051.
Scrip code: TVSMOTOR

Dear Sir(s)/ Madam,

Reg : Compliance under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

In continuation to our intimations dated 23rd April 2025 and 28th April 2025 with respect to the schedule of a conference call with M/s. B & K Securities post results for the quarter ended 31st March 2025 and intimation on the audio recording, respectively, we wish to inform that the transcript of the said recording is enclosed and the same has been hosted on the website of the Company and is available at:
<https://www.tvsmotor.com/en/Investors/Communication>

We also enclose the said transcript for your reference.
Kindly acknowledge the receipt.
Thanking you,
Yours faithfully
For TVS MOTOR COMPANY LIMITED

K S Srinivasan
Company Secretary

Encl.:a/a

"TVS Motor Company Limited's 4Q FY'25 Post Results
Conference Call "

April 28, 2025

M
ANAGEMENT : MR. K N RADHAKRISHNAN – DIRECTOR & CHIEF
EXECUTIVE OFFICER , TVS MOTOR COMPANY LIMITED
MR. K GOPALA DESIKAN – CHIEF FINANCIAL OFFICER ,

TVS MOTOR COMPANY LIMITED
MODERATOR : MR. ANNAMALAI JAYARAJ – B&K SECURITIES

TVS Motor Company Limited
April 28, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY'25 Earnings Conference Call for TVS Motor Company Limited.

As a reminder, all participant lines will be in the listen -only mode and there'll be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jayaraj. Thank you and over to you.

Annamalai Jayaraj: Thanks, Mike. Welcome to TVS Motor Company's 4Q FY'25 Post -Results Conference Call. From the Management side, we have with us today, Mr. K N Radhakrishnan – Director and Chief Executive Officer and Mr. K Gopal a Desikan – Chief Financial Officer.

I will now hand over the call to " Mr. K.N. Radhakrishnan for the Opening Remarks " to be followed by "Question -and-Answer Session. " Over to you, sir.

K N Radhakrishnan: Good evening. Good evening, everyone. Thank you for joining us today. Seasons greetings to all of you and your family members.

On the overall performance of TVS Motor Company this year, we are delighted to share that during the year, the Company surpassed all its previous highs, achieved the highest ever sales of 4.7 million units, posted the highest ever revenue of Rs.36,251 crores, highest ever profit of Rs. 3,629 crores. We would like to thank all our customers, all our investors and every employee in the Company for this outstanding achievement.

Combined EV and ICE we have achieved the highest ever operating EBITDA margin of 12.3%. This 12.3% is including the PLI benefits. And consistently if you look at quarter -on-quarter we are at 12.5% EBITDA including the PLI benefits. The report what you will be seeing is about 14% EBITDA because this quarter we have accounted for the year PLI benefits.

Now, coming to sales, the two -wheeler domestic ICE sales grew by 9% over the last year as against industry growth of 7%. The two-wheeler international market, the Company sales grew by 23% against the industry growth of about 21%. Total ICE two-wheeler grew by 12% compared to the last year as against industry growth of 10%.

On EV two -wheeler sales increased by 44% to 2.8 lakh units as against 1 lakh units during last year. For the sales of Three -wheeler s are at 1.35 lakh units and last year was 1.45 lakh units. .

During the year, the Company's operating revenue grew by 14%. Now it is at Rs. 36,251 crores. Last year, the whole year the operating revenue was Rs. 31,776 crores.

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Coming to profits , during this year, the Company recorded the highest ever operating EBITDA of Rs.4,454 crores , a growth of 27% as against the EBITDA of Rs. 3,514 crores during last year. The Company's operating EBITDA improved by 120 basis points at 12.3% as against last financial year's 11.1%. This was primarily possible through the robust growth in revenue, sustained cost reduction initiatives implemented by the Company . As I highlighted this 12.3 % includes the P LI benefits for the Company for the year.

PBT for the period grew by 31 %, Rs.3,629 crores as against Rs. 2,781 crores during the last year. Profit after tax grew by 30% which is Rs. 2,711 crores as against last year 's Rs.2,083 crores. During the year, the Company has generated operating cash flow post -CAPEX of Rs.2,486 crores.

On Q4, the two -wheeler domestic ICE sales grew by 6% compared to Q4 of last year, while all of us know that the industry was almost flat, there was a marginal decline actually. In two-wheeler international market , Company sales grew by 32% over last year. The total two-wheeler ICE sales grew by 12% compared to Q4 of last year as against the industry growth of 4%.

EV two-wheeler sales increased by 54%. We achieved 7

6,000 units as against last year 's 49,000 units of Q4 -to-Q4 this year.

Three-wheeler grew by 21%, this quarter is 37,000 units as against last year 's 30,000 units.

This quarter, the Company's operating revenue grew by 17%, which is at Rs. 9,550 crores as against Rs.8,169 crores during last year's fourth quarter .

On profits, Company posted operating EBITDA of Rs.1,333 crores during this quarter as against Rs.926 crores in the fourth quarter of last year .

We have recognized the Production-Linked Incentive (PLI) pertaining to the full year based on the progress made in line with the M HI SOP on PLI .

The Company 's operating EBITDA margin is at 14% in Q4. Please remember, this 14% includes the PLI benefit for all the previous quarters. If you really look at only for this quarter, the Q4 EBITDA margin will be at 12.5% as against last year 's Q4 of 11.3 %. We posted the PBT of Rs. 1,112 crores

during this quarter as against last year 's Rs.672 crores. Profit after tax for the quarter is Rs. 852 crores as against Rs. 485 crores during the four th quarter of last year.

Coming to TV S Credit , TVS Credit has done extremely well. We have added over 40 lakh new customers, cumulatively TV S Credit has served 1.9 crore s customers till date. TV S book size is Rs.26,647 crores. There is good growth over last year . PBT for the year grew by 35% a t Rs.1,027 crores as against last year Rs. 763 crores. For the quarter , PBT grew by 53% a t Rs.302 crores as against last year's Rs.197 crores.

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As I highlighted last time, despite slow credit demand, TVS Credit maintains stable disbursements supported by increased market penetration. On TVS Credit, we will continue to focus on steady growth by increasing market penetration and share , expanding product offerings and distribution, driving digital transformation and enhancing customer experience and operational efficiency.

Coming to ' 25-26, the GDP i s estimated to grow around 6.5% over last year. This i s primarily driven by the increase in consumption and improvement in the agricultural sector.

In FY '25, we have seen overall retail grew by a bout 7% even though Q4 was flat . There is a reduction in the benchmark repo rate of 50 basis points in the last three months. This definitely translates into lower EMI for consumers. It is going to help enhancing the affordability for two -wheeler s across the board.

Another major impetus, which is in the Union Budget is income tax rebate u nder the new tax regime which is hiked from 7,00,000 to 12,00,000. There is an additional savings is also likely to support the consumer sentiments. Consistent infrastructure improvement by government , that is also going to vitalize the economy and improve the quality of life in the mid- term and the long -term.

We are expecting a normal monsoon which is going to also improve the rural sentiment and economy. We are expecting a positive sentiment with an uptick in the replacement cycle this year. Overall growth momentum in the domestic market , we are expecting is likely to be like last year. The first quarter could be moderate. I think all of us should remember that last April t here was a base effect benefit. But May and June will be good. M arriage season has started off well and May and June this year there are many marriage days.

On EV industry retail, VAHAN reached 1.2 million units in financial year ' 25. This is from 0. 5 million to 1.2 million , 31% growth. Average penetration for EV two-wheeler s for the year stood at 6.8%.

The continued focus and the support of EV adoption extended by the central government in the form of PM E-DRIVE, PLI are making EVs more affordable for consumers.

As all of you know, T VS iQUBE has established as a very strong brand in the EV segment with its technology and its features and best -in-class quality. During the year, Company introduced new va

riants at 3 battery options, 2.2 kilowatts , 3.4 kilowatts and 5.1 kilowatts . We are getting very good response. We are also expanding the network.

Some of our EV product s are in the final stages. You will see these products in the coming quarters. Our recently launched Three -wheeler TVS EV King Max, which comes within best -in-class features including Bluetooth connectivity through TV S Smart Connect combined with innovative technology, TVS Motor Company Limited

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eco-friendly solution. It is definitely going to cater to growing demand for sustainable urban mobility. So far we are getting very good response and we will be scaling up in the coming quarters.

The Three-wheeler EV industry penetration has grown quickly; in Q4, it is around 26%. This I am talking about is L5. Like I said in the last meeting like Two -wheeler E-Mobility with TVS King EV Max, we will aim to become a prominent player in this category.

Coming to international business , in financial year '25 exports from India stood at 4.2 million units at a growth rate of 22.1%. H1 s aw a healthy growth rate of 16.5% . H2 reported a faster growth rate of 30%. We have done well and we will continue to keep up the momentum.

Exports to LATAM region experienced higher growth with strong demand in many markets starting from Mexico, Colombia, Guat emala. While there were some challenges in Middle East , now Company's exports reached 1.25 million units as against 1.01 million units with a growth rate of 24.5% increase driven by strong growth in Asia , and this year we are happy that Sri Lanka has opened up, while Bangladesh has got some challenges, I am pretty sure going forward it will settle down. LATAM has done well I ast year . In the African markets, we observed a mixed momentum w here growth is the key countries decelerated on account of economic slowdown driven by higher inflation and currency devaluation, but we are quite optimistic because many of these African markets it has reached almost the bottom and there is only upward revisions possible this year. We are optimistic about the industry's recovery and expect positive trends and we will grow ahead of the industry in the EV market.

And as you know, the Company has been continuously improving its EBITDA margin year -over -

year, almost a decade now. During 2014-15 Company's EBITDA was at 6% and now this year we are closing with 12.3%. We are confident that the Company will continue to leverage its top line growth, better product mix, sustained cost reduction initiatives, and improve profitability going forward.

With the strong range of brands, Company is confident of growing ahead of the industry both in domestic, international markets across ICE and EV. Thank you.

Moderator: We will begin the question-and-answer session. We have the first question line of Vinay from Morgan Stanley. Please go ahead.

Vinay: Hi, team, thanks for the opportunity. My first question is what exactly is the PLI benefit that we have in the fourth quarter margin like we understand 12.5% will include PLI for that quarter, so how much is that?

K N Radhakrishnan: 0.5%.

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Vinay: Okay. So, it means that even adjusted for that, you've seen some bit of margin improvement. And secondly like one sort of longer-term question, one change that we have seen in last year is that the scooter growth including electric vehicle has almost been twice of motorcycle growth at the industry level. How do you see this trend, in your view what is driving that and do you see this continuing? Happy to hear your thoughts. That's it. Thanks.

K N Radhakrishnan: Brilliant. Brilliant question. I think every time when I look at because I used to say that with EV coming in for the scooter industry the category share will go up. I think that is exactly what is happening. If you look at the scooter category

share it's now somewhere around 38%. It is likely to

go up further because scooter has got its own convenience, its own benefit, and with EV scooters, almost 1.2 million whatever we have seen I think we are expecting scooters will definitely grow.

Another important thing according to me is even in scooter there are different, different brands, different, different sections. This is also going to propel growth faster than the other sectors when you look at the economy motorcycles or executive motorcycles or premium motorcycles.

Vinay: Right. So, sir, in that sense, when you look at a market like Indonesia, we have a very wide range of scooter models, right, wide range of CC, vehicle weight and all. So, when you plan your product in the future, you are also sort of thinking in that direction?

K N Radhakrishnan: We have to always look at how the customers are preferring, what customer segments are there. For example, we have Zest which is like an entry level scooter, then we have Jupiter 110. This is more of like the executive kind of thing. Then you have 125CC in that. Then you have Ntorq which is completely different. It is for more young, more powerful. So, if I say like middle income group, more of salaries class, it may be Jupiter 110 and 125 depending upon the preference of the customers. But if you look at young wants a little bit peppy ride, faster ride, little bit better pickup, kicker, they go for something like Ntorq. I always say that you look at our motorcycle segment, there are different, different products for different, different customer usage. With now almost 38%, 39% and according to me scooters category will grow further, more and more segments will come and you have to come up with products which will play in these segments, and we will do that.

Vinay: Right. Great, great. Thanks. I will come back in the queue.

Moderator: Thank you. We have the next question line of Chandramouli M from Goldman Sachs. Please go ahead.

Chandramouli M: Hi, good evening and thank you for taking my questions. My first question is just to follow up on the PLI scheme incentive that you have accrued this quarter. So, I just want to understand what percentage of our EV scooter portfolio are we currently accruing these incentives on -- is it on the entire portfolio? You mentioned there's 2-3 and 5 kilowatt hours. So, just want to understand which products there have qualified? And also if you could just share what the split within electric two-wheeler portfolio is percentage wise between the two, three and five kilowatt hour?

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K N Radhakrishnan: See, I think we have to look at the total benefits what the Company is accruing. You should not look at which segment is giving how much, because we are a completely focused Company on customer and customer segments. Just now I answered to the other colleague that there are customers who want 5.2 kilowatts, there are customers who want 3.4 kilowatts, customers who want 3.2 kilowatts. So, we have to look at whatever is the requirement, and the government has been very forward-looking at the PLI. So, we look at PLI in totality, we don't look at which is 0.5% on the total turnover. It's a brilliant incentive according to me.

Chandramouli M: Got it, got it. That's helpful. My second question is just around product launches. So, I think historically we have targeted to do one product launch per quarter, and you mentioned in your opening remarks that many of your EVs are in the final stages of development. So, just going forward, the next sort of 12 to 18 months if you could give us some clarity on is this sort of similar run rate of one product launch per quarter and just heading into this whole stimulus period, lower interest rates,

more favorable income tax rates for the customers, what is the sort of cadence to expect in terms of product launches as you plan for the next couple of years?

K N Radhakrishnan: See, if you recollect, we have a very strong R&D and we will continue to invest in looking at the segments and coming up with the products both in ICE and EV and products are getting ready. But what is equally more important is the timing of these product launches. We launched Jupiter 110. All of you know that and it has been very well accepted and thanks to all the customers in India. Now, we are looking at how do we leverage it fully. Same way iQube, we are now present in about 950 dealerships. Still we can expand that. And we want to systematically expand in every market, and it is doing extremely well. We are a very prominent player in EV. So, we look at the timing. Even though the products are ready, we will make sure that the product gets what it deserves because we will be investing quite a lot of investment in people as well as money. So, every product should get the best return for the Company. So, while sometimes the products are ready, sometimes we take a very strategic call of timing it into the market.

Chandramouli M: Got it. That's helpful. And just my last question is around your view of two-wheeler industry growth in India next year. You mentioned that you think that you will have different bases for different quarters. But I just want to understand overall how you're thinking about two-wheeler industry volume growth for FY '26 and also just if you could share the export and the spare revenue for the quarter?

K N Radhakrishnan: Sure, sure. See, if I look at the industry growth this year April so far it's little flattish. But if you compare last year base and a year before last year, year before was bad, last year was much better and we are building on the last year very good numbers, that's number one. And when I look at this year May and June likely to be, the marriage season is going to be much better because number of marriage days is much, much higher this year, #1. #2, monsoon is likely to be normal. #3, lot of investments have gone in supporting the infrastructure, roads, and currently especially in the last year Q4, we have seen little bit of slowness in the two-wheeler industry primarily according to me because

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last year during the Diwali season the growth was excellent and rural went up against urban for the first time. And the retail financing companies possibly would have taken advantage of that and there was a little bit of restriction in terms of retail finance in the last quarter. I am very sure the reflections are getting much more refined this year. So, a combination of the base effect plus May and June you will be seeing more marriage days. And number three overall, the investments in the economy, I said very clearly while the first quarter maybe a moderate growth, but a year as a whole, we are looking at like last year, this is on the domestic side. On the international side we expect healthy growth, primarily because Africa, which was very low last year, it has reached really the bottom, so you will see upward improvements this year. Of course, there are challenges in terms of how the geopolitical things are taking shape, but the need for two-wheeler is still there. And always you have to be having that caution because there are many things which we have to be closely monitoring, but TVS Motor is positive and with our product range, we will definitely go ahead of the industry. And you asked two things, right. Spare parts for this quarter is about Rs. 907 crores. And, you asked for international business, correct? International business revenue for the Quarter 4 is for Rs.2,391 crores.

Chandramouli M: Got it. That's very helpful. Thank you very much and all the best.

K N Radhakrishnan: Thank you. Thank you. Thank you.

Moderator: Thank you. We have the next question

, the line of Pramod Kumar from UBS. Please go ahead.

Pramod Kumar: Yes. Thanks a lot for the opportunity, sir. Sir, my first question is on the PLI only. Before I ask the question, just wanted the number on revenue side for fourth quarter excluding the PLI incentive for the previous quarter? So, you shared the margin at 12.5 for the quarter recurring margin. So, if you can just share what are the recurring revenue run rate for 4Q without the PLI incentive for the previous quarter, sir?

K N Radhakrishnan: Like you wanted to know the PLI number, right? It is 0.5% of the revenue in the quarter is this one. So, you can deduct it from the overall revenue, you will get without that. That's 12%.

Pramod Kumar: I am looking for the previous quarter PLI incentive, sir. So, okay, let me put it this way. Revenue for this quarter including PLI is Rs.9,412 crores, is that understanding right, or you can give the response to this during the course of the call if you want to have a look at the numbers, that's okay. Can I move the question on PLI?

K N Radhakrishnan: It's about Rs. 9,342 crores somewhere around that.

Pramod Kumar: My question is on the incentive side because there is a domestic value add hurdle which you need to meet and then the incentives need to be –

K N Radhakrishnan: We have put all the PLI only accounted in this Q4 -
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Pramod Kumar: Yes, which is fine sir.

K N Radhakrishnan: Only related to this quarter, you should consider. So, Q4 underlying EBITDA is 12.5.

Pramod Kumar: Yes, yes. Perfect, sir. Perfect. I understand that. My question is that do we see more headroom for PLI incentives improving as we improve our domestic value added quotient of the products, do more localization, ramp up the scale and sourcing. So, how should one look at PLI incentives from the 4 Q levels when you look at the next two years, sir?

K N Radhakrishnan: See, we have to look at in three things. One, I continue to believe in focusing on the customer. Thanks to the government, they are giving this PLI benefit. And as we grow, with more products added into the new product launches, EV will grow, and the revenue will grow, you will get more PLI benefit. Recently, we have launched the Three-wheeler EV. Very well accepted. Now PLI benefit on that will also come. So, our job is to look at various customer segments and delighting the customer. This is #1. #2, as we put the products and as we grow the top line that I told you recently PLI benefits will come. So, going forward continuously quarter-after-quarter you will see these benefits flowing through.

Pramod Kumar: Okay. So, in nutshell, you expect the PLI incentives to continue to keep getting better from here on, is that understanding right, sir?

K N Radhakrishnan: Top line will grow. Every new product we will launch, we will get the PLI benefit. Electric Three-wheeler, we have applied for everything, and we are likely to get the PLI also there. So, according to me, the PLI benefits will continue.

Pramod Kumar: Okay. That's good to hear, sir. On the electric Three-wheeler side because I just looked at the numbers, you're practically closing on Piaggio on the E3 wheelers volumes pan India. So, if you can just help us understand where are we on the network side because Piaggio, Mahindra, Bajaj has been in this market for a while and you entered this market only recently? So, if you can just help us understand the journey so far, how has been the customer acceptance, how many markets you are present, and in those addressable markets you are present, how has been the market share ramp up, because you're kind of getting the number three position now and how big the opportunity could be, say one or two years down the line and also what are the products launches or action in the e-Three-wheeler space?

K N Radhakrishnan: First

let me give you three things. One, the E-Three-wheeler whatever we have launched, we are extremely happy. The response has been very positive from the customer side. This is number one. And it has got so much of attractive quality and the features and customers are really, really loving it. #2, as I highlighted, this E-Three-wheeler in the L5 category is growing at a very, very good rate. Now practically the penetration levels are close to 28% and it is likely to go, maybe 35%, some very quick numbers you can say, that is the speed at which it is growing. Our focus is to become a very prominent player. Like you highlighted, we have only launched in a few markets in North, we have TVS Motor Company Limited
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just put some markets in East and there is a huge opportunity all India. And we definitely respect all the three competitors, whomever you have highlighted, they are a great Company, I never compare with my competitor, I look at always the customer.

Pramod Kumar: Sir, if you can quantify how much of the network addressable market you've covered, how much is the potential just like you said, like your iQube is there in only 900 outlets, you got a network footprint of 4,000 plus, yes.

K N Radhakrishnan: I have to see some time because I have not really looked at it, but I can tell you few markets in North only we have launched and very few markets in East we have launched because we are -

Pramod Kumar: Last question to Desikan sir. Employee costs and other expenses have grown by 23% and 26% in FY'25. Revenue growth is 14%. So, there's been absolutely no operating loss, there's an operating leverage because of the accelerated investments what you're doing on R&D and technology and all that. So, if you can just help us understand how do you see this cadence in FY'26, because mind you this is not only in FY '25 that's been the case for the last 3-4 years now, there has been no operating leverage, the gross margin improvement has happened from portfolio level and the kind of success we have found with the products. So, can we expect FY26 you will see some operating leverage coming back to the business because of all the investments which you have already done?

K Gopala Desikan: The most important thing according to me is overall as a Company, our EBITDA has been growing extremely well. I am very sure. Hope you get it. Please understand, I highlighted that we are investing in the right areas of software, digital and analytics because these are the areas which is likely to become bigger and bigger going forward and we have strengthened our R&D and new product development significantly higher. All this cost money. And I am very sure these are all investments for growing the top line ahead of the industry going forward. Now I don't want to give any prognosis for the next year because we will look at investing in the right areas, whether it is on employees or on the other things.

Pramod Kumar: Thanks, sir.

Moderator: We have the next question from the line of Gunjan from Bank of America. Please go ahead.

Gunjan: Yes, hi. Thanks for taking my question. Just a quick clarification on your prior comments like can

you give the EV revenues for the quarter and the year fiscal ' 25? And also you mentioned somewhere that financing probably has tightened a bit. If you can like sort of share what does it mean for our portfolio, have you seen some change in or how much is the portfolio which is financed in Q uarter 4, has there been any let down on that?

K N Radhakrishnan: See, I said, during the Diwali season this is the first year rural came back in a big way , urban was well. So, overall what has happened is a little bit of good financing has happened. And whenever there is good financing, sometimes what happens is you have to look at the collection efficiency and

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many of the retail financing companies look at. However, in the case of T VS, we have been always prudent, for example, whether it is our G NPA or NN PA, they are extremely good. Because we are always prudent in terms of looking at what is the right financing and we look at the quality customers. So, that way TVS Credit has done extremely well.

Gunjan: On EV revenues , if you can share numbers on that?

K N Radhakrishnan: EV revenues for the year it's about Rs. 3,364 crores.

Gunjan: And the quarter?

K N Radhakrishnan: Quarter is about Rs. 889 crores.

Gunjan: Okay. And sir, just second question I have is on a lot of items that you've mentioned in terms of dividend income from subsidiary , mark-to-market . Can you give us a little bit color on where this dividend income is from ? Where are we seeing this fair valuation losses ? And again the investments that we have made in this quarter around Rs.600 crores . Where has that gone? Some color on all these footnotes regarding the subsidiaries.

K N Radhakrishnan: There are too many questions . Let me try to recollect one-by-one and try to answer you. Other income, we had dividend income from SACL and we had a notional loss on the previous investment made in Supply Chain. So, these are the predominant ones. And your next question on the investments during this quarter, correct ? Investments are primarily as we highlighted earlier, one is Norton, then small investments in some of the investments related to Moto , TVS Digital. I think these are the most important ones.

Gunjan: You said Rs.2,000 crores -odd. Is that going to be the base of investments in fiscal ' 26 as well or any change there?

K N Radhakrishnan: For this financial year also please understand like I said, Norton will continue because Norton products will be available by end of this financial year. We are looking at products getting ready to launch into the market. So, that investments will continue. Some investments in the TVS Credit will be there this year also because it is doing extremely well and there will be some investments related to the SEMG, that is the electric cycles. So, these are the broad investments we are looking at this year. So, the number will be around whatever we have done this year.

Gunjan: Okay, got it. Thank you, sir. I will join back in the queue .

Moderator: We have the next question from the line of Vipul from HSBC. Please go ahead.

Vipul: Yes. Hi, sir. Thank you for taking my question. This is about the CNG scooters . Please correct me if I am wrong there. Getting incremental weight is a challenge what we are seeing in the C NG two-

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wheelers. So, typically motorcycles are used to carry more weight than scooters. So, will it be fair to assume that CNG tech is more suitable for scooters than motorcycles ?

K N Radhakrishnan: I can't say like that because we have to look at the customer usage again , because customers are agnostic about the technology. CNG is a good technology. So, we have to look at in totality how the customer preferences are moving. Sometimes you have to also a little bit time it. So, I don't want to come and conclude which is better . But you would have seen our scooter with CNG. Appropriate time we will look at it and see whenever the market is ready, we will be ready for because we have the capability in terms of product , technology and delivery capability and excellent network.

Vipul: So, I am trying to understand like for example in rural India, typically two to three people sit on a motorcycle, so the weight becomes almost 200 Kg or 220 Kg per vehicle. So, I think over there the incremental top to carry that weight become reduced significantly in a CNG motorcycle rather than a petrol motorcycle . Typically in a scooter normally one or two people will sit at max. So, I am trying to understand that if CNG is a case more for

like one or two person being driving the vehicle

or can it carry like three people weight as well like with the typical requirement of a rural market ?

K N Radhakrishnan: In the rural , urban, in my opinion, the usage I have seen even in scooters , three people and four people sitting . That is unique to our country because they use it. But what is most important , my understanding is that motorcycles generally people use more kilometers per day. We have seen motorcycles, average usage maybe about 40 kilometers, whereas in a scooter it is about 20 to 25 kms. And urban-rural split when you go through that again the usage cycles are little different. But usage different irrespective of the fuel I think we have to closely look at it. I think there may be many

factors. One is the usage, another one is number of CNG, today how many real outlets are there, how much time people have to stand in the queue to get the CNG. Because customers are very sensitive. Practically, I would say that if somebody has to wait for a little longer time, they don't have the patience because always time is very, very important for people. So, we have to look at in totality. But according to me CNG is a very good option. When and how and which models and what we need to look at it. I think this is a very important work which we are studying very closely.

Vipul: And sir one more question if I can take on exports. You touched upon Africa on your initial comments. Your exposure just to a couple of countries like your exposure to Guinea, Tanzania and Congo was relatively higher in your portfolio. So, if you can talk a bit about like economic growth drivers in those countries and what are the key models being sold or like it's like mid size, mid variance or cheap variance being sold over there.

K N Radhakrishnan: It is primarily HLX series, HLX 110 is there, 125 is there, now we have put the 150 also. I think these are all taxi market. Of course, these markets we have also started selling some of the products from Indonesia. The response has been pretty good. So, these markets are doing very well, the entire markets whatever you highlighted, and the infrastructure development is also happening. The most important thing is from taxi at some point of time you will start commuting customers to come in.

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Vipul: Actually, I was asking more of economic growth drivers. So, are any different economic growth drivers for these countries or how does it work like?

K N Radhakrishnan: See country-by-country there are certain common economic drivers, there are different economic drivers and we have a very strong team which drives country-by-country whatever the economic drivers are. If you ask me straight away, I may not be able to share with you because it will take more time to share with you. Country-by-country there are economic factors, we have to closely look at it. And there are factors which also influence the local inflation, there are factors also decide on the currency fluctuation, currency rate, because all these factors are very, very critical from the customer point of view on the on the road price. And there is also another factor because in these markets the financing, who is able to give the financing, who is not able to give the financing, there are organized, there are dealer driven, so multiple factors are there, and your distributor strength and your dealer strength, network strength. And another important point is please understand in a taxi market, service is very, very important because they don't want any unproductive hours. So, if somebody is able to do extremely good service, there are markets which the two-wheeler's run for almost 200 kilometers a day. So, multiple factors are there.

Vipul: Understood, sir. Thanks a lot.

Moderator: Thank you. We have the next question from the line of Sonal Gupta from

HSBC. Please go ahead.

Sonal Gupta: Hi. Good evening, sir and thanks for taking my question. Just going back to CAPEX and investment in subsidiaries, so we have seen a big jump in CAPEX. I am just talking standalone numbers. So, Rs.1,800 crores of CAPEX versus say roughly Rs. 1,100 crores last year. So, could you sort of give us some more detail into where is this investment spend going, is there some capacity expansion as well and how do you expect this for next year?

K N Radhakrishnan: See, most of the CAPEX I would say is all related to new product and technology related. And there are of course for example Jupiter 110, there are investments related to capacity also, because this product originally we looked at 50,000, now we are doing almost 65,000 because when the market pull is there that is the time we have to look at in terms of investing in the manufacturing capacity, supplier capacity. Second, please remember, this also includes all the two-wheeler and Three-wheeler EV. These are definitely going to help the Company in the future. So, it is new product development, technology and some areas for capacity increase, 4.7 million we have done last year. We are expecting much better growth this year than industry. And some are related to existing products doing better, some are related to new product launches.

Sonal Gupta: Right. Because in the past we have said that we will look to internalize some of the EV components. So, is there a lot of investment related to that in this number?

K N Radhakrishnan: No. Like I said last time, there are many things we make it in-house and we also buy. So, it is a make and buy strategy we look at, primarily because of the technology capability we want to also make

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and in certain areas for example, the Three-wheeler EV what we have launched the motor is from our Company. It is designed, developed and inside manufactured. So, it is a very prudent strategy of make and buy.

Sonal Gupta: Right. Because I mean, the way to look at it, if I look at combined right like because a lot of our investments which is going into subsidiaries is also, I mean other than Norton really and TVS Credit is really again technology for the Company itself, right, on an overall basis. So, I mean like last year we roughly spent about Rs. 2,450 crores. If I include subsidiary investments and that is including whatever is put into TVS Credit and Norton and that number has gone to almost Rs. 4,000 crores this

year. So, there's a substantial jump. I am just trying to understand right like the pace at which we're investing I mean it seems a very large number. Could you sort of highlight how much is TV S Credit this year?

K N Radhakrishnan: Yes, let us go one-by-one. You have seen TV S credit numbers and predominant investments have gone behind TV S Credit, and the book size is almost 27,000 crores now and it is extremely profitable also and there is huge room for growing that business is #1. #2, Norton, I told you whatever we have invested is all behind the products and products are likely to be seen in the market in Q4 of this year, that is financial year '26. Then there are investments related to lot of technology, new technology including digital. This is even though we are focusing many on the EV side, but it is going to be very useful for some of the products in the ICE side. So, these technologies capabilities we are investing behind for the total two-wheeler, Three-wheeler business and like I said last time we have also started and entered into Delhi market. There's a huge opportunity to look at many of the European markets. So, Company is looking at investment behind products for all the developing markets, including now we started looking at the developed markets. So, combination of new product, technology and certain technologies in digital and analytics which are going

to be across all products for all regions.

Sonal Gupta: Okay. No, basically where I am coming from is that your EBITDA is effectively if I take the fact that tax payment as well, right, like you're not generating any free cash flow I mean after your investments in subsidiaries and CAPEX, so that's where I am coming from. But anyways I will take it more offline. Thank you, sir.

K N Radhakrishnan: See, we invested in TV S credit, we invested in Indonesia, we invested in many of the new technologies including EV and in Three-wheeler. Because we invested, you have seen the kind of revenues whatever you have seen and because of that overall EBITDA has grown from 6% about a few years back, now we are at 12.5% this quarter. So, the objective is to look at invest in the right technologies, right areas, right new products, grow the top line ahead of the industry. And free cash flow will automatically come. If you grow your top line and invest in the right technology.... please understand, each of the technologies requires really one or two years or sometimes even three years to fructify into top line.

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Sonal Gupta: Sure, sure, sir, that point is well taken. But if you could just later on clarify how much has gone into TVS Credit and Norton that will be helpful?

K N Radhakrishnan: In TVS Credit, significant investment has been behind and is doing extremely well. Norton, a verage, which I always tell you, about Rs.500 crores.

Sonal Gupta: That is an annual number?

K N Radhakrishnan: Yes, yes.

Sonal Gupta: Great, sir. Thank you so much.

K N Radhakrishnan: Thank you.

Moderator: Thank you. We have the next question from the line of A Pirani from J.P. Morgan. Please go ahead.

A Pirani: Yes, hi, thanks for the opportunity. Sir, my first question is on the motorcycles. This year we have seen some moderation in the growth of the Raider. We had a refresh. So, any plans of any product in the 125CC or any plans on the Raider or any other launch that we should look forward for motorcycles as a whole?

K N Radhakrishnan: See, Raider has done extremely well overall if you look at it from the day it was launched. And I am pretty confident this is going to be an all-India market...not only a India market, it is going to be a product for the global market. Sometimes you have to wait a little bit, be patient because when we started Apache for example it took some time and Apache is a great brand. In Raider, I am pretty confident that this year we will see a significant growth in Raider. When we started Jupiter 110, it was slow, steady, now Jupiter 110, plus 125 is doing extremely well. So, many times you have to be a little bit cautious and you have to be investing behind the consistent products as well as brand and it's a prudent decision we have to look at and I am pretty confident that the customers who buy Raider are extremely happy in the 125 CC and the overall motorcycles if I look at the economy is not so great, economy has not been growing due to many reasons, we know that, because the buying power in that category at the entry level is a little difficult. It's not fully gone, but the executive category is the category which is growing very well and Raider in that category in the last couple of years, what position it has taken is excellent and I am pretty confident that you will see a significant growth this year. Of course, we have done certain upgrades, certain technology products, although we have launched this quarter, all are having very good pull in the market.

A Pirani: Understood, sir. And just on the investments, one clarification. This quarter also, I think there is some investment in TV S Supply Chain. So, I mean, we understand the investment in the subsidiaries and all those things, but in TV S Supply Chain, we just want to understand the rationale for this investment be

cause we have already had some investments, and I think we are doing further investment in that as well.

K N Radhakrishnan: What is most important thing is we look at it in totality and then we go behind certain investments which are for medium term , short term , long term.

A Pirani: Okay. But I am guessing that Supply Chain is more of a financial investment, right, because I mean, unlike your other subsidiaries, you only have a small stake ?

K N Radhakrishnan: Yes. Correct.

A Pirani: Understood. Thank you. I will come back in the queue .

Moderator: Thank you. We have the next line of Kumar Rakesh from BNP Paribas. Please go ahead.

Kumar Rakesh: Hi, good evening. Thank you for taking my question. My question was around TV S Credit. So, while you spoke about the PBT growth, can you speak about the credit quality, how that has moved sequentially terms of N NPA, GNPA credit cost that you can share on that?

K N Radhakrishnan: GNP A year as a whole is about 2.9% and even the March quarter is excellent, actually 2.8%.

K Gopala Desikan: As you rightly said, the quality of the book is improving. That's one of the reasons . Otherwise we could have even grown at 30,000 crores. We were very cautious in the lending disbursal. The GNP A as you very rightly said is 2.9 % and the quality of the book is very good today , but our collection costs have gone up because we want to collect from everybody and therefore the collections are quite healthy around close to Rs. 7,000 crores we have collected in Q 4 as against the comparable quarter of around Rs. 5,700 crores. So, this is what it is.

K N Radhakrishnan: What we are always looking at in TVS Credit Services is quality profitable growth.

Kumar Rakesh: Okay. Thanks for that. And on the subsidiary losses, So, what drove in this quarter and how do you see that panning out in FY26 ? Now that you spoke about that Norton should have a product by the end of this year. So, how would you be expecting the subsidiaries as a whole to perform in FY26? Thanks.

K N Radhakrishnan: It will be better, definitely because Norton is all about products. When we bought Norton, nothing was there practically , it was only the brand which we bought , and it took time to invest and create these products and we're really looking forward to this financial year and I am pretty confident the products will do well. Second , this year, the SEMG, there are many initiatives we have taken, but unfortunately, the European markets are going through very, very tough times. So, sometimes you have to be patient , but what is most important is we have taken many actions in the e-cycle business, which is helping us. So, I am more positive about e-business this year. And other investment in TVS Credit you have already seen . These are predominant businesses, and all the remaining investments are behind technologies which are used for our two-wheeler EV, two-wheeler ICE and Three-

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wheeler . So, this year definitely you will start seeing the returns coming in, it may take one or two more years to see really good benefits coming in.

Kumar Rakesh: Great . Just a clarification . We have not taken any write-off in any of the European investments that we have made or do not see that to be happening in this year, right?

K Gopala Desikan: We don't need to provide for. Again you spoke about losses in the subsidiaries. Norton is an investment. What is happening there is only the development-related expenditure being incurred there and therefore there is no reason for any impairment provisions required and we are confident about all our investments.

Kumar Rakesh: Great. Thanks a lot.

Moderator: We have the question from the line of Mr. Pramod Amte from In Cred Equities . Please go ahead.

Pramod Amte : Yes. Thanks for taking my question. Sir, the

first question is with regard to the industry sub-segment .

Considering that you are the largest listed player in this quarter, can you give some clarity in terms of what's the rural versus urban mix now, how it has grown in last year, especially considering that rural has come back, but scooters have outperformed drastically versus typically motorcycles are understood to be more a rural product?

K N Radhakrishnan: See, rural did well in last year Q2 and Q3 . Q4 bit of a blip in rural. Even this month when I look at it, rural is a little bit lower than urban. We have VAHAN which can give a very quantitative measure and all of you can see that also. However, I am of the view that May and June we have to closely look at it. The number of marriage days are more this year and monsoon expectations are normal , agriculture is doing well, these are positive sentiments. So, I am of the view that this year you will see rural holding up. We saw Q2 and Q3 last year rural coming back in a big way. I am expecting rural should respond more positively and retail finance will definitely come back definitely in this quarter and next quarter. And this year, as you know, the predominant season is in September and October. So, it is between P uja and Diwali in September and October . So, according to me, rural will start improving going forward because last year we saw only two quarters and then a little bit subdued, it should come back , this is on the rural.

Pramod Amte: And what's the scooter mix for rural and urban now for the industry?

K N Radhakrishnan: Rural , I don't have exact number because VAHAN doesn't give that and if I make a judgment that

may not be fair. But urban is more on the scooter definitely, but the rural is definitely picking up.
Pramod Amte: Okay. And the second one is with regard to PLI . When you look at your localization, that was the entire initiative to incentivize the localization through P LI. So, in your journey, where are you in terms of localization for EV as a proportion of import v ersus the local produced as a percentage of
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value ? And what is your target for next year and later on and what are the products or sub-segments or the parts which you are looking to drive this localization?

K N Radhakrishnan: The localization has been the strength of our Company because we have worked on always DVA more than 50% and we will continue to work on this because this is something and you know that cell at this point of time is imported and there are cells which are going to be made in India a nd we are also partnering with s ome of them. So, it is going to be a journey... the entire EV is going to be a journey a nd we are very positive that the volumes will grow and we are doing the right make and buy de cision. That's why I use the word make and buy decision. So, it's a continuous journey.

Pramod Amte: Sure, sir. Thanks and all the best.

K N Radhakrishnan: Thank you. Thank you, everyone. Thank you everyone for joining. So, if I can summarize, we are extremely happy that we posted the highest ever revenue of Rs. 36,251 crores and the PBT of Rs. 3,629 crores in the financial year just closed . And with our unwavering focus on consumers, quality and customer delight, we are confident of continuing to gr ow ahead of the industry. Like I said, we will continue to invest in people, technology to develop more new products, develop the right technologies for not only India, developing markets and developed markets. With the kind of product range, what we have starting from the brands like Apache, Jupiter, iQUBE, Raider , Ntorq, Star Range , HLX, Radeon, TVS Ronin, TVS King and the recently launched TV S EV Max, we will grow faster than the industry, both in domestic and international market. We will become a prominent player in the EV Three-wheeler in India. As you are aware, we are extremely happy that the EBIT

DA

margin has been consistently growing in the last five years. We are confident that as we delight our customer , grow the top line ahead of the industry, with leveraging its the overall growth, scale benefits, better product mix and sustained cost reduction initiatives , will continuously improve profitability going forward. Thank you for your time and your continued trust on t he Company .

Moderator: Thank you. sir. On behalf of T VS Motor, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

Website: www.tvsmotor.com Email: contactus@tvsmotor.com CIN: L35921TN1992PLC022845

6th August 2025

BSE Limited,
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Scrip code: 532343 National Stock Exchange of India Ltd
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Bandra- Kurla Complex,
Bandra (E), Mumbai 400 051.
Scrip code: TVSMOTOR

Dear Sir(s)/ Madam,

Reg : Compliance under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

In continuation to our intimations dated 24th July 2025 and 31st July 2025 with respect to the schedule of a conference call with M/s. B & K Securities post results for the quarter ended 30th June 2025 and intimation on the audio recording, respectively, we wish to inform that the transcript of the said recording is enclosed and the same has been hosted on the website of the Company and is available at:
<https://www.tvsmotor.com/en/Investors/Communication>

We also enclose the said transcript for your reference.
Kindly acknowledge the receipt.
Thanking you,
Yours faithfully
For TVS MOTOR COMPANY LIMITED

K S Srinivasan
Company Secretary
Encl.:a/a

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"TVS Motor Company Limited
Q1 FY '26 Post Results Earnings Conference Call"
July 31, 2025

MANAGEMENT : MR. K N RADHAKRISHNAN – DIRECTOR AND CHIEF
EXECUTIVE OFFICER
MR. K. GOPALA DESIKAN – CHIEF FINANCIAL
OFFICER

MODERATOR : MR. ANNAMALAI JAYARAJ – BATLIVALA AND KARANI

SECURITIES INDIA PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to TVS Motor Company Limited Q1 FY '26 Post Results Earnings Conference Call, hosted by Batlivala & Karani Securities India Private Limited (B&K Securities India Private Limited). As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj from B&K Securities India Private Limited. Thank you, and over to you, sir.

Annamalai Jayaraj: Thanks, Palak. Welcome to TVS Motor Company Q1 FY '26 Post Results Conference Call. From TVS Motor Company Limited management, we have with us today, Mr. K. N. Radhakrishnan, Director and Chief Executive Officer; Mr. K. Gopala Desikan, Chief Financial Officer. We will start with opening remarks by K. N. Radhakrishnan, to be followed with the question-answer session. Over to you, sir.

K. N. Radhakrishnan: Good afternoon. Good afternoon, everyone, and thanks for joining today. TVS Motor Company posted its highest ever revenue surpassing the new milestone of INR 10,000 crores in a quarter, with the sustained growth above the industry. During the quarter, company sales volume grew by 17%, revenue grew by 20%, operating EBITDA grew by 32%, and profit grew by 35%.

This was possible through our consistent customer centricity approach, very strong brands across all segments and sustained cost reduction initiatives taken up by the company. We sincerely thank our customers for the significant milestone.

Let me now get into more details about the first quarter of this financial year. On the sales side, during this quarter, company's operating revenue grew by 20%. It is at INR 10,081 crores as against last year's INR 8,376 crores in the first quarter of last year. Two-wheeler domestic ICE sales grew by 8% compared to last year quarter 1, and we saw some decline in the industry corresponding to last year.

The two-wheeler international market, company sales grew by 40% over last year against an industry growth of 23%. Total two-wheeler ICE sales grew by 16% compared to Q1 of last year. Industry decline was about minus 3% in the same quarter. EV two-wheeler sales grew by 35%, at 70,000 units as against last year's 52,000. Total sales of three-wheelers grew by 46%, 45,000 units as against last year's 31,000 units.

On profit, during the quarter, company's operating EBITDA grew by 32%. It is at INR 1,263 crores as against last year's INR 960 crores. The company's operating EBITDA margin improved by 100 basis points, which is at 12.5% as against last year's 11.5%. But if you include last year, PLI during the last year first quarter, it was at 12%. So effectively, the quarterly last year to this year, 12% EBITDA has gone to 12.5%.

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The company registered PBT of INR 1,053 crores, recording a growth of 35% during this quarter as against INR 783 crores. If you adjust the proportionate PLI, the Q4 profit PBT was INR 1,112 crores, adjusted proportionate, this one was INR 953 after PLI. Profit after tax grew by 35%, INR 779 crores as against INR 577 crores.

Just to summarize, if you recollect last year, last quarter, we put all the PLI benefit.

Corresponding to Q4, we were at 12.5% EBITDA, including PLI. This is just for a reference for all of you. And corresponding number for last year Q4 -- Q1, was 12% EBITDA. As against that, we have done 12.5% EBITDA this quarter. So the comparison, I hope it is very clear to all of you.

On TVS Credit, this quarter, we saw 30% growth in PBT, INR 243 crores as against INR 187 crores during

last year's first quarter. The book size is at INR 26,900 crores. In Q1, TVS Credit achieved a significant growth in consumer financing, while maintaining its focus on risk-calibrated growth across product categories. TVS Credit is working to build a diversified book by expanding product offerings, distribution, enhanced customer experience and operational efficiency.

During this period, TVS Credit disbursed loans to over 16 lakh new customers, bringing its total

customer base over 2 crores. TVS Credit will continue to focus on a steady growth by increasing market share, expanding product offerings, expanding distribution, driving digital transformation, enhancing customer experience and operational efficiency, continue to grow the group size and PBT.

On Norton, all of you know that end of this financial year, we'll be launching products, multiple new products. And they will be available in the first quarter of next year to many markets in Europe, and this is as per plan. Norton will unveil this new generation super bike this year. And in the quarter -- first quarter next year -- last quarter of this year, you will see more models to be unveiled.

The upcoming range of Norton motorcycles will be significantly more accessible, and we are looking at the super premium positioning, and this is a very clear strategy which we have been highlighting to all of you. And we are also coming up building our retail strategy. We are also planning to launch these products in India. So more details, we will present closer to the launch time. Coming to the domestic ICE business outlook, okay, first quarter, we saw a moderate growth of 4% over the first quarter of last year. Rural growth was slightly lower than the urban growth this quarter. We feel that this year, the positive thing is the monsoon arrival was a little early, and the sowing has started.

And we are confident that Q2, you will see -- while there are some challenges in the month of July, you should all remember that this year's season is going to be middle of September and all of October. So, we are expecting a moderate growth in July, August, September.

The reduction in the benchmark repo rate 50 basis points in June. And totally, we have got about 100 basis points in the last 6 months. They should definitely translate into better retail financing

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to consumers. And this is likely to help the two-wheelers to get better support in the growth this year.

The monsoon is slightly above normal this year, and this is definitely going to build a better sentiment and support the rural economy. Season -- like I said, we are positive about the season. We should see growth in the season this year. The last few years, we have continuously witnessed increasing trends towards scooterization, and we are confident that scooterization will continue, equally premiumization in the motorcycle. And TVS has got strong brands, both in scooters and in premier products that will help us to continue to grow ahead of the industry. On EV, during this quarter -- during the first quarter, we have seen a growth of 34%. The EV penetration of two-wheeler industry is at 6.3%. TVS iQube has done pretty well, and it has surpassed 6 lakh unit sales, continuing its market leadership in India so far. We have launched new variants of TVS iQube with 3.1 kilowatt battery that offered a very good range, and it has got Hill Hold, dual-tone design.

With this TVS iQube portfolio now offers an array of six variants, making this one of the widest and most compelling portfolio in this segment. All of us know that there are certain challenges in the availability of magnet. We are trying to mitigate it. There are challenges in the short term, but we are also working along with a certain long-term action.

Our recently launched EV three-wheeler, TVS King EV Max is doing extremely well.

Custo

mers are definitely liking it and the response is very positive. We'll be scaling it further.

Like I said, we will have a prominent space in the EV three-wheeler category. There are products which we promised, which will be ready in the next quarter for launch, okay, which includes a three-wheeler and a two-wheeler EV.

On international business, TVSM has posted highest ever quarterly sales of 3.52 lakhs of exports, driven by strong growth in the major markets. In Africa, like I said, the demand is becoming stable, and there are countries which are doing very well. And we are very positive that this growth will continue to sustain, and there is a good opportunity for TVS to gain further. We have launched TVS HLX 150 5G. This new version introduces various advanced features. It continues to be powered by 150 cc EcoThrust engine with integrated oil cooling technology, a combination that ensures efficient and smooth product delivery, reliability, engine longevity and low fuel and maintenance costs. For this set of customers, what is most important is reliability, durability, coupled with lesser TCO.

LATAM region continuously growing, and we are also growing ahead of the industry. There's a good opportunity in this market because our share in LATAM is much, much lower. So, our focus is going to be in LATAM market to build it to a much higher level. With our product range, we are confident that in LATAM, we will continue to grow ahead of the industry this year.

In Asia, the major markets are doing well. As you know, Sri Lanka and Nepal are growing in numbers. The economic recovery is seen in Sri Lanka, and we have seen a gradual rebound in

some challenges in Bangladesh, I'm very sure that over a period of time, that will also start to improve.

Overall, both in domestic and international markets, with the range of products that we have, we are able to do well, and we will continue to do better than the industry. We set a robust base in Q1. Q2 is poised for a strong growth led by festive season, both in domestic and international markets. ICE and the EV segments, while there are some challenges in EV, I'm very sure the season is likely to be very positive with the kind of range of products what TVS has.

Our unwavering focus on consumers, quality, new product and with attractive quality, technology with features, we are confident about outperforming the industry, both in domestic and international markets. Overall, as you know, company has been growing in the top line consistently and we have been growing in our EBITDA. And with the scale as well as better product mix and our efforts on sustained cost consideration, I'm very sure that we will continuously improve our EBITDA, and we will continuously grow a head of the industry. Thank you.

Moderator: The first question is from the line of Binay Singh from Morgan Stanley.

Binay Singh: Congrats on good set of numbers. I'm just trying to understand your commentary and the data.

So if I look at quarter 1, we are saying that rural is doing better, but at the same time, we've seen mopeds are down Y-o-Y. Motorcycle also ex Apache is down. So does it mean that scooterization is rising in rural, and that explains this commentary. Is that a fair understanding?

That's the first question.

K. N. Radhakrishnan: In the ICE if you look at it, this quarter, the rural growth was only 3.3%, while the average is 4%, okay? And one of the reasons could be that this year, we have seen the monsoon a little bit early as well as the start of sowing, which is early, while this is definitely likely to do better for Q2 onwards.

And we are seeing currently, the water levels in the reservoirs are 70% higher than last 10-year average. So these are all positive sentiments. I am expecting

that agriculture to do well, rural to

do well. But what is a little bit of concern is we cannot have, on the other side, a little bit over rain and flood. So we are positive. And rural should come back for the season.

Binay Singh: And sir, how is scooterization in rural area?

K. N. Radhakrishnan: Scooterization is pretty well even in the rural. The proportional scooters are also becoming better. I think most important is the infrastructure development, the roads, even in the rural areas are becoming better and better. That is definitely supporting the proportion of scooters increase in the rural as well.

Binay Singh: And sir, secondly, on electric vehicles in the annual report, we are talking about an electric motorcycle and a bicycle launch this year. So the bicycle launch will be sold out of our existing dealerships only, just to clarify? And secondly, in light of the rare earth magnet restrictions, is

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our motorcycle launch on track? How would you see full year electric two-wheeler sales? Any comments on that?

K. N. Radhakrishnan: The cycle closer to the launch, I'll be able to give you more details. We are still working out all the details on that. On magnets, as you said, there are some challenges, but we are looking at various alternatives at this point of time.

Binay Singh: And sir, any timeline by when we can broadly go back to the number run rate that we had? Is it a 2-, 3-month issue? Or do you think this could percolate through the remaining year also?

K. N. Radhakrishnan: At this point of time, I may not be able to give you exact projection because practically, we are running -- managing daily production. So what is most important is we are working out alternatives and we are also looking at -- but everything has got a lead time.

Moderator: The next question is from the line of Pramod Kumar from UBS Securities.

Pramod Kumar: Sir, congratulations. I think the 30% plus EBITDA growth in this kind of environment is definitely something which we are not seeing otherwise. So good job on that. And sir, linked to that only as you continue to kind of maintain your commentary that you aspire to grow out of the industry and also continue to expand margins at the same time. So if you can just help us understand what are the kind of market share aspirations you have? because you're already kind of ramping up closer to 19% to 20% band as we speak.

And margins have ramped up to 12.5% on a steady-state basis. So if you can just help us

understand what's the kind of runway you are looking on both these parameters as to where you think you have full market share is in the next 2 years and where the margins could be in the next 2 years? Any broad thoughts? If you don't want to quantify -- even if you say, qualitative color, that would be very helpful.

K. N. Radhakrishnan: See, we always look at customer first. And what is most important is focus on the customer, delight the customer, give them the best products and technology. And I'm extremely happy that the product range what we have is doing extremely well. For example, the Jupiter 110 what we launched is doing extremely well. Jupiter 125, the recent one, whatever we have put, dual tone is also doing well. So overall scooters are doing well.

And if you look at -- Apache is doing well. If you look at Ronin, that is also doing well. Ronin started slow, but now it's clocking pretty well and Raider is doing well. So overall, what is most important is you have to leverage your product range. That is happening. That is primarily because the customers are delighted about the product range. And on the other side, international market, like I said last year, we had a big problem in Africa, because Africa went through some tough times in the industry.

Now that bottoming is over. So we are able to see Africa coming back. And you remember, Sri Lanka

was closed, and Sri Lanka is open now. Nepal is doing well. Bangladesh is going through some tough time, but I am very confident that over a period of time, the consuming class on the three-wheelers are there. And for us, we have started a little late in LATAM, but LATAM also

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we are growing ahead. What is most important for us is the customer and the product range, which delight the customer, both TVS has always invested in.

So I am pretty confident that going forward, we will be going ahead of the industry. And when the top line happens, every line happens, that is always our focus. When the top line happens, you get better product mix, better geography mix. And always, we can look at what else we can do on the cost reduction, and we always give value. Without compromising on quality, we look at what all things we can do on the cost. And the scale benefits also helps us in amortizing the other fixed costs. I think these are the broad strategies we are consistent on our approach.

Pramod Kumar: So you believe there are enough customers left who are yet to be kind of serviced and delighted by TVS. Is that a fair assessment, sir?

K. N. Radhakrishnan: More and more customers we are able to delight every quarter. That is the way I will put it.

Pramod Kumar: Okay. Fair enough. Sir, second point is on the investments because we kind of built a company around Norton, we had the brand, but we have to build everything else around that, right, from manufacturing to product development, everything, right? So where do you think we are in the journey as we approach the product launch?

How -- will it be, again, investment heavy, the period -- the next 2-year period compared to the period of last 3, 4 years? How should we look at it as investors? Because it's been -- it's taken quite a lot of resources. And of course, the product launch is getting closer.

So how should investors kind of think about the kind of investments what you've done and the kind of work you've done and what should be expected as the brand goes live? Whether you will see some stabilization on the investment and the business will start generating cash flow on its

own now. So how should one look at the investment going into that particular business, sir?

K. N. Radhakrishnan: I'm very happy you're using the word investment. So we are very prudent. I think the Norton will have the products Q3 and Q4 of this year. And I'm very sure next year summer; you will see these products in Europe. Country-wise, we are preparing the strategy of how to launch it. We have to have network, we are working out various scenarios. But the product side, we are pretty confident it's getting ready. And once the products are ready, then we have to put the marketing.

And as you know, Norton brand is very well known. We have to make it stronger. Lot of initiatives on the marketing side is being worked out. And definitely, it will be available in India. India Norton is going to be a key strategy market for Norton. So overall, we are pretty confident that Q3, Q4 onwards this financial year, many actions will happen. On the investment side, on Norton, please understand the final stages of the product preparation is happening. But you need to have more products, please understand. The success of any company is based on not just one product.

At this point of time, we are looking at three products and some variants of that. So totally, there will be some six products out of that, and then it has to be marketed. There will be investment behind marketing. There will be focused countrywide approach. So in my opinion, the

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investments, whatever you have seen, the same trend will continue in because this is a very good brand, and we have to now put all the effort in making this brand globally very fully active.

P

ramod Kumar: Fair enough. And any update on the e -three-wheeler business, sir, because micro markets we're doing well.

K. N. Radhakrishnan: E-three-wheeler, we are doing extremely well, I think this month, we are already crossing 2,000 plus. The market is also doing well. It is growing very fast. And like I said, if you look at e -three-wheeler in Q1, this year, we did almost 5,260 numbers . And I am pretty confident that we will reach a prominent place in this EV three-wheeler, this year.

Moderator: The next question is from the line of Chandramouli Muthiah from Goldman Sachs. The line for the current participant is disconnected. The next question is from the line of Kumar Rakesh from BNP Paribas.

Kumar Rakesh: My first question was a clarification. So, you have planned to raise fund through NCDs. So, what's the reason behind that? And is there any specific investment that you are raising this funding?

K. Gopala Desikan: NCD funding, if you know that the SEBI has mandated the 25% based on the incremental (previous year's) borrowings has to be only in the form of a capital market funding. And therefore, the current year's requirements is being funded through this raise of NCD. And it's an enabling resolution. The actual amount will depend upon the market conditions and the requirements.

Kumar Rakesh: If you can share some performance of how TVS e-bike company is doing. I understand that you have renamed and put all your Switzerland -based entities under that. So how's that entity been doing recently in the -- and more specifically in this quarter?

K. N. Radhakrishnan: See, overall, the e-bikes is a bit slow, primarily because of the economy in Europe. And we have very clearly looked at the positives of this product. The products are extremely good. But when the economy is going through and the industry is going through some tough times, sometimes we have to be a little bit patient. So that is exactly what we are now doing. But on a medium -term basis, we are very confident that it will start breakeven and start making profits.

Kumar Rakesh: Got it. Just one final clarification. So there's some investments you have done in TVS supply chain as well in the quarter? Any color on that would be really helpful.

K. N. Radhakrishnan: There is nothing special about it.

Kumar Rakesh: Okay. It's part of treasury activity, I assume then?

K. N. Radhakrishnan: Yes.

Moderator: The next question is from the line of Gunjan from Bank of America.

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Gunjan: Just a couple of clarifications on the P&L. If you can share the EV revenues for the quarter and the absolute PLI amount, which was accrued? And a little bit of color also on the staff spend surge in this quarter?

K. N. Radhakrishnan: See, PLI I told you about 0.5%, and -- overall, and we did about 70,000 EV this quarter.

Gunjan: So, can you share revenue on the EV?

K. N. Radhakrishnan: Yes

K. Gopala Desikan: Around INR1,000 crores.

Gunjan: Okay. Got it. And staff cost, anything one -off to call out? Or is it just the normal trend line that we should work with?

K. N. Radhakrishnan: There is a normal line. What normally happens is we have the performance appraisals, everything happens in the quarter 1, and increments are also given at this time . And as you know, we are also looking at -- in specific areas where we want to improve the competency, we are also adding a few people, additionally. It's not significant . But based on whatever required for our future plans and strategies, we are investing in certain areas, certain type of people. That will continue as a company.

Gunjan: Okay. Sir, just shifting gears, I just wanted to hear your thoughts on something that you lay out in the annual report that we're looking at rolling out a separate distribution -- premium distribution. What is the thought process around it? Like what -- is it pri

marily to do with Norton

launch? Or is it that we're actually expecting a big lineup of products on the premium side? I

mean, some color on what's the thought process behind having a separate distribution for premium products?

K. N. Radhakrishnan: See, we will have a differentiated retail strategy in India covering Norton, and possibly some of the premium TVS bikes. The work is going on. Once we are much more clearer about the strategy, I can share more details about that.

Gunjan: Okay. And lastly, any thoughts on ABS norms. I mean, what are the conversations? Are we

seeing that coming through from Jan onwards? Any updates that you can share around it? And what does it mean in terms of cost for...

K. N. Radhakrishnan: As -- I can talk about because in the two -wheeler category in SIAM, we are all together, we are discussing with the government. I think we will -- as of now, the discussions are going on. Appropriate decision once it comes, I'll be able to share you with more details. But please understand rider safety is the most important, and we all give highest respect for safety of the riders and the others. So this is highest priority.

Moderator: The next question is from the line of Kapil Singh from Nomura.

Kapil Singh: Congrats on a good set of numbers. Just one small follow-up on the PLI. Currently, I believe the full EV revenue is not eligible for PLI, right? So, by when do you see the other products in the TVS Motors Limited

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portfolio becoming eligible for PLI? Should we expect that by the end of the year, that should be possible?

K. N. Radhakrishnan: See, there are certain criteria. The timeline will depend upon when we need those criteria. So, we are already working on it. Progressively, it will cover all the products.

Kapil Singh: Okay. Do you have a road map like by when do you...

K. N. Radhakrishnan: We have a road map, but I'll share more details once the implementation is done fully.

Kapil Singh: Okay, sir. And sir, second question was just to understand the profile of electric vehicle customers for iQube or maybe generally for the industry as well. Are these existing scooter customers who are moving on to electric vehicles? Are there motorcycle customers also who are looking at electric vehicles as an option? And how is the rural/urban split for EVs versus say, a typical ICE scooter?

K. N. Radhakrishnan: See, initially, when we started the iQube journey, we saw people who are really -- who love innovation, who wants to try something new, that set of customers. But now most of the customers are wanting -- they are otherwise an ICE customer who wants to look at EV as an alternative. They are also seeing progressive improvement in the TCO. They feel that iQube is also like an ICE product, they are able to use it -- like I always believe that customers are agnostic to technology. They want to use it like a normal scooter, two people can travel comfortably, good roads, bad roads, rainy time.

So they are able to see all the benefits in iQube. That is the reason iQube is one of the prominent players in the EV category. And predominantly, this was in urban. Slowly now it is getting into rural. That is a pretty good news. So I'm of the view that in the last few years, it is more and more urban. But slowly now we will start getting into rural -- semi-urban and rural.

Kapil Singh: Sure, sir. May I know what is the -- for your overall portfolio, what is the rural and urban mix?

K. N. Radhakrishnan: Today, it is predominantly urban, because there may be some people who may be buying in the cities and they may be taking it to the rural, but predominantly, today -- see, we are currently present in about almost 900 dealers. And I say 900 dealers, they are more on urban and semi-urban, I will put it that way. But the semi-urban guy also buys it and takes it to village, possibilities are there. Kapil Sin

gh: Understood. And for TVS as a company, when I look at ICE plus electric, what is the rural mix right now?

K. N. Radhakrishnan: I think we are in line with the industry. We are in the line with the industry. Today, for example, I don't want to say EV, okay? Because EV, I've already told you, rural is slowly getting up. If I look at the total two-wheeler this year may be around 50-50. Almost, I can say, 49-51, or 51-49, that is the way, because urban maybe slightly higher to rural. So I can say broadly, it is close to 50-50, and we are also almost similar to that.

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Both areas, we are ahead of the industry. Both in urban, both in rural, we are ahead of the industry. But when it comes to EV, predominantly, it is urban and semi-urban. Rural, possibly, it will take another 1.5 years, 2 years to pick up.

Moderator: The next question is from the line of Aryn Pirani from JP Morgan.

Aryn Pirani: Sir, my first question was on commodity. Are we seeing any signs of any headwinds in the overall commodity basket, especially steel, where there was a safeguard duty imposed. So any thoughts on how should we think about the commodity basket in the coming quarter and the next quarter?

K. N. Radhakrishnan: See, commodity, I think there is an increase in Q2. Some of the, like you said, areas like steel, my expectation is about 0.5% -- 0.5% could be the increase. Steel is the predominant one in that and other commodities are small increases are there. We have also taken up small price increases, in Q2 beginning.

Amyr Pirani: Understood. So basically, you're saying it should help to offset the upcoming pressure?

K. N. Radhakrishnan: Yes. There will be some challenges, but I'm of the view that it's not a huge challenge, and we will always look at some price increases, product mix, cost reduction. We will use the combination to mitigate the same.

Amyr Pirani: Understood, sir. And secondly, on the three-wheeler EV, so two-part question. A, are we getting any PLI on the three-wheeler EV? And is there a road map for that? And secondly, compared to the two-wheeler EV, is there a difference in the profitability of the three-wheeler EVs and any path to EBITDA breakeven there?

K. N. Radhakrishnan: See, three-wheeler EV PLI, we have -- we will be getting from June onwards. We are end of July. So PLI will come, okay? And like two-wheeler EV, we are also gross margin positive in three-wheeler EV as well. You should always remember that when a new technology comes, it is an investment, okay? And like I always believe in once the customer starts loving, which is practically happening, and the scale at which our three-wheeler EV is growing in the market is amazing. We are very, very happy. So once the customer loves it, the top line goes up, I'm sure every line will come.

Moderator: The next question is from the line of Raghunandhan from Nuvama Research.

Raghunandhan: Congratulations on great set of numbers. Sir, firstly, on the non-current investments, the TVS Singapore investment is at INR 5,100 crores as of March '25. Can you please indicate an approximate breakup into major entities like Norton and other entities?

K. N. Radhakrishnan: See, predominantly, it is Norton. See, out of that, almost 40% of that is Norton.

Raghunandhan: Got it, sir. And the e-bike company?

K. N. Radhakrishnan: E-bike company is next. Other than that, these are all other strategic investments like TVS Digital, Celerity. There are some investments in Killwatt, Zapata, ION Mobility. So I think these are all small, small investments. So put together, the key ones are -- and also -- yes, ION

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Mobility. And also the PT TVS Motor Indonesia investments are also from -- past investments are also from Singapore.

Raghunandhan: Got it, sir. And investment for FY '26 will again

be in the range of INR 2,000 crores?

K. N. Radhakrishnan: Similar, almost similar. Like I explained, Norton, the products are coming now. The investments behind some more products will be there, plus marketing, brand building activities, we are getting into many countries now. All that will continue.

Raghunandhan: Got it, sir. And capex will be around INR1,000 crores?

K. N. Radhakrishnan: Capex will be about INR 1,600 crores to INR 1,700 crores, in that range, INR 1,600 crores to INR1,650 crores, because there are many investments behind new products.

Raghunandhan: Got it, sir. Got it. And as per the government website, for electric three-wheeler, there seems to be some approval on PLI on May 19 or so. Just trying to understand, would this mean that we have started accruing PLI for 3-wheelers? Or would it start from next quarter?

K. N. Radhakrishnan: Next quarter.

Raghunandhan: Within employee cost, how much was the ESOP cost? That item should not continue in the coming quarters, right?

K. N. Radhakrishnan: ESOP is very small.

Raghunandhan: Got it. And lastly, can you share the exports and spares for the quarter?

K. N. Radhakrishnan: Just a minute. ESOP, you should take it as a part of appraisal and reward and recognition. So that is something which is -- we want to look at in the future. On spare parts, we have done about INR987 crores in the quarter. And what else you wanted?

Raghunandhan: Exports, sir.

K. N. Radhakrishnan: Exports about INR 2,487 crores.

Raghunandhan: Got it, sir. So ESOP is part of the business, I understand, but it will be more lumpy in nature, right? It will not be there in every quarter and possibly it was there in Q1.

K. N. Radhakrishnan: Which one?

K. Gopala Desikan: The ESOP cost. That spreads over.

K. N. Radhakrishnan: ESOP, you should assume that this is a part of the appraisal cost, reward and recognition. I think total employee cost is what you should focus on.

Raghunandhan: Got it, sir. And that's a sustainable number, what we saw in Q1?

K. N. Radhakrishnan: Yes, yes. See, these are employee costs where -- whatever we are investing, it is going to definitely translate into products and technology and for the top line growth.

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Moderator: The next question is from the line of Mumuksh Mandlesha from Anand Rath Institutional Equities.

Mumuksh Mandlesha: Sir, firstly, I want to understand how we are placed in terms of distribution for the electric three - wheeler market in India? And just any sense what kind of dealer network we have in India to take benefit of this demand space?

K. N. Radhakrishnan: See, we are expanding our three-wheeler network. I can -- I don't have the exact number, but I can tell you 70% of the market is covered today with our three -wheeler network. As we grow our three -wheeler business, we will add more network. For the TVS brand with sort of the equity, there is no problem in getting good dealers. But we are also equally -- we are -- we always look at dealer viability, dealer profitability, very, very important as a key parameter. So depending upon the volume, productivity, profitability, it's a very clear planned activity of expanding the network.

Mumuksh Mandlesha : And sir, we would also be available with the required capacity to meet the e-three -wheeler demand, sir?

K. N. Radhakrishnan: Capacity in today's context, it is not a problem because the supply chain is also very fast, and we are able to also -- maximum, maximum, I have seen in my experience, 12 weeks is more than enough for any capacity expansion.

Mumuksh Mandlesha: Got it, sir. And sir, for this year, can you share any outlook for the exports growth for TVS for this year, sir? And just how is the Africa market doing, sir?

K. N. Radhakrishnan: Africa market has started doing well. Like I said, last year, we saw the numbers going down primarily because

of many geopolitical challenges, inflation and currency challenges. Now things are becoming a bit stable. Because it has gone to so bottom, now we see only upward trend. We are confident that we will do much better because our customer retails in these markets are doing well. So we will continue to grow ahead of the industry.

Moderator: The next question is from the line of Viraj from SIMPL.

Viraj : Just a couple of questions. First is on the investment. So what we talked about an annual run rate of around INR 2,000-odd crores. Now if we look at our plans with Norton, where we're starting out with the first set of 3 products, and we would, over a period of time, look to further expand the portfolio. And similarly, in the annual report, we talked about turning around the e -bike ventures with new product plans there as well.

So would it be right to think that the run rate of around INR 2,000 crores to INR 2,200 crores will sustain for next 3 to 5 years? And if you can just give some more breakup -- a big picture breakup in terms of how is that allocated towards various business segments because we also have digital initiatives as well. So that is one.

Second is -- if you can also give some more color on how do we plan to turn around the e -bike entities, both SEMG and EGO and a few others? Because right now, I think the investment is

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largely going towards just sustaining the operating losses we have in those entities. Correct me on that. So that's second.

And third is any thoughts, any update you can give? We had earlier plans to monetize or at least bring to IPO, TVS Credit Services, but we don't talk about it anymore. So any thoughts? And last is on TVS Supply chain. If you look at the last 3 -- 2 to 3 years, we've grown our stake from sub 1% or 2% to now almost 5.5%. And with this investment, you will go 6% to 7% holding in that entity. So how does it relate to the core business which we do? And what is the thought process there?

K. N. Radhakrishnan: See, on Norton, products requires investments and whatever we have invested are now likely to yield result with the products which are getting ready by Q3 and Q4. Like I said, we will have products which will be ready. And next summer, you will see them selling both in India as well as -- India, maybe much earlier and in the European markets. We are putting the very clear strategy of coming up with the region-wise strategy on marketing.

And that is -- that kind of investment is likely to continue because we need some more products.

In terms of the e-bikes, we are also coming up with some innovation in the product side. I'm very sure the market will recover and the top line -- once the top line slowly starts recovering, the rest of the lines will start improving because last year, we have consolidated all the e -bike companies to one, and we have looked at the organization also to combine into one so that there is overall productivity improvement, also the synergy in terms of the fixed cost.

So overall, EV bikes, going forward, we are pretty confident that as we see recovery in the top line, you will see the breakeven and the profits . And the TVS CS, basically, you want to highlight?

K. Gopala Desikan: Yes, TVS Credit Services, I think the book size is around INR 27,000 crores now, INR 26,898 crores to be precise. And as far as the question is all about IPO, not yet even discussed at the Board level. As and when we decide and definitely, we will let you know, please.

K. N. Radhakrishnan: But this is an investment which is doing extremely well, and it is also well run. So -- and ROTA

is steadily going up. So we are pretty confident about TVS Credit shaping up to a great company.

Viraj : So that annual investment of INR 2,000 crores to INR 2,200 crores, that includes support to TVS Credit Services?

K. N. Radhakrishnan: I may not be able to give

you 3 to 5 years' time because as the top line grows, as we present in many of the markets, there may be a requirement for additional investments. But I can tell you INR 2,000 crores for this year, it will be there. Next year, possibly during the next quarter or quarter after that because when we look at the next year plans, that is the time we decide what kind of investments are required, what technology, what products, which country we want to enter. Like that, we will be preparing the plan. As of now, this year, it will be INR 2,000 crores on the investment side.

Viraj : And on TVS supply chain, sir?

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K. N. Radhakrishnan: TVS supply chain, I already answered.

Viraj : Sorry, I missed that. If you can repeat that.

K. N. Radhakrishnan: It's not a strategic investment. It's an investment what we are making like any other investment.

Moderator: The next question is from the line of Abhinav Ganeshan from SBI Pension Funds.

Abhinav Ganeshan: Congratulations on a great set of numbers despite the challenges on the EV front. Only one question from my side is, how are we seeing the supply chain for us on the rare earth magnets?

And if you can give some more color? And do you see that our EV numbers will come back because month-on-month, last month, we had a dramatic fall. So if you can give some more color on that?

K. N. Radhakrishnan: See, short term, we are managing with the stocks what we have. We also resized some higher - sized magnets, which are locally available. We are also exploring some alternate strategies in the short term, okay? And like I said, currently, we are managing the daily production. We are just able to manage like that.

But if you look at on a medium - and a long-term basis, we are working on HRE -free, ferrite -based, magnet -free, and we are also looking at alternate countries. And definitely, we'll be also working partnering with some of them in India. So this is going to be -- we have to build forward a more resilient company and a country on magnets.

Moderator: The next question is from the line of Rahul Kumar from Vaikarya.

Rahul Kumar : Sir, just on EV again, at what stage are we in terms of diversifying our supply chain for EV powertrain components?

K. N. Radhakrishnan: I just now answered.

Rahul Kumar: No. I mean, in terms of...

K. N. Radhakrishnan: The developments are going on. I may not be able to tell you exact timing, okay? But we are managing, on a daily basis, the production with some local purchases, local stocks, what we have. We are also coming up with some alternate strategies.

But medium term and long term, definitely, we will have solutions on HRE-free magnets and ferrite -based magnets, we are also looking at magnet -free. So, we will look at many countries also for sourcing. So it's a combination of many, many actions which are going on.

Rahul Kumar: Okay. Okay. And I think you mentioned, but just on e-bikes also, what are your plans? When do you plan to launch the bikes in India for the more of mass and affluent category?

K. N. Radhakrishnan: We will come back to you. We are working out the strategy, including the positioning, what type of network, product, what is the strategy for introducing in India. Once we are closer to overall implementation plan, I'll let you know more details.

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Rahul Kumar: Okay. But do we expect this fiscal or, let's say, sometime next fiscal for the launch?

K. N. Radhakrishnan: Come back to you. I'll come back to you. Definitely, I'll come back to you just before the launch. We take the last question, please.

Moderator: The last question is from the line of Pramod Kumar from UBS Securities.

Pramod Kumar: Sir, my question was on the EV profitability. I know you kind of -- this question has been asked before. But you had shared last year that you

are targeting like to achieve breakeven in the next

2 years. So given the way the battery prices have moved, and the pricing has moved for the industry and the competition in the industry, just want to understand your thoughts. Are we still on track on achieving the breakeven there?

K. N. Radhakrishnan: Pramod, first, one clarification. I have not spoken anything about breakeven. I already said we are positive on gross margin. In any business, when you start first is to make sure that the gross margin is positive. That both in the two-wheeler and three-wheeler, we are positive, number one. Number two, we are extremely happy.

The customers are delighted about our products, and the top line is growing. We have some short-term setbacks in terms of magnet availability. But I'm very sure we will become more resilient with many other alternatives going forward, okay, number two.

Number three, whatever investments we are making in whether it is software, whether it is electronics, whether it is digital. While we are making all these investments in electric, I'm very sure these are all applicable for the super-premium, premium and even scooters. Because going forward, the digitization is going to be the key because customers will look for many of the elements, whatever we are investing in software and digital. So the people-related cost, what is invested behind electric and electric technology, it is going to help the entire product range of TVS.

So it's going to be overall -- going forward, this is going to help. That is exactly the reason I always look at the total overall whether the top line is growing faster than the industry, whether EBITDA is growing as a business -- total business, are we going ahead?

And which according to, we have done extremely well, INR 10,000 crores -- INR 10,081 crores for this quarter and operating EBITDA consistently growing quarter after quarter, while we invest behind new technologies in two-wheeler EV, three-wheeler EV. So overall, that is the way we look at...

Pramod Kumar: Fair enough. Sir, I understand. I'm just looking at the fact if we kind of reduce the under recoveries there, then the overall profitability of the company will start looking much better. So that was the whole idea. And sir, on the scooter side, we have seen that -- what do you say, the maxi scooter segment is taking off in a very nice way.

Currently, it's kind of catered to by practically one player. But any thoughts on the further sub-segmentation of the scooter market within a particularly narrow CC band. So, what are your TVS Motors Limited

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thoughts there? And given your experience in other markets, so is there an opportunity there for you to tap into these subsegments within the scooter segment, sir?

K. N. Radhakrishnan: See, we always look at the customer. I appreciate we also look at competition. But please understand we have a very structured program on our product plan. And we look at which are the product plans, which are the products, at what quarter, where we need to launch. We have a very systematic process in the company, and we want to continue to focus on the customer. And I look at always with lots of deep respect with every competitor because each competitor has their own strategy. We have to respect them because that is why the customer gets the best. So, we look at in totality and we look at what are the phases. And based on the product plan strategy, we come up with the model.

So, before I close, I just wanted to thank everyone, and I'm extremely happy that we have started this financial year with a great quarter. Thanks to our customers, thanks to everyone, we have done INR 10,081 crores of operating revenue. Our unwavering focus on customers' quality, we are very confident that we will continue to grow ahead of the industry, both in domestic ICE and EV, including three-wheeler.

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Company will continue to leverage scale benefits with focused premiumization, sustained material cost reduction.

And we have been consistently growing on our EBITDA, and that journey will continue. And we have excellent product, excellent product range, and we will leverage its growth, better product mix. And I'm very confident that we will get into the season with very good numbers.

Thank you. Thank you for your time and continued trust on the company. Goodbye. Thank you.

Moderator: Thank you, sir. On behalf of Batilvala & Karani Securities India Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001
Scrip code: 532343
National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor,
Bandra -Kurla Complex,
Bandra (E), Mumbai 400 051
Scrip code: TVSMOTOR
Dear Sir(s)/ Madam,

Reg : Compliance under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

In continuation to our intimations dated 23rd October 2025 and 28th October 2025 with respect to the schedule of a conference call with M/s. B & K Securities post results for the quarter ended 30th September 2025 and intimation on the audio recording, respectively, we wish to inform that the transcript of the said recording is enclosed and the same has been hosted on the website of the Company and is available at:
<https://www.tvsmotor.com/en/Investors/Communication>

We also enclose the said transcript for your reference.
Kindly acknowledge the receipt.
Thanking you,
Yours faithfully ,

For TVS MOTOR COMPANY LIMITED

K S Srinivasan
Company Secretary

Encl.:a/a
TVS MOTOR COMPANY TVS~
TVS Motor Company Limited, Registered Office: "Chaitanya" No.12, Khader Nawaz Khan Road,
Chennai -600006, Tamilnadu, India. Telephone: +91-44-283321 15 Fax: +91-44-28332113
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"TVS Motor Company Limited
Q2 & H1 FY '26 Earnings Conference Call"
October 28, 2025

MANAGEMENT : M R. K N RADHAKRISHNAN – DIRECTOR AND CHIEF
EXECUTIVE OFFICER – TVS MOTOR COMPANY
LIMITED
MR. K. GOPALA DESIKAN – CHIEF FINANCIAL
OFFICER – TVS MOTOR COMPANY LIMITED

MODERATOR : M R. ANNAMALAI JAYARAJ – BATLIVALA AND KARANI
SECURITIES INDIA PRIVATE LIMITED
TVS~

Moderator: Ladies and gentlemen, good day, and welcome to TVS Motor Company Limited Q2 and H1 FY '26 Earnings Conference Call hosted by B&K Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj from B&K Securities. Thank you, and over to you, sir.

Annamalai Jayaraj: Thank you, Iqra. Welcome to TVS Motor Company Limited 2Q FY '26 Post Results Conference Call. From TVS Motor Company Limited management, we have with us today K. N.

Radhakrishnan, Director and Chief Executive Officer; Mr. K. Gopala Desikan, Chief Financial Officer. We will start with opening remarks by K. N. Radhakrishnan, to be followed by question-and-answer session. Over to you sir.

K. N. Radhakrishnan: Good evening. Good evening, everyone, and thanks for joining us today. First of all, festive season greetings to all of you, your family members. We are extremely glad to announce that the company continued its growth momentum and posted highest ever quarterly phase, both in ICE and EV. And we also achieved the highest revenue and EBITDA and profit.

During the quarter, the company's sales volume grew by 23%. Revenue grew by 29%. Operating EBITDA grew by 40% and operating PBT grew by 44%. We would like to sincerely thank our customers for this significant milestone.

Let me now get into more details about the second quarter. In terms of sales during this quarter, company's operating revenue grew by 29%. It's at INR 11,905 crores as against second quarter of last year, INR 9,228 crores. Two-wheeler domestic ICE sales grew by 21% compared to Q2 of last year. This is against an industry growth of 8%.

Two-wheeler international market, company sales grew by 31% over last

year against an

industry growth of 26%. The total ICE sales grew by 23% compared to Q2 of last year against an industry growth of 11%. EV two-wheeler sales grew by 7%. It's at 80,000 units as against last year, 75,000 units during Q2 despite challenges in the magnet availability. Total sales of 3-wheelers grew by 41% to 53,000 units as against last year, 38,000 units during the last year's second quarter.

On profits, the company's operating EBITDA grew by 40% at INR 1,509 crores as against EBITDA of INR 1,080 crores during Q2 of last year. Company's operating EBITDA margin improved by 100 basis points, 12.7% as against 11.7% during last year. During last year, the entire year's PLI benefit of '24/'25 was recognized in Q4. On a normalized basis, Q2 last year, EBITDA would have been at 12.2%. So year-on-year, if you normalize PLI, the EBITDA margin improvement is 50 basis points. TVS~

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The company registered PBT of INR 1,226 crores, recording a growth of 37% during this quarter as against INR 897 crores in the second quarter of last year. Profit after tax grew by 37% to INR 906 crores as against INR 663 crores during second quarter of last year. The first half of this year, company's operating revenue grew by 25%. It's at INR 21,986 crores as against INR 17,604 crores during the last year's first half.

PBT for the first half of the year grew by 36% at INR 2,279 crores as against INR 1,680 crores during the first half of last year. Profit after tax grew by 36% and it's at INR 1,685 crores during the first half of this year as against INR 1,240 crores of first half of last year.

Coming to TVS credit. H1 financial year '26, TVS Credit achieved a significant growth in consumer and retail financing driven by the GST 2.0 implementation and increased sales of consumer products, deeper market penetration, enhanced market share in existing geographies. TVS Credit disbursed loans of over 25 lakh new customers bringing its total customer base to over 2.13 crores.

The book size of TV Credit is at INR 27,807 crores. TVS Credit PBT for the quarter grew by 28% and is at INR 277 crores as against last year's second quarter, INR 217 crores. TVS Credit maintained its focus on risk-calibrated growth across product categories and is working to build a diversified group by scaling up and increasing penetration of existing products, expanding

product offering, distribution, enhance the customer experience and operational efficiency. Now coming to new product launches from TVS Motor Company Limited. We launched TVS Orbiter. Orbiter is India's smart, sustainable and Urban EV commute with a strong blend of technology, style and practicality. This is primarily focused on young urbanites who are thinking vehicles that are very optimistic -- optimal in terms of design, very operational, strong blend of technology, style, practicality. It is a different segment. All of you know that we have iQube in the scooter segment. It offers several segment -firsts such as 158 kilometers of IDC range, Cruise Control, Hill Hold Assist, spacious 34 liters boot space, host of connected features and the industry first 14 -inch front wheel for enhanced stability and ride comfort. It has come at a very attractive price point of INR 99,900, We are now starting -- expanding into Maharashtra. We started with Karnataka. And over a period of time, it will be available all India. Another launch, we had a TVS King Kargo HD EV. This is into cargo mobility. All of you know that we had TVS King EV, which was launched approximately about 6 months back. This HD EV Kargo -- it is primarily focused on urban logistics with the purpose that deliver strength, space and sustainability. This versatile 3 -wheeler is designed to set new benchmarks in this segment, combining smart features, high load capacity, superior comfort, refined economics and robust safety standards. Lot of segment -first features like spacious cabin, fully rolling windows, stylish door trims, improved ventilation and dedicated power gear mode that delivers superior torque under load. It comes top speed of 60 kilometers per hour, 6.6 feet long depth along with very good range of TVS~

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156 kilometers. It has got TVS Connect Fleet platform and this will enable the businesses to optimize operations while enhancing the everyday experience of vehicle operation. TVS Ntorq 150. All of us know the TVS Ntorq 125 all of you know. This is the most powerful TVS scooter ever, TVS Ntorq 150, India's quickest first Hyper Sport Scooter. 150 Ntorq sprints from 0 to 50 kilometers in just 6.3 seconds, and it has got a top speed of 104 kilometers per hour. It's the quickest scooter in its class. It definitely draws inspiration and insights from feedback from our riders. It is a step forward, strengthening our scooter portfolio for combining race inspired performance, advanced connectivity, several first -in segment features that enhance safety controls. It has got a multipoint projector headline, sporty tail lamps, aerodynamic winglets, especially stubby muffler, distinct signature sound and naked handlebar and many, many features, which will definitely delight young customers in this segment. Apache RTX, which was recently launched. This is an adventure rally tourer. This is a very superior premium offering from TVS RTX - Apache RTX. I'm very sure this is going to give new opportunities, possibilities of exploration, off -roading and self -discovery for many of our customers. All of you know that Apache is a legacy brand and it has got many exciting features and RTX will further enhance in the world of adventure touring. All of you know that TVS Apache has crossed 20 glorious years of iconic achievements. To celebrate this legacy, we have introduced exclusive limited edition model across Apache lineup. RTR 160, 180, 200 and as well as RTR 310, Apache RR 310. Thanks to all the customers. Apache has been a benchmark of performance in the motorcycles in India. It comes with new premium trims and it is standing as a true leader in the core segments. The new Apache 4V variant is sitting on the top, and it gets added features like cutting -edge projector headlamps featuring LED DRL, vibrant all LED lighting, 5-inch connected cluster, traction control systems and so on. And we are very proud and we would like to thank the global community of 6.5 million Apache riders. And I'm very sure Apache RTX will further delight many of our customers going forward, both in domestic and international. Looking at the Q3, I think we have seen the first half of this year, the growth was around 2%, urban was slightly higher around 3.6%, rural was only 0.6% growth. Thanks to the government for the GST reduction. I think this is going to definitely help and it will accelerate consumption across various goods and industries. And since it is across many of the commodities and some of the auto vehicles, I think it is going to give a multiplier effect going forward. We definitely thank Government of India for this progressive reform. We have passed on the full benefit of GST rate reduction to our customers across the right portfolio. TVS~

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All of us have noted that IMF has already revised India's GDP forecast from 6.4 upwards to 6.6. And all of us know that this year, above normal monsoon will definitely help the rural. Season, we have seen very good positive momentum, The festive season, VAHAN industry has grown 24% and we have exceeded our growth above 32%. Both rural and urban have grown. We are expecting Q3 with the GST benefit to have good momentum in terms of growth, and this is also likely to get benefit in

the Q 4.

Overall, we are expecting about 8% growth in the ICE segment. During the quarter, on EV, all of us know that there were many challenges on the magnet availability. Industry grew by 8%, and we have an excellent offer in iQube. Our iQube has already crossed 700,000 units in domestic market, and this is a prominent brand in Indian market.

I'm very sure the newly launched TVS Orbiter will further provide impetus to TVS EV 2-wheeler business and very confident that it will be available all India by start of Q4. Magnet availability

continued to pose challenges in the short and medium term. On EV commercial mobility business, all of us know that we have started doing extremely well with the TVS scheme.

And I'm very confident that the Kargo HD EV will further strengthen it. So far, the feedback has been excellent. Our VAHAN share in the EV 3 -wheeler has already crossed 11%. And as I said earlier, we would like to be a very prominent player in the EV category 3-wheelers.

On Norton, we have recently unveiled the first official design sketch of all new flagship Super Bike as a part of the resurgence campaign, signaling the design direction for an all new generation of motorcycles from Norton. Company will reveal the new motorcycles in EICMA next week in Italy, led by new Super Bike, new design philosophy and the reimagined brand identity. We are planning to launch Norton products in India by April 2026.

We'll have a differentiated retail strategy in India, covering Norton and some of our premium TVS vehicles. We will connect with different retail formats that are uniquely catered and offer superior and differentiated experience. And in Europe, Norton has already started planning for the distribution system. I'm very sure 2026, you will see Norton product and it is going to definitely redefine the super -premium categories all over the world.

On International business, during Q2, TVS M posted highest ever quarterly sales of crossing milestone of 4 lakh units, 400,000, driven by strong growth in major markets. As I indicated in the last call, Africa is growing, the demand is growing, and we are witnessing increase on quarter -on-quarter sales. LatAm region is also growing with strong demand in many markets in LatAm.

We are still a nascent player in this market, but we are growing faster than the industry with the kind of product range what TVS have. We are confident of growing ahead of the industry in this region and becoming a prominent player in the coming periods. In Asia, major markets are

continuing to do well. Sri Lanka and Nepal are growing in numbers quarter -on-quarter. We are also strengthening our network in Bangladesh, and this will also improve our presence in Asia.

To conclude, in Q3, we had good growth across ICE, EV segment, we are anticipating that the industry will continue to grow and thanks to the GST rationalization, this is going to help us. In TVS~

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International market, definitely, we will do better than the industry and the market is also likely to do well.

On the product portfolio, all of you have seen the new product launches from TVS Motor Company Limited . They are all accepted very well in the market. It comes with excellent quality, very attractive features in technology, and we are very confident about outperforming the industry, both in domestic and international markets. The EV segment in 3-wheelers have started doing extremely well for us, and we are very confident that we'll start growing ahead of the industry here as well.

You have seen our EBITDA journey. We have moved from 11.7% to 12.7% in this quarter.

Company is pretty confident that we will continue to leverage scale benefits, better product mix and sustained effort on cost reduction, and this will enable us to further improve the EBITDA going forward. Thank you.

Moderator: Thank you very much. The

first question is from the line of Kumar Rakesh from BNP Paribas.

Kumar Rakesh: My first question was on the impairment charge, which you have taken in this quarter. Can you help us understand for which entity that is related to? And if all the entities have gone through the fair value assessment during the quarter?

K. N. Radhakrishnan: There is no impairment provision in this other income .

K. Gopala Desikan: No, there is the impairment provision considered here. And to answer your second question, we

do get a fair valuation of all the companies and only based on that, the consolidation happens. And what you see as a small number of a notional loss is nothing about the fair valuation of TVS Supply Chain shares. In the past quarters, we have been recognizing a notional gain. And because of the market conditions, there was a fall in the price, and that loss has been recognized.

Kumar Rakesh: Got it. My second question was on the overhead cost in this quarter, especially other expenses. So we saw revenue increasing sequentially by 18%, but we haven't seen that benefit of that reflecting in terms of margin expansion to that extent or the overhead cost helping us lower the overhead cost. So what led to this additional expenses in the quarter? And how should we see that in the coming quarters as you are expecting the growth to sustain in the second half?

K. N. Radhakrishnan: There are unique costs, but before that, let me give you a total, other expenses include variable expenses also, including packing, freight which has gone up by about INR 120 crores due to festive season, And R&D expenses for this quarter went up by about INR 20 crores, INR 25 crores. Marketing expenses, all of you know that we had 2 launches including 3-wheeler, if I say, there are 3 launches and the costs are higher by about INR 65 crores.

So these are investments for the future. So we don't want to look at whether it is brand expenses or R&D expenses, which are definitely for investments for growing the top line and doing better than the industry. Other than that, it is only packing and freight expenses due to the festive season additional costs. TVS~

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Kumar Rakesh: Got it. So if - so INR120 crores of packing costs relative to festival season, which you're calling out, so it should normalize once the demand supply also starts matching up in the coming quarters. So that's fair to see.

K. N. Radhakrishnan: Absolutely, absolutely.

Kumar Rakesh: Got it. Just one final clarification on the ABS side. Anything incremental that you have understanding of and what would be our response to that in terms of portfolio impact?

K. N. Radhakrishnan: ABS you're asking about antilock brake system, right?

Kumar Rakesh: That's ABS, yes. The mandatory implementation.

K. N. Radhakrishnan: Yes, ABS the discussions are going on with government, Once we have better clarity on that, we will come back to you. But please remember, last time also I highlighted that in TVS, rider safety is very important, We give highest priority for safety. And we want to make sure that our customers are fully safe and they enjoy the riding.

Moderator: Thank you The next question is from the line of Chandramouli Muthiah from Goldman Sachs.

Chandramouli Muthiah: My first question is just on the gross margin. So in spite of higher commodity prices quarter - on-quarter, we've delivered almost 100 basis points of gross margin improvement. I just want to understand what are some of the factors which helped you deliver that superior gross margin performance Q -o-Q in spite of some of those commodity prices?

K. N. Radhakrishnan: I think the most important is top line. I always believe that when the top line comes, you can get a better cost reduction, So material cost, we were able to get better reduction, And if you look at --we were able to also take some p

rice increases based on some cost increases, And the product mix to a large extent, is supportive. But if you ask me the real is that top line growth, top line growth resulting in overall cost optimization.

Chandramouli Muthiah: All right. That's helpful. Second question is just related to the pay commission formation. So it looks like a few hours back, the government has formed the 8th pay commission. I just want to understand in your experience, typically, it takes close to 18 months for the pay commission to submit recommendations. But this time around, it looks like it might be more expedited. So I just want to understand what your thoughts are on the potential tailwind for industry growth and benefit for TVS from a potential pay commission over the next 1 to 1- 1/2 years?

K. N. Radhakrishnan: Let me understand it much more deeply. But in our view, this GST whatever has been done will definitely support the industry, And any kind of extra income in the consumer's hand is going to definitely help, So overall, I am quite optimistic about Q3 and Q4 for 2-wheeler industry.

Chandramouli Muthiah: That's helpful. And just lastly, now I think exports is close to 30% of our volume, almost 25% to 26% of our quarterly revenue growing faster than domestic. So are we at a stage where export profitability is similar to now domestic business profitability and in color there? And also if you could just share exports and spares revenues for the quarter? TVS~

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K. N. Radhakrishnan: See, we look at profitability in totality, because we have to look at the portfolio. And whenever we look at in totality, you will see 11.7% EBITDA has gone to 12.7%. And we have always

invested behind product development, marketing, brand building, and even if you look at it last time, I told you that we have set up a Dubai office for now really going closer to the customer because we know that international business is very, very important, and we need to invest.

So we have moved many of the key people in Dubai, and we are also now looking at establishing specific focus in specific countries because we need to have very deep customer understanding, and we felt that, that is very, very critical. So we always invest whatever is right for the company given our strategy for the future. So that will continue. Now in terms of spare parts revenue, you asked for IB or total? Total, right?

Chandramouli Muthiah: Total business, exports and spare parts.

K. N. Radhakrishnan: INR 1,073 crores is our spare parts and exports is about INR 2,885 crores.

Moderator: The next question is from the line of Pramod Kumar from UBS Securities.

Pramod Kumar: I thank for the opportunity congratulations, sir, on a good set of performance and the kind of product actions you're doing. My first question is on the post GST cut consumer trends, any shift of what you're seeing on the ground in terms of whether are we seeing a strong revival in the entry level segment as first-time buyers come back?

Or are you seeing trends of scooterization and premiumization kind of getting better? If you can share any color you have from the post -GST demand trends what you see in the market, sir? And any color on rural versus urban? Because earlier, you would get all out scooterization picking up in the rural markets. So if you can also share some color on that, that would be really, really helpful.

K. N. Radhakrishnan: See, this year, normally, there is a pre-season, which is a short period which is -- the sales always goes down. And there is Dusshera, Diwali period, Fortunately, thanks to government, they did announce the GST cut also just before that. There are 2 elements of when I compare like-to-like, like-to-like when you compare last year to this year.

We can't just take that this is going to be the standard growth rate, which is going to be there. But the industry

is growing season to season, suppose I take last year Dusshera plus Diwali season, I know all of us know that the entire season VAHAN is not has come fully, registrations have not happened fully. But by, let's say, middle of November, everything will get done. But the initial feel is very positive. So far, if I look at season to season, the industry has grown by 24%, and we have grown by 32%, which is a good story. And rural industry also has grown by 22%. Urban is growing little ahead, 26%. But this GST is going to help. It is not only in auto, I think they have done across. So there is going to be a multiplier effect.

That's the reason I said Q3 and Q4, if I look at the 2-wheeler industry is likely to grow around 8%, which according to me is a good number because last year, we had a good base on top of it, TVS~

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growth of about 8% is going to be very, very positive. So I'm of the opinion that this is going to help the industry.

Pramod Kumar: And sir, the trends of scooters or like any subcategories doing better or customers using -- yes.

K. N. Radhakrishnan: Scooters continue to do well. I always believe that scooters have got a great opportunity. If you add EV plus ICE already in the category share of scooters, maybe about 38%, 39%. Because if I take Q2 7%, 7.8% is scooters, EV plus about 32%, 33%. So scooter s are growing much faster than the industry, which is a good sign, and it will continue.

The momentum will continue. Premium is also doing extremely well, Executive category is also doing well. Economy has started moving up, So I am expecting that you will see improvement going forward. Definitely, you will see. It is too early to give a judgment because GST plus this Diwali, all this happened about a month back in the last 1 month many things have happened.

So we should give a little bit more time, but the feel from the market is very positive.

Pramod Kumar: Sir. And before I proceed to the second question, I just wanted to clarify the export revenue numbers. Do you mind repeating it, sir?

K. N. Radhakrishnan: Just a minute. I think it's INR 2,885 crores.

Pramod Kumar: INR2,000 crores?

K. N. Radhakrishnan: INR2,885 crores.

Pramod Kumar: INR2,885 crores. And sir, the second question is related to your increasing product aspirations and increasing geographical aspiration because the way the kind of products you're putting out in the market and the kind of reviews what we're getting. Looks like TVS is kind of preparing for the -- preparing for what do you say, a shift up here in terms of the brand, the profile, the kind of product portfolio and the technology you do have?

So if you can just help us understand how do you see the next 3, 4 years in terms of growth for the company? And also, when I say growth in terms of segments where you will do better or

where the focus is and how strong the exports could be as a percentage of volumes compared to where we are today?

And related to that is also the fact that you've already had outstanding decade also in terms of growth and market share gains. So how should one look at all this when you look at the next 3 to 5-year horizon, sir? Is it like we still got a long runway for market share expansion and margin

expansion? Or if you can just help us understand the 3 -year, 5 -year view here. So how do you look at the landscape?

K. N. Radhakrishnan: See, we always believe in investing behind the customer. And we want to give best to the customer, whether it is domestic market, international market. We want to delight the customer with new technology, new features, new products, that is TVS. And we have a very strong R&D, very strong new product development team, a very strong marketing team. TVS~

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So this is something which is core and we always invest beh

ind that. And that is the reason we

have invested behind digital team, we have invested behind software team because this is going to be the future. In any business, product is the key. Product is the most important center point.

So that is the reason you have seen the number of launches even in the last quarter and recently the RTX also.

And please remember, all these products are also for the global market. And with many of these market reviving, I'm pretty confident that the proportion of business from international market

will keep continuing to grow for us, And we will continue momentum on the international proportion. Even some of our EV products we have started exported and these feedbacks are very positive for iQube .

Once we start looking at Orbiter available in India, we will also start exporting that. So strength of TVS is focus on customer, customer, customer. When you focus on customer and give best to the customer, top line is assured. That is why we are able to grow ahead of the industry. And

when the top line comes, I'm pretty confident that EBITDA will improve. And we won't compromise in our investment.

That's where I am not using the word costs. Investments in people, investment in technology, investment in brand, investment in building new technology capability that will continue, we will do. And I'm pretty confident, 11.7% has come to 12.7%. You would have seen our top line INR11,900 crores plus. Both our top line will grow -- continue to grow ahead of the industry and EBITDA journey will continue to delight all our investors.

Pramod Kumar: Sir, last one. Do you foresee a probability where TVS can become the #1 brand because you are not very far from the number 2 anymore. As in the other product action and the kind of wide spaces you have, is that an ambition you have as a company?

K. N. Radhakrishnan: We want every of our customers to be delighted with TVS. We don't put any #1, #2 like that. I always believe that we have to be a prominent player. We have a lot of respect for our competitors, And the customer should get the best. That is the vision of TVS.

Moderator: The next question is from the line of Binay from Morgan Stanley.

Binay: Congratulations team for another strong quarter. My first question is on the PLI incentive. Last quarter, we had talked about that we will start to get the 3 -wheeler PLI also. So could you tell us where is the status? How much was PLI incentive for this quarter?

K. N. Radhakrishnan: PLI, we have started getting for all the products, I think it is in line with whatever the government sanctions are.

Binay: Sir, would it have gone to like INR 60 crores, INR 70 crores or so this quarter. The last quarter was around INR 50 crores for us.

K. N. Radhakrishnan: It will be more. It will be more. Even last quarter, it was more.

Binay: Because last quarter, you had said it was 0.5%? TVS~

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K. N. Radhakrishnan: Same. Same, 0.5%. Can be 0.6%. It will be around that.

Binay: Of the EV revenues, right?

K. N. Radhakrishnan: Yes of the EV revenues. Sorry, of the total revenue.

Binay: So it's again this quarter also, it's 0.5% of the total revenue.

And sir, secondly, when you look at stand-alone minus consolidated, we've seen that the loss number has dropped. It was around INR 168 crores last quarter. This quarter, it has come down to INR110 crores. Any -- apart from TVS Credit, any commentary you would have on the other subsidiaries?

K. N. Radhakrishnan: Subsidiaries have started managing well, So when we started looking at -- you would have seen the overall turnover is 14,000 plus and subsidiaries have started managing well, but it will take time. Many of the subsidiaries will take time to perform. Of course, PT TVS is doing well. TVS

Credit Services has been extremely well. TVS Motor has been doing extremely well. So overall, I think

you will see -- and with the product launches from Norton next year, definitely, that is also going to help.

Binay: Right, sir. Sir, just lastly, the investment number that we talked about last time, shall we -- is it the same INR 2,000 crores investment this year, INR1,600 crores.

K. N. Radhakrishnan: It will be similar. Will be similar.

Moderator: The next question is from the line of Kapil Singh from Nomura.

Kapil Singh: Congratulations on a strong performance. On the GST 1 question I had on the electric vehicles. Now what that also does is reduces the gap sorry, increases the gap between ICE and EVs, right? So is there -- like what is your observation regarding EV demand after the GST cut or your thoughts if you have any?

K. N. Radhakrishnan: See, post GST, it is too early to make any comment on the EV demand because the EV demand continues to grow. On top of it, we have some constraints because of the magnet availability. So possibly, if the magnets were available, I am very sure industry would have done much, much bigger. It saw only 8% growth.

But so I can't really make a comment on that. And from the profile of the customer who we are saying, I think in the last 3 years, I think customers have started understanding overall EV, they are able to understand the TCO. So to me, they have understood fully that some of the customers would prefer EV, they will continue to prefer EV, So I don't think there is going to be a huge change in the thinking and penetration slowly and steadily will grow for EV.

Kapil Singh: Okay, sir. And sir, a question I had on the cost side as well. If you could help us understand on the commodity cost, what was the cost pressure in Q2 and how you are seeing Q3? And similarly, for pricing side as well, both Q2 and Q3, what was the movement? TVS~
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K. N. Radhakrishnan: Q2 -- just a minute. Q2, the commodity increase was about 0.6%. And many of the areas we have taken up price increases almost similar to that extent. And in Q3, we are expecting some increases may not be to the level of 0.6% what you have seen in Q2.

Kapil Singh: Okay. And sir, on the EV side, can you let us know what is your EV revenue? And I just want to clarify that entire EV revenue is eligible and you are accruing PLI for that?

K. N. Radhakrishnan: Most of the revenue we are eligible for PLI, INR 1,269 crores is for EV.

Kapil Singh: Okay. So we are accruing 13% of that?

K. N. Radhakrishnan: I told you INR 1,269 and we are eligible for whatever government sanctioned that PLI we are eligible.

Kapil Singh: Yes. Because it adds up to much more than 0.6%. So I just was trying to understand why is there a difference?

K. N. Radhakrishnan: Sure. You should also look at the turnover, the supplier -related component you have to remove. You cannot just take the revenue and then put a percentage on that.

Moderator: The next question is from the line of Gunjan Prithyani from Bank of America.

Gunjan Prithyani: Just a couple of follow -ups. On the EV business, can you just share some thoughts on where we are on the profitability. Now I know you've been mentioning this is still at the very early stages and product introductions have been made. But if you can just talk us through on where we are on cost curve and how do you see the margin for the business panning out?

K. N. Radhakrishnan: Our margins are positive, I told you last time. We look at investment and this is something like a new technology, new product. And overall, we look at how the EBITDA of the company is moving. So you have seen that 11.7% becoming 12.7%. And as you see, our proportion of EV revenue is also growing.

And that is what we always focus on, And I'm very sure, going forward, more and more the gross margin will go up, We look at in totality, the portfolio contribution. We look at totality the EBITDA of the company. In pr

inciple, a new country when we enter you look at overall, are we gaining total volume because we have to invest somewhere and the results will come maybe a couple of years later, 2 years later, 3 years later.

So EV is going through that journey, but we are extremely happy on the EV journey so far because both 2 -wheelers are doing well. 3 -wheelers, we have now come to about 11% market share in EV 3 -wheelers and it will grow further. And all of you know that now 30% of the L5 category 3 -wheelers are already EV. And in that, we are gaining market share month after month.

So it's a great story and a journey.

Gunjan Prithyani: Sir, when you say positive margin, you mean that at the contribution margin level? Or is it at the EBITDA margin with PLI, we are positive?

K. N. Radhakrishnan: Contribution. TVS~
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Gunjan Prithyani: So EBITDA, we are still away because business is at a lower trade of volumes right now. Is that a fair assessment?

K. N. Radhakrishnan: If you look at the portfolio, we invest for today for tomorrow, please remember that. And we look at overall, as I said, this is one of the best quarters where we have done INR 11,900 crores and EBITDA is 12.7%. This is also the highest.

Gunjan Prithyani: Okay. And sir, just on the investment book, one, what you've invested in this quarter, INR 550 crores. Can you give us information on where -- what subsidiaries? And Norton, you brought up in your initial comments that now the products are going to be unveiled. Can you also talk about the plans for India? Is that something in the next 2 years, 3 years framework, we should start to think more seriously about making Norton product introduction and some strategy around that?

K. N. Radhakrishnan: See, predominantly, the investments are towards Norton e-bikes and also setting up the Dubai office. Because Dubai office, we want to take international to the next level. We felt that it is very, very strategic to have the team there. Many of the understanding of the deep understanding of the customers, it is very important that we are closer to the market.

So that is the reason we have put about INR 550 crores during this quarter. This is the breakup.

Now coming to Norton, products are getting ready. I think I don't know whether you are visiting Milan. Next week, we are unveiling some of the products there, You can enjoy those products, and I'm very sure the SOP and the launch is going to happen sometime last quarter of this year or early first quarter of next year.

And you will see these products in India. And I'm very sure this is going to really delight the super premium customers globally. Closer to the launch, I think we will be able to give you the strategy, what kind of products and which segments and how we are looking at what is our marketing strategy going forward.

Gunjan Prithyani: Okay. Sir, best wishes Norton launches. Last 1 question on the channel stock, is there -- is that something which is running low because you just had the surge of demand coming through in a month's time. Is that something that you sense that there is a mismatch between the kind of variance that the customer is looking at and what we've been able to supply in a short duration?

K. N. Radhakrishnan: Except for EV, I don't think there is any shortage. In EV, unfortunately, whatever we could get the magnets and whatever methodology we could get it, that is the only thing. Otherwise, we are keeping between always -- we always believe whether the season, non season, we always believe in about 25 days of stock in the market, Of course, for TVS products, the demand is very, very high.

So we are also increasing the capacity, and we will be able to deliver that. So overall, I don't think there is gap in availability. Maybe a few products in few markets because customers love it. These things happen. But EV, I agree there

has been a shortage of production and supplies into the market, primarily because of availability of the magnets.

Moderator: The next question is from the line of Vipul Agrawal from HSBC. TVS~

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Vipul Agrawal: My first question is on the 3-wheeler network penetration, like how is the network placed at this point in time? And what are your targets for next couple of years?

K. N. Radhakrishnan: 3-wheeler, I'm very happy. We have almost doubled our market share. I know we are very small, very, very small in India, but our focus is going to be in totality coming up with the products. And like I said, EV, we want to be a very prominent player like iQube, and our product is very well accepted in the market. And we are focusing on network, including branches, and we are now increasing the network. We have added almost -- in this year, we have added almost 100 touch points in 3-wheelers. And we very carefully look at the customer service. We look at TVS, focused on customer service is a very, very important factor for TVS. And we also look at the viability of the network.

So we have been steadily increasing, and we are extremely happy that the inflow for the network has been also going very well for TVS, in 3-wheelers side.

Vipul Agrawal: Sir, another question is on 2-wheeler penetration. Like how -- what is the trend if you were to take the last couple of years and now, like how is it panning out in rural versus urban like -- initially, it was an urban phenomena. Now we are seeing incremental penetration happening in rural as well. So how it has evolved over the last 1, 2 years? And how do you see the maximum growth will come from now? Like would it be Tier 2 cities or Tier 1 cities or maybe rural in EVs?

K. N. Radhakrishnan: See, rural will do well. And I'm very sure this GST reforms is going to help rural and the connectivity -- the road connectivity infrastructure investments in India has been brilliant. So I'm pretty confident that -- and I always believe that mobility needs in India with a lot of self-employed people, 2-wheeler is the best mobility solution. And rural is the most important driver. And if I look at proportion 50-50, rural is 50, urban is 50. And it could change some years, it is 51-49, some years it is 52-48 something like that. But overall, I'm very confident that rural will

start growing in line with urban. When I put 8% Q3 and Q4, I'm pretty confident that you will see the change in rural going forward.

Vipul Agrawal: Maybe if you can give us color on EVs, like how are you seeing EV penetration happening in rural versus urban in last month?

K. N. Radhakrishnan: EV just started. Rural also just started. Earlier, everybody focused on urban, mainly the availability dealerships were there in the urban. Slowly, now it is getting into rural. Again, the network will get first and then people will start buying that. So predominantly now, let's say, last quarter was about 7.8% EV penetration, correct? I would say that predominant of that is urban. But going forward, you will see this slowly moving into rural.

Moderator: The next question is from the line of Mumuksh Mandlesha from Anand Rath Institute Equities.

Mumuksh Mandlesha: Sir, I want to understand how we see the impact of GST change on the moped segment and also on the overall 3-wheeler industry, including the ICE and EV? TVS~

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K. N. Radhakrishnan: See, GST definitely is going to help everybody, every segment. On the entry-level segment, approximately, they get about INR 7,000 saving. INR 7,000 saving for a moped customer or an entry-level motorcycle customer is going to definitely make them attractive. So I'm of the view that with a very good retail financing, this is one of the reasons I'm saying that rural will also start improv-

ing going forward. And similarly, you will see in 3-wheeler as well. So overall GST, this rationalization is going to help the industry.

Mumuksh Mandlesha: Got it, sir. And also, sir, are you seeing any change in the first-time buyers? Are there more demand from the first-time buyers?

K. N. Radhakrishnan: We have to closely watch possibly in the next 3 months, we will be able to do the assessment post GST because it's just 30 days and on that, you had Diwali season. So we can't really segregate the data. I think you have to give a little bit time. But if you ask me, the mobility needs will go up, The TCO factor will play in the minds of the customer.

Mumuksh Mandlesha: Got it. Just lastly, sir, how much was the currency benefit in the Q2 quarter? And what was the average INR realization?

K. N. Radhakrishnan: I think it's about Q2 has been INR 86.4. No change between Q1 and Q2. Q1 is also about INR 86.4. Can we take one last question, please?

Moderator: The next question is from the line of Raghunandhan N. L. from Nuvama Research.

Raghunandhan N. L.: Congratulations, sir and festive greetings. First question was on premiumization. For our flagship model Jupiter. If you can give us some sense on premiumization because your 125cc model has been doing very well based on channel checks. Within Jupiter, what would be the share of 125cc model? Would it be over 30%?

K. N. Radhakrishnan: First, we want the Jupiter brand. I'm extremely happy for the brand as a Jupiter, this is a very good scooter, which TVS has launched into the market. And thanks to all customers of Jupiter. Earlier Jupiter, Jupiter 125, the current Jupiter 110 and current Jupiter 125. So overall, it has done well. And Jupiter 125 is also doing extremely well in the market.

Currently about close to 35%, 36% of our current is 125 Jupiter, But I look at it in totality, Raghunandhan. I look at it in totality because as long as overall Jupiter goes up, because customers will decide looking at Jupiter 110 and 125, of course, Jupiter 125 gives extra power. We have to look at it in totality this scooter. I think overall, it's a great story, and we are extremely happy and thankful to every customer of Jupiter.

Raghunandhan N. L.: And one follow-up. You indicated that in future, the tailwind of pay commission will also be positive for industry. Roughly, what would be the share of government employees in 2-wheeler industry sales?

K. N. Radhakrishnan: It may be small. I don't have the exact data, but these are all positive -- we have many, many factors which are positive, like you said, tailwind. Any tailwind is going to help the speed of the industry. So I'm very positive. This positive sentiment will take it to next level of growth. And

I'm a firm believer that 2-wheeler is one industry where CAGR will be healthy going forward. TVS~

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Raghunandhan N. L.: Got it, sir. Just a last question. What would be the time line of listing of the TVS preference shares that was awarded to shareholders?

K. Gopala Desikan: It is in the very final stage. SEBI approval is expected. There are no queries and nothing of the sort, more of procedural issues, it should get done.

Raghunandhan N. L.: So within the next 3 months?

K. Gopala Desikan: No, that should not take so much time.

K. N. Radhakrishnan: Once again, festive season greetings to all of you, your family members. You would have seen our growth in top line, thanks to all our customers globally. And we will continue to keep up the same momentum of growth going forward with our products and the brands like Apache, Jupiter, Jupiter 125, iQube, Orbiter, Raider, Ntorq and HLX series, Ronin, Radeon, TVS King, King Kargo and so on and the new products, whatever we have launched recently, we will always invest behind customers best -in-class quality, and we want to really invest in new technology,

new products, attractive quality must be quality for the future.

We will continue to leverage our scale benefits. We'll continue to grow ahead of the industry, and I'm very sure with premiumization, scale benefit, material cost reduction, will continue to grow in EBITDA going forward and delight all of our customers and investors. Thank you.

Thank you very much.

Moderator: Thank you, on behalf of B&K Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. TVS~

Call: Feb 2026

Website: www.tvsmotor.com Email: contactus@tvsmotor.com CIN: L35921TN1992PLC022845

3rd February 2026

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Scrip code: 532343 National Stock Exchange of India Ltd.,

Exchange Plaza, 5th Floor,

Bandra -Kurla Complex,

Bandra (E), Mumbai 400 051

Scrip code: TVSMOTOR

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ar Sir(s)/ Madam,

Reg : Compliance under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

In

continuation to our intimations dated 13th January 2026 and 28th January 2026 with respect to the schedule of a conference call with M/s. Batlivala & Karani Securities India Pvt Ltd ('B & K') post results for the quarter ended 31st December 2025 and intimation on the audio recording, respectively, we wish to inform that the transcript of the said recording is enclosed and the same has been hosted on the website of the Company and is available at:

<https://www.tvsmotor.com/en/Investors/Communication>

We

also enclose the said transcript for your reference.

Kindly acknowledge the receipt.

Thanking you,

Yours faithfully ,

For TVS MOTOR COMPANY LIMITED

K S Srinivasan

Company Secretary

Encl.:a/a TVS MOTOR COMPANY TVS~

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"TVS Motor Company Limited

Q3 FY '26 Post Results Earnings Conference Call"

January 28, 2026

MANAGEMENT : M R. K N RADHAKRISHNAN – DIRECTOR AND CHIEF
EXECUTIVE OFFICER – TVS MOTOR COMPANY
LIMITED

MR. K. GOPALA DESIKAN – CHIEF FINANCIAL
OFFICER – TVS MOTOR COMPANY LIMITED

MODERATOR : M R. ANNAMALAI JAYARAJ – B&K SECURITIES

TVS~

TVS~ B&K

TVS Motors Limited

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Moderator: Ladies and gentlemen, good day, and welcome to TVS Motor Company Limited 3Q FY '26 Post Results Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj. Thank you, and over to you, sir.

Annamalai Jayaraj: Thank you, Mark. Good afternoon, all the participants. On behalf of B&K Securities, welcome to 3Q FY '26 Post Results Conference Call of TVS Motor Company Limited. I also take this opportunity to welcome the management team of TVS Motor Company Limited. We have here with us today Mr. K. N. Radhakrishnan, Director and Chief Executive Officer; Mr. K. Gopala Desikan, Chief Financial Officer and congratulations on good results, sir.

I will now invite Mr. K. N. Radhakrishnan for the opening remarks to be followed by question and answer session. Over to you, sir.

K. N. Radhakrishnan : Good evening, good evening, everyone, and thank you for joining us today. Wish you all a very happy New Year and season greetings to all of you and your family members. I'm glad to share that this quarter also, we continue to achieve new highs, delivering our highest ever quarterly sales, revenue and profits.

During this quarter, company sales volume grew by 27%, revenue grew by 37%, operating EBITDA grew by 51% and operating PBT grew by 56%. Let me get into more details about the third quarter of this financial year . Overall operating revenue grew by 27% and the revenue is at INR12,476 crores as against INR 9,097 crores during the third quarter of last year.

Two-wheeler domestic ICE sales grew by 21% compared to Q3 of last year as against an industry growth of 16%. International market, company sales grew by 35% over last year as against an industry growth

of 23%. Total 2- wheeler ICE sales grew by 25% compared to Q3 of last year and an industry growth of 17%. EV 2-wheeler sales grew by 40%, and it has crossed 1 lakh this year, 1,06,000 units as against 76,000 units during Q3 of last year.

Total sales of 3 -wheeler is more than doubled to 60,000 units as against 29,000 units during last year third quarter. On profits during this quarter, company's operating EBITDA grew by 51%, and it is at INR 1,634 crores as against EBITDA of INR 1,081 crores during Q3 of last year. The company's operating EBITDA margin improved by 120 basis points at 13.1% as against 11.9% during Q3 of last year.

All of you know that during last year, the entire year PLI benefits of FY 24- 25 was recognized in Q4. On a normalized basis, Q3 FY '25 EBITDA would have been at 12.4%, which means on a year -on-year basis, a margin improvement of 70 basis points and a quarter -on-quarter basis, 40 basis points.

The company registered a PBT before exceptional items of INR 1,315 crores, recording a growth of 57% during this quarter as against INR 837 crores. During this quarter, company recognized TVS-

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INR41 crores as an exceptional item towards the past service cost arising from the new labor codes. Profit after tax for the quarter is INR 940 crores as against last year's INR 618 crores. Now when we look at the first 9 months up to December, the first 9 months of the year, company's operating revenue grew by 29%, and it is at INR 34,463 crores as against INR 26,701 crores during last year first 9 months. PBT before exceptional items for the first 9 months is at INR3,594 crores as against last year's INR 2,517 crores, a growth of 43%. Profit after tax for the first 9 months period is INR 2,625 crores as against last year's INR 1,858 crores. So overall, very good growth in the first 9 months this year.

On TVS credit, TVS Credit continued to witness excellent growth in disbursement. The post GST 2.0 implementation, there is a positive sentiment and the market is doing well. The low inflation drove demand across product categories, leading to increased sales, deeper market penetration and enhanced market share. We also saw a successful festive season with robust demand. During this period, company maintained its focus on risk calibrated growth across product categories, building a diversified book.

TVS Credit continued to drive penetration of existing products, expand product offerings, scale up distribution while enhancing customer experience and operational efficiency. First 9 months, TVS Credit disbursed loans of over 41 lakh new customers, bringing its total customer base to nearly 2.3 crores. The book size is INR 29,678 crores, grew by 9% over last year Q3. TVS Credit PBT before exceptional items for the quarter grew by 21% and is at INR 390 crores as against last year's INR 321 crores.

On Norton, we are building the lineup, which was unveiled in EICMA 2025. I'm very sure you would have had an opportunity to see many of these products. The new Manx and Atlas families position the TVS ecosystem firmly in the premium , in the high -emotion luxury motorcycle segment. And it's definitely going to create for the super premium category of our affluent global

customers who value craftsmanship, exclusivity and engineering pedigree, a real, real special super premium kind of an experience.

We are gearing up launch of new Norton products in the Indian markets as well. We will have a differentiated strategy for Norton, we will give more details closer to the launch. On Q4 outlook, I think all of us know that we saw very good growth. In Q3, we saw post GST reduction, industry grew by 20%. Rural grew by almost 19% and urban by about 21%. The GDP growth for this financial year is also estimated about 7%. This robust performance not only reinforces the underlying strength derived from the domestic

market, but also positions India as world's fastest -growing major economy against many challenges in the global landscape. As I told you, this year, the rainfall has been good and the higher reservoir levels are also going to augur increased rabi sowing, and this should definitely support the rural sentiments.

And as you know that the monetary policy measures implemented by RBI, including the total repo rate reduction by 125 basis points in this year is expected to improve the liquidity and credit environment. GST reduction definitely is going to support what we have seen in Q3. So we are TVS~

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expecting Q4 also to be doing extremely well for the industry. On EV, the VAHAN for the first 9 months, the industry grew by 14%. And all of you know that we had some challenges on the magnets availability.

But now it is better. The availability has become better. And the Q3, the VAHAN EV industry grew by 7.5% over last year Q3. EV penetration is slightly lower now, but it is going to improve going forward. We have seen very good growth for TVS in Q3. And we are expecting with our products like iQube doing well and also TVS Orbiter, it is likely to do well. Commercial vehicle mobility, the TVS King EV and the King Kargo HD EV, very good response in the market, and we are able to also grow here.

The VAHAN market share has gone up in EV L5 category. So this is going to help us. So overall, I think you will see EV penetration going up in 2-wheeler and 3 -wheeler anyway, it has almost come to now 32% in this quarter. So that will go up.

On international market, the market is doing well. Q3, we have seen exports from India growing by 23%. And the demand in Africa continues to grow on a quarter -on-quarter basis. LatAm also has grown over last year, and this growth momentum in Africa and LatAm will continue. As you know, Asia region is also doing well, thanks to Sri Lanka coming back in a big way. Nepal continues to do well, Europe continued to have challenges. It is not growing.

It may take a few more quarters for the performance to improve. And overall, TVS already I highlighted that we have grown ahead of the industry. And we are very confident that this momentum will continue both on the industry side, and we will likely to do better than the industry growth in Q4.

So overall, if you look at -- thanks to GST, the momentum in India is good. Industry will have a very good growth, And like Q3, you can expect good growth in Q4 as well. International markets are doing well, and it will continue to do well in Q4. And thanks to our good portfolio of products and our focus on consumers, quality, new products and very clear attractive quality and technology with features, we are confident that we will do better than the industry growth, both in domestic and international markets.

And you have seen the highest EBITDA for the company. With top line growth, we will leverage the scale benefits. We will look at more premiumization and better product mix. Our sustained effort on cost reduction will also enable us to continue, and we are confident that EBITDA will continue to grow going forward. Thank you.

Moderator: Thank you very much. The first question is from the line of Chandramouli from Goldman Sachs. Please go ahead.

Chandramouli: My first question is just around the industry outlook that you provided. I think in the December quarter, we've seen 20% growth for the industry. Jan to date also on the VAHAN retail portal seems to be around the mid -to high teens. I think at the previous earnings call at the end of 1H , you had indicated you expect sort of this 8% to 10% volume growth for the industry in the medium term, back half and medium term. TVS~

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Just want to understand if there's some upside risk to that in your view over the medium term, if you

u see upside risk to this 8% to 10% kind of growth bracket for the 2-wheeler industry?

K. N. Radhakrishnan : Definitely, the GST is playing, and all of us should know that it is not only in 2-wheeler. There is a good basket of products wherein the consumers have got the benefit of GST. So it's all playing out. I'm pretty confident that Q4 also, you will see anything upwards of 15%, you can see in Q4, which is according to me, one of the best growth what we have seen. So we are very positive about the Q4 growth.

So year as a whole, if you look at it, because you know the first half has not been so great. It was only 2% growth. And year as a whole, you will see somewhere around 9% growth. But exit is excellent. So that is going to help us the 2-wheeler industry this year.

Chandramouli: Got it. That's helpful. My second question is just around commodity inflation. So just trying to understand, we've seen inflation in the precious metals, a little bit on copper, aluminum as well and now there seems to be a reintroduction of the safeguard duties on steel. In the past, TVS has passed on some of the commodity inflation with judicious price hikes.

Just want to understand what are the offsets available to the company to manage the commodity inflation? And have we taken any price hikes in the December quarter as well as the March quarter to date?

K. N. Radhakrishnan : You are right. I think there are increases in aluminum, copper, zinc, platinum, palladium, rhodium, I think that you will see in this quarter. And we always look at a combination of -- with our top line growing. The strength of the company has been when the volume is growing, we are able to get the scale benefits. And we are also able to drive our cost down program. And we have been very prudent.

We keep looking at price increases. And if you look at recently, we have taken up about 0.2, 0.3 percentage price increases. So this is a kind of a constant journey because we definitely want our growth momentum to continue, but we want to mitigate the journey with a combination of scale plus cost reduction plus product mix has definitely helped us and some appropriate price increases. So this will be the strategy even in this quarter.

Chandramouli: Got it. That's helpful. And just lastly, housekeeping question, if you could share the international business revenues and the spare parts revenues, please?

K. N. Radhakrishnan : IB overall revenue for this quarter is about INR 2,909 crores and spare parts all put together about INR 1,183 crores.

Moderator: The next question is from the line of Pramod Kumar from UBS Securities.

Pramod Kumar: My first question pertains to the breakdown of the industry growth. If you can just help us understand what are the categories across both urban and rural you are seeing volume growth being driven from? Because when you look at the VAHAN data, predominantly suggests that players with skew towards premium portfolio and scooters are doing well. TVS~

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If you can just help us understand how the broader categories are doing on the ground? And within that, in rural, are you seeing better traction for premium and scooters after the GST cut as a household have better savings in their hand or better disposable income in their hand? Are they buying better or gravitating towards scooters? And any other qualitative color which you want to share on the consumer behavior?

K. N. Radhakrishnan : Scooters have really done well. While the industry has done well, I think one category which has done extremely well is scooter. You remember, I always believe that scooters with ICE Plus, we should always add the EV. We are close to a 40% category share of overall 2-wheeler industry. This is exactly what I used to say in the meeting that scooters will grow faster than the industry, and that is exactly what is happening in the industry today.

Other

important thing we should look at the premium and the super-premium is growing faster, okay? The executive category of motorcycle is also growing. I think what is happening is the entry-level segment is not growing as much. So -- but if you look at urban, rural, urban is about 21% and 19% rural. So rural is also doing well. I don't think we can't say that rural is not doing well, but urban is slightly ahead.

Pramod Kumar: And within rural, are you seeing traction for scooters and premium getting better, sir, after the GST cut?

K. N. Radhakrishnan : See, overall scooter has to do well and the premium and the super premium has to do well. Definitely, in the rural also, scooters are doing well. And thanks to the infrastructure, especially roads and road connectivity in many of the rural markets, I think this is definitely helping the scooters and the premium and super premium to grow. And of course, the support of retail financing.

Pramod Kumar: Okay. And another thing is related to your own supplies because we did hear about massive shortages during the festive. Even today, if you do channel checks, you get a feedback that there are some short supplies on scooters and new launches. If you can just help us understand where are we on the capacity side?

What are the plans we have for improving capacity and improved availability of your products so that there is no impact on the retail market share side? Just help us understand what are your plans to ramp up the supplies from where we are today?

K. N. Radhakrishnan : See, one thing, thanks to all the customers, our products are in very good demand in the market, thanks to our customers. And also recently launched products are also in good demand. End of December maintenance of f plus a few holidays in January, there is a little bit of challenge because end of December, there are company holidays on maintenance of f, which is very important for the factory.

And then you have the New Year Day and then Pongal and these are some challenging times where there are some requirements of company holidays. Barring that, there are no challenges.

And for taking capacity increases, it takes about 2 months to 3 months. And fortunately, we have been very proactive in investing behind that. And we always believe that the dealer should keep only 21 to 30- day stock because we want products to be fresh to the customer. TVS~

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There may be a few dealers where they have to plan a little bit better, but we are fully taking care of the supplies for the market, and we will continue to do that. Of course, in the EV side, we had a setup setback because of the magnet availability. We t ried our level best. Now it is recovering. I can tell you that it is recovering.

And hopefully, by another month, you will see full supplies of EV also into the market. So overall, I think we have been at it in terms of both managing the capacity, delivery. And thanks

to the kind of growth in the market. I think it's a balanced journey.

Pramod Kumar: Sir, any thoughts on the export market, sir , final question?

K. N. Radhakrishnan : Export is also doing well. You have seen -- and we are expecting Q4 also should do well. Like

I said last time, Africa, the last year had a bad year, but industry has done. It has come back well,

and we are growing ahead of the industry. And I'm very sure Q4 also, you will see this kind of

an industry growth, and we will outperform the industry because many markets, we are doing extremely well, and we will continue to do the same kind of focus in Q4.

Moderator: The next question is from the line of Binay Singh from Morgan Stanley.

Binay Singh: Congratulations for a very good quarter. If you look at other expenses in the previous quarter, we talked about 3 one -offs in other expenses. But in this quarter also, the other expenses growth seems to be ahead of volumes. So any on

e -off or anything you w ould like to call out in that?

K. N. Radhakrishnan : See, the other expenses, most of them are related to the variable expenses related to packing,

freight due to the volume growth. The only one of the things a little bit higher this year in this

quarter is marketing expenses because you know the number of products we launched, We had about INR60 crores of additional expenses because of that.

Otherwise, if you look at the other expenses, one is packing freight in line with that. Then marketing, I already told you. And new technologies, R&D, we always -- we put our

investments, And this quarter, we have the maintenance, the annual maintenance. S o we spent

about INR15 crores, which is as per plan. So overall, there is nothing unique other than the

launch -related marketing expenses.

Binay Singh: Right, right. And sir, secondly, on the commodity side, we've seen commodity up cycles in the

past also. But this time, it's coming after the GST cut where prices dropped. Do you think it will

be easier for OEMs to pass on commodity as price increases in this cycle as the prices dropped

quite sharply and customer appetite or affordability is better?

K. N. Radhakrishnan : I think it is a balanced journey. I think definitely, I think when we fully passed on the GST

benefits to the customer, that has helped for us to also grow and the industry also to grow. So it

is not easy to just increase prices. I think as a responsible company, we want to give better value

to our customers. We look at -- that's why we invest behind variants, new technology, new

attractive features.

Otherwise, you cannot hold on to the demand higher than whatever you have done. So this is a very, very balanced journey.

And we have to also understand that when you give better value to TVS~

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the customer, they will like to buy the vehicle. So we have to look at whenever the material cost goes up, we have to have a balanced effect.

And that's why when you grow the top line, you can get the scale benefit and premiumization. I think company has been always focusing on the premiumization. So better mix you are able to focus. And scooters doing well is also -- is another important strate gy. So we are very focused

on not increasing prices.

We want to give better value to the customer and wherever there is opportunity, we want to take a little bit price increase.

Binay Singh: But sir, just lastly, precious metals have been the one which has seen the most inflation. Any number you would want to share as percentage of sales, how big that is? Or how do you see that because we've seen very sharp increase in platinum, palladium and all?

K. N. Radhakrishnan : See, overall, we have to look at it because when the customer looks at it, they want to look at as a product. So there has been increases in aluminum, copper, zinc, everywhere. So platinum, palladium, rhodium and with BS -VI, the contents are a little higher in these products. So I think as a total, we look at what is the impact? and impact, maybe about 0.2%, 0.3%. I don't think it is huge.

So that's why I said how do we make sure that we are able to increase the customer demand? How are we able to look at growing the top line? How are we able to look at the mix, okay? And that should be the focus according to me. And we can also look at a small passing on to the market in terms of pricing is appropriate kind of thing. So that -- this is the combination of strategies we use.

Binay Singh: Right, right. So sir, in that sense, the 0.2% price hike you've taken and the 0.2%, 0.3% increase that you're talking about in commodities in a way, the equation looks balanced in that sense, right? That is a fair way to conclude.

K. N. Radhakrishnan : Yes. Maybe see material cost increases also when scale is done, that also supports the suppliers. When they have better scale on the same

platform. That's why I always believe that top line growth has to be very, very robust. And if you can also look at same platform, then the suppliers

will get huge benefits. So, it's a kind of win-win for everybody.

Moderator: The next question is from the line of Gunjan from BoA.

Gunjan: I just wanted to go back to your comments on the industry -- domestic industry growth. Clearly, a lot of confidence on Q4 and you mentioned shortages in the market as well. But if I were to just think of fiscal '27, any thoughts you would like to share that do you expect this sort of momentum to continue going into fiscal '27? Is it fair to say that we can have another 8%, 9% sort of growth here in fiscal '27 as well?

The reason I ask this is because we're not seeing this sort of demand recovery in some of the other sectors. So is auto just about 2 quarter pent-up demand and it starts to come off? I mean any thoughts from your side will help us think better about the cycle? TVS~

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K. N. Radhakrishnan : Gunjan, I will answer in 2 steps, okay? First, I never said there is shortage for products of TVS in the market. I said there were challenges in EV, iQube and now recently launched Orbiter primarily because of the magnet availability. Now that is also easing out. So from a capacity point of view, we are also taking proactive action. So that is the first point, okay?

It is Pramod who asked there is a shortage in the market. I think it is for the dealers to plan, and we are here to support them with the products on time. Now coming to the growth rate, I'm very confident that Q4 also, you will see the benefit because GST got implemented, I think, third week of September or fourth week of September. So you will see the first half of next year is also going to be very good because the benefits will come into the industry.

Second, I want to give a little bit of long-term answer. With the kind of infrastructure getting built in India with the road connectivity, rural, urban, semi-urban getting better and better connectivity. And please understand the mobility needs and given the challenges on the public transport system and I always say that the self-employed is a good proportion in India, given that the best segment is 2-wheelers because customers can afford it, customers can definitely use that for mobility as well as the 50% of self-income group.

So overall, I'm a firm believer that 8% to 9% as a CAGR, you can look at on a long-term basis, okay? So second half of next year also, I'm very sure. If not like first half, you will see many of these things getting implemented in India. Overall, the GDP is likely to grow. So with that, I think you will see a robust growth in the 2-wheeler even '27. I don't want to give some projections as of now. But overall, this is my preliminary thinking.

Gunjan: Got it. No, that's helpful, sir. Sir, the second question that I had was again on Norton. Congratulations on the unveil of the product. Just wanted to hear your thoughts on how do we now think about the investments in the business because my understanding, we've also invested almost INR900 crores in subsidiaries in this quarter.

So if you can give us some color on how do we see the investments going forward? And how soon we sort of also start to see the losses come off? So some color on Norton investments and the breaking even or whatever loss reduction in the subsidiaries.

K. N. Radhakrishnan : See, Norton, I'm extremely happy the products are getting ready, okay? We are now preparing for -- I'm very sure all of you, whoever has visited Milan show, you would have seen the

products. And these products are going to hit the market in 2026 this year. You will see the growth coming, and they are super premium, and it is going to definitely delight the customers globally. So once we have a very clear plan of action to go to the ma

rket, we will definitely share with you. But -- this is a very, very important year from the Norton point of view. Now coming to investments in Norton, the first year, we have to put the products and we have to support it with marketing because we want to build the brand in a very, very strong way. We will definitely invest behind the right areas on technology and marketing, okay?

Now coming back to the second question on INR 900 crores, the delta this quarter has been TVS Credit Services, we have invested about INR200 crores. And for the prelaunch or pre-marketing TVS~
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of Norton, we have given another INR60 crores, INR 70 crores additional during last quarter, including the EICMA show, okay, EICMA Milan show. So I think these are all very measured delta and also the ION PT TVS project, we have invested about close to INR 100 crores. So investments are in the right direction, in the right products. And TVS Credit Services, you know the kind of book size we are growing and the profit it is generating. So we will look at the investments most appropriately based on where the strategic focus is there for the company.

Gunjan: And sorry, sir, just a clarification, you mentioned INR 60 crores incrementally Norton, but the total -- like I'm just trying to get the breakup of this INR 900 crores.

K. N. Radhakrishnan : This will come to this quarter. Last quarter is what I said.

Gunjan: Okay. So incrementally INR 60 crores more in Norton and INR 200 crores in TVS Credit is the incremental delta from last quarter. Is that the understanding?

K. N. Radhakrishnan : Correct. Correct.

Gunjan: Got it. Sir, last question, just very -- from a mix perspective, premiumization is something you said certainly helps us from a margin management cost mitigation. Scooters, the way it is growing, how do I think about the margin profile of scooters versus t he -- versus, let's say, bikes or mopeds? Any color you can give with scooters at parity? Is it premiumization within scooters that's helping? Just a quick one on that.

K. N. Radhakrishnan : See, we focus on the customer, and we focus on technology and features, And we want to look at overall portfolio. While I said, product mix is very important and premiumization is very important, and we are focusing on that, We have to look at the customer, customer segment and try to be leading many of these segments. So that has been our focus .

We always look at the total portfolio contribution, We don't look at segment -wise, okay?

Segment -wise is important, I agree. But we want overall top line to grow ahead of the industry.

We want to look at how we can increase our premium category share to go up. Also scooter category share how to go up. So we do interventions with respect to products, variants and making sure that they grow faster than the industry.

Moderator: The next question is from the line of Sonal Gupta from HSBC Mutual Fund.

Sonal Gupta: Sir, first question I had was on Mexico. Could you sort of tell us what's the impact of the new duties? How much were we paying currently? And what is our exposure to that market?

K. N. Radhakrishnan : So we see, first of all, we are now building Mexico, okay? As of now, while there are some impact on the duty, we are also looking at localization. So we are not seeing a serious impact at this point of time because the volumes are low, and we are also trying to like increase our local content. So possibly, it may take about a couple of months' time. So it is not going to put a huge impact on TVS Motor.

Sonal Gupta: Okay, sir. So I mean, currently, it's like, what, 10% of your volumes or something of export volumes? TVS~

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K. N. Radhakrishnan : No, no, no, much lower. Much, much lower, much, much lower. Very small.

Sonal Gupta: Got it, sir. Okay. That's helpful. Sir, t

he other thing was, could you tell us what was the EV 3-wheeler volumes for the quarter and the EV revenues overall for the quarter?

K. N. Radhakrishnan : EV revenue overall means you are including 2 -wheeler EV.

Sonal Gupta: Yes.

K. N. Radhakrishnan : Yes. 3 -wheeler volume, let me just -- just a minute. EV must be around I think you have to give me 1 minute.

Sonal Gupta: Sure sir.

K. N. Radhakrishnan : Around 8,500 to 9,000 , because every month it has been increasing. So around 8,500 numbers

in this quarter.

Sonal Gupta: Okay, sir. And revenues for EV?

K. N. Radhakrishnan : I'll get back because I have to check.

Sonal Gupta: Okay. Got it, sir. Just a related question was on like PLI, we've been previously indicating about a 50 bps benefit because of PLI. Would that have gone up in this quarter or it's still at those sort of levels?

K. N. Radhakrishnan : It has a little bit gone up. It is about 0.7%.

Sonal Gupta: Okay. And I mean, like given the -- I mean, like if I go back previously, I think almost 8% to 10% of our revenues are coming from EVs. And if we take a 13%, 14% sort of PLI benefit, then it should be almost like 1.3%, 1.4% of revenue, I mean, like 730 bps . So I mean, like -- so the gap, I understand to some extent, it is because of some of the suppliers who are getting those benefits and therefore, you're not accruing those. But still, is there a scope for increasing this? Or what is the gap here that we can sort of improve this quarter?

K. N. Radhakrishnan : First of all, thanks to government on the PLI. I think you have answer in your question itself. It's a combination of the company and some of the suppliers getting the benefit overall, okay? For us, it is about 0.7%.

K. Gopala Desikan : We have not lost any opportunity.

K. N. Radhakrishnan : And we have not missed any opportunity in securing the PLI benefits from the government, okay?

Number two, I think our endeavor is to focus on delighting the customer, whether it is iQube, whether it is TVS Orbiter or TVS King. And as you know, our numbers have been growing ahead of the industry growth.

So definitely, this is going to help us to improve the EV profitability going forward. So systematically, we always believe in customer and then top line growth. That will result in all

the growth of the bottom line. Same principle, what TVS Motor uses, even in EV, we use that. TVS~

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Sonal Gupta: Sure, sir. Sir, I was just trying to understand, so whole EV portfolio is now accruing PLI? Or is there some portion which is still I not accruing any PLI benefit?

K. N. Radhakrishnan : Yes. We are getting PLI for the...

Sonal Gupta: Orbiter as well?

K. N. Radhakrishnan : There are a few products where above certain price there, we are not eligible and the volume is also very small.

Moderator: The next question is from the line of Kumar Rakesh from BNP.

Kumar Rakesh: My first question was around the investment and capex plan for the year. At the start of the year, you had spoken about capex target of INR 1,600 crores and investments of INR 2,000 crores. In the first half, we had done capex of about INR 1,000 crores. And in 3 quarters, we have done investments of about INR2,000 crores. So are you looking at revising those targets that you had for this year?

K. N. Radhakrishnan : The capex will be around INR 1700 crores or slightly around that because we are also now looking at increasing some of the areas capacity given the kind of growth what we have seen, okay? And investments around INR 2,900 crores overall.

Kumar Rakesh: Got that. And...

K. N. Radhakrishnan : So far, we have invested...

Kumar Rakesh: So just a clarification earlier to Gunjan's question. You last quarter hadn't shared the Norton investment. So if you could just share what was the investment last quarter over which there is an incremental INR 50 crores, INR 60 cro

res?

K. N. Radhakrishnan : I think last quarter, it's about INR 240 crores and this quarter, about INR290 crores, Norton.

Kumar Rakesh: Perfect. My second question was around your commodity cost. You spoke about 0.2%, 0.3%. Is that the total commodity basket impact or only the precious metals, which we are talking about? And...

K. N. Radhakrishnan : Total may be about 0.4% at best.

Kumar Rakesh: Okay. And has all of that already been flowing through your material cost or there's something which is yet to come through? Because your production last quarter was lower than your wholesale. So some of the sales you would have done would be based on the earlier period?

K. N. Radhakrishnan : Some are in Q3, some are in Q4, some are in Q3, some are in Q4, okay? So this is where I said we want to look at very closely the top line and look at growing faster than the industry. So you will get the scale benefits. In some areas, we also increased prices. For example, early part of this quarter, we have taken about 0.3% price increase. So it's a balanced review, what we look at. TVS~

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Moderator: The next question is from the line of Kapil Singh from Nomura.

Kapil Singh: Congratulations on a very strong performance. My question is on the currency, what is the realization we've had for the quarter? Is there some hedging we are calling or we are realizing as per the spot rates?

K. Gopala Desikan: We have a hedging policy, and we strongly follow that. It's a very robust policy where we cover the net exposure over a period of time. And for the current quarter, I think the realization is around INR88.

Kapil Singh: Okay. So because rupee has been depreciating further, so as your hedges roll?

K. Gopala Desikan: Probably may get as per the policy, those benefits will accrue over a period of time. It's a policy where we cover the next few quarters. That's not a few quarters, a few weeks.

Kapil Singh: And we are able to hold...

K. Gopala Desikan: 12 weeks, I guess.

Kapil Singh: And we are able to hold on to...

K. N. Radhakrishnan : Yes, we are able to. Yes.

Kapil Singh: The question was on electric vehicles. So we launched the Orbiter. How has been the response and the customer profile difference between iQube and Orbiter, if you can give some color over there? And also on the EV profitability journey, where are you? When can -- at what volume level do you turn EBITDA breakeven, some color?

K. N. Radhakrishnan : See, first on Orbiter, this is -- you know the product differentiation. You know how it is priced.

So it is basically to give it to those set of customers who want a lesser range and they can look at this as a differentiated product, okay? It's too early to really come back actual usage and how it is performing.

But so far, whatever we have seen the markets where we have launched, we have not launched it in all India. The demand is excellent, and we are ramping up now. First, we'll cross that 10,000 numbers per month, okay? And the good news is iQube is also growing, Orbiter is also growing. So from the customer point of view, excellent reception for the -- both the products in the market. That's number one.

Overall, it is growing ahead of the industry, okay? And the -- on contribution, we are positive, and we are becoming better and better quarter after quarter because that is our focus. And like I said, overall, when we look at the EBITDA margin, I'm pretty confident that while the volumes are growing, I'm very confident that this EV will also become EBITDA positive, and it will also grow forward the overall PBT level.

So the focus is fully on the demand creation growing the market ahead of the industry, increasing the contribution very systematically, okay? Then we are pretty confident that it will also start. TVS~

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And overall, please

look at our EBITDA journey as a company. This quarter is the highest 13.1%, which means EV is also doing well, please understand.

Kapil Singh: Yes, sure, sir. Sir, can you give us the capacity numbers for overall and for EVs that we have currently?

K. N. Radhakrishnan : EV, we are producing about average 30,000 to 32,000 of iQube. And as of now, we are producing about -- they are coming closer to 10,000 of Orbiter.

Kapil Singh: And sir, any -- like any capacity number you have that you are planning to have for..

K. N. Radhakrishnan : We are reviewing that for next year. We are reviewing that for next year, and we are also investing. Possibly in the next call, I'll be able to give you the kind of increases we are looking at. But we are definitely investing in capacity because this is so mething which is growing.

Kapil Singh: Sure. And sir, just lastly, on the investments, we have increased the guidance to INR 2,900 crores from INR2,000 crores. Where is the additional investment going towards?

K. N. Radhakrishnan : Investments, one is on Norton. Another one is on TVS Credit Services.

K. N. Radhakrishnan : And we have also invested behind the ION project, which is part of the PT TVS. So -- and the e-bike business, okay? So overall, these are the areas. These are the areas we have done. And we have also -- you know strategically, we have invested in Dubai for international market.

I think all this we highlighted in the last 3 quarters, This is primarily -- for more focus in the international and growing the international market. So these are the areas where we have invested.

Moderator: The next question is from the line of Raghunandhan from Nuvama Research.

Raghunandhan: Congratulations again for a strong quarter once again. Sir, firstly, exports have witnessed a robust growth, more than 35% on a YTD basis. Within exports, how do you see the potential for

Jupiter model in the future? In FY '24, Jupiter used to be 60,000 units. How do you expect the ramp -up ahead?

K. N. Radhakrishnan : See, Jupiter is overall much ahead of the 60,000. If you look at Jupiter alone now, we are doing on an average -- you're asking international or domestic?

Raghunandhan: International sir, export market. I'm trying to understand how can be the potential in future?

K. N. Radhakrishnan : Yes, potential in future for markets like Asia, some markets in Middle East and some markets in Turkey, a few markets in Africa, very few markets in Africa, some markets in LatAm, also ASEAN. So I think Jupiter is a great brand. And what we are trying to look at is each of these markets, we are trying to leverage by marketing this product, it's advantageous. So it will grow.
This year also, it will grow.

Overall scooters will grow in international market. I may not be able to put a number to it. But fortunately, we have the product, we have the capacity to give it to the market. And Sri Lanka TVS~

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coming back in this category is a big, big advantage because Sri Lanka is a big scooter market, as you know. And Jupiter is one of the key players in Sri Lankan market.

Raghunandhan: Got it. And on the commodity side, would you also have hedges, sir, which can delay the impact of the recent commodity price increases?

K. N. Radhakrishnan : We closely monitor here because this is something we also take advice from hedging agencies, and we very closely work with those people. We are not hedging at this point of time. We take advice. That's what I said, okay? According to me, we have to closely monitor the situation and then work.

But what is most important is you have to improve the scale. Scale can help you to absorb, then you have to look at category by category, and we can look at what kind of overall value you can give to the customer. And that will give you an opportunity to look at some small price increases. I'm not saying fully you can

pass on, but you have to look at on a balanced way.

Raghunandhan: Got it, sir. So scale, price hike, product mix improvement, INR depreciation and vendor.

K. N. Radhakrishnan : See, scale and product mix gives a huge benefit to even the supply chain. Same platform when the volume goes up, they are able to also cut down the cost because that's why I said win-win can come only when you are able to look at the overall scale going up, the revenue going up, numbers going up. So that is very, very critical.

Raghunandhan: So Q4 gross margin, you should be able to maintain, sir, as a combination of despite the commodity.

K. N. Radhakrishnan : I don't want to give any guidance. I can only tell you that I already gave you in my opening remarks, you have seen our performance in quarter after quarter. The same performance will continue because we don't want to give any guidance on gross margin. But I can tell you, we are confident about growing ahead of the industry. That is going to help the company and our strategy of looking at the product mix, maximizing the scale benefits, also continued effort on our cost reduction. These are all going to help the EBITDA journey.

Raghunandhan: Got it, sir. And last question, sir, on 2026 should see the launch of Norton motorcycles that you had shown in EICMA. And apart from that, you had also showcased that M1- S electric Maxi scooter and ESX, which is the electric motorcycle. What can we expect on the electric side, sir, for 2026?

K. N. Radhakrishnan : See, the strength of TVS Motor is very strong R&D and new product development capability. We look at the customer very closely. I think those are all, I would like to say that certain products and the concepts what we had displayed there, okay? Closer to the launch, I'll tell you

the time line. At this point of time, I think we believe in our strength of R&D and new product development capability. Most importantly, we want to focus on the customer and delight the customer. That strategy will continue as a company.

Raghunandhan: Wonderful, sir. And any date for the listing of preference share? That's all from my side. TVS~

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K. Gopala Desikan: What is that? Sorry I didn't get you. No, no, the listing is still taking time. We are closely following up with SEBI. We will continue to follow up more closely. That's the status now. It's not in my control. We are not able to give a date. Yes, I think we should close this now.

K. N. Radhakrishnan : Can we have the last question?

Moderator: Sure, sir. The last question is from the line of Himanshu Singh from BNP.

Himanshu Singh: Sir, I just wanted to understand like given the commodity price increase, which we have seen in Q4, what is the impact you see like without the price increase, just the impact from the commodity increase on margins?

K. N. Radhakrishnan : I think this is the fourth time or fifth time, the commodity prices plus/minus are likely to happen in every quarter, okay? Sometimes we have seen softening. Sometimes we've seen marginal increases. Like I said, the strategy of the company is always to look at delighting the customer and giving the best value to the customer. And thanks to the industry, it is doing extremely well. And we have been -- thanks to our products and our thanks to our customers, we have been also growing very well on the top line. So continue to grow the top line, continue to get the benefit

of scale, continue to work with the suppliers and look at what kind of cost reduction we can bring in and very clearly work on other cost reduction initiatives and wherever possible without hurting the customer, increase the prices wherever it is possible, okay?

So this is a continuous and a constant journey company looks at it, okay? And most importantly, we look at our EBITDA journey. We have to look at whether are we improving quarter after quarter on our EBITDA journey, okay?

Himanshu Singh: Thank you. Thank you.

K. N. Radhakrishnan : So I want to thank everyone. You have seen the Q3 performance and the accelerated growth momentum and the kind of performance on highest revenue, EBITDA and profits. We are extremely happy about the revenue on INR 12,476 crores.

And with the best-in-class quality unwavering focus on consumers and the kind of strong portfolio of brands like Apache, Ronin, Jupiter series, iQube, Orbiter, Raider, NATORQ, HLX series, Radeon, TVS King, TVS King Kargo, both ICE and EV, I think we will grow ahead of

the industry, and thanks here to all the customers, both in the domestic and international market.

We will continue to leverage scale benefits. We will focus on further strengthening our premiumization journey, consistently look at the consistent -- the material cost reduction.

I think this will be the focus to further improve our EBITDA journey. As you know, we have been consistently performing on top line, and we have been also consistently focusing on growing the EBITDA quarter after quarter. Thanks to every customer, and we are confident that company will continue to grow better and better. Thank you. Thank you, everyone.

Moderator: On behalf of B&K Securities India Private Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. TVS~

Call: May 2026

Website: www.tvsmotor.com Email: contactus@tvsmotor.com CIN: L35921TN1992PLC022845

19th May 2026

BSE Limited,
Phiroze Jeejeebhoy Towers,
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NCRPS Scrip code: 71750 6 National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor,
Bandra- Kurla Complex,
Bandra (E), Mumbai 400 051.
Scrip code: TVSMOTOR
NCRPS Scrip code: TVSMNCRPS

Dear Sir(s)/ Madam,

Reg : Compliance under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

In continuation to our intimations dated 6th May 2026 and 13th May 2026 with respect to the schedule of a conference call with 360 ONE Capital Market Private Limited (Formerly Batlivala & Karani Securities India Pvt Ltd) post results for the quarter ended 31st March 202 6 and intimation on the audio recording, respectively, we wish to inform that the transcript of the said recording is enclosed and the same has been hosted on the website of the Company and is available at: <https://www.tvsmotor.com/en/Investors/Communication>

We also enclose the said transcript for your reference.

Kindly acknowledge the receipt.

Thanking you,

Yours faithfully ,

For TVS MOTOR COMPANY LIMITED

K S Srinivasan
Company Secretary

Encl.:a/a

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"TVS Motor Company Limited
4Q FY '26 Post Results Earnings Conference Call"
May 13, 202 6

MANAGEMENT : MR. K.N. RADHAKRISHNAN – DIRECTOR AND CHIEF
EXECUTIVE OFFICER – TVS MOTOR COMPANY
LIMITED

MR. K. GOPALA DESIKAN – CHIEF FINANCIAL
OFFICER – TVS MOTOR COMPANY LIMITED

MODERATOR : MR. ANNAMALAI JAYARAJ – 360 ONE CAPITAL
MARKETS PRIVATE LIMITED

TVS Motor Company Limited
May 13, 2026

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Moderator: Ladies and gentlemen, good day, and welcome to TVS Motor Company Limited 4Q FY '26 Post Results Earnings Con Call hosted by 360 ONE Capital Markets Private Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Annamalai Jayaraj from 360 ONE Capital. Thank you, and over to you, sir.

Annamalai Jayaraj: Thank you, Iqra, welcome to TVS Motor Company Limited 4Q FY '26 Post Results Conference Call. From TVS Motor management, we have with us today Mr. K.N. Radhakrishnan, Director and Chief Executive Officer ; Mr. K. Gopala Desikan , Chief Financial Officer.

I'll now hand over the call to Mr. K. N. Radhakrishnan for the opening remarks to be followed by question and answer session. Over to you, sir.

K.N. Radhakrishnan: Good evening, everyone, and thanks for joining us today. We are delighted to share that during this financial -- last financial year '25-'26, TVS Motor Company surpassed all its previous highs and achieved an all-round record performance, achieved the highest ever sales volume, revenue and profit.

Our sales volume grew from 4.7 million units to 5.9 million units, a 24% growth. Revenue grew from INR36,251 crores to INR 47,270 crores, a 30% growth and operating PBT grew from INR3,563 crores to INR 4,975 crores, a 40% growth. When you look at the 2-wheeler ICE growth, it grew by 19% over the previous year and the industry growth during the same time was about 10%.

2-wheeler international market, company sales grew by 31% over last year as against the industry growth of 23%. Total 2-wheeler ICE sales grew by 22% compared to last year as against industry growth of 12%.

EV 2-wheeler sales grew by 33% and it is at 3.7 lakh units as against last year's 2.8 lakh units. Total sales of 3-wheeler grew by 63% to 220,000 as against 135,000 units during last year. On financial performance, during the year, company's EBITDA grew by 37%. Last year was INR4,450 crores and this financial year, it is INR 6,079 crores. EBITDA margin improved by 60 basis points, 12.9% this year vis-a-vis last year's 12.3%.

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Operating PBT grew by 40%. During this year, the company generated an operating free cash flow of INR3,805 crores as against INR 2,586 crores, a growth of 47%. Now when we look at Q4 sales, company achieved the highest ever revenue of INR 12,808 crores, a growth of 36% of last year, is the highest.

2-wheeler domestic ICE sales grew by 26% compared to Q4 of last year as against an industry growth of 24%. International market, company sales grew by 23%, total 2-wheeler ICE sales grew by 26% in Q4. EV 2-wheeler sales grew by 51%, 115,000 as against last year 76,000. Total sales of 3-wheeler grew by 65% 60,000 units as against last year's 37,000 units. On financial performance in the quarter of Q4, sales revenue was INR 12,808 crores and we achieved the highest EBITDA of 13.1%.

During the quarter, company's operating EBITDA was at INR 1,679 crores as against last year INR1,172 crores. Company registered a PBT of INR1,358 crores during this quarter as against INR851 crores in Q4 last year. Now let me talk about TVS Credit performance. The TVS Credit ser

vices during the financial year '25-'26 again has achieved a record level of PBT, INR 1,248 crores.

The book size is now INR 30,631 crores. Q4 TVS credit reported sustained growth in disbursements supported by improved consumption sentiment and traction across all retail financing segments. The 2-wheeler category witnessed strong demand during this quarter, aided by steady recovery across urban, semi-urban markets.

And definitely, you know we have seen the increasing adoption of electric vehicles, of course, supported by the broad affordability and good finance penetration in the market. Consumer durable financing remains steady driven by seasonal purchases and increased discretionary spending.

Company continued to maintain its focus on risk calibrated growth across all product categories. TVS Credit has adopted a prudent and proactive approach to underwriting and risk through calibrated credit policy restrictions and sharper credit matrices.

Overall, the portfolio quality has improved through reduction in total credit cost and GNPA. Financial year 2026, the TVS Credit disbursed loans to over 53 lakh new customers. Overall, the customer base is almost 2.4 crores now. TVS Credit continues to focus on leveraging technology, innovation through digital transformation, deeper customer relationships and while maintaining strong risk management practices with external credit rating of AA+. The book size has grown by 15%. Now it is at INR 30,631 crores as against last year's INR 26,647 crores. PBT has grown by 22%, INR 1,248 crores as against INR 1,027 crores during last year. And for this quarter, PBT has grown by 15%, INR 348 crores as against INR 302 crores during the Q4 of last year.

On TVS Motor International business performance, we have recorded highest ever international business sales of 15.8 lakhs in the financial year 2026, a growth of 33% year-on-year. This performance was driven by very good demand for all our products, excellent range and sustained and continued strengthening of our distribution in this market.

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Africa, Asia, LatAm remains our key countries. Africa has done extremely well. Now we are focusing in LatAm region, and we have seen very encouraging traction in many markets, and there is an opportunity for further leveraging this market for TVS.

As you know, Asia is also doing well. Sri Lanka is fully back on track. Nepal is doing extremely well. Bangladesh, there are some changes we have brought in, and the exports will start soon. Q4 export's performance reflects sustained momentum, and we are able to improve our product mix. And 3-wheeler segment has started showing improvement now and we are confident that going forward in this financial year, we will keep up the same momentum for TVS Motor growth. On new products, I'm very sure all of you would have seen Orbiter V1. It has done well with 1.8 kilowatt battery. And this is for a different set of customers, now it is available in 2 ranges.

V1 1.8 kilowatt and V2 3.1 kilowatt. We have also started BaaS across EV portfolio. This will also give an opportunity for customers to subscribe through battery usage instead of paying for the full battery upfront.

We also launched the TVS King Kargo Heavy Duty CNG. As you know the cargo vehicle EV is also giving very good response from the customers. The recently launched CNG cargo is going to give us very good response. Initial month have been very promising. Built on durability, ease of operation, the vehicle comes with robust leaf spring suspension.

It offers very good ergonomic cabin with top speed of 62 kilometers per hour, excellent ground clearance and turning radius. I'm very sure that these 2 launches of cargo EV and cargo CNG, they will take a very prominent position in the cargo category in 3-wheeler.

On Norton, all of you know that the company has done --

we started sometime in 2021 and we

have invested behind building new products and this year it's very, very key. We've unveiled our product in EICMA, Milan. We got excellent feedback and we are going to soon come up with new models of Norton. Manx, Manx R, Atlas and Atlas GT.

More details of that I will give you closer to the launch. And I'm very sure this will be available in Europe and some of them will be available in India. So '26-'27 is going to be very, very important year, especially the Q2 of '26-'27. On domestic ICE business, I'm now looking at this quarter and going forward. Last year, you saw very good growth in Q4.

Urban was slightly better than rural. And '25-'26, we saw very good GDP growth. Now coming to this financial year, we are looking at continuation of the GST benefits. There are some headwinds in terms of the ongoing West Asia conflict. There are challenges in terms of commodity prices, steel, aluminum, crude oil derivatives, and there are pressures on input costs, also some supply chain disruption.

We have also gone through similar situation in the past. Company has also taken many initiatives to further strengthen our cost reduction, improving the product mix, also taking price increases

wherever we are able to look at. And this is a continuous journey of closely monitoring the economy and constantly looking at correcting the contribution through various initiatives.

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What is most important is our demand both in domestic and international for all our models are extremely good. As I said in the April press news, we had some challenges in the supply chain, with respect to labor availability, gas and also some challenges in terms of on-time availability of some raw material.

Things are becoming better. This month is going to be better. And we are confident that Q1, we will post a very good growth better than the industry. On EV, actually, the industry is growing better. Last quarter of Q4 last year, we saw 38% growth.

And just to give you some data, the overall -- the penetration in Q4 was almost 7.8% vis-a-vis 7.1%. If you look at year as a whole, the penetration has moved from 6.2% to 6.6%. I'm very sure that EV 2-wheeler will continue to increase the penetration and the momentum will continue this year.

As you know, we have recently launched TVS iQube S with 4.7 kilowatt and this is definitely going to be a favorite EV for families. We have more than 900,000 Indian customers and families are enjoying this product. TVS iQube has played a key role in driving electric mobility adoption in India, which is the new launch of TVS iQube S. It offers range of 175. It comes with new color graphics and enabling families to go further with greater ease and confidence.

On commercial mobility, we are consistently improving our EV 3-wheeler. Now the VAHAN share is continuously increasing for our 3-wheeler EV. And we are confident that in this financial year, we will reach a very prominent place with overall the EV passenger, EV cargo. In addition to the cargo, CNG what we have launched. Also you know that TVS Motor has recently signed a joint development agreement with Hyundai Motor Company to commercialize an electric 3-wheeler.

This is going to be redefining the mobility and as you know Hyundai Motor will lead the design and co-develop the EV 3-wheeler by leveraging its research and development expertise, advanced mobility technologies and human-centric design approach.

TVS Motor will co-develop the project using our leading edge electric platform, extensive 3-wheeler engineering expertise, deep local market understanding and I'm very sure with our long legacy of trust, quality focus, we will be able to come up with a product which is grand success in the market.

On International business, what we have seen in Q4, I'm very sure that this year also you will see

the momentum. We are also closely monitoring the effects of the war situation, but as I speak every International market we are seeing very good pull for TVS range of products. We are also constantly monitoring.

There are some challenges, especially in the lead time for delivery of some of the logistics issues. But I'm confident that with our close monitoring and working with our distributor, we will be able to overcome this and to conclude during Q4, you have seen our EBITDA has gone to 13.1%.

We will continue to leverage scale benefits, better product mix and sustained efforts on cost reduction, which will definitely enable us. While there are challenges on geopolitical issues, I

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think our -- thanks to our customers and our product portfolio, we are confident we put every effort to further improve our cost and we will definitely look at leveraging our growth momentum on top line better than the industry growth.

This quarter and next quarter, we will be very, very cautious. We will make sure that we will not -- we will continue to invest in technology, R&D, innovation and brand building. We will very closely look at every cost element to make sure that we grow ahead of the industry. Thank you.

Moderator: Sir, shall we open the floor for question and answer?

K.N. Radhakrishnan: Yes, please.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Kapil Singh from Nomura.

Kapil Singh: Good Evening Sir! Thanks for the opportunity and Congratulations on the strong performance.

My first question is just on your growth outlook for domestic and international for FY '27. What kind of growth are you expecting? And any color in-between motorcycles, ICE scooters and EV scooters directionally, what do you expect there?

K.N. Radhakrishnan: See, we are expecting a good single-digit growth on the industry this year. And we are seeing

good growth momentum. Of course, there are some challenges in terms of the prices going up, especially on gases and inflation little bit going up. But thanks to our product range, the demand situation is very good for us. On Particularly, if you look at -- let me start with overall, I already highlighted that the EV is doing extremely well, and we have 2 good brands, iQube and Orbiter. On scooter, if you look at Jupiter 110 -- Jupiter 110 and 125, it's doing extremely well in the market. And as a category, according to me, '26, '27, the growth momentum will continue on scooter.

EV will be very good. Scooters will be very good, okay? And also super premium category is also likely to do very well. The challenge will continue in the economy category, okay? Economy category, the challenge will be a little higher because that is where most of the customers who have challenges in terms of higher inflation, fuel prices are likely to resume. Fortunately for TVS we have, for example, currently SSP, including EV, the scooter category share is almost 38%. And according to me, that is likely to go over 40%, which means scooters are likely to grow faster. And we have very strong brands of Jupiter, Ntorq, 125, 150 and the response of 150 is outstanding in the market, which was recently launched. And on the EV side, Orbiter, again, outstanding response in the market. iQube continues to do very well, especially the new variant, whatever we have launched. So scooters, we are strong and we will continue to grow ahead of the industry. And you know last 3 years, we have done extremely well on our premium Apache and Ronin is doing extremely well. Super premium Ronin is also doing extremely well.

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So overall, we have a very good portfolio. EV will grow well, scooters will grow well. Premium and super premium will grow well. Then the challenge will be

on the economy category and our proportion in that category is very small.

Of course, the new moped with alloy wheel is doing extremely well in the market. So what we have seen is if you add value to the customer, still customers are willing to look at even if there are challenges in demand. This is on the domestic market. Now coming to international market, as we see the demand for us is extremely good. And I'm very sure that the momentum whatever we have seen in Q4 will continue this year.

We'll be very closely watching the situation related to the geopolitical challenges. There are delays in terms of transit time, which we need to support our distributors, we're working very closely with them. But as long as the demand is very good, we are very confident that we will do better than the Industry.

Kapil Singh: Thankyou so much for the detailed answer on the commodity side also, I just wanted to know how much is the commodity inflation that we are expecting in the first quarter and how much price hike we have taken and also for similar numbers for Q4 FY '26?

K.N. Radhakrishnan: See the commodity, I think this is unprecedented. I think it is around 3% to 5% because as we speak, there are challenges, but we were able to increase prices 35% of the price increases we were able to offset by increasing prices. We are closely monitoring the situation, both in domestic and international, we have passed on price increases. We'll also keep a close watch on that, and you know this is something which we will look at it very, very closely.

And second, I think the product mix is going to definitely help us. The leverage in the top line is going to help us. So it will be a combination of cost reduction, product mix, growing the scale benefit and looking at appropriate price increases in the right model. So it's a combination of all strategies put together. We have seen similar situation in the past, maybe just a little higher everything happening in 1 quarter this time. So, we will closely monitor that.

Kapil Singh: So just to clarify, this 3 to 5 percentages is -- as a percentage of the revenue, right?

K.N. Radhakrishnan: Revenue, revenue, revenue. Yes, yes, yes.

Kapil Singh: How much was PLI for the quarter?

K.N. Radhakrishnan: PLI is about 0.9%.

Moderator: Thankyou We will take the next question from the line of Chandramouli Muthiah from Goldman Sachs.

Chandramouli Muthiah: Hai good evening My first question is around production capacity. So in FY '26, we've manufactured and sold close to 5.9 million vehicles. I just want to understand at this stage, what is the rough range of our 2-wheeler production capacity and 3-wheeler production capacity. And then you have announced recently that you plan to expand capacity to service demand. Just want to understand what proportion of addition we can expect over the next 12 to 24 months as well?

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K.N. Radhakrishnan: Immediately, we are looking at increasing the capacity by another 1.5 million, to go to somewhere around 8.3 million because the demand is good and first time we have to add significant capacity in the next 12 months. Work has already started in the last quarter of last year -- last financial year. This financial year is going to be very important. Quarter after quarter, we are reviewing.

And possibly for '28 and '29, we are also thinking about which -- what kind of capacity additions we need to add. But one thing we are very clear, we want to be ahead of the industry growth. And for that, we will make sure that capacity will not be a constraint, and we will be investing behind us.

Chandramouli Muthiah: Got it. That's helpful. Second question is just around some of the supply chain challenges that globally the automotive industry is facing. So you did call out gas, you did call out certain raw materials for production beyond that. Rare e

arth has been sort of up and down over the past 12 months and EVs are also picking up where rare earth might be important.

So I just want to understand across some of your key materials, where are some of the challenges presently in manpower included? And then how do you see that progressing over the next few months?

K.N. Radhakrishnan: See, supply chain was something unique we had in the last April and end of March. Primarily, I think it all started post the geopolitical unrest. I think the gas prices going up and other energy costs going up. One, it affected the commodity, commodity prices, but sometimes the commodity availability. As you know, we don't keep more than 30 days of stock with our dealers in India.

So normally, it is 21 to 30 days maximum, and they are all cash and carry. What happens is, you know you have to -- and our retails are extremely good, which you would have seen from our

VAHAN. And also international, the demand is very good and the retails are extremely good.

So very critical that we are able to ramp up and produce material and give it to them. And our supply chain because of these delays in energy and sometimes raw material, A couple of delays can also affect sometimes production. This is one. Second, across India, we are seeing some challenges with respect to labor. It is not only unique to South, but many, many areas, especially the Tier 2 suppliers.

Tier 1 is able to manage, but many of the Tier 2, they have serious problems. So we are supporting them. And for example, month of May, we are much better than April. Hopefully, this month -- end of this month, we will come out of it.

That's why I'm confident about Q1, we will be very, very confidently growing ahead of the industry in totality, both in retail and in dispatches. But this we have to closely monitor and see appropriate countermeasures, very, very important.

Chandramouli Muthiah: Got it. That's helpful. And just my last question is bookkeeping question. Just related to the point you made around the channel stock you maintain. If you could just give us at this point in time, where the channel stock is for domestic versus the normal channel stock and for international

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business as well versus the normal channel stock you maintain? And also if you could share the exports and spares revenues for the quarter?

K.N. Radhakrishnan: Channel stock has started improving this month because we were able to produce much better in the first 10 days of May. And I'm very sure by end of this month and first week of June, it will come to that -- we always operate between the 21 days to 30 days kind of that range.

Fortunately, for us, every product is under high pool. So we have to make sure that we deliver that, which we will do. The revenue from international business for Q4, you're asking, right?

Chandramouli Muthiah: Right.

K.N. Radhakrishnan: Q4, we're at almost INR 3,000 crores -- INR2,999 crores. And spare parts, total spare parts is -- overall spare parts is about INR 1,122 crores.

Moderator: Next question is from the line of Gunjan Prithyani from Bank of America.

Gunjan Prithyani : Thanks for taking my question. My first question is just going back to the comments you made that for the next 1 or 2 quarters, we'll be cautious. I'm just trying to understand, is it more the cost headwinds that worry you? Is it the supply disruption or maybe to some extent, the sort of price increases that the industry is taking to offset the commodity? Do you see that there could be some risk to the demand as well, which is pretty strong at the moment? So some more clarity on the comment you made around the next 2 quarters cautiousness?

K.N. Radhakrishnan: We are confident about the demand. I think there is absolutely -- thanks to the customer delight, the products and the product range what we have delivered. We are very confi

dent on the demand side. I'm talking about TVS. The uncertainty is on raw material availability, timely availability, okay?

The costs are high, but a couple of days delay here and there is one worry. Another worry which we are getting over completely is the supply chain tier 2 disruption, but that we are coming out of it fully. So I'm very confident by end of a couple of weeks' time, we will be completely out of it.

And we are closely monitoring the overall situation in terms of what is happening on the geopolitical situation because this is not only for us, it is for the entire industry. So we have to be very cautious about that. And I say cautious, we have to closely monitor what is happening, how the segments are doing well.

And please note that for the distributor also material has to reach on time. And if there is a 10%, 15% delay in terms of the extra lead time for transit okay? again, when you have high pools, that is also -- we cannot lose any opportunity. Otherwise, we are pretty confident. So maybe in 2, 3 weeks, we will come out of it.

Gunjan Prithyani : Okay. Got it. And the second question is if you can share a bit more color on the investments that we made in this quarter of INR 700 crores. And the losses also from subsidiary were a bit higher this quarter. So any color on that? And if you can share a guide for fiscal '27 for investments in capex?

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K.N. Radhakrishnan: See, the overall -- let me tell you, it is more for the overseas subsidiary. We spent about investments about INR 2,400 crores total. I'm saying for the year. And predominately it is for Norton, okay? And Norton, products are getting ready and many of the products are going to be seen in Q2 of this year.

And I'm pretty confident I've seen the product. They are all extremely good and it is going to really redefine the super -premium class globally. About INR 200 crores is in TVS Credit Services. And we also have put a strategic investment in Dubai to have significant focus on international markets.

So we have established a total infrastructure and we have invested -- this we said about a couple of quarters back about INR 300 crores we have invested. So all put together this quarter, this year, last financial year was INR 2,400 crores.

Next year, the investments will be much lower. It will be maybe another INR 500 crores, INR 600 crores lower than this INR 2,400 because we are very confident that many of the investments whatever we have made is going to start yielding better revenues and start getting results for us. Now coming to capex, our focus on the product development and new products will continue from TVS Motor side. That will be around -- like this year, around close to INR 2,000 crores. Another additional investment is we are -- I told you we are adding another 1.5 million of capacity.

So we are expanding in a significant way on all 2-wheeler and 3-wheeler, that will be about INR 1,000 crores plus, okay? And we are also expanding our R&D because we believe in investing in R&D, capability, testing. So all put together, the capex for next year for TVS Motor will be likely to be around INR 3,500 crores.

Gunjan Prithyani : Okay. Got it. And last question, sir, is on the EV capacity. Like you mentioned you're upping the capacity. Can you talk about what is the EV capacity on a monthly basis right now? And where do you see that capacity unlocking happening? To what level are we planning to take it given the demand is rising on the EV side?

And any plans to sort of also leverage on these EV products that you have in the international markets because the similar trend that we're seeing in India is also playing out in some of the Asian countries on higher E 2-wheeler demand?

K.N. Radhakrishnan: You're absolutely right. See, Asian market, the response to iQube is very good. We are now start

ing our Orbiter. So Asian markets have started a good proportion of our EVs. Currently, we are doing about -- last year, if you look at our average was about 32,000. Around 30,000 to

32,000. We have now moved maybe around 40,000 and we will soon move to 50,000 per month.

So that is the kind of direction we are looking at in EV. We will definitely be ahead of the industry that I can promise you. We are constantly looking at our capacity versus demand and expansion in the network. And also you have seen the variants in iQube, you have seen the variants in Orbiter, and we will grow ahead of the industry.

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Moderator: Thank you. Next question is from the line of Aryn Pirani from JP Morgan.

Aryn Pirani : Hi Sir thanks for your opportunity, my first question was on exports. You mentioned you know

that we are seeing a lot of strength, but in the near term, there can be some challenges. As of now, if you look at Africa, LatAm and South Asia, are we seeing any signs of any challenges regarding inflation or the same issues that we're seeing in India in terms of gas availability and fuel prices emerging in any of these geographies because some of these geographies have announced work from home, rationing of fuel. So any worries or any concerns you are hearing from the ground here?

K.N. Radhakrishnan: See, these are things we have to constantly look at it. But the strength is we have a very strong product range of HLX series 100, 125, 150. Actually, the demand is so high for us, we are not able to meet the demand today. So country by country, people are loving our products in African markets and many other markets.

So our endeavor is to significantly and proportionately increase, okay? The challenge according to me, what we are seeing is a delay in terms of the container availability and making sure that there is a 15% increase in the lead times now, okay?

And as you know, when the distributor plans with whatever the money he is putting and he has got certain dealers and sub dealers, they need to have this plan. And 15% is like another 10 days delay, 10 days delay or 8 days delay or 1 week delay.

So this is something we need to plan and we need to also support them in terms of possibly higher capacity, higher production okay, better planning. So this is something we have to look at. But the inflation, prices of energy, local challenges, this we always constantly look at it because we are now talking about this war situation.

But last year or year before that, we have seen Ukraine, Russia war also created certain problems in this region. So this is something we have been very closely monitoring and I'm very confident that we will come over it. We will get over these challenges. We have come up with a very clear solution. What is more delighting is every market TVS products are sought after, and we are very confident that momentum is going to help us to grow faster than the industry.

Amyr Pirani : Great. That's good to know. And we can see that in your monthly run rate improvement as well.

Sir, my second question is on the domestic market. We've seen in the last 12 months, EV 3-wheeler and even CNG 3-wheeler launch as well as 2-wheeler EV scooter launches.

In the motorcycle category, is there anything that -- any category launches that we can look forward to in the next 12 months? Any specific category motorcycles that you are targeting for launches?

K.N. Radhakrishnan: TVS always believes in investing behind technology, coming up with models which delights the customer. This has been our focus for our growth ahead of the industry. And that momentum will continue. Last year, you have seen iQube, you have seen RT X, you have seen Orbiter, now V1 version, and you have seen 3-wheeler.

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We started with the passenger EV, then

then we started cargo, then CNG cargo. So we completely believe in investing behind products and our strength is R&D. Our strength is software. Our strength is digital. Our strength is connected services. So this is something we will continuously invest and we will drive. That's also the reason our capex is pretty high because we don't stop in investing.

We always say that these are all medium to long-term strategy of the company, to grow aspirationally in every market on top of it, you know Super Premium Norton ok? There are models which we are investing. Products are getting ready in our Hosur plant and Solihull. So we are very excited about '26, '27. I think it is going to be a key turnaround year for the next phase of growth for TVS and Norton.

Amyr Pirani : That's great to know, sir. Just a clarification. Will you be manufacturing these initial Norton products in India as well?

K.N. Radhakrishnan: Yes, yes, yes. Solihull is looking at one model, which is in the high end where we will be making there, okay? The other models are going to be made here. And we will also look at what type of models in Solihull, what type of models in India. But we are leveraging India, especially the Hosur plant in a big way.

Amyr Pirani : That's good sir, thank you for the opportunity.

Moderator: Thank you. Next question is from the line of Amit Hiranandani from PhillipCapital India.

Amit Hiranandani : Sir, as per your earlier years assessment, what has been the impact on rural sales due to El Nino? And my second question is related to looking at the elevated and extended cost inflation, how much more price increase you are planning to take to sustain the FY '26 level margins?

K.N. Radhakrishnan: See, one is monsoon. As we open this year, when we look at the reservoir water level, as of now, it is 16% higher, okay? So it is definitely good for the Kharif season. However, what the point what you said is El Nino risk could moderate the rainfall, okay? So we have to be constantly watching that.

And we have to make sure that the reservoir water levels are very, very critical going forward.

So that is very critical for looking at, in my opinion, Q3 and Q4, which we will very closely look at it, very closely look at it.

What was your second question?

Amit Hiranandani : Sir, looking at the elevated and extended cost inflation, so how much more price increases you are planning to take to sustain your FY '26 level margins?

K.N. Radhakrishnan: Normally, I don't give you any guidance on margin, okay? Because we don't look at -- pricing is a strategy. We look at -- and I always believe that pricing is only one element. We always look at the value what we are giving to the customer in terms of TCO, in terms of attractiveness, in terms of technology, in terms of connectivity. So pricing is only one element.

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And we also have used the varianting strategy. There are different type of customers. So we continue to leverage these methods. And when you grow the top line ahead of the industry, that is also going to give you many benefits.

And in terms of cost inflation, this 3% to 5%, according to me, it is quite significant, okay? So we have to closely monitor. And we constantly look at what type of opportunity is given to us in terms of looking at variant, what kind of pricing we can look at. So it's a continuous journey, okay? And our endeavor is to grow the top line and continue the momentum.

Again, we don't look for one quarter another quarter. Many a times, we become very anxious about what happens in Q1, what happens in Q2. We always look at trajectory. When we started the growth momentum, we -- all of you know that we were at 6.5% in EBITDA. This quarter, we are closing at 13.1%.

So we always look at the direction. And definitely with our product portfolio, the focus what we have on product mix and both the com

bination of 3-wheeler, premium, international business,

all these are going to strengthen our realization per vehicle. That is very important. When you have the realization per vehicle going up, I think you can always leverage cost.

And we can also amortize our fixed cost over a larger base. So the growth momentum and the EBITDA journey will continue, okay? We should not be so much worried about one quarter, two quarter.

Moderator: Next question is from the line of Raghu Nandhan from Nuvama Research

Raghu Nandhan: Good evening sir thank you so much for the opportunity and Congratulations on strong results.

Firstly, sir, in the export market, would you expect the growth to be higher than domestic market in FY '27? And within exports, would you -- in terms of packing order, would you say growth will be higher in Latin America followed by Africa and Asia?

K.N. Radhakrishnan: I think if you look at many of these markets, international markets, India, you know I always believe that India has got a huge opportunity and the type of investments what government has done on the infrastructure side, especially on the roads, and thanks to the consumer class of 1.4 billion who definitely looks at 2-wheeler as a great category for their own income generation and commuting.

I'm very sure the growth momentum will continue. And thanks to GST, I think the entire scenario got changed when government reduced 28% to 18%. It's not only on 2-wheeler overall, okay?

This war situation has put a little bit of challenges, but I'm very sure that the need for commuting, the need for especially 50% of the class is self-income kind of customer, rural customers, that momentum will continue in India.

Now growth, I said about a strong single digit, okay? It could even -- if things go better in the second half, you can see something becoming better also. But we have to be cautious and saying from the industry point of view. And from our point of view, we are optimistic about product range and what we are going to deliver to the market.

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Coming to international, international last -- if you look at '21, '22, '23, we saw a lot of challenges and it went to the bottom. Now all these international markets are coming back. Last year, we saw a good growth. I'm very sure this year also, you will see a similar growth and the momentum will continue, okay? And LatAm, you have seen it went down.

Africa went down. So -- and we have seen it in Asia. So we are pretty confident that the momentum, whatever you have seen will continue in the international market. And especially for TVS, the product pool is very good in the market.

Raghu Nandhan: Noted sir very helpful sir, Ronin model has done extremely well and monthly volume has crossed 8,000 in domestic market. How do you see the potential for this product in domestic and exports? And how do you see this helping your play on premiumization?

K.N. Radhakrishnan: Ronin is a great brand. If you recollect in last 3 years, I always say that. We started with 2,000, went to 4,000, 8,000, okay? I'm telling you shortly, we will cross 10,000, and it is great pool in

India in every state. And thanks to all those customers who love Ronin.

It is yet another brand like Apache, I can tell you. I don't want to give you any guidance on the volume because we are building it and thanks to every customer of Ronin and pull has started already in the Indonesia -- in the international markets, every market wherever we operate. So it is going to be a long-standing, very good brand for the super -premium customers. And once again, thanks to all the customers.

Raghu Nandhan: Wonderful, sir. Just a housekeeping question. Can you share the EV revenue for FY '26?

K.N. Radhakrishnan: EV Revenue. You have to give me a minute. Just let me look at it. About 5,000 crores.

Raghu Nandhan: Got it sir thank you

very much sir and wishing you all the best.

Moderator: Next question is from the line of Ashish Jain from Macquarie India please go ahead.

Ashish Jain : Sir, firstly, on investments, you said that fiscal '27 investments will be INR 500 crores, INR 600 crores lower. But I thought bulk of the Norton investment is behind us. So can you give some color on where that INR 2,000 crore investment will be spent in fiscal '27?

K.N. Radhakrishnan: No, the investments will be lower, but it will not be zero. I think please understand product development is still continuing because we can't have only a few models. We have to have in all segment models for Norton, but it will be lower than this year. And other investment where we are investing this year, some of them will continue. Some new investments will be there, which closer to the investment, we will let you know.

It may not be in Norton and the current investment because we constantly look at the opportunities and we will be doing that. But overall, at this point of time, it will be 70% of the current year, somewhere around that.

Ashish Jain : Right. But sir, when you say new, will it be something outside Norton plus Dubai plus previous credit services? Can it be something outside these 3 as well?

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K.N. Radhakrishnan: We always look at new opportunities, and we want to see these opportunities. So closer to -- when we decide, we will let you...

Ashish Jain : Sir, secondly, if I look at our export volumes, while we have done a phenomenal job in terms of going ahead of the industry, our volumes are still more skewed to Africa. So like let's say, from the next 2, 3 years point of view, do we see an opportunity to gain substantially in LatAm? How has the experience been in LatAm? Can you speak a bit about that?

K.N. Radhakrishnan: Africa, we invested long back, and I'm extremely happy the way TVS brand is preferred in Africa. In this, please understand it takes time to establish your brand, and you know the HLX series, HLX 100, 125, 155 is the most preferred brand in this market. As it is very strong for us.

Africa is very strong for us. And I completely agree with you, LatAm, we are growing ahead of the industry, which means we are gaining market share year after year.

And LatAm is going to be the focus for TVS definitely. But you have to give 2, 3 years' time because we need good distributors. We need very good investment behind brands. We need to have visibility of this brand in the market. So our full focus will be, of course, there is huge headroom in the Africa and Middle East, okay?

Huge opportunity even for TVS. So we want to further strengthen Africa and Middle East and strengthen -- put a strong foundation in LatAm, growing, okay? So that journey will continue and LatAm will be the focus.

Ashish Jain : Sir, just an extension of that. So shall we think that LatAm journey will be more through Apache and Ronin or it will be much wider, including entry-level products as well?

K.N. Radhakrishnan: All products. See, every country I have seen, there are proportion of premium, super -premium and executives and entry-level. So every -- these are all developing countries. So we have to play with the portfolio even for the distributor and dealer productivity and their profitability. So we will play in the portfolio. And sometimes you can also design and develop something unique for this market.

And please remember, the Indonesia products are also doing extremely well. Quietly we are doing now about last year, we did average of 17,000 per month. Now we are getting into almost 20,000 plus. And the Bebek & Skubek are also in many of these markets doing very well. So, the portfolio what we have, we will leverage that.

And country-specific certain products also we will design and develop. So it's a combination of investment behind some new products

ts, leveraging existing models and we will take it up in a great way. Can we get into the last question, please?

Moderator: Next question is from the line of Yash Agrawal from Nirmal Bang Securities.

Yash Agrawal : Hi sir thank you for the opportunity. I just wanted to understand the strategic rationale behind the Hyundai TVS partnership in the 3-wheeler EV segment. And what is the expected timeline for commercialization and product launches under this partnership?

K.N. Radhakrishnan: I think all of you know about Hyundai, their capability in terms of their ability to design, look at their R&D capability, advanced mobility technology, very clear understanding of human-centric approach country by country. We want to completely leverage that. Equally, on the other side, we have excellent leading edge electric platform. We have the 3-wheeler engineering expertise, deep local understanding of Indian market, international market.

So we will look at how do we use this -- both companies leveraging the strength and how we come with a redefined mobility in the 3-wheeler category. I can give you so much now. I think closer to the launch, I can give you more details, including the lead time.

Yash Agrawal : And extension to this question, how should we think about revenue contribution and profitability potential from this partnership over the medium term?

K.N. Radhakrishnan: I think what we have to look at is, overall how the company is moving, and we have done extremely well, how we moved from 6.5% to 13.1%. So whenever we look at, we look at portfolio, we look at every product and every project. And overall, we look at the performance of the company, and I'm very confident this also is going to help us in improving our EBITDA journey.

Yash Agrawal : And last question, sir, how do you think about international growth potential for the EV scooters?

K.N. Radhakrishnan: I think that started well, especially in the Asia market. We are also entering into many markets where we are present. I'm very positive because whether it is iQube or Orbiter, it is loved by the customer. But each country is specific, each country is unique. We need to be very closer to the customer in understanding and what needs they are expecting.

Sometimes we may have to also come up with a new model, even in electric because the customer preferences, we have to understand, and that is the strength of TVS. We invest behind -- for example, HLX whatever we are selling in Africa and LatAm, we don't sell even one number in India. So we have to -- we constantly believe in looking at the customers, coming up with the models which are unique to the customer and the usage.

Overall, thanks, everyone. I think last year -- last financial year is a great year. The TVS Motor company posted the highest ever revenue of INR 47,270 crores, highest ever net profit of INR 3,615 crores with best-in-class quality, our focus on the consumer, strong portfolio of brands, starting from Apache, Jupiter, iQube, Orbiter, Raider, Ntorq HLX, Radeon, Ronin, TVS King Kargo, EV, ICE I'm pretty confident and all the products from Indonesia, the company will leverage growing ahead of the industry.

We will definitely use scale benefits. We will use the focus premiumization journey. We will focus on the sustained material cost reduction. We will look at model mix, okay? While there are challenges, as I said, we are cautiously optimistic, and we will continuously looking at improving the top line and continue to grow our EBITDA margin going forward.

Q1, Q2, we will closely look at it, and we will take appropriate counter measure and we will continue to grow the top line and do best for the industry and the customers. Thank you.

Moderator: Thank you very much. On behalf of 360 ONE Capital Marke

ts Private Limited, that concludes

this conference. Thank you all for joining us today, and you may now disconnect your lines.